

Sub-Saharan Africa

Macro Poverty Outlook

Country-by-country Analysis and Projections for the Developing World

Annual
Meetings
2024



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Sub-Saharan Africa

Annual Meetings 2024

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Congo, Dem. Republic
Congo, Republic

Côte d'Ivoire
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Eritrea
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Gambia, The
Ghana
Guinea
Guinea-Bissau
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Madagascar
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Seychelles
Sierra Leone
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South Africa
South Sudan
Sudan
Tanzania
Togo
Uganda
Zambia
Zimbabwe

ANGOLA

Table 1 **2023**

Population, million	36.7
GDP, current US\$ billion	90.5
GDP per capita, current US\$	2462.5
International poverty rate (\$2.15) ^a	31.1
Lower middle-income poverty rate (\$3.65) ^a	52.9
Upper middle-income poverty rate (\$6.85) ^a	78.0
Gini index ^a	51.3
School enrollment, primary (% gross) ^b	88.6
Life expectancy at birth, years ^b	61.9
Total GHG emissions (mtCO2e)	110.5

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2018), 2017 PPPs.

b/ Most recent WDI value (2022).

Angola's economy started to recover from 2023's shocks—extended maintenance shutdowns at major oil fields, exchange rate depreciation, and gasoline price hikes. Growth is projected at 3.2 percent in 2024. Yet, broad-based structural constraints limit economic diversification. Delivering on fiscal consolidation, especially through gradual fuel subsidy removal, is critical to preserve fiscal sustainability and increase development spending. By 2026, about 36 percent of the population is projected to continue to be living with less than US\$2.15 per day.

Key conditions and challenges

Economic growth, built on an oil boom from the mid-2000s, has been challenged since 2014 with declining and volatile global oil prices, shrinking oil production, the COVID-19 pandemic, and tightening global monetary conditions. Real GDP contracted by 0.5 percent annually on average over 2015-23, and real GDP per capita fell back close to its 2004 level. Angola has mostly registered current account surpluses since the 2000s, but the external sector is vulnerable to oil proceeds volatility, notably for foreign currency supply. Around 80 percent of public debt remains in foreign currencies, increasing exchange rate risks.

With rising macroeconomic fragilities, Angola has implemented reforms to reduce its vulnerability to external shocks and reliance on oil. The Central Bank of Angola's (BNA) autonomy has been enhanced and the exchange rate regime has become more flexible and transparent. The government has increased gasoline and diesel prices in June 2023 and April 2024, respectively, to gradually remove fuel subsidies and reorient spending, including towards social safety nets. Steps have also been taken to improve fiscal transparency, reform state-owned enterprises, and combat corruption. Structural constraints are hampering economic potential and diversification. The oil sector accounts for 25 percent of GDP,

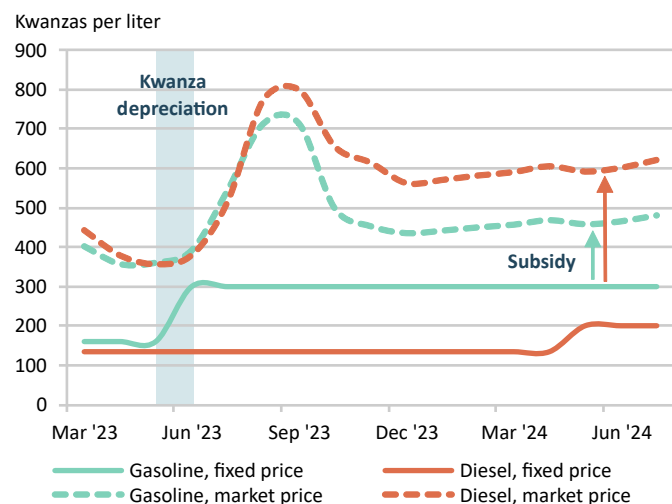
60 percent of tax revenue, and 95 percent of exports. The country suffers from institutional weaknesses, ranking in the lower 40 percentile on Worldwide Governance Indicators, including the lower 20 percentile on Government Effectiveness and Rule of Law. Angola is also vulnerable to droughts and floods.

Angola, a lower middle-income country, grapples with human development challenges, and ranks among the world's most unequal economies, with a Gini index over 51. About 31.1 percent of the population lived on less than US\$2.15/day in 2018. The labor market has a high share of informal jobs, concentrated in low-productivity sectors. High fertility rates (and adolescent pregnancies), maternal and neonatal deaths, and child stunting underscore the need to develop human capital. With declining oil production and the global climate transition, Angola needs new drivers for sustainable and inclusive growth and to preserve macroeconomic stability. It has a high economic potential, with vast land and natural resources, a young population, and a strategic location that can be used to leverage global and regional value chains, notably through the Lobito corridor.

Recent developments

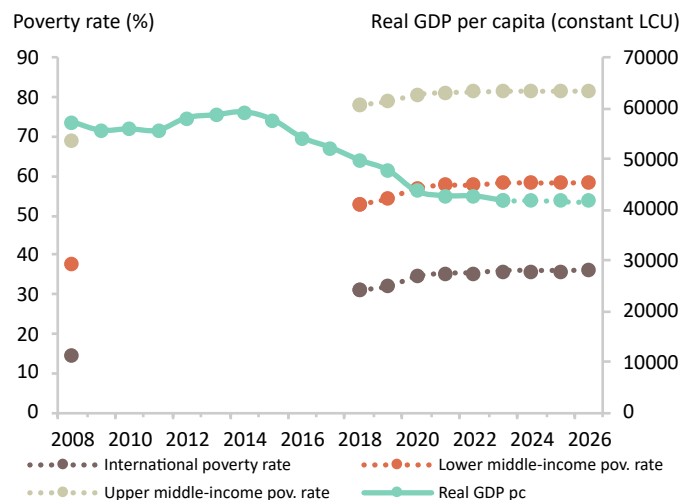
After growing by 1 percent in 2023, because of lower oil production, an exchange rate and fuel price hikes shocks, real GDP grew by 4.1 percent on annual terms in the first quarter of 2024 (Q1-24), the biggest expansion since Q1-15. This rebound was

FIGURE 1 Angola / Gasoline and diesel prices and subsidies



Sources: IGAPE, Ministry of Finance of Angola, and World Bank.

FIGURE 2 Angola / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

driven by recovery in oil production and the services sector (domestic trade and transport and storage). Angola registered a stronger current account surplus in H1-24 supported by higher oil exports.

The fiscal situation remains constrained. Higher global oil prices for the Angolan crude (US\$84.2 per barrel over January-July 2024) and domestic production (1.12 million barrels per day over the first half of the year—H1) than assumed in the budget (\$65 per barrel and 1.06 million oil barrels per day) are supporting revenue, following a drop in 2023. However, the 40-percent currency depreciation in May-June 2023 pushed up debt service costs and fuel subsidies. This has constrained public spending, resulting in capital spending cuts and the acceleration of the fuel subsidy reform, despite an escrow agreement with a Chinese creditor that helped ease debt service pressure.

The exchange rate market has stabilized in 2024, with reduced parallel market premiums and a more gradual depreciation, around 10 percent up to mid-September. Increasing food prices, and last year's exchange rate shock and fuel price hikes, kept inflation high, averaging 26.9 percent

year-on-year in H1, despite the BNA raising the policy rate by 250 basis points to 19.5 percent since November 2023. Rising inflation, and declining per capita income, have strained household purchasing power, especially for the less well-off. More than a third of the population is projected to be living on less than US\$2.15/day in 2024. Significant progress has been made in building social safety nets through the Kwenda cash transfer program, which currently benefits about 1.5 million rural households. However, urban households remain unprotected and vulnerable to rising food prices.

Outlook

Real GDP growth is expected to rebound to 3.2 percent in 2024, driven by improvements in maintenance-related oil production bottlenecks. However, due to structural constraints, real GDP growth is projected to average 2.9 percent over 2025-26, and real per capita GDP is expected to stagnate. Monetary policy tightening and the projected conservative fiscal stance are expected to

help contain inflationary pressures, though inflation is still projected above 10 percent by 2026. High inflation, which adversely affects living standards and limited fiscal space is expected to lead to persistently high poverty, projected to stay at around 36 percent by 2026, highlighting the importance of further strengthening social safety nets and preserving development spending, especially in human capital.

Angola's fiscal situation is expected to remain sustainable provided the authorities successfully implement their consolidation program. The overall fiscal balance is projected to average 0.1 percent of GDP annually over 2024-26. Public debt-to-GDP is projected to decline to 57 percent by 2026, down from about 89 percent in 2023. External balances are expected to remain relatively strong, with international reserves coverage projected around 7 months of imports over 2024-26.

Risks to the outlook are high and tilted to the downside. A shock to global oil prices could affect economic growth and further constrain fiscal policy. Prolonged elevated inflation could fuel social discontent and resistance to further fuel subsidy reform.

TABLE 2 Angola / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices^a	1.2	3.0	1.0	3.2	2.9	2.9
Private consumption	3.7	4.0	3.1	4.3	4.3	4.5
Government consumption	-1.7	8.4	-18.8	1.0	1.0	1.0
Gross fixed capital investment	5.4	8.5	-5.3	1.2	2.4	2.6
Exports, goods and services	-8.6	3.3	-6.2	2.5	1.7	0.9
Imports, goods and services	-3.8	26.1	-6.8	-4.6	3.1	3.1
Real GDP growth, at constant factor prices	-0.1	3.1	0.6	3.2	2.9	2.9
Agriculture	17.2	3.9	2.7	4.3	4.6	5.0
Industry	-8.3	1.8	-1.0	2.8	2.4	2.0
Services	6.2	4.2	1.8	3.5	2.9	3.4
Inflation (consumer price index)	25.8	21.4	13.6	27.4	16.1	11.9
Current account balance (% of GDP)	11.8	10.4	4.6	3.8	0.7	-0.2
Net foreign direct investment inflow (% of GDP)	-4.6	-5.9	-2.4	-1.9	-1.3	-0.9
Fiscal balance (% of GDP)	-0.4	3.3	-1.1	0.5	0.0	-0.2
Revenues (% of GDP)	22.7	27.7	20.4	20.9	19.4	18.2
Debt (% of GDP)	87.9	69.5	88.8	72.0	64.6	56.9
Primary balance (% of GDP)	4.8	7.3	4.2	6.2	5.6	5.5
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	35.2	35.4	35.9	35.9	35.9	36.0
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	57.7	57.7	58.3	58.2	58.3	58.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	81.3	81.4	81.6	81.6	81.7	81.7
GHG emissions growth (mtCO₂e)	-1.9	-0.8	-0.4	-2.1	-2.6	-2.8
Energy related GHG emissions (% of total)	12.6	12.2	12.0	11.7	11.0	10.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ This macro-framework is using the national accounts in base year 2002. New national account statistics with 2015 as base year are under preparation.

b/ Calculations based on 2018-IDREA. Projection using neutral distribution (2018) with pass-through = 0.7 (Low (0.7)) based on GDP per capita in constant LCU.

c/ Actual data: 2018. Nowcast: 2019-2023. Forecasts are from 2024 to 2026.

BENIN

Table 1 **2023**

Population, million	13.7
GDP, current US\$ billion	19.8
GDP per capita, current US\$	1440.7
International poverty rate (\$2.15) ^a	12.7
Lower middle-income poverty rate (\$3.65) ^a	43.4
Upper middle-income poverty rate (\$6.85) ^a	81.4
Gini index ^a	34.4
School enrollment, primary (% gross) ^b	113.0
Life expectancy at birth, years ^b	60.0
Total GHG emissions (mtCO2e)	26.5

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

Growth remained strong in 2023 and the first quarter of 2024, bolstered by rising industrial and agricultural production, along with resilient services. Inflation has been contained, and the fiscal deficit is expected to continue declining to 3.7 percent of GDP in 2024. Debt is projected to decrease to 51.3 percent of GDP by 2026. The outlook is subject to downside risks, including climate shocks, rising security challenges, and trade uncertainty.

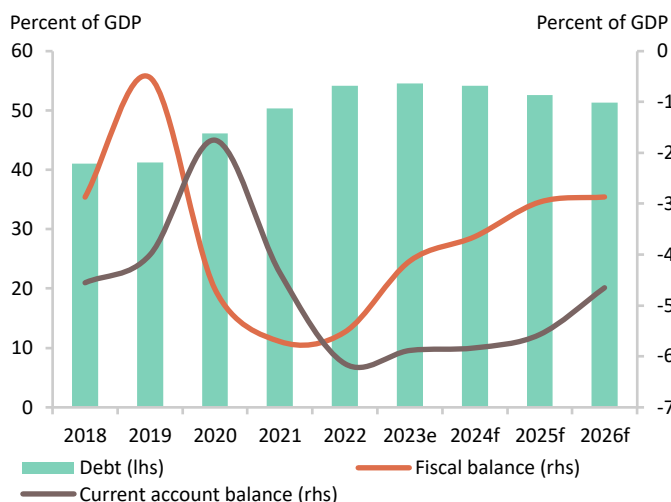
Key conditions and challenges

Benin's macroeconomic performance improved significantly over the last years, supported by a robust track record of reform implementation. Growth has been resilient and inflation has been moderate despite various shocks, including climate, trade disruption, and security challenges. However, sustained growth has not translated into rapid poverty reduction. Benin's elasticity between increases in GDP per capita and decreases in poverty is 0.26 against an average of 1.1 for Sub-Saharan Africa in 2018-2021. While growth has been supported by physical capital accumulation, notably backed by ambitious public investment plans, human capital accumulation remains low and generally below peer countries. The informal sector, representing a significant proportion of the economy (86 percent of companies in 2023), contributes to low total factor productivity, impeding structural transformation. Looking ahead, Benin faces important structural challenges to sustain its development momentum and foster inclusiveness. Continued efforts to improve revenue mobilization and create the necessary fiscal space for critical investments in human capital, infrastructure and buffers against future shocks are particularly relevant.

Recent developments

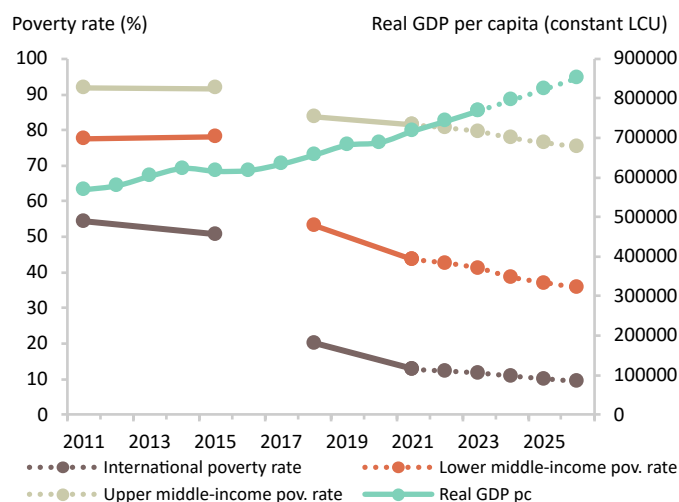
Benin's economy expanded by 6.3 percent year-on-year (y/y) in 2024Q1, from 6.2 percent in 2023Q1. Despite the closure of the border with Niger, the services sector remained strong as growing trade with other partners and tourism-related sub-sectors offset the impact, while buoyant agro-food manufacturing, construction, and agriculture sectors helped sustain a robust growth momentum. Despite shocks and increased pressure on food and energy prices, a good harvest and the appreciation of the CFAF against the Nigerian naira contributed to inflation moderating to 1 percent y/y in July 2024, down from 3.9 percent a year earlier. As a result, the lower middle-income poverty rate (\$3.65 in 2017 PPP) decreased from 41 percent in 2023 to 38.5 percent in 2024. The Central Bank of West African States (BCEAO) has kept its policy interest rates unchanged since December 2023 at 3.5 percent for liquidity calls and 5.5 percent for the marginal lending facility. The WAEMU Inflation rate has been on a downward trend since peaking in 2022 but remains above the 1 to 3 percent WAEMU target band, at 4.4 percent y/y in July 2024, and regional foreign exchange reserves remain low, covering only 3.5 months of import in 2024Q1. Credit to the private sector grew in Benin by 15.8 percent at end-June 2024, and non-performing loans improved to 4.4 percent at end-March 2024, from 6.5 percent at end-March 2023.

FIGURE 1 Benin / Key macroeconomic balances



Source: World Bank.

FIGURE 2 Benin / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

A strong revenue performance helped reduce the fiscal deficit to 4.1 percent of GDP in 2023 and should enable further consolidation to 3.7 in 2024 as revenues rose by 13 percent y/y in the first five months. Despite a 30.6 percent y/y increase in domestically financed investment, due to the execution of the government action plan (PAG2), the overall increase in public expenditure (11.8 percent) remained below the strong revenue increase. Ongoing fiscal consolidation has led to a decline in debt from 54.5 percent of GDP in 2023 to 52.1 percent at end-June 2024. Active debt management, including the issuance of a US\$750 million Eurobond in February 2024, and Liquidity Management Operations improved debt sustainability. The current account deficit (CAD) narrowed to 5.9 percent of GDP in 2023, thanks to higher export revenues and remittances. This trend carried over into 2024Q1, with exports increasing by 35.2 percent y/y, driven by strong cotton and a significant increase in soybean exports. Project and SDG loans along with foreign direct investment (FDI) were the main external financing sources.

Outlook

Growth is projected to stabilize at 6.3 percent in 2024 and remain around 6.4 percent in 2025-2026. The expansion of the construction and agro-food industry sub-sectors driven by increasing agricultural output and the development of the export-driven GDIZ - Glo-Djigbé Industrial Zone, are expected to bolster growth. The expected reopening of the border with Niger and the improvement of customs relations with Nigeria coupled with the modernization of the port of Cotonou, will further support the services sector. On the demand side, strong investment, driven by the completion of infrastructure projects and foreign investment in expansion of the GDIZ will balance the end of investment in the Niger-Benin pipeline and support growth. Rising export crop value added are expected to support growth, while consumption remains strong amid lower inflation. Inflation in Benin is expected to average 1.3 percent, supported by an improved supply of staples and the easing of global food prices.

The regional inflation rate is expected to align with the WAEMU target by 2025, while regional reserves are expected to rise gradually, supported by the resumption of international bond issuances, recovering exports and monetary policy easing in the Euro Area.

With strong revenue performances and contained current expenditures, the fiscal deficit is projected to converge toward the 3 percent WAEMU target. Public debt is expected to reach 51.3 percent of GDP by 2026. As exports rise, the CAD is expected to narrow to 4.6 percent of GDP in 2026. Financing of the CAD will come from FDI, Eurobonds and project loans. Poverty rates are expected to trend downward, with the lower middle-income poverty rate (\$3.65 in 2017 PPP) declining from 38.5 percent in 2024 to 35.6 percent by 2026, supported by strong per capita economic growth.

In a context of rising uncertainties, the risks to the outlook are tilted to the downside. In addition to natural disasters such as floods and droughts, Benin faces increasing security challenges in the north and heightened trade instability. While Benin remains politically stable, political uncertainties remain.

TABLE 2 Benin / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	7.2	6.3	6.4	6.3	6.4	6.3
Private consumption	4.8	5.0	4.0	4.2	3.9	3.9
Government consumption	8.5	3.5	11.4	9.9	8.9	8.0
Gross fixed capital investment	17.8	13.0	12.0	8.3	8.3	7.5
Exports, goods and services	12.6	19.1	6.2	9.6	10.1	10.0
Imports, goods and services	16.8	18.5	8.8	7.6	7.2	6.5
Real GDP growth, at constant factor prices	6.6	6.0	6.3	6.3	6.4	6.3
Agriculture	5.2	4.8	5.1	5.4	5.5	5.5
Industry	9.1	7.9	7.3	8.0	8.1	7.8
Services	6.6	6.0	6.6	6.1	6.4	6.3
Inflation (consumer price index)	1.7	1.4	2.8	1.4	1.3	1.2
Current account balance (% of GDP)	-4.4	-6.1	-5.9	-5.8	-5.6	-4.6
Net foreign direct investment inflow (% of GDP)	1.7	1.9	1.6	1.6	1.6	1.7
Fiscal balance (% of GDP)	-5.7	-5.5	-4.1	-3.7	-3.0	-2.9
Revenues (% of GDP)	14.1	14.3	15.0	15.2	15.7	16.1
Debt (% of GDP)	50.3	54.2	54.5	54.1	52.6	51.3
Primary balance (% of GDP)	-3.5	-3.9	-2.5	-1.9	-1.3	-1.2
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	12.7	12.3	11.7	10.8	10.0	9.2
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	43.4	42.5	41.0	38.5	37.0	35.6
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	81.4	80.5	79.5	77.7	76.4	75.2
GHG emissions growth (mtCO₂e)	-0.4	0.3	-1.7	0.3	1.1	1.7
Energy related GHG emissions (% of total)	30.6	29.7	27.2	26.1	25.6	25.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

BOTSWANA

Table 1 **2023**

Population, million	2.7
GDP, current US\$ billion	19.7
GDP per capita, current US\$	7367.2
International poverty rate (\$2.15) ^a	15.4
Lower middle-income poverty rate (\$3.65) ^a	38.0
Upper middle-income poverty rate (\$6.85) ^a	63.5
Gini index ^a	53.3
School enrollment, primary (% gross) ^b	93.7
Life expectancy at birth, years ^b	65.9
Total GHG emissions (mtCO2e)	61.5

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2015), 2017 PPPs.

b/ WDI for School enrollment (2021); Life expectancy (2022).

Botswana's growth is projected to decline to 1 percent in 2024 from 2.7 in 2023, partly owing to a weak global diamond market. Higher public investment and measures to support households are set to increase the fiscal deficit to 6 percent of GDP. The slowdown highlights the urgent need for structural reforms to diversify the economy, create better jobs, and reduce poverty (14.3 percent at the \$2.15 line) and unemployment (27.6 percent).

Key conditions and challenges

Botswana's past economic success can be attributed to strong governance, prudent economic policies and management of its diamond wealth, and commitment to human capital development. Nonetheless, challenges in diversifying the economy have constrained economic growth and development. The heavy reliance on the diamond industry exposes Botswana to commodity price volatility and fiscal vulnerabilities. A large public-sector footprint inhibits private-sector development and investment, resulting in low export diversification, low job creation, and sluggish productivity growth. Reforms to improve the regulatory and business environment to stimulate firm entry and growth could help reduce the high unemployment rate, particularly among youth, a main driver of the country's high poverty and inequality. The unemployment rate stood at 27.6 percent in 2024Q1, and the poverty rate is projected at 14.3 percent in 2023 using the International Poverty Line (IPL) of US\$2.15 per day (2017 PPP).

High vulnerability to climate change compounds these challenges and calls for priority investments in climate adaptation, and comprehensive strategies on sustainable water management, agricultural resilience, and public health. Botswana has the potential to contribute to the global green transition, including by

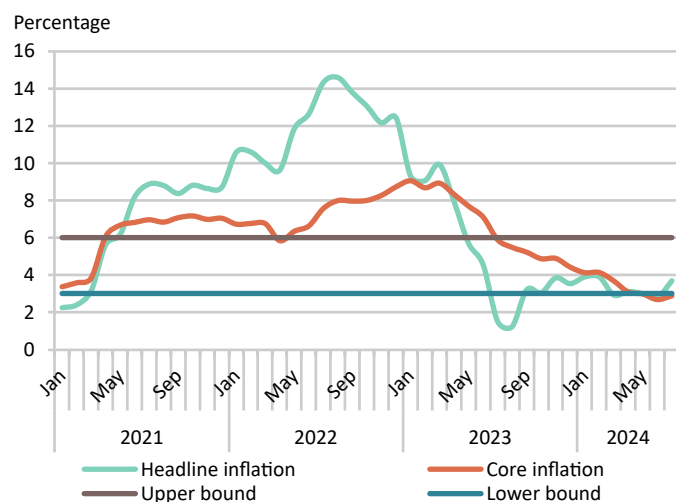
promoting the development of its renewable energy potential.

To mitigate risks associated with fluctuations in diamond prices and ensure stable and inclusive economic growth, Botswana needs to diversify its economy by developing tradable and labor-intensive non-mineral sectors like agriculture and manufacturing. This could be supported by prioritizing high-return projects, improving the quality of public spending, and ensuring prudent fiscal policy to preserve financial buffers. The adoption of policies geared towards enhancing productivity is crucial, including those that develop labor force skills, improve the regulatory framework to facilitate business operations, and enhance the efficiency and accountability of state-owned enterprises.

Recent developments

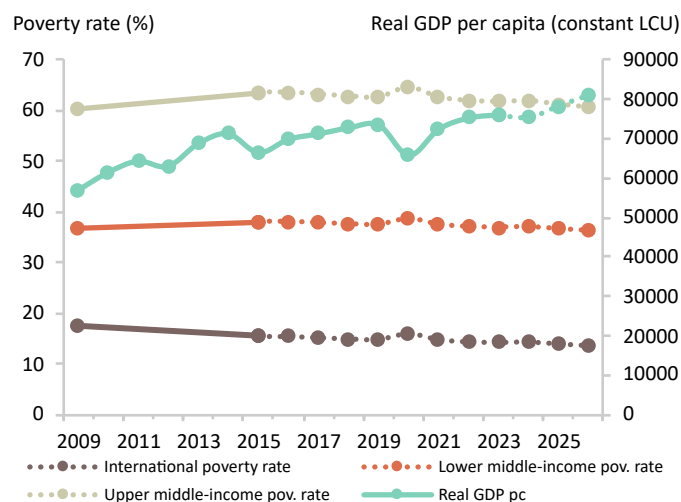
Botswana's economy contracted by 1.8 percent q-o-q in 2024Q1, after a 0.9 percent contraction in 2023Q4. This downturn is primarily attributed to a 24.8 percent decline in mining value added, and to a lesser extent to the 0.7 percent y-o-y contraction in the non-mining private sector. The diamond industry is grappling with significant headwinds caused by oversupply and high inventory levels, largely due to aggressive buying during the post-pandemic recovery phase. Moreover, the industry is faced with pressure from changing consumer preferences and competition from lab-grown diamonds.

FIGURE 1 Botswana / Inflation has receded and remains within the objective range



Source: Statistics Botswana.

FIGURE 2 Botswana / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

Headline inflation has remained within the Central Bank's target range of 3-6 percent, except for March and June when it dipped below the lower bound. In 2024H1, it averaged 3.3 percent, compared with 5.0 in 2023H1. Favorable inflation outcomes and the widening negative output gap have led the Bank of Botswana to reduce the policy rate by a cumulative 75 basis points since December 2023 to 1.9 percent, significantly below the SACU regional average. The fiscal deficit in FY23/24 reached 3.2 percent of GDP, exceeding the planned deficit of 2.6 percent, owing to lower revenues and higher spending. As of 2024Q1, revenues were 19 percent of GDP compared to 31 percent in 2023Q1, mostly due to the decline in diamond revenues. Drought relief measures in FY24/25, including subsidies to farmers and grants to vulnerable groups, are estimated at about 0.5 percent of GDP. Public debt remained stable at 22.7 percent of GDP and the share of domestic debt has increased from pre-pandemic levels of 8.7 percent of GDP in 2019 to 12.2 percent in 2023. While foreign exchange reserves levels are adequate at 8.4 months of imports in 2024H1, the government investment account has been drawn down from P19.1 billion in July 2023

to P4.1 billion in May 2024. The trade balance remained in deficit in 2024H1 mostly due to weak exports.

Outlook

Real GDP growth is projected to decline to 1 percent in 2024 from 2.7 percent in 2023, before recovering to an average of 5.1 percent over the medium term, as the global diamond market recovers. The lower growth rate reflects a slowdown in both mining and non-mining private sector growth. Poverty is expected to remain at 14.3 percent based on the International Poverty Line (IPL) of US\$2.15 per day (2017 PPP). The fiscal deficit in 2024 is projected to widen to 6 percent in FY2024/25, driven by higher goods and services at 2.6 percent in 2023 compared to 6.6 percent in 2024 (5.6 percent of GDP) and capital expenditures (9.9 percent of GDP compared to 7.9 percent in 2023). Consequently, the public debt ratio is projected to rise to 24.5 percent of GDP. Inflation is projected to remain within the Central Bank objective range of 3 to 6 percent. The current account is expected to

weaken to a deficit of 2 percent of GDP in 2024 on account of weaker terms of trade and lower global demand for diamonds, and then improve to record a 1.4 percent surplus in 2025 as the global demand for diamonds rebounds.

The outlook remains uncertain and depends heavily on the path of the diamond market. The pending divestment of the diamond company De Beers by its majority shareholder could bring uncertainties to the industry and its supply chain. Climate shocks, especially droughts, continue to pose a threat to agriculture and tourism. Supply disruptions and global demand fluctuations could intensify commodity price volatility. Inflation risks are tilted to the upside, as commodity price volatility could lead to price and real sector volatility, budgetary pressures, and cost of living increases. Delays in planned fiscal consolidation could further erode fiscal and external buffers, increasing Botswana's vulnerability to external shocks. The slowdown in 2024 is yet another important reminder of the limitations of Botswana's growth model and the need for implementation of structural reforms crucial to private sector development, economic diversification, and the achievement of development goals.

TABLE 2 Botswana / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	11.8	5.6	2.7	1.0	5.3	4.9
Private consumption	2.4	3.0	5.6	3.4	2.8	2.2
Government consumption	4.0	2.5	4.0	3.2	3.0	2.7
Gross fixed capital investment	-0.3	0.3	4.2	3.0	2.6	2.3
Exports, goods and services	31.7	-5.4	-13.8	18.7	10.8	10.2
Imports, goods and services	2.3	-11.7	-7.4	3.6	5.6	5.2
Real GDP growth, at constant factor prices	11.9	5.9	2.7	1.0	5.3	4.9
Agriculture	-1.0	1.2	1.3	1.2	1.6	1.4
Industry	19.3	7.7	2.3	3.0	4.6	4.7
Services	8.1	5.0	3.0	-0.3	5.9	5.1
Inflation (consumer price index)	6.7	12.2	5.1	3.0	4.5	4.5
Current account balance (% of GDP)	-1.8	-1.2	-0.6	-2.0	1.4	1.1
Net foreign direct investment inflow (% of GDP)	-5.6	2.9	3.4	0.9	0.5	0.5
Fiscal balance (% of GDP)^a	0.0	0.0	-3.2	-6.0	-1.6	-0.6
Revenues (% of GDP)	31.9	28.6	28.0	28.1	28.3	28.0
Debt (% of GDP)^b	22.4	20.6	22.7	24.5	22.7	22.3
Primary balance (% of GDP)^a	0.5	0.6	-2.3	-5.0	-1.3	0.0
International poverty rate (\$2.15 in 2017 PPP)^{c,d}	14.8	14.4	14.3	14.3	13.9	13.6
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{c,d}	37.5	37.0	36.9	37.0	36.6	36.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{c,d}	62.6	61.9	61.7	61.8	61.2	60.6
GHG emissions growth (mtCO2e)	16.8	-0.2	-1.1	-3.6	0.8	1.7
Energy related GHG emissions (% of total)	10.4	10.5	10.3	10.4	10.5	10.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Fiscal balances are reported in fiscal years (April 1st -March 31st).

b/ Refers to Public and Publicly Guaranteed debt.

c/ Calculations based on 2009-CWIS and 2015-BMTHS. Actual data: 2015/16. Nowcast: 2017-2023. Forecasts are from 2024 to 2026.

d/ Projection for \$2.15 poverty uses annualized elasticity (2009-2015) with pass-through = 0.87 based on GDP per capita in constant LCU. Higher poverty lines use regional elasticity.

BURKINA FASO

Table 1 **2023**

Population, million	23.3
GDP, current US\$ billion	20.9
GDP per capita, current US\$	898.3
International poverty rate (\$2.15) ^a	25.3
Lower middle-income poverty rate (\$3.65) ^a	60.7
Upper middle-income poverty rate (\$6.85) ^a	88.1
Gini index ^a	37.4
School enrollment, primary (% gross) ^b	82.4
Life expectancy at birth, years ^b	59.8
Total GHG emissions (mtCO2e)	64.0

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

GDP growth is projected to increase to 3.7 percent in 2024 (1.1 percent per capita), from 3.0 percent in 2023, supported by services and agriculture. Inflation is projected to increase to 3.4 percent. The extreme poverty rate remains unchanged at 26.5 percent. Downside risks to the outlook relate to the political transition, rising insecurity, impacts of the Economic Community of West African States (ECOWAS) withdrawal, climate shocks, and high borrowing costs limiting fiscal space for priority spending.

Key conditions and challenges

Insecurity and political instability remain the primary obstacles to sustained economic growth. The regime changes of 2022 have led to a significant decline in international development funding and private sector investment. The security-related disruptions of industrial gold mining activities, which in 2023 represented 77 percent of exports, 16 percent of GDP, and 22 percent of government revenue, have had economic repercussions. Additionally, the displacement of communities has undermined productivity in agriculture, a sector already susceptible to climate shocks. The number of recorded security-related fatalities was 6,044 between January and August, compared to 5,931 in the same period of 2023.

On January 28, 2024, Burkina Faso, Mali, and Niger issued a joint communiqué announcing their 'immediate' withdrawal from ECOWAS. According to the revised ECOWAS Treaty, a notification period of one year is required to leave ECOWAS. The three countries remain members of WAEMU. Subsequently, on July 6, 2024, the three countries signed the Treaty establishing the Confederation of Sahel States. These events have contributed to heightened political and policy uncertainty. Moreover, the transitional government under President Captain Traoré was extended by five years, starting on July 2, 2024.

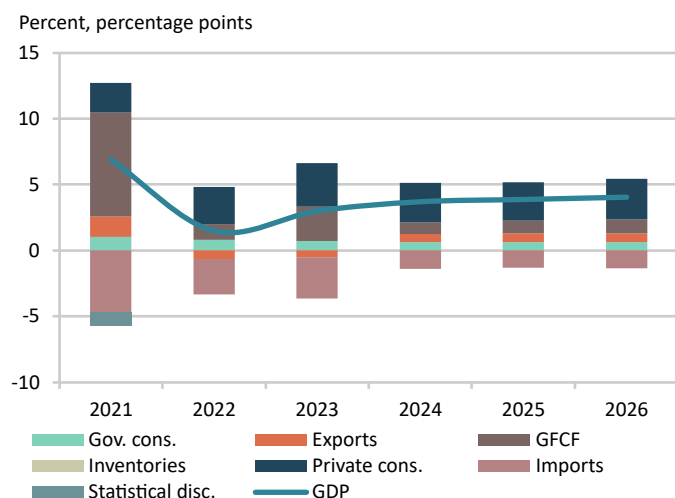
Recent developments

GDP growth accelerated in Q1 2024 (+4.0 percent y/y) and is expected to reach 3.7 percent in 2024 (1.1 percent per capita). The agricultural sector is expected to grow above average (+4.2 percent), especially in cereal crops. The industrial sector is projected to recover (+2.8 percent) but insecurity continues to disrupt mining. Services are expected to remain robust (+4.0 percent), driven by public administration, trade, and repair services. Consumption and private investment will drive growth, while net exports will contribute negatively. The current account deficit is expected to decline from an estimated 8.0 percent of GDP to around 6 percent in 2024 as mining exports benefit from a sharp rise in gold prices.

After a significant reduction in headline inflation in 2023 to 0.7 percent, inflation surged to a 12-month high of 5.7 percent y/y in August 2024. Food prices rose sharply (10.6 percent y/y) due to security and logistical supply constraints and price speculation given irregular rainfall in August. With a delayed start of the agricultural season, annual average inflation is projected at 3.4 percent in 2024.

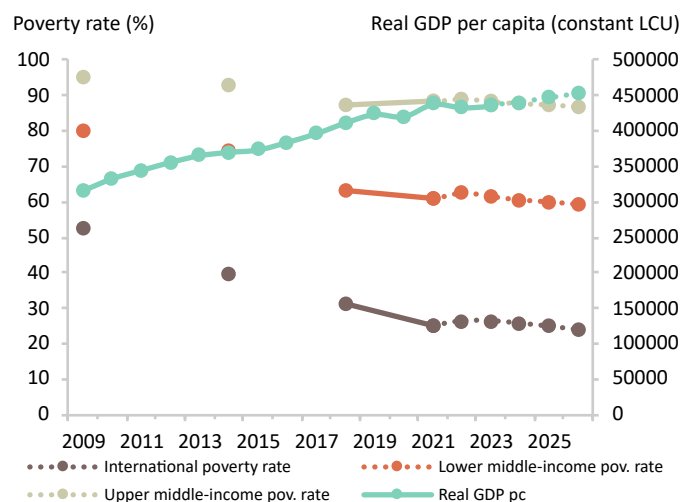
The Central Bank of West African States (BCEAO) has kept its policy interest rates unchanged since December 2023 at 3.5 percent for liquidity calls and 5.5 percent for the marginal lending facility. The WAEMU inflation rate has been on a downward trend since peaking in 2022 but is currently above the 1 to 3 percent

FIGURE 1 Burkina Faso / Real GDP growth and contributions to real GDP growth



Source: World Bank.

FIGURE 2 Burkina Faso / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

WAEMU target, at 4.4 percent y/y in July 2024, and regional foreign exchange reserves remain low, covering only 3.5 months of import in Q1 2024.

After increases in 2021 and 2022 due primarily to high food price inflation, extreme poverty has remained unchanged at over 26 percent since 2022. Urban areas saw a small decrease in poverty in 2024, driven by moderate growth in industry and services sectors. The humanitarian situation remains dire, with over 2 million internally displaced persons, and an estimated 2.7 million people (11.9 percent of the population) facing severe food insecurity between June and August 2024.

The fiscal deficit for 2024 is projected to decline to 5.9 percent of GDP, underpinned by a rise in non-tax revenues and a substantial reduction in capital expenditures. The fiscal deficit will predominantly be financed through domestic borrowing from the regional market, where Burkina has faced a significant surge in interest rates exceeding 9 percent for 12-month bills. Consequently, public debt is anticipated to rise to 54.2 percent of GDP by end 2024.

Outlook

If the security situation remains unchanged, and assuming an orderly ECOWAS withdrawal that limits negative impacts to lower trade with non-WAEMU ECOWAS states, growth could settle at its new potential of around 4.0 percent (1.5 percent per capita) over 2025-26. Mining production is expected to recover with the opening of new mines in 2025, and agricultural and service sector growth are anticipated to remain robust but lower than pre-conflict levels.

Despite the government's fiscal consolidation efforts, the WAEMU ceiling of 3 percent of GDP will likely not be reached within the next 2-3 years, and public debt as a share of GDP is anticipated to increase until 2026.

The regional inflation rate is expected to align with the WAEMU target by 2025, while regional reserves are expected to rise gradually, supported by the resumption of international bond issuances, recovering exports, and monetary policy easing in the Euro Area.

Extreme poverty is expected to decrease slightly over the medium term, by approximately 1 percentage point per year, with the number of extreme poor remaining above 6 million. Accelerating poverty reduction will require higher growth per capita, particularly in agriculture, which employs 71 percent of the poor.

The economic outlook is subject to significant downside risks, including a deterioration in the security situation, political instability, climatic shocks, commodity price volatility, and regional fragmentation. An ECOWAS withdrawal that has gaps in agreements could lead to larger disruptions in the free movement of goods, services, capital, and labor and could have spillover effects onto trade in the WAEMU zone. However, if new trade opportunities are realized, these negative impacts could be mitigated. Burkina Faso may also continue to face elevated borrowing costs, which could reduce development expenditures, amid increasing demands for defense and security spending. The revised Mining Code could boost revenues but may face implementation challenges.

TABLE 2 Burkina Faso / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	6.9	1.5	3.0	3.7	3.9	4.1
Private consumption	3.4	4.4	5.0	4.4	4.3	4.5
Government consumption	6.6	5.2	4.5	3.7	3.8	3.7
Gross fixed capital investment	34.8	4.2	8.9	2.9	3.1	3.4
Exports, goods and services	6.5	-2.8	-2.2	3.0	3.1	3.3
Imports, goods and services	15.5	8.2	9.0	3.8	3.5	3.7
Real GDP growth, at constant factor prices	6.9	1.5	3.0	3.7	3.9	4.1
Agriculture	-4.1	5.7	1.1	4.2	4.3	4.4
Industry	11.0	-7.8	2.2	2.8	3.1	3.3
Services	10.3	5.2	4.3	4.0	4.1	4.3
Inflation (consumer price index)	3.9	14.1	0.7	3.4	2.5	2.3
Current account balance (% of GDP)	0.4	-7.2	-8.0	-6.2	-6.0	-5.8
Net foreign direct investment inflow (% of GDP)	0.5	0.3	0.3	0.4	0.4	0.4
Fiscal balance (% of GDP)	-7.5	-10.3	-6.5	-5.9	-5.3	-4.8
Revenues (% of GDP)	20.3	20.9	21.3	20.8	21.3	21.5
Debt (% of GDP)	55.4	56.4	53.4	54.2	54.8	55.2
Primary balance (% of GDP)	-5.8	-8.5	-4.2	-3.3	-2.7	-2.2
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	25.3	26.5	26.5	25.8	25.1	24.2
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	60.7	62.6	61.5	60.5	60.0	59.2
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	88.1	89.0	88.2	87.6	87.3	86.8
GHG emissions growth (mtCO₂e)	2.5	3.7	4.1	4.3	4.3	4.2
Energy related GHG emissions (% of total)	10.9	11.2	11.5	11.9	12.3	12.7

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

BURUNDI

Table 1 **2023**

Population, million	13.2
GDP, current US\$ billion	3.5
GDP per capita, current US\$	267.3
International poverty rate (\$2.15) ^a	62.1
Lower middle-income poverty rate (\$3.65) ^a	86.2
Gini index ^a	37.5
School enrollment, primary (% gross) ^b	103.9
Life expectancy at birth, years ^b	62.0
Total GHG emissions (mtCO2e)	8.1

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2020), 2017 PPPs.

b/ Most recent WDI value (2022).

Growth rebounded to 2.7 percent in 2023, driven by robust agricultural output, but momentum weakened in 2024, with real growth projected at 2.2 percent, due to persistent fuel shortages, power supply disruptions, and climatic shocks. Poverty reduction has remained elusive, constrained by insufficient growth relative to demographic expansion and, more recently, sustained high inflation. The medium-term outlook is clouded by considerable risks, particularly regarding the timeline for exchange rate unification and regional instability.

Key conditions and challenges

Burundi's economy remains in a cycle of fragility, marked by entrenched poverty and ongoing challenges such as political instability, rapid population growth, and environmental degradation. The economy is heavily dependent on agriculture, which employs over 85 percent of the workforce but contributes only 40 percent to GDP, largely through low-productivity subsistence farming. Export crops are limited to coffee and tea. Industrial activity is minimal, accounting for 17 percent of GDP. Efforts to develop the country's significant deposits of minerals essential for the energy transition are stymied by poor logistics and infrastructure. Structural imbalances persist, with low export-to-import coverage (30 percent in 2023 vs. 55 percent average in Sub-Saharan Africa), while environmental degradation is further hampering agricultural productivity. Insufficient resources and infrastructure fall short of meeting the demands of a growing population, thereby obstructing sustainable development.

Burundi's recent economic history has been significantly impacted by the political crisis of 2015, leading to persistent macroeconomic imbalances. These include high fiscal and current account deficits (CAD), limited external financing, a growing gap between official and parallel exchange rates, and fiscal dominance over monetary policy. The situation is

further worsened by rising domestic debt and insufficient investment in infrastructure and human capital.

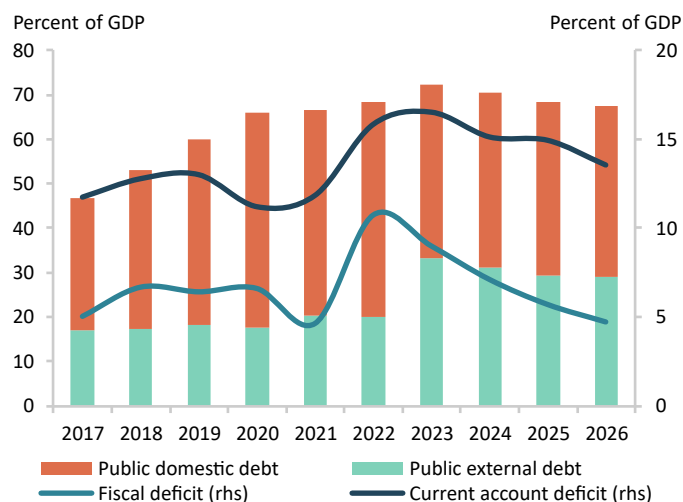
Poverty is widespread and elevated. As of 2023, poverty affects an estimated 62 percent of the population (at \$2.15 per capita/day in 2017 PPP). The provision of basic public services does not meet the population's needs, with only 48 percent of adolescents enrolled in secondary school and 30 percent of girls out of school. Chronic malnutrition is widespread, with 55.8 percent of children under five affected by stunting, a figure likely worsened by recent food inflation and food insecurity.

Reforms focused on sustaining public finances, enhancing the allocation and effectiveness of public expenditures, eliminating exchange rate market distortions, revitalizing the private sector, attracting foreign direct investment, and fostering growth in mining, digital, and agro-industrial sectors will be crucial for placing the country on a sustainable development path.

Recent developments

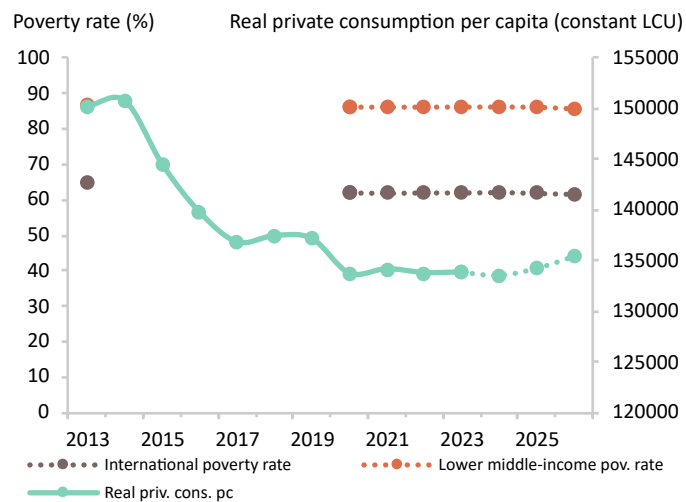
Growth accelerated to 2.7 percent in 2023, up from 1.8 percent in 2022, driven by favorable rainfall and robust investment. Industry and services felt the pinch of fuel shortages and flaring premiums on the forex parallel market. On the demand side, growth was underpinned by government and private sector spending. Inflation averaged 27.1 percent, driven by surges in food and fuel prices. By December, it fell to 17.8 percent, with food inflation dropping

FIGURE 1 Burundi / Public debt, fiscal and current account deficits



Sources: Official statistics and World Bank staff calculations.

FIGURE 2 Burundi / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

to 23.1 percent from 39.8 percent, supported by improved rainfall.

The fiscal deficit narrowed to 9.0 percent of GDP in 2023, down from 10.7 percent in 2022, due to reduced non-recurring expenditures and a modest revenue increase. The deficit has been largely financed through domestic short-term, high-interest loans from commercial banks and Central Bank advances. Subsequently, public debt climbed to 72.4 percent of GDP from 68.4 percent in 2022. The CAD remains high, at 16.6 percent, influenced by soaring oil prices and sluggish exports, mainly due to delayed mining contract negotiations and under-performance in the coffee and tea sectors.

By August 2024, Burundi's gross international reserves covered 1.2 months of imports, down from 1.6 months in August 2022. The foreign exchange rate premium surged to 142.3 percent in September 2024, up from 51.6 percent a year earlier. Inflation remained elevated at 18.6 percent year-on-year in August 2024, though down from 27.5 percent in August 2023, driven by higher food and transport costs, and increased import costs due to higher exchange rate premiums. Inflation disproportionately affects the poor, who tend to spend a larger income share on food, potentially deepening poverty and adversely impacting human capital as households

cope by reducing meals, liquidating assets, or resorting to child labor.

Outlook

Growth is projected to slow to 2.2 percent in 2024, driven by persistent fuel shortages since March 2024, escalating premiums in the foreign exchange parallel market, and continued high inflation. Over the medium term, growth is projected to average 3.9 percent in 2025-26, driven by agriculture, mining, and government spending. Favorable rainfall, improved power generation, and eased foreign exchange restrictions will support a rebound in services and industry. In 2024, inflation is projected to moderate to 22.8 percent, owing to the positive effects of easing food prices, supported by favorable rainfall and restrictions on cereals exports to neighboring countries. The fiscal deficit is expected to decline to 7.1 percent of GDP in 2024, driven by cuts in capital and current spending, alongside improved domestic revenue collection. Fiscal deficit is anticipated to decline further to 4.7 percent by 2026, owing to tax administration digitization and phased reductions in non-essential spending. Public debt is projected to remain elevated, decreasing slightly to 70.6 percent of GDP

in 2024. Debt is expected to decrease further, reaching 67.4 percent of GDP in 2026. The CAD is projected to moderate to 15.9 percent of GDP in 2024 and ease further to 13.6 percent by 2026, driven by the resumption of mining exports and the positive impact of forex reforms.

Burundi's economic growth is insufficient compared to its demographic expansion, with the population projected to double by 2050, resulting in stagnating per capita GDP levels. Given the current trends, poverty is projected to remain high and stable, at nearly 62 percent in 2024-26. Structural reforms are crucial to expanding the private non-farm sector and enhancing agricultural productivity.

Reducing the misalignment between official and parallel exchange rates, alongside growth-enabling macro-structural reforms, could stabilize fuel supply, boost exports, and attract foreign investment, thereby strengthening external and fiscal accounts. However, agricultural setbacks due to adverse weather conditions or a prolonged closure of the Rwanda border could undermine growth prospects. Furthermore, failure to consolidate fiscal accounts could heighten fiscal risks and external vulnerabilities. A disruption to the IMF program might restrict access to concessional financing and aid, further deteriorating external and fiscal accounts.

TABLE 2 Burundi / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.1	1.8	2.7	2.2	3.5	4.2
Private consumption	3.0	2.4	2.7	2.4	3.2	3.5
Government consumption	2.9	5.9	5.4	3.2	5.2	4.6
Gross fixed capital investment	3.9	4.0	8.1	7.3	9.2	12.3
Exports, goods and services	3.4	5.8	7.8	7.8	10.8	13.2
Imports, goods and services	3.2	7.0	7.0	5.7	7.0	7.3
Real GDP growth, at constant factor prices	3.1	1.8	2.7	2.2	3.5	4.2
Agriculture	3.4	-0.8	2.8	3.1	3.9	4.2
Industry	3.0	3.2	2.7	1.2	2.9	4.1
Services	2.9	3.1	2.6	2.0	3.4	4.2
Inflation (consumer price index)	8.3	18.8	27.1	22.8	20.4	16.2
Current account balance (% of GDP)	-11.9	-15.9	-16.6	-15.2	-15.0	-13.6
Net foreign direct investment inflow (% of GDP)	0.3	0.3	0.0	-0.1	-0.1	-0.1
Fiscal balance (% of GDP)	-4.6	-10.7	-9.0	-7.1	-5.7	-4.7
Revenues (% of GDP)	23.8	22.8	24.9	25.8	26.9	27.6
Debt (% of GDP)	66.6	68.4	72.4	70.6	68.4	67.4
Primary balance (% of GDP)	-1.6	-8.2	-6.7	-4.4	-2.9	-2.1
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	61.9	62.1	62.0	62.2	61.9	61.6
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	86.1	86.2	86.2	86.2	86.1	85.8
GHG emissions growth (mtCO₂e)	3.5	2.9	2.9	2.8	2.7	2.5
Energy related GHG emissions (% of total)	10.1	10.0	10.0	9.9	9.9	9.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2020-EICVMB. Actual data: 2020. Nowcast: 2021-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2020) with pass-through = 0.87 (Med (0.87)) based on private consumption per capita in constant LCU.

CABO VERDE

Table 1 **2023**

Population, million	0.5
GDP, current US\$ billion	2.6
GDP per capita, current US\$	5083.2
International poverty rate (\$2.15) ^a	4.6
Lower middle-income poverty rate (\$3.65) ^a	19.3
Upper middle-income poverty rate (\$6.85) ^a	50.9
Gini index ^a	42.4
School enrollment, primary (% gross) ^b	96.4
Life expectancy at birth, years ^b	74.7
Total GHG emissions (mtCO2e)	0.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2015), 2017 PPPs.

b/ WDI for School enrollment (2021); Life expectancy (2022).

Cabo Verde is rebounding well from global shocks, buoyed by strong tourism performance. Growth is projected to reach 5.2 percent in 2024 and, along with moderating inflation, will contribute to reducing poverty (US\$3.65 per-person per-day-2017 PPP) to 14.0 percent. Strong revenue collection is supporting fiscal consolidation, but debt servicing pressures continue. Potential global price spikes, weakened tourism demand, and limited progress with SOE reforms pose downside risks to the outlook.

Key conditions and challenges

Cabo Verde has made remarkable economic and social progress since independence, but growth has slowed in the last decade and this small open economy was one of the hardest-hit by the COVID pandemic. The archipelago faces challenges in terms of connectivity and infrastructure development, translating into high costs of services, including electricity. Economic growth—driven by tourism, remittances, and foreign direct investment (FDI)—has been robust but increasingly volatile over the last decade—falling from an average of 7.5 percent in the 2000s to 2.8 in the 2010s. A heavy reliance on the all-inclusive tourism model, strong state presence in the economy, and limited linkages between FDI-benefiting sectors and the rest of the economy has led to limited value addition. The pandemic, soaring commodity prices, and local drought, have underscored vulnerabilities and accentuated debt risks, including the dominance of the tourism sector, the absence of buffers to shocks, and poor performing state-owned enterprises (SOEs). Fiscal and structural reforms are needed to build buffers against external economic and climate-related shocks; increase private sector productivity to benefit from the thriving tourism sector; and reduce internal transport costs and market fragmentation, thus sustaining higher growth.

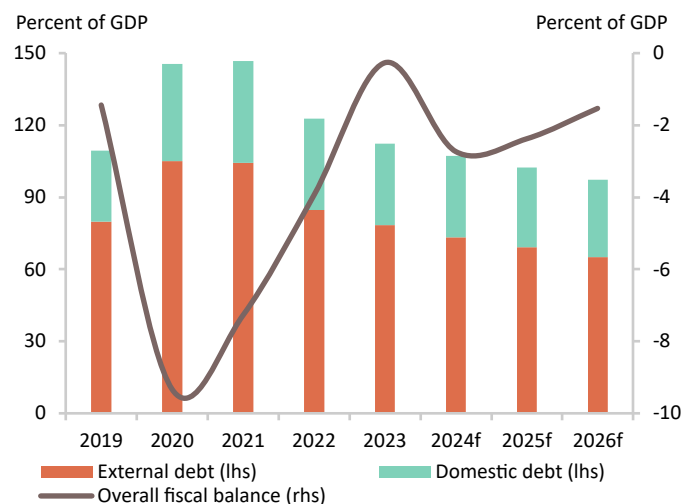
Recent developments

The economy is emerging well from recent shocks with tourism playing a key role. Growth reached 5.1 percent in 2023, with a record-high 1 million tourist arrivals allowing accommodation and transport to contribute 3 percentage points (pp) of growth. On the demand side, private consumption and exports remain drivers of growth—while investments lag pre-pandemic levels. Strong growth in the services sector and lower inflation contributed to a 0.5pp reduction in poverty (US\$3.65 per-person per-day-2017 PPP) to reach 15.0 percent in 2023. Unemployment fell to 10.3 percent—below pre-pandemic levels.

The momentum has continued in 2024: strong activity in services and a positive contribution from agriculture after years of drought drove GDP growth of 10.2 percent in Q1 (y/y). Business surveys show improved economic confidence, particularly in tourism, commerce and construction sectors. Inflationary pressures are subsiding in line with global food and energy prices. Headline inflation averaged 1.3 percent in July 2024 (y/y), having improved considerably in 2023 (3.7 percent, from 7.9 percent in 2022). Food inflation, a quarter of the CPI basket, averaged 3.3 percent. Price stability has allowed for monetary policy tightening in attempts to mitigate capital flight and safeguard the peg.

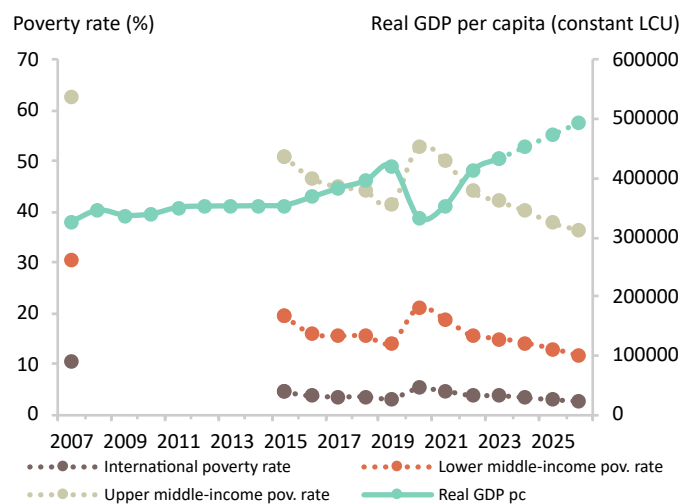
Increased tourism receipts and slower growth in goods imports reduced the

FIGURE 1 Cabo Verde / Debt composition and fiscal balance



Sources: Government of Cabo Verde and World Bank estimates.

FIGURE 2 Cabo Verde / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

current account deficit (CAD) to 2.5 percent of GDP in 2023 (3.4 percent in 2022). While exports have been strong in H1-2024, imports show signs of picking up—particularly for capital goods—reflecting easing inflation and tourism investments. FDI and concessional loans remain the primary sources of financing, and reserves—above 5 months of import cover—are adequate to support the currency peg.

Fiscal consolidation remains a priority and is supported by strong revenue performance. Cabo Verde recorded a 20-year high primary surplus of 2 percent in 2023, although the overall deficit shrank to 0.3 percent (3.9 percent in 2022). As such, public debt narrowed by 10pp to 112.2 percent of GDP. Revenue performance remained strong in H1-2024—up 8 percent y/y. Spending has been modest but is expected to pick up as implementation of public investments accelerates in H2-2024. Debt servicing pressures are mounting, in part, reflecting increased domestic borrowing due to the pandemic. Financing needs will continue to be supported through concessional external borrowing and use of longer-term domestic bonds.

Outlook

Output is set to expand by 5.2 percent in 2024, with the entry of low-cost international air travel further supporting growth in tourism and a positive, albeit very modest, contribution from agriculture. Over the medium-term, growth will be supported by the implementation of structural reforms aimed at improving public sector efficiency and crowding in private investment. Inflation is expected to decline further in 2024 and converge to around 2 percent over the medium-term—ensuring price stability. Easing inflation, together with activity in services and industry sectors, is expected to result in poverty finally declining to reach the pre-pandemic level of 14.0 percent by end 2024. This trend is set to continue in the medium-term, with poverty falling to 13.0 percent in 2025 and 11.6 percent by 2026.

The CAD will widen this year and peak at 4.1 percent of GDP by 2025, as exports gradually stabilize, and imports accelerate, in line with the implementation of the PIP

and ongoing investments in the tourism sector. Reserves are set to remain at above 5 months of prospective imports, enough to support the currency peg.

Improved execution of the investment budget, coupled with adjustments to public servants' wages, will contribute to widening the overall deficit to 2.7 percent of GDP. This is despite strong revenue collection due to improved tax administration, broadening of the tax base, as well as proceeds from ongoing privatization processes for SOEs. These developments, along with efforts to contain current expenditure could reduce the fiscal deficit to 1.5 percent of GDP by 2026 and bring public debt to about 97.3 percent of GDP. Accelerated restructuring of key SOEs and prudent management of contingent liabilities remains central to this trend.

The outlook is subject to downside risks, including potential commodity price spikes due to geopolitical tensions, weaker external demand in tourism markets and limited progress with the SOE reform agenda, which could undermine the fiscal consolidation and weaken growth. Climate-related shocks remain a concern, given the country's high vulnerability.

TABLE 2 Cabo Verde / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	7.0	17.4	5.1	5.2	4.9	4.8
Private consumption	10.1	13.7	7.7	6.0	5.5	5.4
Government consumption	10.0	-6.9	1.3	8.1	1.7	0.4
Gross fixed capital investment	2.4	-17.1	-27.9	2.1	6.5	6.3
Exports, goods and services	-2.9	89.8	4.5	10.8	6.1	5.7
Imports, goods and services	5.4	14.4	-8.0	11.0	6.0	5.2
Real GDP growth, at constant factor prices	7.0	16.1	5.2	5.1	4.9	4.8
Agriculture	-7.0	-13.4	-7.1	5.8	5.7	5.7
Industry	0.4	8.0	1.2	2.9	3.0	3.2
Services	9.5	19.7	6.6	5.4	5.1	5.0
Inflation (consumer price index)	1.9	7.9	3.7	1.6	2.0	2.0
Current account balance (% of GDP)	-12.1	-3.4	-2.5	-3.5	-4.1	-3.9
Net foreign direct investment inflow (% of GDP)	4.5	4.8	5.8	4.8	4.6	4.4
Fiscal balance (% of GDP)	-7.3	-3.9	-0.3	-2.7	-2.4	-1.5
Revenues (% of GDP)	23.5	22.0	24.6	26.5	25.1	24.3
Debt (% of GDP)	146.8	122.8	112.2	107.1	102.4	97.3
Primary balance (% of GDP)	-5.0	-1.7	2.0	-0.5	-0.2	0.7
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	4.8	3.8	3.8	3.3	2.9	2.7
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	18.7	15.5	15.0	14.0	13.0	11.6
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	50.1	44.1	42.2	40.3	38.0	36.6
GHG emissions growth (mtCO₂e)	2.3	0.6	4.3	4.0	4.3	4.4
Energy related GHG emissions (% of total)	82.6	83.7	83.8	84.1	84.3	84.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2015-IDRF. Actual data: 2015. Nowcast: 2016-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

CAMEROON

Table 1 **2023**

Population, million	28.6
GDP, current US\$ billion	47.7
GDP per capita, current US\$	1663.5
International poverty rate (\$2.15) ^a	23.0
Lower middle-income poverty rate (\$3.65) ^a	46.7
Upper middle-income poverty rate (\$6.85) ^a	76.0
Gini index ^a	42.2
School enrollment, primary (% gross) ^b	110.7
Life expectancy at birth, years ^b	61.0
Total GHG emissions (mtCO2e)	128.3

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

Cameroon's economic growth shows signs of recovery after its slowdown in 2023. However, the growth rate remains below the target set out in the Nation's development strategy (NDS30), implying limited poverty reduction and persistent scarcity of job opportunities. Sustained fiscal consolidation should keep the deficit at 0.8 percent of GDP in 2024 and support a further fall in public debt-to-GDP ratio. While growth prospects are more favorable, risks remain, including the upcoming presidential elections and commodity price volatility.

Key conditions and challenges

Cameroon's economy has shown resilience in the face of external shocks, but multiple structural weaknesses prevent it from reaching its potential. The overlapping crises between 2020 and 2023 resulted in average annual GDP growth of only 2.6 percent, far below the NDS30 targets, and stagnant per capita incomes. Growth is further hampered by poor quality of infrastructure, especially electricity, roads, and limited internet connectivity. Other factors include underdevelopment of the financial system and heavy dependence on commodity exports. The growing effects of climate change and fragility remain challenges to stronger growth and poverty reduction. Cameroon needs a major rethink of its growth model, placing stronger emphasis on private sector participation, redefining the role of the state in the economy, and addressing low labor productivity.

Poverty rates have remained virtually unchanged since 2001. Combined with rapid population growth, this has resulted in a significant increase in the absolute number of extreme poor Cameroonians, surpassing 6.6 million in 2023. Inequality in Cameroon remains high, with a consumption Gini coefficient of 42.2, indicating significant disparities in living standards between regions, as well as urban and rural areas. Furthermore, fragility is increasing, as nine out of Cameroon's ten

regions are now affected by conflict, including spillovers from neighboring countries.

Recent developments

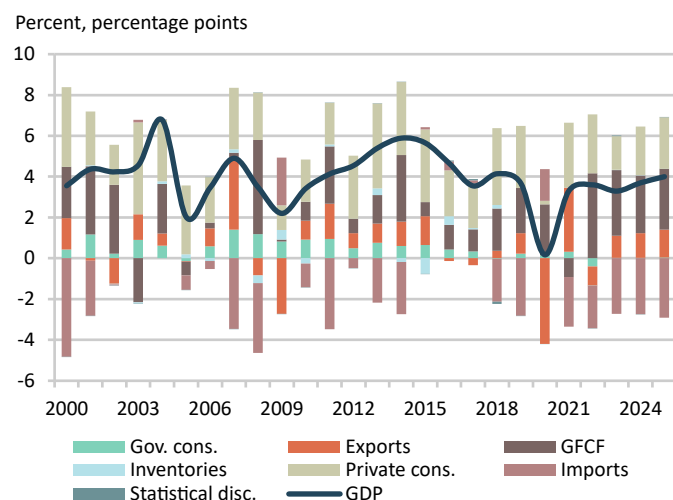
Cameroon's economic recovery slowed down in 2023, with real GDP expanding by only 3.3 percent, down from 3.6 percent in 2022, due to the decline in transportation activities following high input costs in this sector, and the depletion of oil fields and energy supply shortages in the industry sector. A rebound occurred in the first quarter of 2024 with real GDP growing by 3.7 percent y-o-y, fostered by good performance of services and export-oriented agricultural production thanks to improved yields and higher prices in international markets.

The current account deficit increased to 4.1 percent of GDP in 2023 from 3.6 percent in 2022, mainly driven by the continuous decline in oil production and exports. The deficit remained at a high level for the same reason in the first quarter of 2024, at 4.7 percent of GDP, up from 3.1 percent in the previous quarter.

Average inflation has declined to 5.7 percent as of the end of June 2024 from 7.7 percent one year ago, tempered by the restrictive monetary policy stance of the regional central bank (BEAC), easing foreign inflation and government price control measures, despite the rise in pump prices in February 2024.

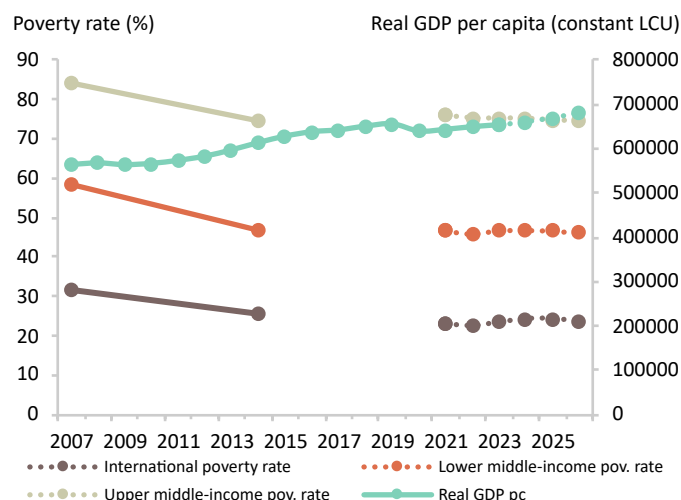
The fiscal deficit continued to decline in 2023 to 0.8 percent of GDP, down from 1.1 percent in 2022, supported by reduced

FIGURE 1 Cameroon / Real GDP growth and contributions to real GDP growth



Source: World Bank.

FIGURE 2 Cameroon / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

fuel subsidies and capital spending and significantly improved tax collection. Public debt fell from 44.6 percent of GDP to 42.0 between December 2023 and June 2024. Cameroon's public debt is deemed sustainable, even though with a high risk of debt distress due to liquidity ratios breaching the thresholds.

To address the inflationary effects of these measures, tax breaks have been offered to sectors like agriculture, and the minimum wage and public sector salaries have been raised. However, considering the substantial number of poor and vulnerable Cameroonians working in the informal sector, it is expected that these measures will have minimal impact on poverty reduction.

Outlook

The medium-term outlook is moderately positive, with real GDP growth projected to 3.7 percent in 2024 and slightly above

four percent in 2025 and 2026. This is driven by the following factors that should have a knock-on effect on other economic sectors: (i) an improved energy supply from the full commissioning of the Nachtigal hydroelectric dam which represents one-third of the current energy supply, and (ii) scaled-up public investment, especially in infrastructure, with the aim to reach 7.0 percent of GDP by 2027 from 3.9 percent in 2023.

Higher public revenues will support scaled-up public investment, while the fiscal deficit would remain at 0.8 percent of GDP in 2024, and around 1 percent of GDP in the medium term, allowing the debt-to-GDP ratio to decrease. While public investment in infrastructure projects under the NDS30 is projected to increase, improvements in the fiscal accounts in 2024 will be pursued through higher tax revenue collection and a better control of current expenditures, especially fuel subsidies that are expected to decline following an increase in pump price in February 2024.

Average inflation will continue to decline from 4.7 percent in 2024 to 3.0 percent in 2026, under the effects of BEAC's restrictive monetary policy stance.

The current account deficit will remain over the medium term at around 4.0 percent of GDP, reflecting the decline in oil production driven by oil field depletion, and the higher imports needed for the scaled-up public investment program.

Real per capita growth is forecasted to be insufficient to reduce poverty over the next three years and consequently, an additional 600,000 people will join the ranks of the population living in extreme poverty which, by 2026, could grow to a total of 7.2 million people. The outlook remains subject to risks associated with (i) commodity price volatility; (ii) a persistent security crisis; (iii) lower-than-expected budget support from external donors, (iv) persistent shortages in energy supply, (v) lower-than-expected public investment, (vi) possible tensions around the presidential elections in October 2025.

TABLE 2 Cameroon / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.3	3.6	3.3	3.7	4.0	4.2
Private consumption	4.7	4.2	2.4	3.5	3.7	3.8
Government consumption	2.6	-3.3	0.2	0.2	0.3	0.2
Gross fixed capital investment	-3.0	14.4	10.1	8.3	8.4	8.8
Exports, goods and services	19.8	-5.1	6.4	7.0	7.7	8.0
Imports, goods and services	9.0	7.3	9.2	8.8	8.9	9.2
Real GDP growth, at constant factor prices	3.3	3.6	2.9	3.7	4.0	4.2
Agriculture	2.9	3.2	2.5	2.9	3.1	3.3
Industry	4.1	3.6	2.5	3.6	4.3	4.2
Services	3.0	3.6	3.3	3.9	4.1	4.5
Inflation (consumer price index)	2.5	6.3	7.4	4.7	3.5	3.0
Current account balance (% of GDP)	-4.0	-3.6	-4.1	-4.2	-4.3	-4.0
Fiscal balance (% of GDP)	-2.9	-1.1	-0.8	-0.8	-1.0	-1.1
Revenues (% of GDP)	14.8	16.8	17.2	17.6	17.9	18.0
Debt (% of GDP)	48.1	45.3	44.6	42.2	39.2	38.1
Primary balance (% of GDP)	-1.9	-0.3	0.3	0.3	0.1	-0.1
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	23.0	22.5	23.4	24.2	24.3	23.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	46.7	46.0	46.7	46.8	46.7	46.2
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	76.0	75.2	75.2	75.1	74.7	74.4
GHG emissions growth (mtCO₂e)	-1.0	0.4	0.9	2.2	2.4	2.1
Energy related GHG emissions (% of total)	7.0	7.0	7.0	7.1	7.1	7.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-ECAM-V. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

CENTRAL AFRICAN REP.

Table 1 **2023**

Population, million	5.7
GDP, current US\$ billion	2.6
GDP per capita, current US\$	457.6
International poverty rate (\$2.15) ^a	65.7
Lower middle-income poverty rate (\$3.65) ^a	85.8
Upper middle-income poverty rate (\$6.85) ^a	96.2
Gini index ^a	43.0
School enrollment, primary (% gross) ^b	110.7
Life expectancy at birth, years ^b	54.5
Total GHG emissions (mtCO2e)	56.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

With fuel import shortages unresolved and repeated power outages in 2024, economic stagnation persists, with growth projected at just 0.7 percent. In this context, the country is navigating a difficult macro-fiscal situation. Unless the authorities secure sufficient grant support for 2025, there are concerns about the state's ability to cover its wage bill and fulfill its obligations without accumulating arrears in the foreseeable future.

Key conditions and challenges

The Central African Republic (CAR) remains entrenched in poverty and fragility despite its wealth of natural resources, notably gold and diamonds. Adversely impacted by conflict, external shocks, and policy missteps, its income per capita has fallen by a third since the escalation of the civil war in late 2012. It is now among the poorest countries in the world, with two-thirds of its population living in extreme poverty. Additionally, the country has been unable to resolve fuel shortages since 2022, particularly those affecting about 80 percent of all fuel imports made via the Ubangui River. CAR's public finances are under immense pressure due to weak revenue mobilization and social sector spending pressures, exacerbated by a de facto freeze on budget support from key development partners out of their concern over governance, use of fiscal resources to finance security-related expenses, and policy missteps. CAR remains at high risk of debt distress, with debt pressures having grown substantially in recent years, and with substantial liquidity risks that could jeopardize the government's ability to pay for civil service salaries and essential public services.

The successful implementation of policy reforms under the IMF's ECF program and support from other development partners is crucial for restoring macro-fiscal stability.

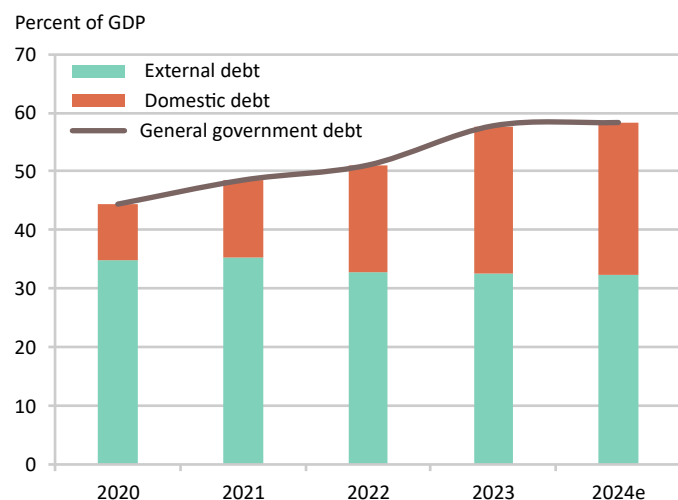
Critical areas for reform include revising the petroleum price structure and procurement system, to ensure sustainable fuel provision, strengthening domestic revenue mobilization, fiscal transparency, and enhancing debt management and sustainability.

Recent developments

The economy has stagnated since 2023, partly due to a 13 percent drop in gold production, possibly linked to smuggling in conflict zones. However, the primary cause is the delay and uncertainty around the river campaign for fuel imports, which normally represent 80-85 percent of the total. Fuel shortages, now in their third year, continue to disrupt local trade and production. While requisitioning some fuel stations in Greater Bangui and the black market have prevented immediate collapse, the situation remains critical due to limited reserves. Additionally, potential malfunctions at Boali, and the need to rehabilitate the old power line to Bangui, have reduced nighttime light activity in Bangui during the first half of 2024 (2024H1) compared to 2023H1, impacting small businesses without reserves or alternative power.

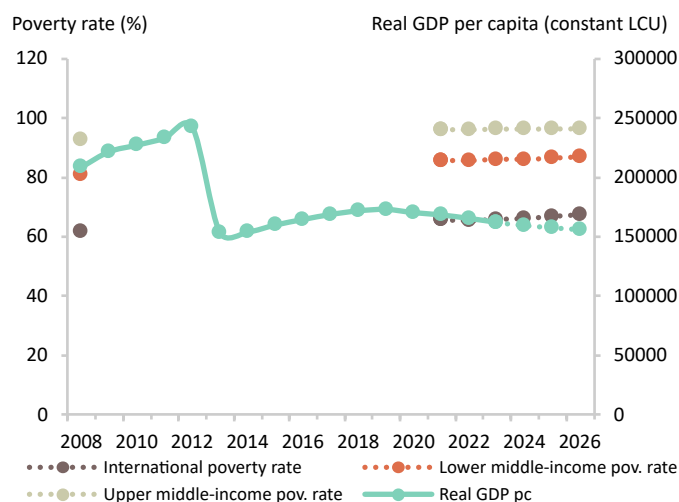
Regional monetary tightening, alongside economic stagnation, has kept monthly inflation below 2 percent since February 2024, mainly due to moderated food and housing prices. The BEAC has maintained a tight monetary policy, keeping the policy rate at five percent following a cumulative

FIGURE 1 Central African Republic / The composition of public debt in recent years



Source: World Bank.

FIGURE 2 Central African Republic / Actual and projected poverty rates and real GDP per capita



Source: Word Bank. Notes: see Table 2.

increase of 175 basis points since November 2021, and has scaled back liquidity absorption since early 2024.

The fiscal deficit has reduced since 2023 due to forced consolidation, especially on domestically financed capital spending, fiscal reforms, and increased grant financing, despite spending overruns on certain spending items, such as foreign missions and equipment for local armed forces. The detrimental fiscal direct and indirect impact of fuel shortages on revenue collection should be limited if fuel reserves remain.

Although gold production has fallen, the current account deficit has stabilized around 9.2 percent of GDP since 2023 due to improved terms of trade and favorable gold prices. Challenges remain due to a lack of competitiveness and weak global value chain connections.

Extreme poverty remains pervasive and deep in CAR, with 65.7 percent of the population living below the international extreme poverty line of USD 2.15 (2017 PPP) per person per day. CAR also exhibits significant spatial inequality. Approximately 74.4 percent of rural Central Africans live below the national poverty line, compared with 61.1 percent of urban residents. Regional disparities are also notable: in Bangui, the poverty rate at the

national poverty line is 40.1 percent, considerably lower than the average of 73.3 percent for all other regions combined, and less than half the poverty rate of CAR's poorest region, Haut Oubangui, where 84.7 percent of the population lives in poverty. Despite a decline in overall price inflation since 2023, poverty is expected to remain high due to weak economic performance and a decrease in per capita income.

Outlook

The projected growth rate for 2024 has been downgraded from 1.3 percent (Spring estimates) to 0.7 percent, mirroring last year's underperformance, due to lower gold production and fuel shortages. Real GDP growth is projected to recover gradually, reaching 1.6 percent in 2025-26, partly due to base effects and the effective implementation of policy adjustments aimed at improving fuel supply after three years of shortages. Inflation is expected to slow down to 1.5 percent by the end of 2024. However, poverty is likely to remain high due to declining per capita income, compounded by already severe household budget constraints and a weak economic recovery.

The fiscal deficit is expected to improve from 3.5 percent in 2023 to 2.8 percent in 2024. The overall fiscal balance is projected to gradually deteriorate in 2025 and 2026 in the absence of strong grants commitment from donor partners. However, this would be partially mitigated by significant efforts in DRM, including the digitalization of procedures and payments, the collection of excise duties, VAT, and miscellaneous revenues, as well as reforms in reference prices for timber and fuel pump prices, and revisions to the tax exemptions and VAT system. Public debt should stabilize at 58.3 percent of GDP in 2024, with domestic debt reaching 25.9 percent of GDP. The current account balance is projected to slightly improve due to increased gold production in the western prefectures and higher local sawnwood production, but it will remain in significant deficit from 2025 onwards, due to the energy, equipment, and food bill.

Risks to the outlook remain skewed heavily to the downside. The 2025 presidential election could pose risks to security and stability. A reversal of recent security gains could negatively affect key sectors such as food production and processing, mining, transport, and retail, slowing economic growth and complicating the country's efforts to emerge from fragility.

TABLE 2 Central African Republic / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	1.0	0.5	0.7	0.7	1.1	2.0
Private consumption	1.3	0.0	1.2	1.5	1.9	2.3
Government consumption	-3.8	-8.2	3.5	-4.5	-4.4	-1.9
Gross fixed capital investment	-15.9	-4.5	-2.7	-1.4	-0.5	2.1
Exports, goods and services	-5.3	2.6	9.0	1.3	2.4	3.2
Imports, goods and services	-11.5	-5.5	5.5	0.8	1.7	2.7
Real GDP growth, at constant factor prices	1.5	1.0	0.7	0.7	1.1	2.0
Agriculture	2.7	2.2	2.3	1.7	2.4	2.9
Industry	-1.7	-3.9	-0.5	-0.5	0.5	1.2
Services	2.2	2.4	0.1	0.4	0.3	1.6
Inflation (consumer price index)	4.3	5.6	3.0	1.5	2.3	2.9
Current account balance (% of GDP)	-11.1	-12.7	-9.1	-9.2	-8.7	-8.3
Fiscal balance (% of GDP)	-6.0	-5.3	-3.5	-2.8	-3.5	-3.8
Revenues (% of GDP)	13.7	12.3	14.4	14.4	13.4	13.3
Debt (% of GDP)	48.5	51.1	57.7	58.3	57.9	57.3
Primary balance (% of GDP)	-5.7	-4.9	-2.9	-1.9	-2.5	-2.8
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	65.7	65.3	65.8	66.1	66.8	67.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	85.8	85.6	86.1	86.1	86.5	87.0
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	96.2	96.1	96.4	96.4	96.5	96.5
GHG emissions growth (mtCO₂e)	1.5	-0.2	-0.2	-0.2	-0.2	-0.2
Energy related GHG emissions (% of total)	0.4	0.4	0.4	0.5	0.5	0.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

CHAD

Table 1 **2023**

Population, million	18.3
GDP, current US\$ billion	13.6
GDP per capita, current US\$	745.0
International poverty rate (\$2.15) ^a	30.8
Lower middle-income poverty rate (\$3.65) ^a	62.8
Upper middle-income poverty rate (\$6.85) ^a	88.8
Gini index ^a	37.4
School enrollment, primary (% gross) ^b	90.4
Life expectancy at birth, years ^b	53.0
Total GHG emissions (mtCO2e)	123.8

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2022), 2017 PPPs.

b/ Most recent WDI value (2022).

2024 GDP growth is expected to slow to 3 percent (-0.1 percent per capita) despite increased oil exports and public spending, as economic spillovers from the war in Sudan continue. Inflation will increase to 6.5 percent exacerbated by flooding, which has led to extreme levels of food insecurity. The poverty rate is expected to increase to 36.4 percent. Downside risks to the outlook include regional instability, insecurity, and further climate shocks.

Key conditions and challenges

Chad's economic growth has been volatile and weak, reflecting the dependence on the oil sector, which accounts for 85 percent of exports and 56 percent of fiscal revenues. Economic diversification efforts are ongoing, with measures aimed at industrializing the livestock sector, facilitating access to inputs to the agro-pastoral sector, and limiting barriers to trade with non-CEMAC countries.

Chad is also among the world's most vulnerable countries to climate change. Insufficient rains as well as frequent intense flooding—most recently in 2022 and this year—adversely impact agriculture production, which, together with conflict and displacement, has led to chronic food insecurity.

Ending the political transition, President Mahamat Idriss Deby was declared the winner of the May 2024 presidential election, with limited violence. Security remains tenuous, with threats by Boko Haram in the Lake Chad region, and the armed FACT rebellion in the north. According to the International Organization for Migration, an estimated 910,000 people have crossed the border into Chad since the start of the crisis in Sudan in April 2023, including 213,339 Chadian returnees. The war in Sudan, as well as the rebellion from Libya, has induced higher humanitarian spending as well as military expenditures to secure the borders.

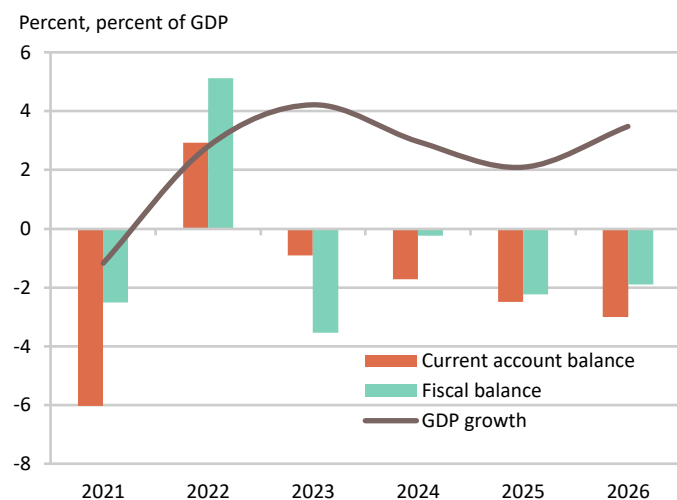
Recent developments

Despite the strain caused by the ongoing refugee crisis—placing heavy demands on local resources and increasing fiscal pressures—Chad's economy is expected to sustain 3 percent growth in 2024 (-0.1 percent per capita). Non-oil GDP growth is estimated to be 2.7 percent, down from 4.1 percent in 2023, as the growth of public investment decelerates. On the supply side, industry is expected to contribute 1.3 percentage points (pps) to growth, supported by a modest increase in oil production, followed by agriculture (1 pp), which has been negatively impacted by the major flooding, and services (0.7 pps). Net exports are expected to be the main driver on the demand side (+1.1 pps), with the volume of Q1 oil exports having increased 8.4 percent compared to the same period in 2023. Government investment and consumption are expected to contribute 0.6 and 0.3 pps to growth, respectively.

The current account deficit is expected to slightly widen to 1.7 percent of GDP. Demand for imported goods (from investment and military expenditures and humanitarian-related operations in support of Sudanese refugees) remains high, with terms of trade declining.

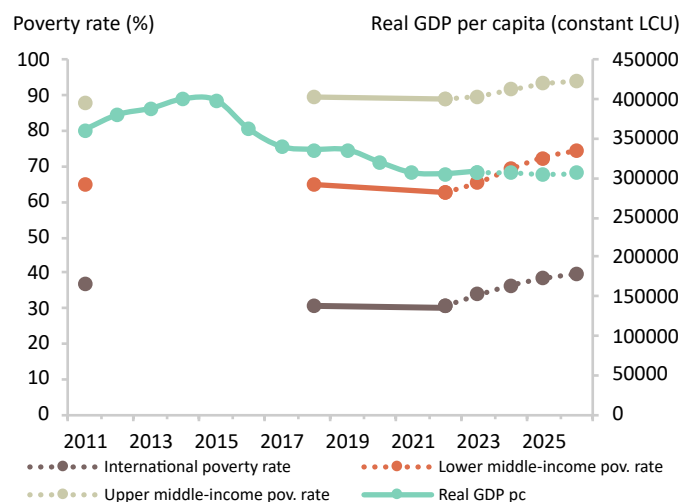
Inflation, after easing to 4.1 percent in 2023, is projected to surge to 6.5 percent in 2024, due to higher food and transport prices. The poverty rate is estimated to increase by 2.6 ppts to 36.4 percent in 2024 with a total of 6.9 million in extreme poverty. Since mid-July, floods following

FIGURE 1 Chad / GDP growth, current account, and fiscal balance



Source: World Bank.

FIGURE 2 Chad / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

heavy rains have affected over 1.5 million people, destroyed 259,000 hectares of crops, and caused the loss of nearly 70,000 heads of livestock. An estimated 3.4 million people (20 percent of the population) are facing severe food insecurity between June and August 2024.

The Bank of Central African States (BEAC) has maintained its tight monetary policy stance to contain inflationary pressures and support the external viability of the exchange rate arrangement. The BEAC policy rate was maintained at five percent following a cumulative increase by 175 basis points between November 2021 and March 2023. Weekly liquidity injections were discontinued in early 2023 and BEAC has scaled down its liquidity absorption operations since the beginning of 2024.

The fiscal deficit is expected to narrow from 3.5 percent of GDP in 2023 to 0.2 percent in 2024, despite increasing expenditures (+8.8 percent) in response to humanitarian needs, flooding, and presidential and local elections. The consolidation is driven by higher tax revenues (+20.5 percent), stemming from tax modernization

and digitalization efforts, and oil revenues (+17.2 percent). Windfalls resulting from the increase in fuel prices and dividends from the Société de raffinage de N'Djamena have likewise contributed. Total public debt is projected to increase from 38.5 percent in 2023 to 41.4 percent of GDP in 2024.

Outlook

Growth is projected to average 2.8 percent (-0.3 percent per capita) over 2025-2026, as public investment is expected to fall from the highs of 2023-2024. Non-oil GDP growth is projected at an average of 3.3 percent. After three consecutive years above the target range, inflation is projected to moderate to an average of 3.1 percent in the medium term.

The 2024 lean season is projected to be one of the worst in recent years. Flood damages and crop losses will lead to a drop in production and household incomes, and as a result, the extreme poverty rate is expected to increase by 2 ppts to 38.4 percent

in 2025, which translates into an additional 588,000 people in extreme poverty. Continued security restrictions, low social protection coverage, and the ongoing Sudan crisis is expected to restrict poverty reduction, with extreme poverty projected to reach 39.6 percent in 2026.

With declining oil prices forecasted and elevated public spending, fiscal accounts are projected to remain in deficit in the medium-term. As a result, public debt is projected to reach 42.6 percent of GDP in 2026. The current account deficit is projected to expand to an average of 2.8 percent of GDP over 2025-2026.

The outlook is subject to multiple downside risks, including lower-than-anticipated oil prices, regional instability, heightened insecurity, and further climate shocks and natural disasters. A prolonged Sudan war could worsen the humanitarian crisis, strain public finances, and increase inflationary pressures. Meanwhile, the conclusion of the political transition presents an upside risk if the government implements reforms that improve productivity, economic diversification, and growth.

TABLE 2 Chad / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	-1.2	2.8	4.2	3.0	2.1	3.5
Private consumption	1.6	2.7	3.6	1.3	3.4	3.5
Government consumption	3.7	-1.5	-7.0	9.6	0.1	4.9
Gross fixed capital investment	-4.3	-6.1	54.1	3.9	-2.4	0.5
Exports, goods and services	-0.4	5.0	2.9	4.0	0.9	4.1
Imports, goods and services	5.1	2.0	16.0	1.8	1.1	3.1
Real GDP growth, at constant factor prices	-1.2	2.8	4.1	3.0	2.1	3.5
Agriculture	6.2	2.0	5.0	3.1	3.4	3.5
Industry	-4.6	4.1	3.3	4.1	-0.5	3.3
Services	-4.3	2.3	4.1	1.9	3.2	3.7
Inflation (consumer price index)	1.0	5.8	4.1	6.5	3.2	3.0
Current account balance (% of GDP)	-6.0	2.9	-0.9	-1.7	-2.5	-3.0
Fiscal balance (% of GDP)	-2.5	5.1	-3.5	-0.2	-2.2	-1.9
Revenues (% of GDP)^a	16.3	23.5	18.3	22.5	21.4	20.7
Debt (% of GDP)	55.9	42.3	38.5	41.4	41.8	42.6
Primary balance (% of GDP)	-1.3	6.6	-2.4	1.2	-0.1	-0.4
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	..	30.8	33.8	36.5	38.4	39.6
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	..	62.8	65.5	69.2	72.4	74.1
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	..	88.8	89.7	91.5	93.3	94.1
GHG emissions growth (mtCO₂e)	2.8	2.1	2.0	2.0	2.1	1.9
Energy related GHG emissions (% of total)	2.3	2.2	2.2	2.2	2.2	2.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ 2024 data includes one-off non-oil, non-tax revenues, such as windfalls from the increase in the fuel price and dividends from the Société de raffinage de N'Djamena.

b/ Calculations based on 2022-EHCVM. Actual data: 2022. Nowcast: 2023. Forecasts are from 2024 to 2026.

c/ Projections using microsimulation methodology.

COMOROS

Table 1 **2023**

Population, million	0.9
GDP, current US\$ billion	1.3
GDP per capita, current US\$	1527.5
International poverty rate (\$2.15) ^a	18.6
Lower middle-income poverty rate (\$3.65) ^a	39.5
Upper middle-income poverty rate (\$6.85) ^a	68.6
Gini index ^a	45.3
School enrollment, primary (% gross) ^b	106.2
Life expectancy at birth, years ^b	63.7
Total GHG emissions (mtCO2e)	0.8

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2014), 2017 PPPs.

b/ WDI for School enrollment (2018); Life expectancy (2022).

The economy continues recovering from Cyclone Kenneth and COVID-19, driven by private consumption and investments in tourism and transport infrastructure. Growth is expected to gradually increase to 4.3 percent over the medium-term. Despite a slow start to 2024, fiscal consolidation efforts are expected to narrow the deficit and reduce public debt, creating fiscal space for poverty-reducing investments. The financial sector remains a contingent liability and a priority area for reform.

Key conditions and challenges

Comoros has faced significant structural challenges, leading to low economic growth and stagnating income per capita over the past decades. From 2001 to 2022, the GDP per capita increased by only US\$367 (constant 2017 PPP US\$), one of the lowest among peer nations. The economy relies heavily on private sector consumption, particularly from grandes mariages—large traditional weddings that drive spending but do little to foster sustainable growth. Weak institutions, a small population, and geographic remoteness have hindered broader economic progress, contributing to persistent poverty, and causing Comoros to lag other small island nations.

Political economy factors have shaped Comoros' economic trajectory, contributing to growth volatility over the past 40 years. Despite improved political stability in the last two decades, economic expansion remains sluggish, constrained by several structural challenges. State-owned enterprises (SOEs) dominate key sectors, limiting competition and stifling the development of the small private sector. Low human capital and productivity further hamper economic progress, while limited access to finance curtails entrepreneurship and business growth. Additionally, the dominance of traditional systems and informal power structures weakens state institutions, compounding

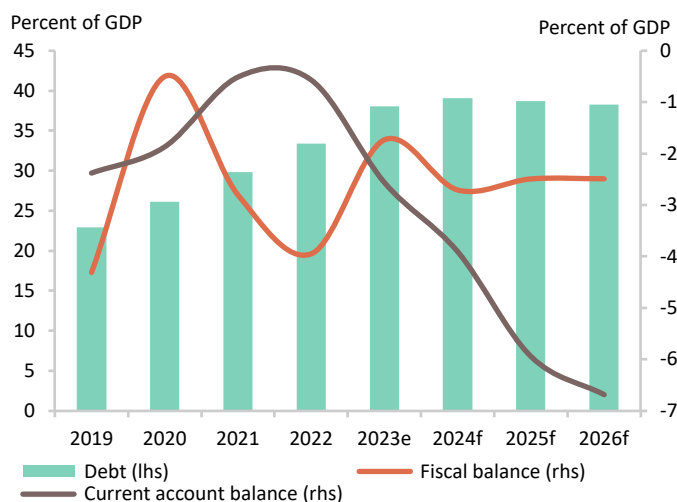
governance issues and impeding effective policy implementation.

The quality of policy design and pace of implementation hindered economic growth and kept poverty rates at around 38 percent (using \$3.65 per day at 2017 PPP) for the past decade. Weak revenue collection, driven by numerous tax exemptions and widespread administrative inefficiencies, undermines fiscal sustainability. In addition, a high risk of debt distress limits the government's ability to secure adequate funding. Furthermore, Comoros faces significant climate risks, such as cyclones and rising sea levels, which disrupt economic activity, exacerbate poverty, and threaten long-term development.

Recent developments

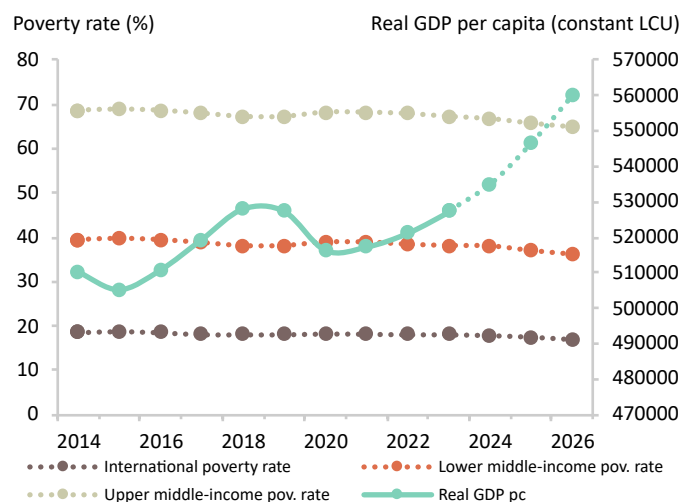
The economy grew 3 percent in 2023. Economic activity was disrupted by post-election demonstrations in January 2024, but increased private consumption driven by the grands mariages and continued robust tourism are expected to mitigate this. On the supply side, the construction sector benefited from the continuation of large public infrastructure investments, such as the construction of the El Maarouf Hospital and Galawa Hotel. Average headline inflation has fallen to 3.7 percent in the first half of 2024, driven by lower commodity prices, from 12.4 and 8.5 percent in 2022 and 2023, further supporting private consumption. Increased grants complemented improved expenditure rationalization and

FIGURE 1 Comoros / Selected macroeconomic imbalance indicators



Sources: National authorities and World Bank staff estimates and forecasts.

FIGURE 2 Comoros / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

domestic revenue mobilization efforts to narrow the fiscal deficit from 4 percent in 2022 to 1.7 percent in 2023. However, increased expenditure pressure from spending overruns on the El Maarouf hospital, the cholera outbreak, and repairing storm damage as well as lower-than-expected domestic revenue mobilization in the first quarter of 2024 appear to have slowed the pace of the fiscal consolidation. Public debt reached 38 percent in 2023 from 33.4 in 2022, but is considered sustainable. Domestic credit growth declined from 3.5 percent in December 2023 (year-on-year) to -2.7 percent in June 2024, driven by a sharp decline in credit to public enterprises as they regained access to external trade credit. Private sector credit growth also fell over the same period. This decline reinforces vulnerability in a financial sector that is characterized by a high level of non-performing loans, declining provision rates, and insolvent institutions. Stronger domestic demand translated into high import demand and contributed to the widening of the current account deficit to 2.6 percent of GDP in 2023, up from 0.6 percent in 2022, despite strong remittances. International reserves remained at adequate levels, partly aided by higher financing from international

financial institutions. Foreign direct investment has continued to remain stable at 0.5 percent of GDP.

Outlook

Growth is expected to converge to 4.3 percent in the medium-term, driven primarily by private consumption, as well as public investment in the El Maarouf hospital, the Galawa hotel, and the rehabilitation or construction of transport infrastructure. The base effect from election expenditure in 2023 will normalize government consumption. The stop-start progress of these projects will continue causing volatility in capital expenditure. The restructuring of contingent liabilities in the SOE sector would improve debt sustainability and create fiscal space that can be invested in human and economic capital. Updating the law on tax exemptions would broaden the tax base and strengthen domestic revenue mobilization, improving fiscal sustainability. It would also encourage business formalization, further boosting revenue collection and supporting sustainable economic growth through better public services and a fairer tax system.

The poverty rate is expected to remain at around 38 percent in 2024.

Lower imported inflation, from lower global commodity prices, is expected to contribute to lower headline inflation, forecasted at 1.7 percent in 2025. Fiscal consolidation, enhanced SOE performance, and increased expenditure efficiency are expected to reduce the fiscal deficit to 2.5 percent of GDP by 2026. Public debt is projected to fall to 38.2 percent of GDP by 2026. The current account deficit is expected to average 6.7 percent of GDP over the mid-term, as major public investments contribute to a widening of the trade deficit, offsetting the impact of continued strong remittances. International reserves are expected to cover 7-8 months of imports.

Downside risks to the outlook include contingent liabilities, especially in the financial sector, threatening debt sustainability, prolonged global geopolitical tensions and the occurrence of natural disasters and other climate events. The 2024 elections may impact the pace of execution of investment projects and the implementation of key fiscal and governance reforms. The ongoing cholera outbreak may exacerbate vulnerabilities by increasing healthcare costs, reducing labor productivity, and disrupting livelihoods, particularly in affected rural areas.

TABLE 2 Comoros / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	2.1	2.8	3.0	3.5	4.0	4.3
Private consumption	1.0	0.2	1.9	3.2	3.6	3.6
Government consumption	5.0	5.4	11.6	-3.4	-0.3	9.4
Gross fixed capital investment	9.6	-62.2	69.8	-11.5	10.3	-6.9
Exports, goods and services	48.2	100.8	-10.1	4.6	4.9	5.5
Imports, goods and services	7.7	-4.0	8.2	-4.3	3.7	1.5
Real GDP growth, at constant factor prices	2.0	2.6	3.0	3.5	4.0	4.3
Agriculture	3.4	-2.6	4.1	1.9	3.7	3.5
Industry	-0.2	13.4	3.0	3.5	4.0	4.3
Services	1.8	3.0	2.5	4.3	4.2	4.7
Inflation (consumer price index)	0.0	12.4	8.5	3.3	1.7	2.1
Current account balance (% of GDP)	-0.5	-0.6	-2.6	-3.9	-5.9	-6.7
Fiscal balance (% of GDP)	-2.8	-4.0	-1.7	-2.7	-2.5	-2.5
Revenues (% of GDP)	17.0	14.2	15.8	17.5	15.7	15.8
Debt (% of GDP)	29.8	33.4	38.0	39.1	38.7	38.2
Primary balance (% of GDP)	-2.5	-3.7	-1.4	-2.4	-2.2	-2.2
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	18.2	18.1	18.1	17.9	17.4	16.8
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	39.0	38.5	38.2	38.1	37.0	36.2
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	68.2	67.9	67.2	66.7	65.7	64.8
GHG emissions growth (mtCO₂e)	1.1	1.9	1.8	1.9	2.1	1.9
Energy related GHG emissions (% of total)	53.2	53.7	54.0	54.3	54.6	54.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2015-EESIC. Actual data: 2014. Nowcast: 2015-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2014) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

DEMOCRATIC REP. OF CONGO

Table 1 **2023**

Population, million	102.3
GDP, current US\$ billion	67.0
GDP per capita, current US\$	655.2
International poverty rate (\$2.15) ^a	78.9
Lower middle-income poverty rate (\$3.65) ^a	92.1
Upper middle-income poverty rate (\$6.85) ^a	97.7
Gini index ^a	44.7
School enrollment, primary (% gross) ^b	122.4
Life expectancy at birth, years ^b	59.7
Total GHG emissions (mtCO2e)	689.5

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2020), 2017 PPPs.

b/ Most recent WDI value (2022).

DRC inaugurated a new government following reelection of President Tshisekedi for another term, reassuring investors and development partners on reforms continuity. However, a GDP slowdown is expected in 2024 owing to the mining sector's deceleration. Medium-term growth prospects remain favorable despite considerable downside risks from commodity price volatility and intensification of regional conflicts. Elevated food price may constrain the fight against poverty.

Key conditions and challenges

The Democratic Republic of Congo (DRC) has the world's second largest rainforest and vast metal deposits but is still struggling to spur economic development and make a dent in poverty. The country has a narrow export base (copper and cobalt account for 80 percent of the total export) and depends heavily on food imports despite its agricultural potential, making it vulnerable to external shocks. Weak institutions, poor governance, state capture by vested interests, vulnerability to natural hazards and climate change are hindering development prospects.

Low human capital (index of 0.37 in 2020) affects particularly the youth, 53 percent of whom are unemployed. Jobs remain informal (88.6 percent), as 65 percent of workers are in low-productivity subsistence agriculture, and growth is not filtering to the poorest. Public spending covers mainly operating outlays and suffers from inefficiencies. Subpar digital and transport infrastructures contribute to poor prospects of developing an integrated domestic market. Additional challenges from an underdeveloped financial system characterized by limited market contestability, elevated credit cost, and a deficient justice system have produced an uncondusive business environment. The government relies on state-owned enterprises (SOEs) for the provision of

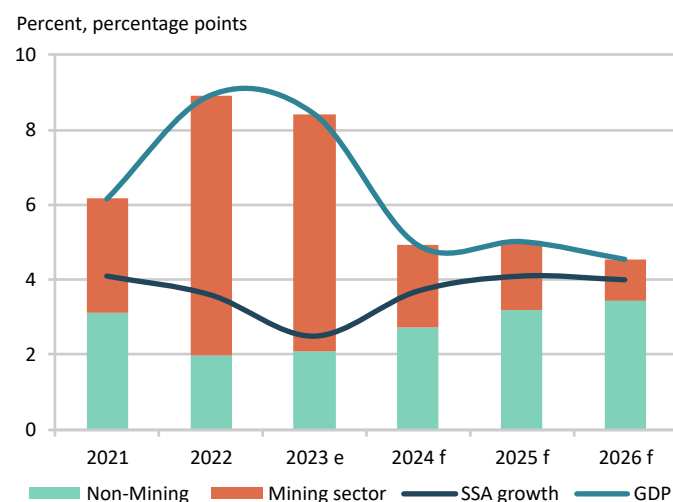
critical services and the management of key economic sectors (e.g. mining, water, electricity). However, persistent SOEs' underperformance has become a source of fiscal stress and macro-financial risks. Moreover, the government support to SOEs received through guarantees, subsidies, tax exemptions, and forfeiture of dividends are a drag on the budget.

Violence in eastern DRC has caused over seven million internally displaced people (IDP) as of June 2024 and is exacerbating the challenges facing the country, with adverse impact on poor households' livelihoods. Cyclical conflicts and pervasive fragility are fundamental obstacles to inclusive development in DRC. The authorities have prioritized the Inga mega-hydropower dam program, which could boost growth, reduce poverty, and raise living standards in the DRC and the African region.

Recent developments

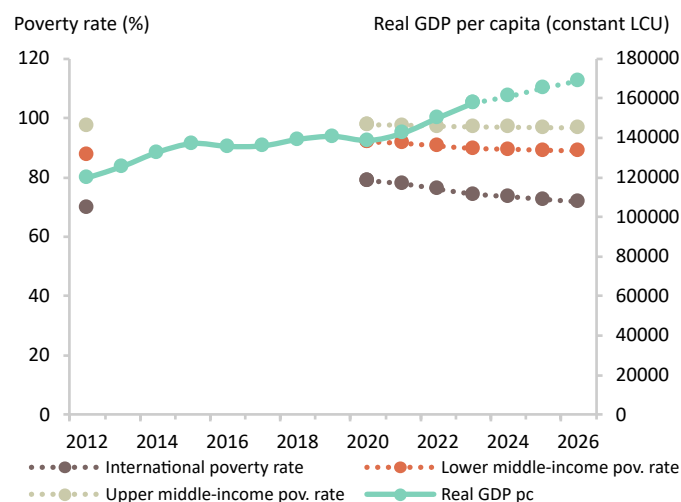
Following President Tshisekedi's reelection, a new government led by Prime Minister Judith Suminwa Tuluka, the first woman ever to become Head of Government in the DRC, was inaugurated in June 2024, signaling reform continuity. In July, the IMF completed the final review of the Extended Credit Facility (ECF) arrangement, marking the DRC's first successful completion of an IMF program. The ECF supported government efforts to maintain macroeconomic stability and build resilience.

FIGURE 1 Democratic Republic of Congo / Real GDP growth and contributions to real GDP growth



Source: DRC authorities.

FIGURE 2 Democratic Republic of Congo / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

These positive developments boosted investor confidence, and the Central Bank of Congo's (BCC) Business Confidence Index (BCI) increased during the first half of 2024 (H1-24). The BCI, which tracks all sectors except agriculture, was up 35.9 percent year on year (y-o-y) in June 2024, mostly driven by the mining sector. Favorable copper price offset falling prices of cobalt, and boosted export earnings in H1-24, improving the country's external position. The trade balance advanced to a 7.8 percent of GDP surplus from 0.5 percent of GDP deficit in H1-23. Gross international reserves peaked to US\$6.0 billion in July, marking a 27.7 percent y-o-y increase, and representing 2 months of imports. To help alleviate inflation pressures, the BCC kept the key policy rate at 25 percent following the 1,400 basis points hike in June 2023. Headline inflation eased to 15.2 percent y-o-y in July 2024 from the high of 23.8 percent in December 2023. Food inflation also moderated to 14.3 percent from 21.2 percent. Exchange rate depreciation decelerated to 14.6 percent y-o-y in July 2024 from 24.5 percent in December 2023. Despite higher security spending, good domestic revenue performance and contained non-priority spending improved the fiscal position, with primary balance

recording a 0.4 percent of GDP surplus in June 2024 from a deficit (0.8 percent of GDP) in June 2023. However, the mpox outbreak would likely weaken this performance. Based on GDP growth, poverty is estimated to have declined from 76 percent in 2020 to 74.3 percent in 2023.

Outlook

Copper production expansion is expected to assuage the mining sector headwinds from sluggish cobalt prices. Higher government spending to deliver on its ambitious program will boost investment and support growth, which is forecast to reach 4.9 percent in 2024. Over the medium term, growth is expected to average 4.7 percent, driven by the mining sector. In the near future, poverty will remain high despite an anticipated decline of about 1.0 percent per annum from 74.3 percent in 2023 to 71.6 percent in 2026.

The overall positive developments in the export sector are expected to continue to support an improved external position with the current account deficit narrowing to 3.7 percent of GDP on average in the medium-term. Continued foreign direct

investment (FDI) inflows will contribute to foreign exchange reserves accumulation and support exchange rate stability, providing room for the BCC to anchor its medium-term price stability objective. Despite exceptional security-related spending pressures, stringent monetary policy and fiscal consolidation efforts will further contribute to moderate inflation.

The path ahead is challenging, with risks such as volatile commodity prices, rising energy and global food prices eroding household incomes, ongoing conflict in the East, and escalating regional and global conflicts affecting exports and FDI. Failure to contain the mpox outbreak will further strain DRC's weak health system, undermining inclusive growth and poverty reduction. Key reforms include better public fund management, tackling corruption (including in the justice system), enhancing SOE performance, and boosting market competition. Reinforcing the institutional framework to reduce disaster risks and the impact of climate change will be essential for inclusive growth and poverty reduction. This is also key for DRC to successfully position itself as a solution country for the global climate crisis thanks to its hydropotential, vast rainforest, and endowment in green minerals.

TABLE 2 Democratic Republic of Congo / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	6.2	8.9	8.4	4.9	5.0	4.6
Private consumption	4.3	3.1	3.2	2.1	1.7	3.0
Government consumption	21.7	22.2	-12.9	17.1	8.1	2.5
Gross fixed capital investment	50.2	27.1	16.0	11.6	8.4	7.3
Exports, goods and services	8.2	18.9	15.8	17.1	9.4	8.1
Imports, goods and services	43.6	24.9	12.3	15.0	8.0	7.5
Real GDP growth, at constant factor prices	6.2	8.9	8.4	5.0	5.0	4.6
Agriculture	2.4	2.4	2.2	2.0	2.5	2.5
Industry	7.8	16.1	14.3	8.1	6.0	5.2
Services	5.8	2.7	2.8	1.4	4.4	4.4
Inflation (consumer price index)	9.0	9.3	19.9	17.2	8.8	7.0
Current account balance (% of GDP)	-1.1	-4.8	-5.7	-4.4	-3.7	-3.5
Fiscal balance (% of GDP)	-1.9	-0.5	-1.6	-2.2	-1.0	-0.9
Revenues (% of GDP)	12.6	16.7	14.5	16.1	15.6	15.4
Debt (% of GDP)	24.4	23.1	22.8	21.7	20.1	18.6
Primary balance (% of GDP)	-1.5	-0.1	-1.3	-1.8	-0.6	-0.5
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	77.9	76.0	74.3	73.5	72.5	71.7
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	91.6	90.6	89.7	89.5	89.1	88.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	97.6	97.2	97.0	96.9	96.8	96.7
GHG emissions growth (mtCO₂e)	-0.1	0.2	0.2	0.1	0.1	0.1
Energy related GHG emissions (% of total)	1.3	1.2	1.2	1.2	1.2	1.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2020-EGI-ODD. Actual data: 2020. Nowcast: 2021-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2020) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

REPUBLIC OF CONGO

Table 1 **2023**

Population, million	6.1
GDP, current US\$ billion	15.3
GDP per capita, current US\$	2508.8
International poverty rate (\$2.15) ^a	35.4
Lower middle-income poverty rate (\$3.65) ^a	59.1
Upper middle-income poverty rate (\$6.85) ^a	83.5
Gini index ^a	48.9
School enrollment, primary (% gross) ^b	87.7
Life expectancy at birth, years ^b	63.1
Total GHG emissions (mtCO2e)	29.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2011), 2017 PPPs.

b/ Most recent WDI value (2022).

Income per capita is expected to decline by 0.2 percent in 2024, resulting from a modest growth rate of 2.1 percent. Hence, the poverty rate is projected to slightly increase. Tax reforms are aiding domestic resource mobilization, maintaining a budget surplus projected at 2.8 percent of GDP in 2024, down from 3.6 percent in 2023. The growth outlook has improved but remains vulnerable to oil production decline, oil price volatility, and delays in structural reforms.

Key conditions and challenges

From 2015 to 2023, annual real GDP contracted by an average of 1.9 percent, leading to a 32 percent cumulative fall in income per capita. The economic recession began with the oil price downturn in 2014-2016, exacerbated by public spending cuts and domestic arrears accumulation, which in turn reduced private investment. The COVID-19 pandemic prolonged the recession, reducing GDP per capita to early 1970s levels. Hence, extreme poverty increased from 33.5 percent in 2015 to 46.6 percent in 2022, reversing previous progress in poverty reduction.

The failure to adjust public spending when oil revenue started to decline has led to a sharp increase in the debt-to-GDP ratio from 42.3 percent in 2014 to a peak of 103.5 percent in 2020 and moderating to 96 percent in 2023. Thus, Congo was classified in 2017 as being in "debt distress" with unsustainable debt. Debt restructuring and debt management reforms have made Congo's debt sustainable since 2021, but the country remains in debt distress due to ongoing restructuring and audit of domestic arrears. Reliance on oil revenues makes the economy vulnerable to oil production decline and price volatility, which adversely affects long-term growth prospects. Sustainable development requires diversifying national assets and strengthening institutions,

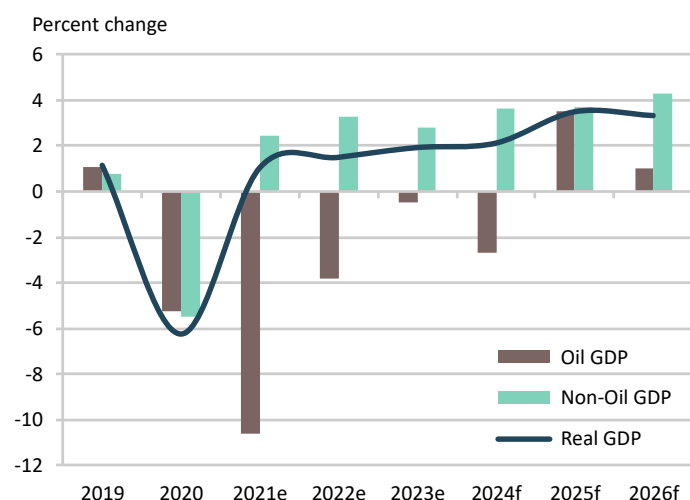
human and physical capital, and balanced use of natural capital.

Recent developments

In 2023, the economy grew by 1.9 percent, leading to a 0.4 percent decline in GDP per capita. The Congolese economy continues to experience modest growth, driven by the non-oil sectors. Non-oil growth in 2024H1 was driven by agriculture and manufacturing. Government support (tariff exemptions, protected agricultural zones, agricultural mechanization centers, etc.) and private sector investment boosted agricultural growth, while strong external demand for cement and new breweries drove manufacturing growth. Oil production declined by 2.7 percent in 2024H1 due to aging equipment and fields.

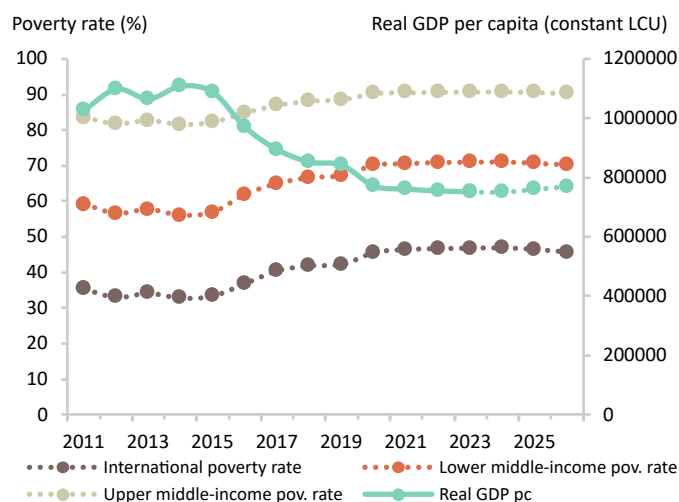
Despite reduced oil revenues, the budget recorded a surplus in 2024Q1 due to improved tax revenue mobilization, fuel subsidy cuts, and restrained public spending. Domestic tax and customs revenue increased by 14 percent and 21 percent, respectively (y-o-y) in 2024Q1 while exemptions granted by the state were down by 9 percent at the same period. Public spending decreased, due to lower spending on goods and services and investment. After declining to 86.6 percent in 2022, the debt-to-GDP ratio reached 96 percent in 2023 due to audited domestic arrears. The current account surplus declined to 8.6 percent of GDP in 2023 due to decreasing export receipts and high import bills from investment in the gas production center construction.

FIGURE 1 Republic of Congo / Real GDP growth



Source: World Bank.

FIGURE 2 Republic of Congo / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

The banking sector remains solvent but vulnerable to non-performing loans. As of 2023H1, bank deposits and loans to the private sector increased in the first quarter of 2024. Inflationary pressures persisted at the beginning of 2024, driven by last year's fuel price increase, and cement and beer prices hike. The Bank of Central African States (BEAC) maintained its tight monetary policy stance to contain inflation and support the external viability of the exchange rate arrangement. After a cumulative increase of 175 basis points between November 2021 and March 2023, the BEAC has maintained its policy rate at 5 percent. Weekly liquidity injections were discontinued in early 2023 and BEAC has scaled down its liquidity absorption operations since the beginning of 2024. The poverty rate rose to 46.76 percent in 2023 due to negative GDP per capita growth.

Outlook

The Congolese economy should experience modest growth of 2.1 percent in 2024

and an average of 3.4 percent in 2025-2026. The oil sector, projected to grow by 2.3 percent between 2025 and 2026, will be supported by the renewal of equipment and oil fields thanks to upcoming investments. The non-oil sector, projected to reach an average growth rate of 4.3 percent in 2025-26, will be underpinned by the continued momentum in agriculture and industry. Non-oil activities will also be supported by the increase in domestic demand that is expected to result from the continued clearance of domestic arrears, the gradual increase in social spending and public investment. Bank deposits and loans to the private sector are expected to continue to rise in 2024 as a result of the upcoming payment of domestic arrears. Inflationary pressures are expected to persist, reaching 3.8 percent in 2024, returning to the BEAC target of 3 percent by 2025. GDP per capita growth is projected to remain negative in 2024 at -0.2 percent. The poverty rate is thus expected to marginally increase to 46.8 percent in 2024, before declining to an average of 46.0 percent in 2025-26.

The fiscal surplus is projected to decline to 2.8 percent of GDP in 2024 and further to 1.9 percent in 2025-2026 due to the anticipated drop in oil prices. The projected medium-term rise in social spending and capital expenditure should have a negative impact on the budget surplus. However, new investments in oil equipment and fields may bolster oil production and thus preserve fiscal surplus. Congo's debt-to-GDP ratio remains high and a source of fiscal risk but is projected to decline to 86.6 percent in 2025-2026 thanks to recent reforms. The expected decline in exports should reduce the current account surplus to 2.9 percent, while the expected slowdown in imports should help preserve the surplus in 2024.

The recovery faces low growth prospects with risks predominantly to the downside, including oil price volatility, weaker global demand, postponed oil investments, tighter financing conditions, adverse weather conditions, and weak reform implementation. However, the expected expansion of the gas industry presents an upside risk for growth, public finances, and the balance of payments.

TABLE 2 Republic of Congo / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021e	2022e	2023e	2024f	2025f	2026f
Real GDP growth, at constant market prices	1.0	1.5	1.9	2.1	3.5	3.3
Private consumption	11.5	5.0	4.9	5.6	4.7	5.0
Government consumption	2.1	-5.0	0.6	1.3	1.9	1.5
Gross fixed capital investment	14.0	10.0	8.6	7.0	4.4	5.1
Exports, goods and services	-1.0	-0.7	1.0	-0.7	4.2	2.5
Imports, goods and services	25.0	5.9	8.9	6.5	6.3	4.9
Real GDP growth, at constant factor prices	1.0	1.5	1.9	2.0	3.5	3.3
Agriculture	1.9	3.0	2.8	2.8	3.4	3.7
Industry	-3.3	-0.6	0.7	1.1	4.6	3.5
Services	2.0	3.1	2.9	2.8	3.2	3.4
Inflation (consumer price index)	2.0	3.0	4.3	3.8	3.0	3.0
Current account balance (% of GDP)	11.6	15.4	8.6	2.9	1.5	1.8
Net foreign direct investment inflow (% of GDP)	2.2	7.9	9.5	4.8	5.1	4.9
Fiscal balance (% of GDP)	1.2	7.9	3.6	2.8	1.9	1.9
Revenues (% of GDP)	21.1	28.6	24.3	24.0	23.6	23.5
Debt (% of GDP)	92.1	86.6	96.0	94.7	89.3	83.8
Primary balance (% of GDP)	3.1	10.2	6.4	5.6	4.7	4.6
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	46.4	46.6	46.8	46.8	46.4	45.7
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	70.6	70.9	71.0	71.1	70.7	70.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	90.6	90.7	90.8	90.8	90.6	90.4
GHG emissions growth (mtCO₂e)	-4.1	2.8	2.5	2.2	1.5	1.2
Energy related GHG emissions (% of total)	15.1	15.4	16.0	16.6	17.6	18.7

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2011-ECOM. Actual data: 2011. Nowcast: 2012-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2011) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

CÔTE D'IVOIRE

Key conditions and challenges

Table 1 2023

Population, million	28.9
GDP, current US\$ billion	78.9
GDP per capita, current US\$	2731.8
International poverty rate (\$2.15) ^a	9.7
Lower middle-income poverty rate (\$3.65) ^a	38.4
Upper middle-income poverty rate (\$6.85) ^a	76.4
Gini index ^a	35.3
School enrollment, primary (% gross) ^b	93.8
Life expectancy at birth, years ^b	58.9
Total GHG emissions (mtCO2e)	54.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

Despite global turbulence and tightened financial conditions, economic growth should reach 6.5 percent in 2024. Steadfast revenue-based fiscal consolidation and debt management have bolstered investor confidence, with improved terms of trade, supporting macroeconomic sustainability. Increased oil production and ongoing structural and climate reforms could sustain growth. Extreme poverty incidence declined to 10.3 percent in 2024 from 10.7 percent in 2023, due to lower inflation, higher cocoa prices, and improved growth.

The Ivorian economy proved remarkably resilient against global and regional crises, averaging 6.7 percent real growth (4.1 percent per capita) over 2021-2022, though below pre-pandemic levels. Poverty declined from 39.5 percent to 37.5 percent between 2018 and 2021, highlighting a low growth transmission to poverty reduction, with a persistent and significant urban-rural divide. Rising geopolitical and climate uncertainties underscore the need for improved growth quality through deeper structural reforms and increased fiscal space, to meet the government's ambition to halve poverty and achieve upper-middle-income status by 2030. Increasing fiscal space requires sustained domestic revenue mobilization, particularly through tax revenue, as well as improved expenditure efficiency.

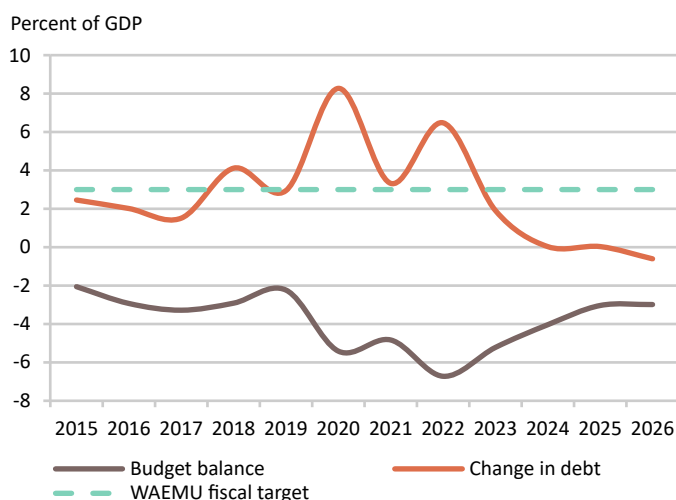
Strong economic management and prospects and promising hydrocarbon production have improved investor perception, leading to risk rating upgrades by major rating agencies. Headwinds include persistent geopolitical tensions, leading to commodity price volatility, supply-chain disruptions, and rising borrowing costs. Heightened regional insecurity could dampen foreign direct investment and shift public expenditure towards security at the expense of social sectors. Climate change also poses a significant challenge to development prospects.

Recent developments

Despite global and regional turbulence and tightened financial conditions, growth remained robust at 6.2 percent in 2023 and should rebound to 6.5 percent in 2024, driven by strong public and private investment as well as private consumption. Higher frequency data during H1-2024 compared to H1-2023 indicate that activity remains buoyant. Formal employment rose 7.4 percent thanks to buoyant activity and the implementation of the government's youth program, while higher farmgate cocoa prices (+50 percent), supported domestic demand. Electricity consumption growth accelerated from 7.8 percent to 11.6 percent, despite tariff increases and colder weather. Agriculture output was mixed as heavy rains hindered major export commodities. Cocoa and cashew output declined by 5 percent and 18.7 percent, respectively. Despite slowing manufacturing and construction, industry output grew 5.5 percent, bolstered by buoyant oil (+92.4 percent) and gold production (+20.5 percent). Services performed strongly, with the retail trade turnover index rising 12.5 percent, driven by digital communication and transportation.

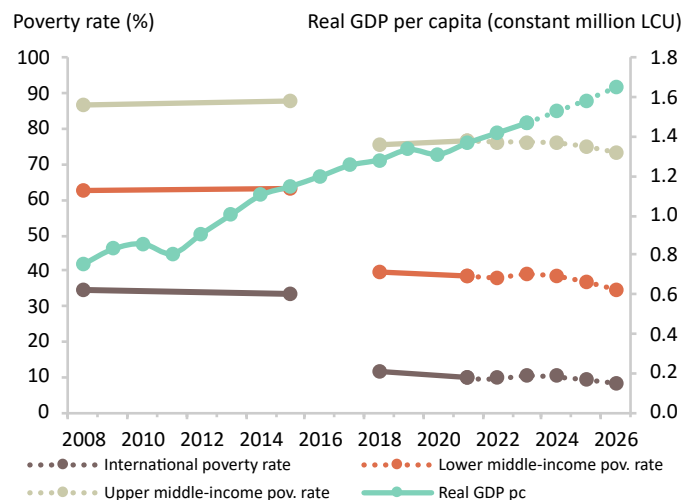
The fiscal deficit decreased from 6.8 percent of GDP in 2022 to 5.2 percent in 2023 due to strong tax collection and reduced crisis-related subsidies. It further declined to 1.6 percent of GDP in H1-2024 as revenue growth (+10.7 percent) outpaced expenditure (+5.5 percent), aiming for a 4 percent target in 2024. Gross fiscal financing needs totaling

FIGURE 1 Côte d'Ivoire / Budget balance and change in public debt



Source: World Bank.

FIGURE 2 Côte d'Ivoire / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

6 percent of GDP were covered regionally (one-third) and externally (two-thirds), partly from February's Eurobond issuance. Despite lower production, high cocoa prices and tax measures should sustain revenue in H2-2024 and improve the current account deficit (CAD) to 6.1 percent of GDP in 2024 from 7.9 percent in 2023. Terms of trade improved significantly (+14.5 percent) in H1-2024 as export prices grew (+6.6 percent) while import prices fell (-6.9 percent), boosting the trade balance of goods by 125 percent. Money supply growth slowed to 3.4 percent mid-2024 from 10 percent in 2023, due to deceleration in credit to the private sector (+7.6 percent vs. 21 percent mid-2023), public sector claims (+6.7 percent vs. 13 percent), and an increase in net external assets (-8.9 percent). Combined with moderating commodity prices, this decelerated inflation to 3.8 percent from 4.4 percent in 2023, despite energy prices increasing (+11.1 percent) due to the loosening of fuel subsidies and higher electricity tariffs. Core inflation fell to 2.8 percent (y/y), within the regional central bank's 1-3 percent target band. The Central Bank of West African States (BCEAO) has maintained its policy interest rates at 3.5 percent for liquidity calls and 5.5 percent for the marginal lending

facility since December 2023. Although WAEMU's inflation rate has decreased since its 2022 peak, it remains above the regional target, at 4.4 percent y/y in July 2024. Regional foreign exchange reserves remain low, covering only 3.5 months of imports in 2024Q1.

Extreme poverty incidence is projected to fall to 10.3 percent in 2024, a 0.4 percentage point drop from 2023. This decrease marks a turning point after three years of increasing extreme poverty incidence from 2021 to 2023. Higher cocoa farmgate prices would boost nominal gains growth in agriculture, benefiting 45.8 percent of the workforce, 76.6 percent of rural workers, and 70.2 percent of the poor. These gains, along with lower food inflation and expanding industry and services, would help reduce poverty.

Outlook

Growth should average 6.5 percent in 2025-2026, supported by prudent macroeconomic and structural policies and expanding extractive sectors. Together with sustained investments in transport and digital infrastructure, and agricultural value chain development, this could also

boost productivity and growth potential. The "Calao" oil field exploitation could considerably boost prospects, further investor confidence, and ease financing conditions. Domestic revenue mobilization under the new Medium-Term Revenue Strategy aims to: reduce the fiscal deficit to the 3 percent regional target in 2025; stabilize debt at 58 percent of GDP; and allow for sustained priority social and infrastructure spending. Improving terms of trade and private sector-led export diversification should boost the trade balance and narrow the CAD. The regional inflation rate should align with its target by 2025, while regional reserves are expected to rise gradually, supported by the resumption of international bond issuances, recovering exports, and monetary policy easing in the Euro Area. Continued inflation decline and broad-based growth could reduce extreme poverty to 9.4 in 2025 and 8.4 percent in 2026.

Risks to the outlook remain tilted to the downside. Climate change could hinder agricultural production. Heightened global and regional tensions, notably an escalation of the conflicts in the Middle East or the Sahel, could revert progress on market sentiment, inflation, and foreign reserves, tightening financing conditions, and exacerbating debt vulnerabilities.

TABLE 2 Côte d'Ivoire / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	7.1	6.2	6.2	6.5	6.4	6.6
Private consumption	5.3	4.4	2.8	3.0	3.5	3.6
Government consumption	6.1	11.1	4.9	-2.5	-1.9	1.2
Gross fixed capital investment	15.1	14.1	18.2	22.9	4.2	13.5
Exports, goods and services	17.3	49.4	8.6	4.0	16.0	13.2
Imports, goods and services	15.9	58.4	10.5	8.5	6.6	13.0
Real GDP growth, at constant factor prices	6.1	6.6	6.1	6.5	6.4	6.6
Agriculture	7.7	4.3	-1.7	4.7	4.3	5.5
Industry	5.2	7.3	6.1	8.4	7.8	8.6
Services	5.9	7.1	8.8	6.2	6.4	6.1
Inflation (consumer price index)	4.2	5.2	4.4	3.6	3.0	2.0
Current account balance (% of GDP)	-3.9	-7.7	-7.9	-6.1	-3.1	-3.0
Net foreign direct investment inflow (% of GDP)	1.5	2.0	1.7	3.8	3.8	3.3
Fiscal balance (% of GDP)	-4.8	-6.7	-5.2	-4.0	-3.0	-3.0
Revenues (% of GDP)	15.7	15.2	16.3	16.8	17.6	17.9
Debt (% of GDP)	51.4	57.9	59.8	59.8	59.9	59.3
Primary balance (% of GDP)	-2.9	-4.5	-2.6	-1.6	-0.5	-0.6
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	9.7	9.8	10.7	10.3	9.4	8.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	38.4	38.0	38.9	38.3	36.9	34.8
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	76.4	76.1	76.1	75.8	74.9	73.4
GHG emissions growth (mtCO₂e)	3.1	1.7	0.3	0.1	1.2	1.3
Energy related GHG emissions (% of total)	25.5	26.2	25.7	25.1	25.0	24.9

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

EQUATORIAL GUINEA

Table 1 **2023**

Population, million	1.7
GDP, current US\$ billion	12.1
GDP per capita, current US\$	7066.6
School enrollment, primary (% gross) ^a	51.2
Life expectancy at birth, years ^a	61.2
Total GHG emissions (mtCO ₂ e)	13.2

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2022).

After contracting by 5.7 percent in 2023, economic activity in Equatorial Guinea is projected to pick up in 2024 mainly supported by stronger hydrocarbon output. Fiscal and external positions are expected to improve thanks to higher hydrocarbon earnings but will deteriorate in the medium term as hydrocarbon production declines. A more pronounced decline in oil production and prices than expected, a sustained tightening of global financial conditions, global trade disruptions, and a decline in demand from main export partners represent downside risks to the outlook.

Key conditions and challenges

Equatorial Guinea's oil dependent economy has contracted over the past decade amid a shrinking hydrocarbon sector, declining investment, and a series of external and domestic shocks. Between 2013 and 2023, economic activity contracted by 4.1 percent per year, on average. GNI per capita was estimated at US\$5,240 in 2023, a 58 percent decrease compared to its peak level in 2008.

Structural reforms are needed to prevent long-term economic decline, by diversifying growth drivers and building fiscal stability through domestic revenue mobilization efforts and more efficient public spending. Reforms have been adopted in recent years to improve governance and the business environment, including the passage of an anti-corruption law, the signature of a decree establishing a treasury single account, the drafting of a procurement law and a revised tax law, and more recently the passage of a presidential decree that introduces economic and financial measures in support of the sustainability of the economy and public finances. Yet, weaknesses persist in the governance of extractive revenues, human capital outcomes, and the business environment, preventing the country from achieving sustained, diversified, and inclusive growth. Despite its upper middle-income status, Equatorial Guinea ranks only 133rd out of 193 countries on the Human Development

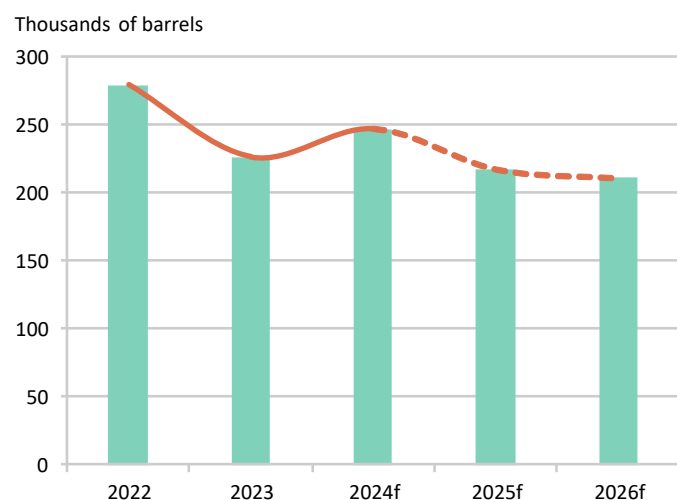
Index. Living standards remain low with life expectancy at birth estimated at 60.7 years. The II National Household Survey report, scheduled to be released in 2024, will fill knowledge gaps in poverty and inequality, enabling evidence-based policies to boost human development and reduce poverty.

Recent developments

Following two years of recovery, the Equatoguinean economy contracted in 2023 with a real GDP growth rate of -5.7 percent, driven by lower hydrocarbon output. Production of oil and gas contracted by 21.7 percent and 13.5 percent, respectively, on the back of recent incidents at Zafiro and FPSO Serpentina platforms. However, the hydrocarbon sector has been showing signs of recovery. Preliminary data indicate a pick-up in hydrocarbon production (5.6 percent increase in 2024Q2, year-on-year). The current account deficit widened to 1.6 percent of GDP in 2023 (from 0.9 percent of GDP in 2022) on account of declining hydrocarbon export earnings.

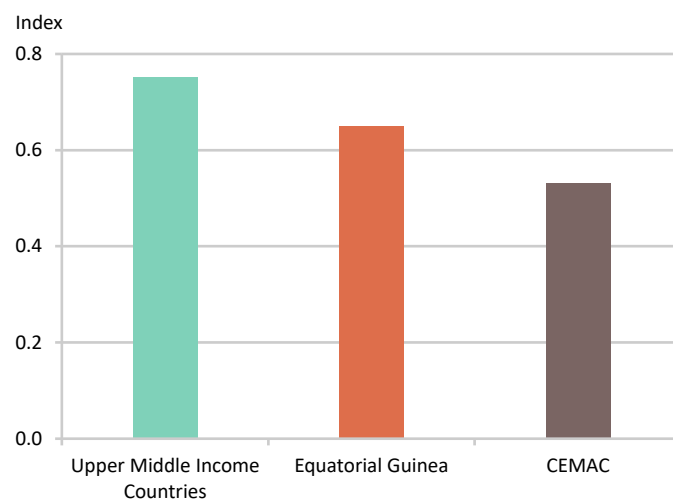
Lower oil production led to a 74 percent decline in oil revenues in 2023 and reduced the fiscal surplus to 2.6 percent of GDP in 2023, compared to 11.6 percent in 2022. Meanwhile, the non-oil fiscal deficit widened to 16.4 percent of GDP in 2023, compared to 12.7 percent of GDP in 2022. Preliminary data for 2024H1 indicate a decrease in revenues and spending by 12 percent and 7 percent, year-on-year,

FIGURE 1 Equatorial Guinea / Hydrocarbon production (in thousands of barrels per day of oil equivalent)



Sources: National authorities and World Bank.

FIGURE 2 Equatorial Guinea / Human Development Index



Source: United Nations Development Programme.

Note: CEMAC = Economic and Monetary Community of Central African States.

respectively. Over the period 2019-23, CFAF 572.2 billion (or 9.5 percent of GDP) out of the CFAF 1,382.5 billion was paid to reduce outstanding debt to construction companies. Nonetheless, as GDP shrank in 2023, public debt increased as a share of GDP from 35 percent in 2022 to 36.6 percent in 2023.

The Bank of Central African States (BEAC) has tightened its monetary policy since 2022 to contain inflationary pressures and support the exchange rate arrangement. The BEAC policy rate was maintained at five percent following a cumulative increase of 175 basis points between November 2021 and March 2023. Weekly liquidity injections were discontinued in early 2023 and BEAC has scaled down its liquidity absorption operations since the beginning of 2024. Inflation decreased from 4.9 percent in 2022 to 2.4 percent in 2023, due to containment measures by the BEAC and the agreement to import food products from Serbia, and the reduction of some import tariffs on imports. However, it inched up to 2.8 percent in August 2024, driven by higher prices of food and non-alcoholic beverages, housing, water, electricity, gas, and other fuels. High levels of

non-performing loans—32 percent of total loans in end-2023—remain a source of banking system vulnerability.

Outlook

The Equatoguinean economy is set to grow by 4.7 percent in 2024, driven by a rebound in the hydrocarbon sector thanks to expected repairs at hydrocarbon platforms following recent incidents. Barring strong structural reforms and substantial new hydrocarbon discoveries, average annual growth is projected at -2.6 percent in 2025-2026, reflecting mostly declining hydrocarbon production. Following a projected improvement in 2024, the current account balance is forecast to deteriorate over the medium term to an average of -2.7 percent of GDP over 2025-2026 due to declining hydrocarbon export earnings. The fiscal balance is projected to improve to 3.4 percent of GDP in 2024 thanks to an increase in hydrocarbon revenues and fiscal consolidation but will decrease in 2025-26 as hydrocarbon revenues continue to decline.

Risks to the outlook are tilted to the downside. A stronger decline in hydrocarbon production or prices would reduce the fiscal space and risk external stability given Equatorial Guinea's overdependence on oil. Global trade disruptions affecting commodity and food prices amid a protracted war on Ukraine would increase food insecurity, especially for the most vulnerable, as the country relies heavily on food imports. A further tightening of global financial conditions and lower demand from China and India, Equatorial Guinea's main export partners, could also undermine growth. On the upside, the government is continuing its efforts to optimize hydrocarbon reserves.

The secular decline in hydrocarbon reserves indicates the need for Equatorial Guinea to adopt a new growth model and better leverage the remaining hydrocarbon resources to unlock alternative sources of growth. Ultimately, implementing the country's economic diversification vision will require efforts to advance the governance and anti-corruption agenda, facilitate trade, boost human capital development, and improve the business environment and public financial management.

TABLE 2 Equatorial Guinea / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	0.9	3.7	-5.7	4.7	-4.4	-0.8
Private consumption	2.0	3.1	2.2	2.1	2.0	2.1
Government consumption	4.3	8.5	2.4	-8.6	3.9	3.3
Gross fixed capital investment	6.8	7.2	5.1	-1.5	-1.1	-1.0
Exports, goods and services	-5.1	7.6	-5.5	12.6	-7.2	-1.7
Imports, goods and services	-3.4	13.9	10.4	4.5	3.0	3.2
Real GDP growth, at constant factor prices	0.9	3.6	-5.9	4.7	-4.4	-0.8
Agriculture	6.5	6.2	2.2	2.3	2.1	1.9
Industry	-2.9	2.0	-11.9	6.2	-11.0	-2.5
Services	7.3	5.9	2.7	2.8	4.1	1.1
Inflation (consumer price index)	-0.1	4.9	2.4	2.9	3.3	3.0
Current account balance (% of GDP)	-2.1	-0.9	-1.6	-0.9	-2.6	-2.7
Net foreign direct investment inflow (% of GDP)	5.2	5.0	1.2	1.0	0.8	0.7
Fiscal balance (% of GDP)	2.6	11.6	2.6	3.4	1.5	0.2
Revenues (% of GDP)	15.4	26.9	22.3	22.0	20.8	19.7
Debt (% of GDP)	43.0	35.0	36.6	35.3	34.3	33.7
Primary balance (% of GDP)	3.7	12.7	3.7	4.5	2.7	1.4
GHG emissions growth (mtCO₂e)	7.8	5.5	-7.2	5.7	-7.7	-3.2
Energy related GHG emissions (% of total)	29.6	34.7	32.6	39.1	36.5	36.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

ERITREA

Table 1 **2023**

Population, million	3.7
GDP, current US\$ billion	2.7
GDP per capita, current US\$	712.3
School enrollment, primary (% gross) ^a	72.0
Life expectancy at birth, years ^a	66.6
Total GHG emissions (mtCO2e)	6.8

Source: WDI, Macro Poverty Outlook, and official data.

a/ WDI for School enrollment (2019); Life expectancy (2022).

The Colluli potash mine project is expected to support a modest increase in GDP growth to an estimated 2.8 percent in 2024. Lower global food prices are expected to help reduce inflation to 5.1 percent in 2024. Downside risks to the outlook include production delays at the Colluli mine, global commodity price volatility, geopolitical and regional tensions, and climate vulnerabilities.

Key conditions and challenges

Eritrea is an agriculture-driven economy and relies on mining sector exports. Approximately 70 percent of the population lives in rural areas and relies on rainfed farming, livestock, and fisheries activities. Despite its vast agricultural potential, Eritrea's rural economy is a subsistence one, with low agricultural productivity. The country is vulnerable to climate change, with frequent weather shocks posing a heavy burden on the economy and livelihoods. Eritrea emerged from a decade of international isolation with the lifting of UN sanctions in November 2018. During that period, the government relied on domestic sources of growth. Competition is severely constrained by state-owned enterprises' dominance and government restrictions. In practice, there is no fundamental right for either foreign or domestic private entities to establish or run business enterprises free from government interference. Zinc, copper, and gold account for over 90 percent of exports, so fluctuations in metal prices and demand from China, a key trading partner, are a key source of vulnerability. Economic fundamentals have been hampered by fiscal dominance and an underdeveloped financial sector. Monetary policy under a fixed exchange rate regime (pegged to the US dollar) seems ineffective and has been undertaken through administrative measures. Its effectiveness is further weakened by fiscal dominance and an

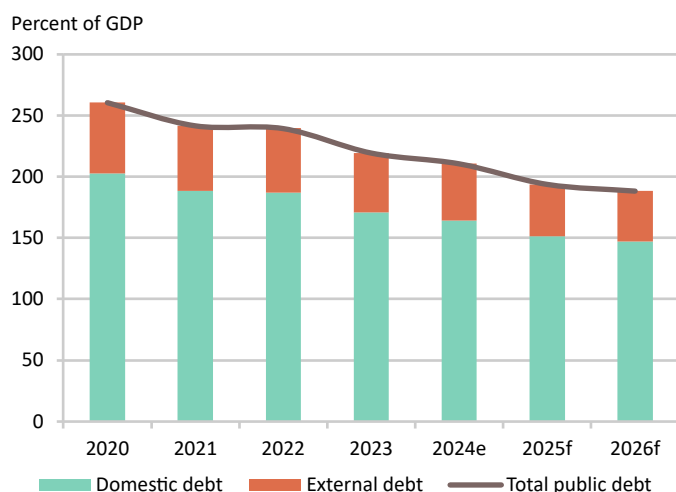
underdeveloped financial sector. The absence of a competition law framework discourages foreign capital inflows. Strict import restrictions limit the demand for foreign currency in the context of low foreign exchange reserves. Informal cross-border trade appears to be less affected since the conflict in northern Ethiopia ended, giving cross-border trade a boost.

The conditions that prevailed over the past decade have led to severe data production capacity constraints. National accounts data are limited to unofficial GDP estimates produced by the Ministry of Finance that the government does not endorse. Inflation estimates cover only the capital city, Asmara, and full balance of payment accounts are not produced. Poverty statistics have not been produced for more than a decade.

Recent developments

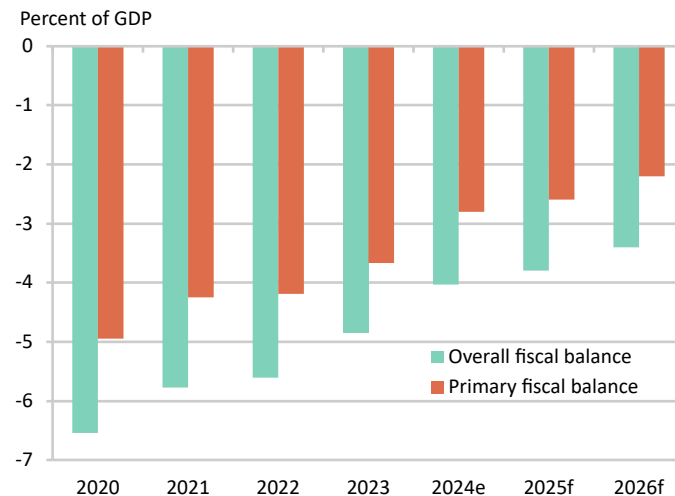
Real GDP growth was estimated at 2.6 percent in 2023, mainly driven by the construction of the Colluli potash mining project. Meanwhile, inflation moderated to just over 6 percent in 2023, underpinned mainly by easing global food and energy prices, providing some respite for households. Zinc prices fell by 24 percent in 2023 and continued declining by 2 percent in first eight months of 2024 (yoy). However, copper prices remained relatively high, while rising global risk aversion and geo-political risk has pushed global gold prices to multi-decade highs, contributing to higher export revenues.

FIGURE 1 Eritrea / Evolution of total public debt



Sources: Ministry of Finance, Planning, and Economic Development, IMF, and World Bank staff estimate.

FIGURE 2 Eritrea / Primary and overall fiscal balances



Sources: Ministry of Finance, Planning and Economic Development, IMF, and World Bank staff estimates.

Higher export revenues and lower fuel and food imports helped maintain the current account surplus above 14 percent of GDP. Notwithstanding such large surpluses, international reserves are estimated at around three months of imports.

Strong mining export revenues have also supported government revenues. Public debt was estimated at around 219 percent of GDP at end-2023, of which nearly 80 percent is owed to domestic banks. The country is in debt distress, and as of May 2024, Eritrea was at a pre-decision point in the Highly Indebted Poor Countries (HIPC) list.

Following an engagement hiatus in 2020, Eritrea has begun to re-engage with international development partners and revitalized some bilateral relations since 2023. The African Development Bank approved US\$49.9 million in 2023 to build a 30-megawatt solar photovoltaic power plant in Dekemhare, which is scheduled to be completed in 2027. The Chinese company Sichuan Road and Bridge Group has acquired a 50 percent stake in the Colluli project, with an estimated operation start in 2026.

Outlook

GDP growth is projected to modestly increase to 2.8 percent in 2024 and 3.0 percent in 2025, as domestic demand is boosted in the short term by progress in the construction of the Colluli mine, and projected to reach 3.3 percent in 2026 once the mine begins production. As global food prices eased in 2024, average inflation is expected to decrease further to 5 percent in 2024 and 5.2 percent in 2025. The current account surplus is expected to remain large at around 14 percent of GDP in 2024, helped by robust mining sector performance amid tight import controls. Gradual fiscal consolidation and sustained mining sector receipts should support a narrowing of the fiscal deficit to 4 percent of GDP in 2024, with fiscal consolidation continuing over the medium term. The economic recovery is expected to support a reduction in the public debt-to-GDP ratio, from 211 percent in 2024 to 188 percent in 2026. The poverty rate is not expected to decline

significantly in the coming years. Significant improvements in the agricultural sector and increased productive employment in urban areas are critical to addressing the widespread deprivation in the country.

Significant downside risks include weaker-than-expected global or Chinese demand for commodity exports and related volatility in metals and minerals prices, production delays at the Colluli mine, spillovers from Sudan conflict, and rising geopolitical tensions and an increasing degree of isolation reflected in the recent flight suspension by Ethiopia Airlines to Eritrea. Moreover, climate vulnerabilities could intensify in the coming years, increasing an already high risk of food insecurity.

Eritrea's re-engagement with the international community could help to significantly reduce external arrears and provide much-needed financing to build essential infrastructure over the medium term. This would help reduce the risks associated with climate change, and foster the development of the private and financial sectors, which could enhance job creation and promote inclusive growth.

TABLE 2 Eritrea / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	2.9	2.5	2.6	2.8	3.0	3.3
Private consumption	3.0	3.6	4.0	4.3	4.1	4.1
Government consumption	14.0	5.7	3.7	4.1	4.1	4.1
Gross fixed capital investment	39.1	13.1	22.7	3.6	12.5	14.9
Exports, goods and services	31.0	9.2	5.1	3.7	4.1	4.1
Imports, goods and services	21.6	11.0	5.3	4.1	4.3	4.3
Real GDP growth, at constant factor prices	2.9	2.5	2.6	2.8	3.0	3.3
Agriculture	4.5	1.6	3.5	3.6	3.2	3.2
Industry	1.4	3.2	2.9	3.3	3.3	3.1
Services	5.3	1.3	1.5	1.2	2.2	3.8
Inflation (consumer price index)	6.6	7.4	6.4	5.1	5.2	5.2
Current account balance (% of GDP)	14.0	13.0	14.1	14.2	14.2	15.8
Net foreign direct investment inflow (% of GDP)	1.4	1.3	1.2	1.2	1.0	1.0
Fiscal balance (% of GDP)	-5.8	-5.6	-4.8	-4.0	-3.8	-3.4
Revenues (% of GDP)	26.7	27.0	27.6	28.5	28.7	29.1
Debt (% of GDP)	241.7	239.8	219.4	210.6	193.8	188.3
Primary balance (% of GDP)	-4.2	-4.2	-3.7	-2.8	-2.6	-2.2
GHG emissions growth (mtCO₂e)	0.9	0.9	1.0	1.4	1.4	1.4
Energy related GHG emissions (% of total)	12.0	12.2	12.2	12.4	12.6	13.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

ESWATINI

Table 1 **2023**

Population, million	1.2
GDP, current US\$ billion	4.6
GDP per capita, current US\$	3822.9
International poverty rate (\$2.15) ^a	36.1
Lower middle-income poverty rate (\$3.65) ^a	58.0
Upper middle-income poverty rate (\$6.85) ^a	78.1
Gini index ^a	54.6
School enrollment, primary (% gross) ^b	120.9
Life expectancy at birth, years ^b	56.4
Total GHG emissions (mtCO2e)	3.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2017 PPPs.

b/ WDI for School enrollment (2019); Life expectancy (2022).

Real GDP is projected to grow by 4.6 percent in 2024, driven by higher exports and public spending financed by higher Southern African Customs Union (SACU) revenues. The fiscal deficit is projected to narrow but high public expenditure arrears and heavy dependence on (volatile) SACU revenues will remain sources of vulnerabilities. Inflation is projected to fall below 4.5 percent, while the poverty rates will stay elevated.

Key conditions and challenges

Structural challenges in the business environment, fiscal policy, and state-owned enterprises have constrained growth and hindered broad-based improvements in living standards over the past few decades. After achieving 8 percent average economic growth from 1980 until 1994, GDP growth fell to an annual average of 3 percent from 1996 to 2023, as many big firms relocated to South Africa, and Eswatini's economy became increasingly dependent on government-driven consumption. Fostering development entails shifting from state-led growth to private-sector-led growth and increasing the effectiveness of fiscal policy. These could in turn improve the country's attractiveness as an investment destination relative to its neighbors and help address several structural challenges in the business climate.

Strengthening public financial management could improve the efficiency and effectiveness of government spending. Key public financial management challenges include limited planning, budgeting, and expenditure controls. Large arrears to the private sector (at over 5 percent of GDP as of July 2024) reflect financing gaps and deficiencies in procurement and cash management. Addressing these challenges will require adequate implementation of the 2017 Public Financial Management Act and the introduction of an Integrated Financial Management

Information System (IFMIS). In 2023, a large increase in SACU revenues has allowed the government to finance higher public spending, but this might prove difficult to reverse when these revenues decline. The recent creation of the SACU Stabilization Fund is a step forward in reducing fiscal risks.

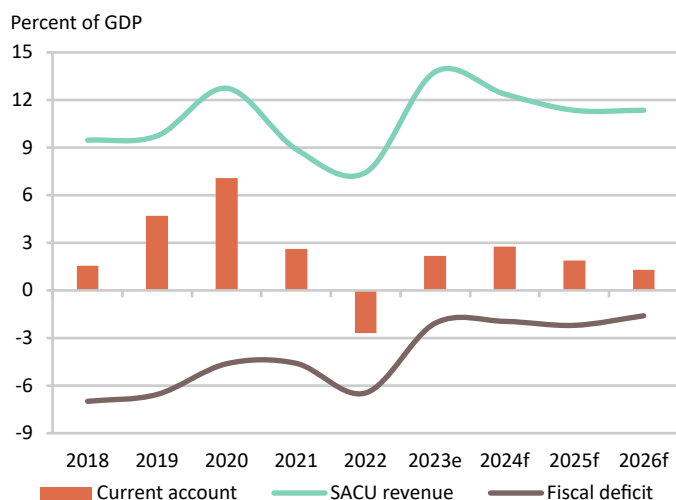
Eswatini's social indicators are lagging those of other lower middle-income countries. The most recent labor force survey puts unemployment at 33.3 percent in 2021, the highest rate on record in over a decade and over 50 percent of the population continues to live below the US\$3.65/day (2017 PPP) lower middle-income country poverty line. High and persistent inequality (54.6 percent Gini index in 2016) is also a risk to social stability.

Recent developments

Overall, the economy performed well during the first half of 2024, supported by both domestic and foreign demand. The sustained increase in SACU revenues boosted domestic demand and lifted growth in the service sector. Merchandise exports increased by 14 percent over the past 12 months. Despite high interest rates, credit extended to businesses and households increased, indicating some uptick in economic activity. Nevertheless, construction activities declined during this period.

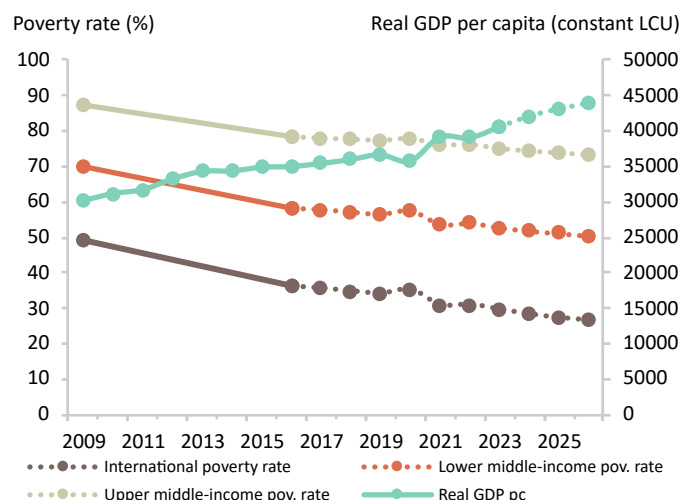
Inflationary pressures eased in the first seven months of 2024, partly due to the easing of global inflation drivers. Annual

FIGURE 1 Eswatini / SACU revenues and macroeconomic variables



Sources: Eswatini Ministry of Finance and World Bank staff projections.

FIGURE 2 Eswatini / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

inflation averaged 4.2 percent during this period compared to 5.4 percent during the same period in 2023. Food inflation declined from double digits to single digits. The Central Bank has maintained its repo rate at 7.5 percent since July 2023—aligned with the monetary policy stance in South Africa but 75 basis points lower.

The fiscal situation has improved driven by high SACU revenues, yet high public expenditure arrears still require urgent resolution. The fiscal deficit is estimated to have declined to 2.0 percent of GDP in 2023 (from 6.5 percent in 2022) as SACU revenues more than doubled. Notwithstanding the surge in revenues expenditure arrears increased from 4.9 percent at the end of 2023 to over 5.0 percent of GDP in July 2024, reflecting deficiencies in cash flow management and commitment controls. Public debt declined to below 40 percent of GDP and the government deposited E750 million into Revenue Stabilization Fund during 2024H1.

The trade surplus more than doubled year-on-year in January-July 2024. The 14 percent increase in exports was driven mainly by soft drink concentrate and sugar exports while the 10 percent increase in imports was partly driven by capital and energy products. Nevertheless, the level of

international reserves remained below 3 months of imports.

Limited formal job creation and the high concentration of employment in low value-added activities such as subsistence agriculture constrain poverty reduction.

Outlook

Real GDP growth is projected to remain strong at 4.6 percent in 2024, driven by higher exports and domestic spending financed from higher SACU revenues. Rising external demand is expected to pull manufacturing and other exports. High SACU revenues in 2024 are projected to ease fiscal and external pressures, but the situation is complicated by financing challenges and associated expenditure arrears. The fiscal deficit is projected to remain at 2.0 percent of GDP in 2024, on account of higher SACU revenues. Public debt is projected to remain below 40 percent of GDP. In the medium-term fiscal deficit may increase due to declining SACU revenue. The current account surplus is projected to increase in 2024. Nevertheless, gross official reserves are projected to remain below 3 months of import cover, as

the government uses SACU reserves to finance the fiscal deficit.

Improvement in household welfare will be constrained by lower agricultural production (due to factors such as erratic rainfall, and insufficient investments in inputs) and structural challenges including low job creation and access to services and markets. Poverty, based on the lower-middle-income country poverty line (\$3.65), is projected to decline slightly from 54 percent in 2022 to 51.9 percent in 2024 and 51.2 percent in 2025.

Growth is projected to gradually decline in the medium term as less favorable external demand reduces SACU revenues. The main drivers of growth over the medium term are expected to be investments in the mining and energy sectors, and the commencement of Phase I of the Mkhondvo-Ngwavuma Water Augmentation Program. Inflation is projected to remain within the 3-6 percent target band, reflecting easing global inflationary trends.

Risks to the outlook include global uncertainties and lower-than-expected growth in South Africa that could reduce exports. Fiscal risks could emanate from lower SACU receipts and spending pressures. Interest rate differentials with South Africa are a risk to potential capital outflows.

TABLE 2 Eswatini / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	10.7	0.5	4.8	4.6	3.5	2.9
Private consumption	5.7	-5.3	4.1	4.5	3.8	3.2
Government consumption	-10.6	-0.3	9.7	2.2	0.8	1.6
Gross fixed capital investment	11.4	-10.8	1.0	3.0	2.3	1.2
Exports, goods and services	8.8	-0.4	8.0	4.0	2.6	2.4
Imports, goods and services	14.0	3.4	7.0	2.7	2.0	2.0
Real GDP growth, at constant factor prices	10.7	0.2	4.8	4.6	3.5	2.9
Agriculture	4.6	5.1	-2.5	3.3	1.9	1.8
Industry	17.9	-0.3	1.5	5.6	4.4	3.0
Services	7.1	-0.1	8.2	4.2	3.1	3.0
Inflation (consumer price index)	3.7	4.8	5.0	4.4	5.4	5.0
Current account balance (% of GDP)	2.6	-2.7	2.2	4.8	2.7	2.1
Net foreign direct investment inflow (% of GDP)	1.2	0.7	1.1	0.9	1.1	1.1
Fiscal balance (% of GDP)	-4.6	-6.5	-2.1	-2.0	-2.2	-1.6
Revenues (% of GDP)	25.1	24.0	29.7	29.4	27.6	27.4
Debt (% of GDP)	37.9	42.2	41.0	39.7	38.7	38.5
Primary balance (% of GDP)	-2.7	-4.2	0.9	0.5	0.4	1.0
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	30.9	31.0	29.6	28.2	27.2	26.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	53.7	54.0	52.8	51.9	51.2	50.5
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	76.1	76.2	75.1	74.4	73.9	73.5
GHG emissions growth (mtCO₂e)	7.3	0.6	0.8	2.9	4.2	4.5
Energy related GHG emissions (% of total)	47.2	46.8	46.3	47.0	48.2	49.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2016-HIES. Actual data: 2016. Nowcast: 2017-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2016) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

ETHIOPIA

Table 1 **2023**

Population, million	126.5
GDP, current US\$ billion	171.3
GDP per capita, current US\$	1353.5
International poverty rate (\$2.15) ^a	27.0
Lower middle-income poverty rate (\$3.65) ^a	65.0
Upper middle-income poverty rate (\$6.85) ^a	90.9
Gini index ^a	35.0
School enrollment, primary (% gross) ^b	85.5
Life expectancy at birth, years ^b	65.6
Total GHG emissions (mtCO2e)	201.4

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2015), 2017 PPPs.

b/ Most recent WDI value (2022).

Ethiopia liberalized its foreign exchange market, removing a significant obstacle to economic growth and stability. Complementary structural reforms support the transition to private sector-led growth and improve economic management. A safety net budget expansion is expected to help cushion the poor from the short-term impacts of these reforms. The persistence of widespread fragility, poverty, and pressing humanitarian needs pose challenges to sustaining reform momentum.

Key conditions and challenges

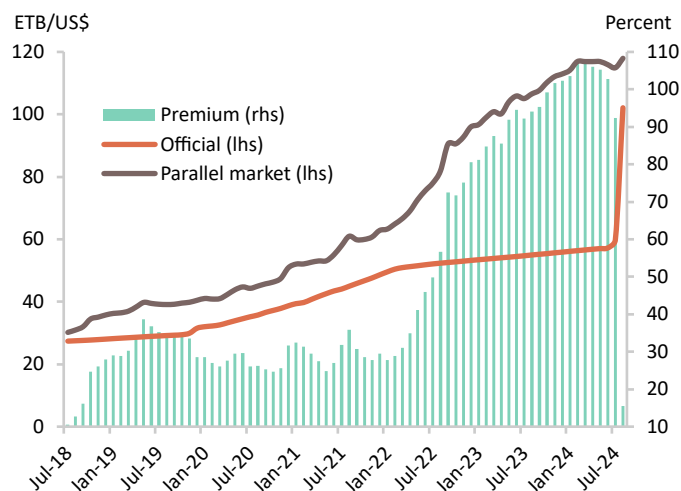
Between 2004-2018, Ethiopia was among the world's fastest-growing economies. The state-led development model improved infrastructure and living standards but relied on an overvalued currency, unsustainable debt, and strict regulations limiting private investment. This approach hurt competitiveness, fueled inflation, and drained resources. The model did not boost productivity enough to transform the economy or provide jobs for about two million new job seekers annually. Global trade integration remains limited, and growing budget constraints sharply reduced social and capital spending. Human capital levels have stayed low, and 70 percent of the workforce still depends on agriculture. As this model faltered, multiple crises hit: COVID-19, Russia's invasion of Ukraine, the Tigray conflict, and droughts. As a result, growth declined and economic imbalances worsened, leading to a debt default in late 2023. Living standards have deteriorated for the first time in over two decades. The Tigray conflict displaced over 20 million people, resulting in large humanitarian and reconstruction needs (estimated at US\$20 billion). About 15 million people rely on food aid. To stabilize the economy and revive growth, the government announced major reforms in late July 2024. This included an immediate shift to market-determined exchange rates, the removal of most current

account restrictions, and the modernization of the monetary policy framework. These reforms are supported by an IMF program, World Bank Development Policy Financing, and proposed debt relief through the G20 Common Framework. Uncertainty remains high, but there are early signs that the forex market is stabilizing after the initial reforms. Ethiopia's challenge now is to sustain and deepen these reforms to translate economic improvements into tangible benefits for people: higher incomes, more jobs, and better public services.

Recent developments

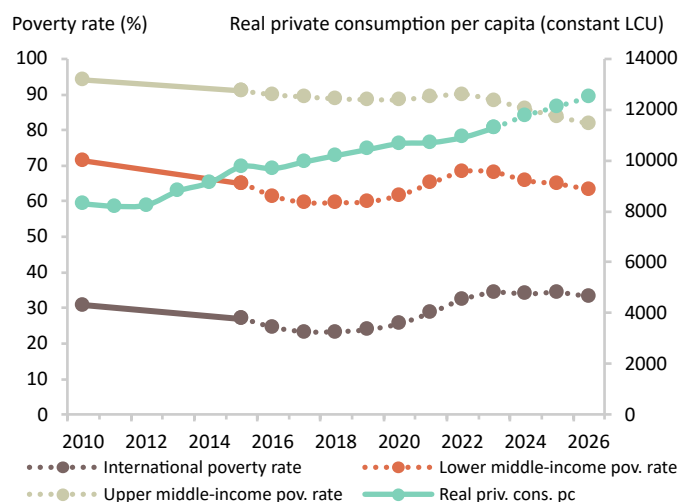
Growth rebounded to 7.2 percent in FY23 after the Tigray conflict ended. It remained strong in FY24, boosted by better harvests and agricultural reforms. However, increasing forex shortages and falling revenues (below 7 percent of GDP in FY24) intensified economic pressures. The parallel forex market premium exceeded 100 percent, and international reserves hit critical lows. This weakened manufacturing and services. Declining revenues and foreign assistance forced fiscal cuts, reducing capital spending and regional grants. The fiscal deficit decreased to 1.8 percent in FY24, reducing the need for highly inflationary monetary financing from the central bank which fuels inflation. Inflation has fallen steadily in 2024 from about 30 percent in the two previous years to 18.6 percent in July 2024. Public debt as a share of GDP continued to decline due

FIGURE 1 Ethiopia / Nominal exchange rate of Ethiopian Birr (ETB)



Source: National Bank of Ethiopia.

FIGURE 2 Ethiopia / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

to tight borrowing limits. Import suppression, lower global commodity prices, and higher Ethiopian Airlines exports helped limit the current account deficit to about 2.8 percent of GDP in FY24.

After the forex market reforms, the weighted average US Dollar exchange rate depreciated by 91 percent, and the parallel market premium narrowed to about 7 percent. Large IMF and World Bank disbursements linked to the reforms have boosted international reserves.

Measures to recapitalize the Commercial Bank of Ethiopia and strengthen banking supervision aim to enhance financial stability and efficiency. Despite increased risks from the banking sector's higher net open position due to forex reforms, the sector remains adequately capitalized.

Recent conflicts, economic shocks, and high population growth have likely increased poverty and lowered household welfare nationwide. The reforms aim to reverse these trends by accelerating rural agricultural market activity, improving rural land tenure and security, and expanding urban and rural safety net coverage and benefits. These recent measures focus on addressing poverty and improving overall welfare.

Outlook

Short-term economic activity is expected to slow due to tighter monetary policies and investor uncertainty. However, growth should recover as conditions stabilize and forex availability improves. Continued reforms and expected debt relief will increase private and public investment, raising medium-term growth to about 7 percent.

Inflation is likely to rise to about 30 percent due to higher import costs and utility tariff adjustments. It is expected to decrease to low double digits by FY26 as the impacts of one-off price adjustments fade and reforms ease supply constraints. Phased fuel and fertilizer price increases will help manage inflation. Improved forex availability will increase demand for imports, contributing to a wider current account deficit in FY25. The deficit should then narrow as import suppression eases and exports become more competitive. Tax reforms and increased development assistance are expected to support a recovery in public spending levels, reversing the

trend of declining real expenditure in recent years.

To cushion the short-term impacts of macroeconomic reforms on poverty (mainly through higher prices), the government will significantly expand social assistance spending. This includes a nearly five-fold increase in social assistance spending, wage increases for the lowest-paid civil servants, and a temporary social spending package worth 1.1 percent of GDP. These measures will boost beneficiary payments and extend coverage to more permanent and temporary recipients. The government is also phasing in fuel and fertilizer price increases and safeguarding essential food and medicine imports from price spikes.

In the medium term, the reforms are expected to generate more employment opportunities for the poor and increase demand for agricultural products in both domestic and international markets. This should ultimately improve living conditions and accelerate poverty reduction.

However, significant risks remain. Lower-than-expected forex inflows, unforeseen financial exposures, and the intensification of conflict could undermine growth, private investment, and efforts to stabilize the economy.

TABLE 2 Ethiopia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020/21	2021/22	2022/23	2023/24e	2024/25f	2025/26f
Real GDP growth, at constant market prices	6.3	6.4	7.2	6.1	6.5	7.1
Private consumption	3.0	4.5	6.1	6.9	5.5	5.6
Government consumption	12.2	1.5	-16.0	-9.3	29.7	1.1
Gross fixed capital investment	7.6	11.0	11.2	10.3	5.2	9.7
Exports, goods and services	5.5	11.7	-0.8	4.5	11.2	11.0
Imports, goods and services	2.0	10.8	-4.1	13.0	9.9	8.1
Real GDP growth, at constant factor prices	6.3	6.4	7.2	6.1	6.5	7.1
Agriculture	5.5	6.0	6.3	6.0	6.0	5.9
Industry	7.3	4.8	6.9	4.4	5.2	7.1
Services	6.3	7.9	8.0	7.3	7.7	8.1
Inflation (consumer price index)	20.2	33.7	32.6	27.0	29.9	16.2
Current account balance (% of GDP)	-2.7	-4.0	-2.8	-2.8	-4.5	-3.2
Fiscal balance (% of GDP)	-2.5	-4.2	-2.7	-1.8	-2.5	-2.0
Revenues (% of GDP)	10.7	8.2	7.9	7.6	9.1	10.6
Debt (% of GDP)	56.6	54.4	42.7	36.3	32.5	31.1
Primary balance (% of GDP)	-2.0	-3.6	-2.1	-1.2	-1.9	-1.4
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	28.7	32.4	34.3	33.9	34.3	33.1
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	65.0	68.3	68.0	65.7	64.8	63.1
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	89.3	90.0	88.2	85.8	83.6	81.7
GHG emissions growth (mtCO₂e)	-2.8	1.4	3.5	3.2	2.6	2.3
Energy related GHG emissions (% of total)	14.0	14.3	14.3	14.2	14.2	14.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast. Growth projections reflect limited available information, and are subject to revision as better data becomes available.

a/ Calculations based on 2015-HICES. Actual data: 2015. Nowcast: 2016-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

GABON

Table 1 **2023**

Population, million	2.4
GDP, current US\$ billion	20.1
GDP per capita, current US\$	8231.1
International poverty rate (\$2.15) ^a	2.5
Lower middle-income poverty rate (\$3.65) ^a	8.1
Upper middle-income poverty rate (\$6.85) ^a	31.2
Gini index ^a	38.0
School enrollment, primary (% gross) ^b	100.6
Life expectancy at birth, years ^b	65.7
Total GHG emissions (mtCO2e)	19.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2017), 2017 PPPs.

b/ Most recent WDI value (2022).

Gabon's economy grew by 2.4 percent in 2023, a lower growth compared to 2022, impacted by logistical disruptions. Triggered by the August 2023 coup, the ongoing political transition is an opportunity for reforms, with many actions underway. An orderly return to constitutional order will be crucial to avoid social, economic, and financing risks. Strong reforms are required to reverse the current trend and set the country on a poverty reduction path, without compromising public finances.

Key conditions and challenges

The August 2023 coup was followed by a peaceful transition in Gabon, with significant institutional changes. A national dialogue was held in April 2024 and a new constitution should be adopted by referendum by end-2024. Legal and policy reforms and investments are being made in roads, airports, energy and water, a new public bank for SME support, agriculture, housing, and social areas.

Several development challenges persist. Despite Gabon's resource wealth, extractives-based growth remains insufficient, vulnerable to price fluctuations, and unable to create enough jobs. One-third of the population lives in poverty, twice as much in rural areas. High urbanization has concentrated poverty in cities like Libreville and Port-Gentil. Income inequality is stark, youth unemployment is high and informality limits job opportunities. Infrastructure gaps hinder growth and investment.

While major transparency initiatives are underway, such as the planned publication of oil contracts and validation of Gabon's EITI membership, governance challenges impede efficient resource use. High social expectations—that the political transition will tangibly improve living conditions—are translating into higher spending, and worsening fiscal and debt pressures. For instance, fuel subsidies have been expanded, at a significant fiscal cost.

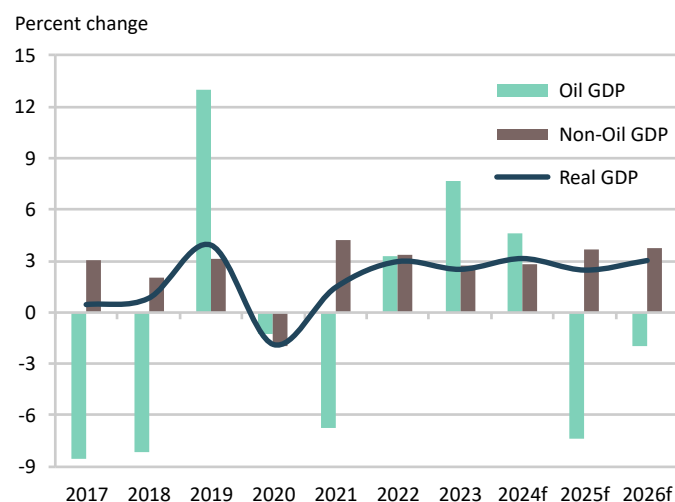
Substantial efforts are being made to clear past payment arrears, but accumulation of new ones remains a challenge. High fiscal and liquidity risks led Moody's and Fitch to downgrade Gabon's ratings, while the IMF's May 2024 debt sustainability analysis assessed a high risk of debt distress, noting a significant deterioration in debt sustainability since the previous assessment in 2022.

As outlined in the National Development Plan for the Transition, reforms are needed to create jobs and local value-addition in sustainable forestry, mining, agriculture, and fisheries. Improving access to credit, labor skills, infrastructure, and public action, is essential for higher growth. The return to constitutional order within the announced timetable is crucial to avoid accentuating financing risks. Optimizing revenues and improving spending discipline, efficiency, and targeting will be key to reinforcing fiscal sustainability.

Recent developments

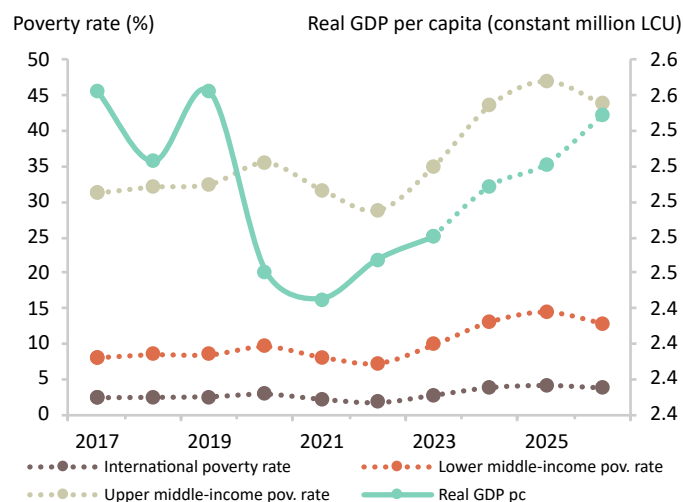
In 2023, Gabon's GDP grew by 2.4 percent, a lower growth rate compared to 2022, as landslides caused railway blockages that affected manganese and wood exports. As the new government restored international relations and accelerated public investments, the coup did not significantly affect growth, except for the impact of nighttime curfews on services. Demand-side growth was led by oil exports and public investment. The economy grew by 1.1 percent

FIGURE 1 Gabon / Growth of real GDP, real oil GDP, and real non-oil GDP



Sources: Official government data and World Bank calculations.

FIGURE 2 Gabon / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

in 2024Q1 (q-o-q), led by higher-than-expected oil output and a recovering wood production, boosted by stronger Asian and European demand.

The current account surplus remained high at 28.5 percent of GDP in 2023, supported by commodity exports, despite increased imports due to higher public spending.

Despite stronger tax collection, higher expenditures increased the overall fiscal deficit to 1.0 percent of GDP in 2023, bringing the non-oil primary balance to -12.7 percent of non-oil GDP, due to electoral spending and the resumption of public service hiring, new social measures, and public works launched in late 2023. Additional debt components were identified since the transition, bringing public debt to 72.1 percent of GDP in 2023. In 2024Q1, higher-than-anticipated oil prices benefited oil revenues, which, combined with spending below budgetary forecasts, led to an estimated fiscal surplus of 1.5 percent of GDP.

At 1.0 percent in June (y-o-y), inflation continued to ease in early 2024, in view of expanded price ceilings on essential goods, fuel subsidies, and a tight monetary policy. The BEAC kept the policy rate at five percent following a cumulative 175 basis point increase between November 2021 and March 2023, discontinued weekly liquidity injections in

early 2023, and scaled-down liquidity absorption operations since early 2024. Yet, credit to firms expanded by 23.3 percent in June 2024 (y-o-y), with private demand coming notably from oil and construction.

Lower growth compared to 2022 and insufficient job creation increased poverty. The share of Gabonese living under \$6.85 per day (in 2017 PPP) is estimated to have reached 35.1 percent in 2023, or nearly 855,000 people.

Outlook

Moderate growth is projected to continue, at around 2.9 percent in 2024-26. Depleting reserves would start to reduce oil output in 2025, but growth would be sustained by expanding the wood industry, oil palm and rubber plantations, and the entry into production of new iron and manganese deposits. Also, major public projects would drive construction and services.

The current account surplus would reduce gradually over the years. Lower oil production would affect exports, while imports would decline more gradually in the context of constrained fiscal space.

Slightly decreasing oil prices and lower production would reduce oil revenues in

the coming years. Further spending increases in response to significant spending pressures, coming from capital expenditures, fuel subsidies, other social measures, and the 2025 elections would worsen the fiscal situation. A deteriorating fiscal position, with deficits averaging 4.3 percent of GDP in 2024-26, would, without corrective measures to contain spending such as fuel subsidies, aggravate Gabon's debt situation.

Inflation should remain below the 3.0 regional convergence criteria. Yet, the prevalence of non-labor-intensive oil and mining industries, lack of private sector growth, and mismatching labor skills result in high unemployment. Joblessness and underfunded, poorly targeted social protection are expected to sustain elevated poverty levels, projected to reach 39.0 percent by 2025. The absolute number of individuals living in poverty in Gabon is expected to surpass one million by 2026.

External risks for Gabon's outlook include oil price shocks, lower Asian demand, stricter global financial conditions, and worsening geopolitical conflicts that could increase inflation and trade disruptions. Internally, delays in the transition could compromise stability and access to finance, and a stronger focus on the political agenda could stall growth-enabling reforms.

TABLE 2 Gabon / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	1.5	3.1	2.4	3.1	2.4	3.0
Private consumption	-1.4	-0.3	2.1	1.4	1.6	3.0
Government consumption	3.2	3.8	1.5	4.8	1.0	-2.1
Gross fixed capital investment	12.7	8.5	6.1	-2.3	4.7	-2.0
Exports, goods and services	12.8	12.9	-2.5	7.5	-2.2	-0.1
Imports, goods and services	17.4	12.5	1.3	1.5	0.0	-4.1
Real GDP growth, at constant factor prices	3.5	3.5	2.5	3.1	2.4	3.0
Agriculture	19.2	9.7	-2.0	1.8	4.0	6.6
Industry	3.2	3.4	3.8	2.8	-1.1	4.2
Services	1.3	2.5	2.5	3.6	4.3	1.7
Inflation (consumer price index)	1.1	4.3	3.7	2.4	2.3	2.2
Current account balance (% of GDP)	27.3	34.4	28.5	30.7	27.2	27.9
Net foreign direct investment inflow (% of GDP)	2.2	4.7	5.6	4.9	4.6	4.5
Fiscal balance (% of GDP)	-1.9	-0.8	-1.0	-1.2	-6.0	-5.7
Revenues (% of GDP)	15.3	21.1	23.4	23.9	20.5	19.0
Debt (% of GDP)	68.5	57.0	72.1	71.5	77.3	79.1
Primary balance (% of GDP)	0.9	1.8	1.9	1.9	-2.8	-2.5
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	2.3	2.3	2.8	3.0	3.5	3.3
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	8.2	8.3	9.9	10.8	11.3	11.1
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	31.7	31.8	35.1	37.0	39.1	39.0
GHG emissions growth (mtCO₂e)	-2.8	-1.4	-1.6	0.0	0.0	0.7
Energy related GHG emissions (% of total)	14.2	14.2	13.1	11.8	10.6	9.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2017-EGEP. Actual data: 2017. Nowcast: 2018-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

THE GAMBIA

Table 1 **2023**

Population, million	2.8
GDP, current US\$ billion	2.4
GDP per capita, current US\$	853.1
International poverty rate (\$2.15) ^a	17.2
Lower middle-income poverty rate (\$3.65) ^a	47.0
Upper middle-income poverty rate (\$6.85) ^a	80.6
Gini index ^a	38.8
School enrollment, primary (% gross) ^b	93.7
Life expectancy at birth, years ^b	62.9
Total GHG emissions (mtCO2e)	3.2

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2020), 2017 PPPs.
b/ WDI for School enrollment (2023); Life expectancy (2022).

Economic growth is expected to accelerate to 5.6 percent in 2024 as favorable rainfall supported agricultural production while increased tourism bolstered services. Inflation would moderately decrease to 14.4 percent and poverty will decline. The fiscal deficit is expected at 2.6 percent of GDP, driven by a moderate increase in domestic revenue and lower capital spending. High inflation, debt vulnerabilities, balance of payment pressures, and global geopolitical tensions cloud the outlook.

Key conditions and challenges

The Gambia is leveraging its democratic transition that began in 2016 but still faces constraints that hinder its economic transformation, job creation and poverty reduction. The Gambia has recorded resilient growth, with real GDP rising by 4.9 percent (2.2 percent per capita) on annual average over 2017-2023, higher than the 2.8 percent (-0.4 percent per capita) on annual average over 1990-2016. There was a modest increase in productivity. However, global shocks in 2020 reversed these productivity gains. The recovery was hindered by governance and institutions challenges, a weak business environment, and climatic shocks, which prevented a labor shift to relatively more productive sectors.

These weaknesses are coupled with downside risks from high dependence on imports of essential goods and services, putting persistent pressure on the balance of payments. Fiscal risks remain substantial, given State-Owned Enterprises (SOEs) contingent liabilities and the high dependence on external grant financing due to low domestic revenue mobilization. High public debt also crowds out private sector credit.

In 2023, an estimated 16.1 percent of the population lived in extreme poverty (measured at the international poverty line of \$2.15 in 2017 PPPs). While poverty rates were higher in rural areas (28.1 percent,

compared with 6.3 percent in urban areas), the poor remain spatially concentrated in Kanifing and Brikama. Persistent poverty reflects profound deficits in human capital endowments, weak formal labor markets, the high prevalence of low-productivity jobs, and exposure to shocks, including climate events.

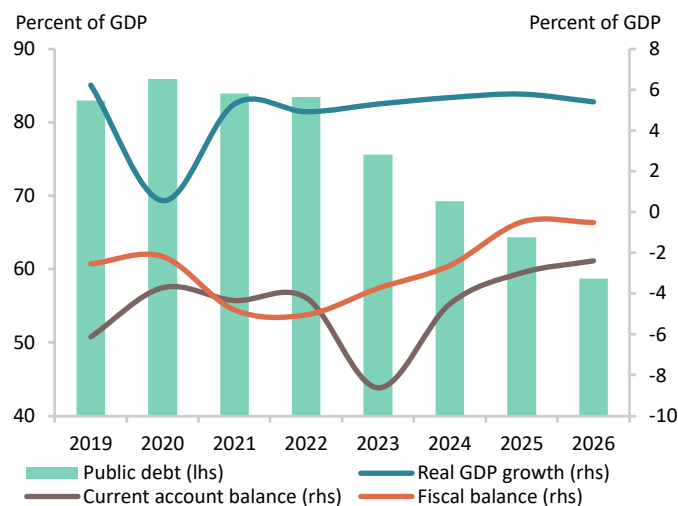
A National Development Plan 2023-2027 is being implemented to consolidate democratic governance, accelerate growth, and build resilience to shocks. Its implementation entails significant financing and capacity needs.

Recent developments

Growth is expected to accelerate to 5.6 percent (3.0 percent per capita) in 2024, driven mainly by agriculture and services, which benefit from favorable rainfall and increased tourism. Industry decelerated following the completion of major infrastructure projects in preparation for the Organization of Islamic Cooperation (OIC) Summit. Private investment and consumption, supported by remittances, and public consumption driven by the hosting of the OIC Summit, boosted growth on the demand side. Inflation is set to slow only moderately to 14.4 percent in 2024, driven mainly by import prices.

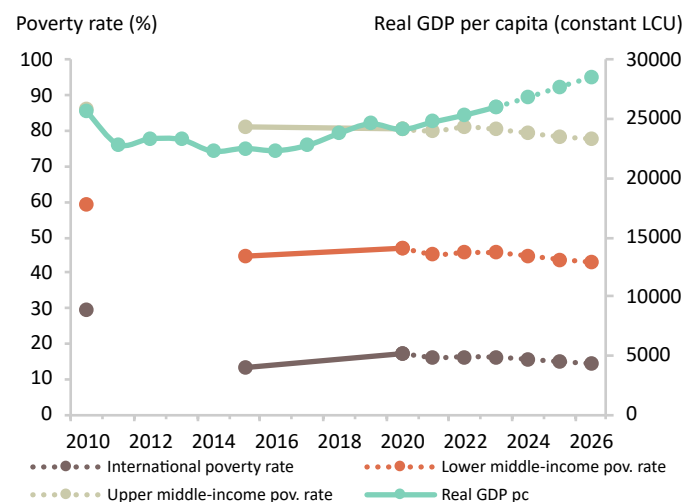
The fiscal deficit is expected at 2.6 percent of GDP in 2024, down from 3.7 percent in 2023, driven by a moderate increase in domestic revenue and a decrease in capital spending. Public debt is expected to continue to decline to 69.3 percent

FIGURE 1 The Gambia / Real GDP growth, current account balance, fiscal balance, and public debt



Sources: The Gambian authorities and World Bank estimates.

FIGURE 2 The Gambia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

of GDP in 2024, from 75.6 percent in 2023. Nevertheless, The Gambia remains at high risk of debt distress. The current account deficit (CAD) is projected to be almost halved to 4.5 percent of GDP in 2024, supported by increased tourism, higher remittances, and a decrease in investment-related imports. The Central Bank of the Gambia has maintained a tight monetary stance, keeping its policy rate high at 17 percent in August 2024, unchanged since August 2023. International reserves, while remaining at comfortable levels, are projected to decline to 4.7 months of imports in 2024, down from 4.9 months in 2023, with about an annual average of 11 percent depreciation expected in the nominal exchange rate. The banking industry continues to be stable, with healthy financial soundness indicators. Higher labor incomes—driven by a gradual recovery of tourism, public construction works, and a successful harvest—supported household consumption. Extreme poverty is expected to decline to 15.5 percent in 2024. While inflation, especially for food prices, remains around 17.0 percent and continues to erode household purchasing power, soaring remittances are expected to contribute to

higher private consumption and better household living standards.

Outlook

Growth is projected to average 5.6 percent (3.2 percent per capita) in 2025-26, driven by increased broad-based economic growth. However, it is expected to decelerate in 2026 as a result of capital spending-based fiscal consolidation. Agriculture and services are expected to sustain growth, assuming favorable rainfall and continued recovery of tourism. Robust remittances will sustain private sector demand, which, together with infrastructure programs, are expected to drive growth. Inflationary pressures, reflecting the restrictive monetary policy and easing global supply conditions, are predicted to ease to 8.2 percent in 2025-2026, stimulating private consumption. Rising economic activity, higher remittances, and declining inflationary pressure are expected to improve household welfare. Consequently, the extreme poverty rate is expected to decrease to 14.8 percent in 2025. Nonetheless, structural impediments to poverty reduction

remain. Investments in better access to health and education facilities and stronger private sector-led growth with higher productivity jobs will be critical for future inclusive growth.

The CAD is expected to narrow to 2.7 percent of GDP in 2025-2026, reflecting robust remittances, a decrease in investment-related imports, and strong export growth. The Central Bank intends to keep a tight monetary policy stance to ensure inflation firmly declines. The fiscal deficit is projected to narrow to 0.5 percent of GDP over 2025-26, supported by spending control efforts, including aligning expenditure with available resources, and ongoing domestic revenue mobilization reforms, including a single window platform, an e-tracking of transit trucks, digital tracing system, a digital weighbridge, the rental tax compliance system, the reduction in fuel subsidies and increases in some administrative fees. Public debt is projected to decrease to an average of 61.5 percent of GDP in 2025-26, supported by the fiscal path. Nevertheless, The Gambia is expected to remain at high risk of debt distress, and the end of the debt-service deferrals in 2024 could weigh on debt sustainability and economic growth.

TABLE 2 The Gambia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.3	4.9	5.3	5.6	5.8	5.4
Private consumption	7.2	3.4	3.3	3.8	4.1	4.2
Government consumption	-7.9	2.3	2.4	5.6	3.0	3.1
Gross fixed capital investment	-8.7	15.1	13.8	10.9	10.2	8.0
Exports, goods and services	-27.2	8.5	18.9	20.0	21.5	22.8
Imports, goods and services	-15.2	16.2	11.0	10.0	9.8	9.6
Real GDP growth, at constant factor prices	5.3	4.9	5.3	5.6	5.8	5.4
Agriculture	13.7	3.6	3.7	6.6	5.7	5.5
Industry	2.9	3.1	9.3	2.9	6.1	5.0
Services	2.8	6.0	4.7	6.2	5.8	5.5
Inflation (consumer price index)	7.4	11.5	16.9	14.4	9.8	6.6
Current account balance (% of GDP)	-4.3	-4.2	-8.6	-4.5	-3.0	-2.4
Fiscal balance (% of GDP)	-4.8	-5.0	-3.7	-2.6	-0.5	-0.5
Revenues (% of GDP)	16.8	17.7	20.4	21.2	21.1	21.0
Debt (% of GDP)	83.9	83.4	75.6	69.3	64.3	58.7
Primary balance (% of GDP)	-1.8	-2.9	-1.6	0.4	2.8	2.4
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	16.1	16.3	16.1	15.5	14.8	14.2
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	45.1	45.7	45.6	44.7	43.6	42.7
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	80.2	81.3	80.6	79.5	78.4	77.8
GHG emissions growth (mtCO₂e)	0.7	1.6	2.6	2.7	2.6	2.5
Energy related GHG emissions (% of total)	23.4	24.2	25.1	25.8	26.5	27.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2020-IHS. Actual data: 2020. Nowcast: 2021-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

GHANA

Table 1 **2023**

Population, million	34.1
GDP, current US\$ billion	76.2
GDP per capita, current US\$	2234.2
International poverty rate (\$2.15) ^a	25.2
Lower middle-income poverty rate (\$3.65) ^a	48.8
Upper middle-income poverty rate (\$6.85) ^a	78.5
Gini index ^a	43.5
School enrollment, primary (% gross) ^b	96.5
Life expectancy at birth, years ^b	63.9
Total GHG emissions (mtCO2e)	20.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2017 PPPs.

b/ Most recent WDI value (2022).

Progress toward comprehensive debt restructuring and wide-reaching reforms under the macroeconomic stabilization program has put Ghana on a path to fiscal sustainability. Currency stabilization and tight monetary policy are gradually reducing inflation despite lingering pressures among persistently high food prices, which strain the purchasing power of households. To reach Ghana's economic potential, improvements are needed in revenue mobilization, expenditure management, and growth-enhancing structural reforms.

Key conditions and challenges

Ghana has made notable progress towards economic stabilization, addressing severe macroeconomic imbalances that peaked in 2022. The nation experienced a surge in public debt due to fiscal responses to external shocks, losing access to international financial markets, and which led to debt distress, declining international reserves, and rising inflation. To combat these issues, Ghana implemented significant macroeconomic policy adjustments, including comprehensive debt restructuring and fiscal consolidation. Sustaining the recovery will require continued progress in tax policy, revenue administration, public financial management reforms, and structural reforms in the energy and cocoa sectors. The government's program is supported by an IMF Extended Credit Facility (approved in May 2023) and the World Bank's Development Policy Operations. Poverty in Ghana had been declining since the 1990s, but the COVID-19 pandemic marked an inflection point and poverty has been rising since 2020. Weak economic growth, constrained government spending, and high inflation, especially among food prices, have eroded living standards, pushing more people into poverty and at risk of food insecurity.

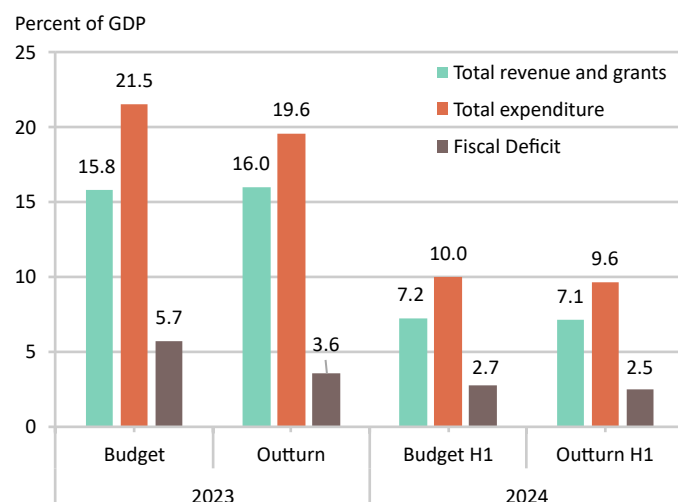
Recent developments

GDP growth in the first half of 2024 exceeded expectations at 5.9 percent, up from 2.8 percent in 2023H1. Industry (8.1 percent y-o-y), led by a strong rebound in the oil and gas sector, drove the expansion. Agriculture grew by 5.1 percent, with notable improvements in crop production (despite significant contraction in cocoa), while the services sector grew by 4.5 percent, down from the 6 percent in 2023H1, with slower growth in almost all services sub-sectors.

Tight monetary policy and stable exchange rates tamed high inflation in 2023, from a peak of 54.1 percent in December 2022 to 23.2 percent in December 2023. However, disinflation slowed in 2024, with inflation at 20.4 percent y-o-y in August, due to higher food prices and renewed pressures on the Ghana cedi which depreciated by 18.6 percent against the US Dollar in 2024H1, compared to 5.8 percent in the previous six months.

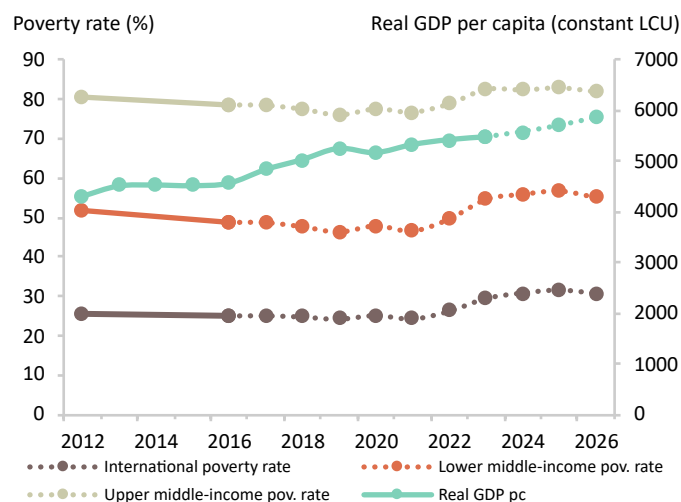
The current account was in surplus in the first half of 2024, rising to 1.5 percent of GDP, from 1.1 percent in 2023H1. This reflects robust remittance flows, spurred by Fintech reforms, and reduced interest payments due to the external debt service suspension. Gross international reserves increased from US\$5.9 billion (2.7 months of import cover) in December 2023 to US\$6.9 billion (3.1 months of import cover) in June 2024, supported by an improved trade surplus and foreign exchange inflows from multilateral. The January-June 2024 fiscal outturn was favorable, with the primary deficit on

FIGURE 1 Ghana / Fiscal targets and outturn



Sources: Ministry of Finance and World Bank.

FIGURE 2 Ghana / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

target at 0.2 percent of GDP and the overall deficit lower than planned. Total revenue and grants slightly underperformed at 7.1 percent of GDP, due to lower oil and gas receipts. However, total expenditure was 9.6 percent of GDP, below the mid-year target, owing to capital spending cuts and lower interest expenditure. In June, Ghana concluded debt negotiations with its official creditors to restructure US\$5.4 billion of bilateral debt and reached a preliminary deal with bondholders to restructure US\$13 billion in Eurobond debt.

The banking sector demonstrated resilience after the 2023 domestic debt exchange, with banking assets growing by 33.3 percent in the first half of 2024. Capital adequacy ratios remained stable at 14.3 percent with regulatory reliefs and improved to 10.6 percent without them, up from 7.4 percent the previous year. However, the non-performing loan ratio worsened to 24.1 percent from 18.7. For full recovery, continued profit growth, recapitalization, and stringent credit standards are vital.

High inflation and tepid economic growth have worsened household welfare. An estimated 29.5 percent of the population lived in extreme poverty (measured at the

international poverty line of US\$2.15 per day) in 2023, up 3.1 percentage points from the previous year. At the Lower-Middle Income Country (LMIC) poverty line of US\$3.65 per day, 54.7 percent of the population was considered poor in 2023.

Outlook

Growth projections for 2024 are revised upwards to 4 percent, balancing the strong first-half performance against the tight fiscal and monetary policy environment, elevated interest rates that dampen private consumption and investment, and drought conditions affecting agricultural production—assuming losses are partially mitigated by the government emergency response. Over the medium term, growth is expected to strengthen as stabilization solidifies and reforms take effect. By 2026, growth should accelerate to around 5 percent, supported by stronger non-extractive sector performance, especially in agriculture and services, and favorable conditions in extractive industries, including small-scale gold mining and new oil reserves.

The fiscal deficit forecast for 2024 is revised down to 4.2 percent of GDP, reflecting nominal GDP adjustments and robust consolidation efforts. Over the medium term, the government plans to broaden the tax base and improve compliance by strengthening the regulatory framework and digitalizing service delivery. Amendments to the Fiscal Responsibility Act and the establishment of a Fiscal Council should further strengthen fiscal discipline.

Poverty rates are expected to rise until 2026, peaking in 2025 at 31.5 percent—levels last seen in the late-2000s—before dipping to 30.6 percent. At the LMIC line, rates may hit 55.1 percent by 2026. This trend correlates with limited growth in services and agriculture, sectors where many poor and vulnerable households work, and increasing prices surpassing income growth for the poorest.

The outlook faces multiple risks, including the drought impact, commodity price volatility, exchange rate uncertainties, high domestic financing needs, and potential pre-election policy shifts, while energy sector shortfalls threaten fiscal consolidation. Delays in implementing structural reforms under the IMF program could also erode international creditor confidence.

TABLE 2 Ghana / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.1	3.8	2.9	4.0	4.2	4.9
Private consumption	0.8	4.8	4.6	4.9	5.0	5.7
Government consumption	82.1	-31.7	-8.0	-0.4	-2.5	0.9
Gross fixed capital investment	4.5	28.6	3.9	3.0	5.5	2.6
Exports, goods and services	69.1	9.6	5.8	4.1	4.4	5.6
Imports, goods and services	113.8	13.8	6.3	3.6	5.0	4.0
Real GDP growth, at constant factor prices	5.4	3.7	2.9	4.0	4.2	4.9
Agriculture	8.5	4.2	4.5	2.3	4.2	4.9
Industry	-0.5	0.6	-1.2	4.3	3.5	3.4
Services	9.4	6.2	5.5	4.5	4.9	5.9
Inflation (consumer price index)	10.0	31.5	40.3	23.2	11.5	8.0
Current account balance (% of GDP)	-3.7	-2.3	-1.4	-2.5	-2.0	-2.0
Net foreign direct investment inflow (% of GDP)	2.0	2.0	1.7	2.0	3.0	2.1
Fiscal balance (% of GDP)^a	-11.4	-11.0	-3.5	-4.2	-3.8	-3.1
Revenues (% of GDP)	15.3	15.6	16.0	17.3	17.9	18.4
Debt (% of GDP)^{a,b}	76.7	88.7	86.1	82.4	79.4	76.0
Primary balance (% of GDP)^a	-4.1	-3.6	0.6	0.5	1.5	1.5
International poverty rate (\$2.15 in 2017 PPP)^{c,d}	24.5	26.4	29.4	30.8	31.5	30.6
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{c,d}	46.6	49.7	54.7	56.0	56.8	55.1
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{c,d}	76.5	78.8	82.6	82.5	83.1	82.0
GHG emissions growth (mtCO2e)	11.8	10.8	8.7	4.1	3.5	4.1
Energy related GHG emissions (% of total)	131.2	123.8	117.9	117.2	116.1	115.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Fiscal and debt forecasts do not factor in the impact of the ongoing Debt Restructuring (DR) as the process is yet to conclude.

b/ Starting from 2022, public debt numbers include, in addition to central government debt, explicitly guaranteed (and certain implicitly guaranteed) SOE debt, cocobills issued by Cocobod, and reconciled domestic arrears to suppliers.

c/ Calculations based on 2016-GLSS-VII. Actual data: 2016. Nowcast: 2017-2023. Forecasts are from 2024 to 2026.

d/ Projections using microsimulation methodology.

GUINEA

Table 1 **2023**

Population, million	14.2
GDP, current US\$ billion	22.2
GDP per capita, current US\$	1564.4
International poverty rate (\$2.15) ^a	13.8
Lower middle-income poverty rate (\$3.65) ^a	46.6
Upper middle-income poverty rate (\$6.85) ^a	86.8
Gini index ^a	29.6
School enrollment, primary (% gross) ^b	98.0
Life expectancy at birth, years ^b	59.0
Total GHG emissions (mtCO2e)	45.0

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2018), 2017 PPPs.

b/ Most recent WDI value (2022).

Growth is set to slightly decelerate in 2024 partly due to the impact of the December 2023 fuel depot explosion. The fiscal deficit is projected to widen to 3.0 percent in 2024 as capital spending increases. Growth is projected to rise in 2025-26 supporting poverty reduction. The delay in the political transition presents downside risks, while the start of the Simandou iron mining project represents an upside risk.

Key conditions and challenges

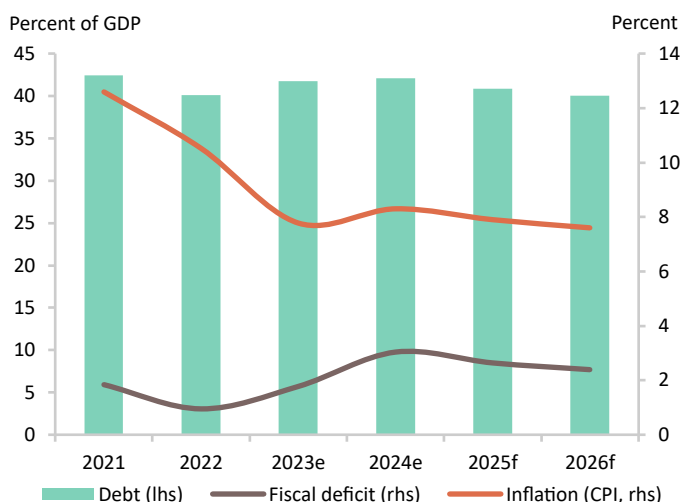
Growth was robust during 2019-2023, averaging 5.3 percent (2.8 percent per capita), driven mainly by the mining sector but also by productivity gains in agriculture. However, weak mining linkages to non-mining sectors, headwinds from Dutch-disease dynamics, and external shocks limited job creation and poverty reduction—Guinea's international poverty rate, measured at a \$3.65 threshold for LMICs, averaged 47.7 percent over the same period. Guinea has abundant natural resources, a growing population, and a privileged geographic location. The Simandou iron ore project, with exports expected by 2026, has the potential to transform Guinea's economy and create jobs if appropriate reforms are implemented. However, harnessing its resources remains Guinea's greatest challenge especially as the ongoing mining boom and the associated appreciation of the real effective exchange rate are affecting the competitiveness of non-mining sectors and diversification. Boosting growth and poverty reduction requires overcoming low levels of human capital, large infrastructure gaps, an underdeveloped financial sector, weak institutional capacity, and large gender gaps in education, earnings, agricultural productivity, and low political representation. Reforms are also needed to lower ineffective subsidies and boost public spending efficiency and revenue mobilization,

particularly from mining, to create space for public investment.

Recent developments

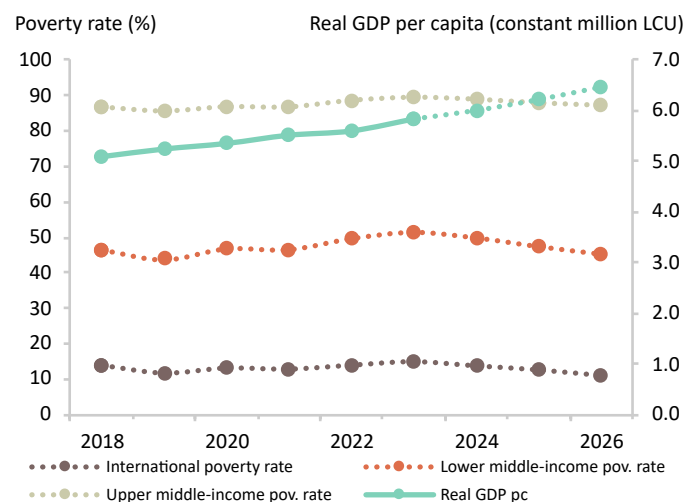
After growing at 6.7 percent (4.3 percent per capita) in 2023, supported by strong mining sector performance, growth is expected to moderate to 5.3 percent in 2024, partly due to the impact of the December 2023 fuel depot explosion and power outages on the non-mining sector. Growth in the mining sector remains robust, with bauxite production up 17 percent y/y in 2024Q1 and gold exports up 7 percent, driven by increased investment and the start of production by new formal sector enterprises. On the demand side, a surge in mining-related investment and public infrastructure spending continues to drive growth and contributes to the slight increase in the debt-to-GDP ratio to an estimated 42.1 percent in 2024. Increased capital spending and higher interest payments, combined with slightly lower revenues due to the impact of the explosion on the non-mining sector, widen the fiscal deficit, estimated to reach 3.0 percent of GDP by end-2024 up from 1.8 percent in 2023. Inflation accelerated to an average of 8.5 percent in 2024H1 (up from 7.8 percent in 2023), due to the temporary impacts of the December 2023 fuel depot explosion and to lower electricity supply. However, inflation has fallen from its peak of 9.3 percent y/y in January 2024, immediately after the explosion, to 8.1 percent in June 2024. With inflation starting to ease,

FIGURE 1 Guinea / Public debt, fiscal deficit, and inflation



Source: World Bank.

FIGURE 2 Guinea / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

the central bank maintained its policy rate at 11 percent and the reserve requirement ratio at 13 percent. The increase in real GDP per capita, combined with a deceleration in food inflation, is expected to reduce the poverty rate (less than US\$3.65 per day, 2017 PPP) to 49.9 percent in 2024 (down from 51.4 percent in 2023).

The current account deficit is estimated to widen to 12.5 percent of GDP in 2024 due to a significant decline in the trade surplus, linked to foreign direct investment (FDI) related imports. FDI, the main source of external financing and largely mining-related, is estimated to reach 17.4 percent of GDP.

Outlook

After a temporary deceleration in 2024, growth is projected to regain momentum in 2025-2026, averaging 6.2 percent

(excluding Simandou mine operations expected by 2026), driven mainly by investment (private and public) expected to increase by an annual average of 24 percent. Inflation is anticipated to decline to an average of 7.8 percent in 2025-26, helped by lower food prices and prudent monetary policy including minimal deficit financing by the central bank. The \$3.65 international poverty rate is projected to fall to an average of 46.5 percent in 2025-26 due to the easing of food prices. Given the limited poverty gains from mining-driven growth, redistribution mechanisms to vulnerable populations and productivity gains in non-mining sectors will be required for inclusive growth.

The fiscal deficit would decline to around 2.5 percent in 2025-2026, in line with continued prudent fiscal policies. Tax revenues are projected to increase gradually to 13.4 percent of GDP in 2026, supported by tax administration reforms and additional mining revenues from the

implementation of the bauxite reference price mechanism since July 2022. Electricity subsidies are expected to decline, driven by tariff adjustments and as utility reforms bear fruit, notably the continued rollout of prepaid meters and intensified bill collection efforts. The debt-to-GDP ratio would decline to 40.0 percent of GDP by 2026.

The current account deficit is projected to remain high, averaging 10.9 percent of GDP in 2025-26, as the FDI-induced trade deficit persists. FDI is projected to average 14.5 percent of GDP in 2025-26, while the real effective exchange rate would continue to appreciate. Downside risks include uncertainties in the timing of the political transition, which could slow reform implementation, and spillovers from conflicts elsewhere in the world, which could trigger a new wave of trade disruptions and inflation. On the upside, the start of the Simandou iron mine operations would boost exports and growth.

TABLE 2 Guinea / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.6	4.0	6.7	5.3	6.0	6.4
Private consumption	1.5	3.9	4.0	3.8	4.2	4.4
Government consumption	5.7	-5.7	1.4	3.9	5.4	5.3
Gross fixed capital investment	3.5	1.9	44.5	40.0	36.8	12.0
Exports, goods and services	30.4	-5.3	8.0	6.5	6.7	7.0
Imports, goods and services	-3.5	-13.3	16.1	19.0	20.0	8.7
Real GDP growth, at constant factor prices	5.6	4.3	6.7	5.3	6.0	6.4
Agriculture	9.0	6.0	5.5	5.3	5.9	6.0
Industry	4.5	5.7	10.9	8.3	9.0	9.3
Services	4.9	2.5	4.0	2.6	3.3	3.9
Inflation (consumer price index)	12.6	10.5	7.8	8.3	7.9	7.6
Current account balance (% of GDP)	1.4	-0.6	-10.7	-12.5	-13.6	-8.3
Net foreign direct investment inflow (% of GDP)	10.7	12.6	14.6	17.4	17.9	11.1
Fiscal balance (% of GDP)	-1.8	-0.9	-1.8	-3.0	-2.6	-2.4
Revenues (% of GDP)	14.6	13.7	14.7	14.4	15.2	15.8
Debt (% of GDP)	42.4	40.1	41.8	42.1	40.9	40.0
Primary balance (% of GDP)	-0.8	0.0	-1.2	-2.0	-1.6	-1.4
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	12.8	13.8	14.8	13.7	12.6	11.1
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	46.6	49.7	51.4	49.9	47.5	45.4
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	86.8	88.7	89.5	89.0	88.0	87.3
GHG emissions growth (mtCO₂e)	3.1	3.0	3.1	3.1	3.2	3.3
Energy related GHG emissions (% of total)	11.1	11.1	11.3	11.6	11.8	12.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2018-EHCVM. Actual data: 2018. Nowcast: 2019-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

GUINEA-BISSAU

Key conditions and challenges

Table 1 **2023**

Population, million	2.2
GDP, current US\$ billion	2.0
GDP per capita, current US\$	921.3
International poverty rate (\$2.15) ^a	26.0
Lower middle-income poverty rate (\$3.65) ^a	60.2
Upper middle-income poverty rate (\$6.85) ^a	89.1
Gini index ^a	33.4
School enrollment, primary (% gross) ^b	113.3
Life expectancy at birth, years ^b	59.9
Total GHG emissions (mtCO2e)	4.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ WDI for School enrollment (2010); Life expectancy (2022).

Stronger cashew exports and falling inflation will support growth of 5 percent in 2024, reducing poverty to 23.4 percent (\$2.15 per-person per-day PPP 2017). Expenditure rationalization, improved revenue mobilization and higher grants will support fiscal consolidation and reduce public debt. Progress with institutional reforms hinges on the resolution of the current political instability. Additional downside risks to the outlook include shocks to the cashew sector and climatic shocks.

Raw cashew nuts exports, approximately 90 percent of merchandise exports, determine economic performance. Cashew production is dispersed among smallholder farmers, whose income supports overall economic activity. Poverty remains widespread—particularly in rural areas. Human development indicators are among the lowest in the world, and low access to basic services contributes to exclusion and marginalization. Political instability is chronic in Guinea-Bissau, the world's most coup-prone country. Regional uncertainty and upcoming elections may further stoke domestic tensions.

Access to credit is limited and the enabling environment for private sector-led growth is weak due to poor infrastructure, low levels of human capital, and limited public services. Investments to improve infrastructure have picked up but are mostly donor financed as fiscal space is limited by low domestic revenue mobilization and a relatively high wage bill.

Transparency and governance of state-owned enterprises, especially the national electricity and water company, EAGB, is limited. EAGB accrues substantial public debt through government guaranteed letters of credit. Identifying contingent fiscal liabilities is difficult, increasing fiscal risks, amplifying debt vulnerabilities, and limiting the capacity to absorb shocks. Banks undercapitalization and

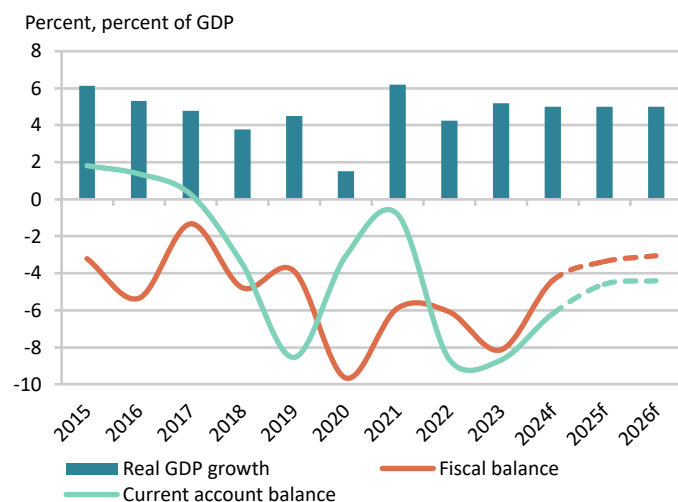
non-performing loans, which doubled to 9.3 percent in 2023, continue to make the banking sector another possible source of contingent liabilities.

Recent developments

Growth will remain robust at 5 percent (2.8 percent per capita) in 2024, from 5.2 percent in 2023, reflecting rebounding services and private demand. Cashew production will likely fall short of the 2023 output due to a plague affecting the crop. Increased activity in fisheries supports overall growth in agriculture. Higher farmgate prices and lower food prices will boost private consumption while exports are projected to increase, with higher external demand and anti-smuggling reforms. This will partly compensate for lower investments and government spending. Headline inflation averaged 3.2 percent in August 2024, down from 7.2 percent in 2023. Extreme poverty (\$2.15 per-person per-day PPP 2017) is expected to fall to 23.4 percent. Agricultural growth combined with subdued inflation, especially among food items, contributed to this decline.

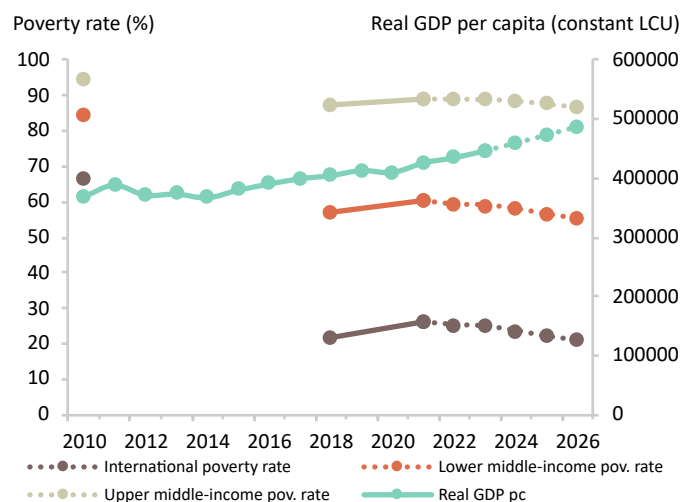
Declining average cashew prices and higher imported fuel and food prices accentuated external pressures in 2023, putting the current account deficit (CAD) at 8.7 percent of GDP. Chronic infrastructure and logistical issues at the port of Bissau are causing congestion and slowing the rate of exports. While cashew exports are expected to reach 200,000 tons, problems at

FIGURE 1 Guinea-Bissau / Evolution of main macroeconomic indicators



Sources: Ministry of Finance and World Bank.

FIGURE 2 Guinea-Bissau / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

the port are expected to extend the export period to November. High cashew exports and lower import costs (given easing inflation) will narrow the CAD to 6.2 percent of GDP in 2024.

The fiscal position deteriorated in 2023 to 8.1 percent of GDP, reflecting a combination of poor revenue performance, higher-than-expected discretionary spending, and debt servicing pressures. The authorities took measures to address fiscal slippages, including the removal of rice and fuel subsidies in April 2024 and tighter control of discretionary spending. This, along with a hiring freeze that has limited wage bill growth, improved domestic revenue mobilization, and higher donor grants, could reduce the fiscal deficit to 4.4 percent (5.2 percent including planned arrears clearance) in 2024, with public debt falling to 77.5 percent of GDP.

The Central Bank of West African States (BCEAO) has kept its policy interest rates unchanged since December 2023 at 3.5 percent for liquidity calls and 5.5 percent for the marginal lending facility. Since peaking in 2022, the WAEMU Inflation rate has been on a downward trend at 4.4 percent y/y in July 2024, but remains above the 1 to 3 percent WAEMU target.

Regional foreign exchange reserves remain low, covering only 3.5 months of imports in 2024Q1.

Outlook

Growth is expected to remain at 5 percent (2.8 percent per capita) over the medium term, with agriculture remaining key. Greater diversification in the energy mix and improved conditions for the government to renegotiate the existing Karpower contract will reduce energy costs and stimulate the real sector. Continued easing of inflationary pressures and a strong cashew season will encourage private consumption.

Favorable weather conditions and dividends from government investments into agricultural inputs over the last few years should support strong cashew production. Continued efforts to curtail smuggling will improve exports. Consequently, the CAD is projected to reach 4.4 percent of GDP by 2026, mostly financed by concessional loans and grants. Higher revenue collection and greater spending discipline could lower the fiscal deficit to

3 percent of GDP by 2026, with public debt falling to 72 percent of GDP. The pace of the fiscal adjustment is highly dependent on greater revenue mobilization, strengthened expenditure controls, and increased grant financing. It is subject to considerable uncertainty given the country's ongoing political volatility.

The regional inflation rate is expected to align with WAEMU target by 2025, while regional reserves are expected to rise gradually, supported by the resumption of international bond issuances, recovering exports, and easing monetary policy in the Euro Area. Robust agricultural production is expected to continue in 2025 and, with lower food prices, will reduce poverty rates to 21.8 percent. Further progress is expected in 2026, with poverty reaching 20.7 percent and almost 40,000 people getting out of extreme poverty (versus 2024). Household purchasing power will improve with higher cashew prices and lower food prices, benefiting the poorest who spend a higher share of their income on food.

The outlook is subject to substantial downside risks stemming from political instability, climate and agricultural shocks, and uncertainty of energy sector operations.

TABLE 2 Guinea-Bissau / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	6.2	4.2	5.2	5.0	5.0	5.0
Private consumption	15.7	3.6	0.2	4.5	4.3	4.1
Government consumption	16.0	7.0	5.5	-8.8	-3.4	3.8
Gross fixed capital investment	-5.0	13.8	23.6	8.6	9.0	4.8
Exports, goods and services	15.0	-6.5	-3.1	12.2	8.6	7.1
Imports, goods and services	4.0	2.5	0.8	3.0	5.0	4.0
Real GDP growth, at constant factor prices	6.1	4.8	5.2	5.0	5.0	5.0
Agriculture	5.4	6.1	7.8	4.3	4.2	4.1
Industry	5.6	4.8	5.0	5.1	5.2	5.3
Services	6.9	3.8	3.3	5.4	5.6	5.6
Inflation (consumer price index)	3.3	7.9	7.2	3.5	2.0	2.0
Current account balance (% of GDP)	-0.8	-8.6	-8.7	-6.2	-4.6	-4.4
Fiscal balance (% of GDP)	-5.9	-6.1	-8.1	-4.4	-3.4	-3.0
Revenues (% of GDP)	19.1	15.3	13.7	15.3	15.6	15.8
Debt (% of GDP)	79.0	80.8	79.3	77.5	74.7	72.0
Primary balance (% of GDP)	-4.3	-4.7	-5.5	-1.8	-0.9	-0.5
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	26.0	25.2	24.8	23.4	21.8	20.7
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	60.2	59.2	58.8	57.8	56.2	54.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	89.1	89.1	88.8	88.6	87.6	86.9
GHG emissions growth (mtCO₂e)	-3.8	1.4	2.6	1.8	1.9	2.0
Energy related GHG emissions (% of total)	7.8	8.0	8.1	8.2	8.3	8.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

KENYA

Table 1 **2023**

Population, million	55.1
GDP, current US\$ billion	108.1
GDP per capita, current US\$	1961.0
International poverty rate (\$2.15) ^a	36.1
Lower middle-income poverty rate (\$3.65) ^a	70.1
Upper middle-income poverty rate (\$6.85) ^a	91.3
Gini index ^a	38.7
School enrollment, primary (% gross) ^b	97.2
Life expectancy at birth, years ^b	62.1
Total GHG emissions (mtCO2e)	77.9

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

Economic growth is slowing from the strong rebound of 2023 and is estimated at 5.0 percent in 2024. Poverty remains high as the link between growth and poverty reduction has weakened. Inflation is falling and the exchange rate has stabilized, showing the government's commitment to a stronger macroeconomic policy framework. However, the revenue-led fiscal consolidation strategy has proved challenging, especially after the mid-2024 protests. The outlook remains subject to elevated risks.

Key conditions and challenges

Kenya's macroeconomic environment is improving, with receding inflation and a more stable exchange rate that supports the incomes of households and firms. However, structural imbalances persist and undermine Kenya's aspirations to become an upper-middle-income country. Fiscal and current account pressures associated with increasing public spending, high fiscal deficits, and growing debt during recent years expose Kenya to macroeconomic volatility. Productivity, a key driver of economic growth, grew little during the last decade, limiting income growth and more and better jobs. The increasing frequency and intensity of climate shocks, as shown by severe floods across the country earlier this year, is threatening the livelihood of Kenyans, especially the poor.

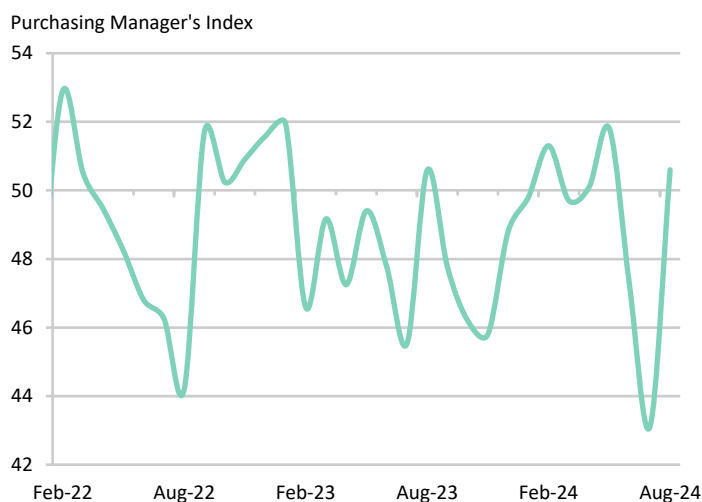
Moreover, economic growth is not sufficiently inclusive, and the link between growth and poverty reduction has weakened. Adverse climate shocks are lowering agricultural productivity, especially in arid and semi-arid counties. Good paying jobs in services favor skilled workers, while poorer and low-skilled workers struggle to access productive jobs. Going forward, structural reforms that raise productivity of the private sector, expand access to skills, increase access to capital, and strengthen households' resilience to climate shocks are needed.

Fiscal consolidation efforts continue, though not without challenges. Kenya's sovereign credit ratings have been downgraded, reflecting heightened risks to public finances. Expenditure-side measures to contain the wage bill, transfers to public sector entities, and intermediate consumption, along with the rationalization of non-priority projects, remain important. In addition, improving the efficiency and transparency of public expenditures, including continuous efforts to reduce corruption, is critical. Although tax revenues have been underperforming, recent protests highlight the need for further progressive and equitable fiscal reforms.

Recent developments

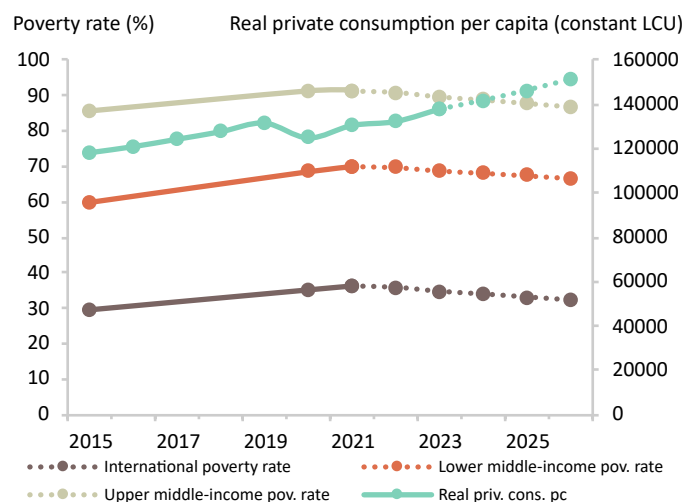
Kenya's GDP growth is decelerating in 2024, following the strong cyclical rebound in 2023. Real GDP expanded by 5 percent during the first quarter (Q1-24) of 2024, compared to 5.5 percent in Q1-23 and 5.6 percent for the full year of 2023. The agriculture and services sectors continued to show resilience, with agriculture supported by favorable rainfall earlier in the year. The international poverty rate (US\$2.15) is estimated to have declined from 35.8 percent in 2022 to 34.7 percent in 2023. However, manufacturing is underperforming. The Purchasing Managers' Index (PMI) contracted in four out of the first eight months of 2024, an indication of deteriorating market conditions. Overall, the industry sector grew by 0.1 percent during Q1-24, year-on-year

FIGURE 1 Kenya / Purchasing Managers' Index (PMI)



Source: S&P Global.

FIGURE 2 Kenya / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

(y-o-y); all subsectors grew less than in the same quarter a year before.

The tighter monetary policy framework has shown to be effective. Inflation fell to 4.4 percent by August 2024 (y-o-y) from 6.6 percent in December 2023, within the Central Bank of Kenya (CBK) 5±2.5 percent target range, while monthly real credit growth to the private sector slowed to 6.6 percent month-on-month (m-o-m) in June (December 2023: 8.3 percent). FX reserves rose to US\$7.3 billion or 3.8 months of imports as of end-August, 8 percent above the December 2023 figure. On the external front, goods exports are recovering, growing by 5.0 percent in the last 12 months up to June 2024, thanks primarily to higher exports of agricultural products. Imports are recovering too, but at a slower rate. Consequently, the current account deficit (CAD) reached 3.7 percent of GDP in the 12 months up to June 2024.

Fiscal consolidation efforts continued during FY2023/24. Still, despite growing by 14.5 percent, revenues fell short by 1.2 percent of GDP from the target for the fiscal year and the fiscal deficit reached 5.6 percent of GDP. Gross public debt reached

65.5 percent of GDP by the end of FY2023/24, almost half of it being external debt.

Outlook

GDP is projected to grow by 5.0 percent in 2024 and by 5.1 percent on average in 2025-2026. Severe floods, subdued business sentiment following the mid-2024 protests, and reduced public spending will weigh on growth in the short and medium term. However, the materialization of reforms and a continued commitment to macroeconomic prudence are expected to boost private investment. The CAD is expected to remain between 4.0-4.1 percent of GDP, with exports and foreign direct investments increasing in the medium term as trade agreements are implemented and global financial conditions ease further. Eventually, credit growth is expected to accelerate as the CBK implements a more accommodative monetary policy; on August 2024, the CBK lowered its policy rate by 25 basis points to 12.75 percent.

The fiscal adjustment is projected to be slower than anticipated amid the more

challenging socio-political environment. Yet, expenditure rationalization efforts are expected to contain public spending; the fiscal deficit is projected at 4.3 percent of GDP in FY2024/25.

Real per capita incomes are expected to increase, and the poverty rate to continue its downward trend. However, this decline is slow and vulnerable to a reversal in the event of shocks. The US\$2.15 poverty rate is expected to fall to 34.0 percent in 2024.

The outlook is subject to elevated risks. Failure to achieve fiscal consolidation targets would exacerbate Kenya's debt vulnerabilities. Continued social and political tensions could further dampen investor confidence and challenge fiscal consolidation efforts, while additional climate hazards could resume inflationary pressures. Reduced growth of the economies of international partners could undermine Kenyan exports and remittances, while increased global geopolitical risks might raise commodity prices and harm Kenya, a net commodity importer. Upside risks are linked to faster-than-expected normalization in global financing conditions and lower commodity prices.

TABLE 2 Kenya / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	7.6	4.9	5.6	5.0	5.1	5.1
Private consumption	6.4	3.3	6.2	5.6	5.4	5.4
Government consumption	6.0	8.1	3.5	0.9	0.6	1.0
Gross fixed capital investment	10.8	-0.8	1.9	2.3	6.2	7.1
Exports, goods and services	15.3	11.9	-4.5	5.5	9.8	10.1
Imports, goods and services	22.2	4.6	-3.1	1.3	5.6	7.2
Real GDP growth, at constant factor prices	7.1	4.5	5.4	5.0	5.1	5.1
Agriculture	-0.4	-1.5	6.5	4.8	5.0	5.1
Industry	7.5	3.9	1.9	1.1	2.9	3.6
Services	9.6	6.6	6.2	6.1	5.7	5.4
Inflation (consumer price index)	6.1	7.6	7.7	5.0	5.0	5.0
Current account balance (% of GDP)	-5.2	-5.0	-4.0	-4.0	-4.1	-4.1
Net foreign direct investment inflow (% of GDP)	0.0	0.3	0.2	0.8	1.0	1.3
Fiscal balance (% of GDP)	-7.3	-5.9	-5.6	-5.0	-3.8	-3.3
Revenues (% of GDP)	16.8	16.9	16.8	17.0	18.4	19.8
Debt (% of GDP)	68.1	69.9	68.7	65.1	63.3	60.3
Primary balance (% of GDP)	-2.5	-0.8	-0.3	0.8	1.5	1.6
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	36.1	35.8	34.7	34.0	33.2	32.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	70.1	69.8	68.8	68.2	67.4	66.7
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	91.3	90.9	89.6	88.8	87.8	86.8
GHG emissions growth (mtCO₂e)	-4.8	-0.3	4.6	6.6	7.5	6.8
Energy related GHG emissions (% of total)	28.4	29.9	29.8	29.3	28.7	28.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2013-, 2018-, and 2021-KCHS. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projection using point to point elasticity at regional level with pass-through = 1 based on private consumption per capita in constant LCU.

LESOTHO

Table 1 **2023**

Population, million	2.3
GDP, current US\$ billion	2.2
GDP per capita, current US\$	962.8
International poverty rate (\$2.15) ^a	32.4
Lower middle-income poverty rate (\$3.65) ^a	54.6
Upper middle-income poverty rate (\$6.85) ^a	81.0
Gini index ^a	44.9
School enrollment, primary (% gross) ^b	87.3
Life expectancy at birth, years ^b	53.0
Total GHG emissions (mtCO2e)	3.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2017), 2017 PPPs.

b/ WDI for School enrollment (2023); Life expectancy (2022).

Growth will be driven by investments associated with Phase II of the Lesotho Highlands Water Project (LHWP-II), increasing in 2024 and 2025, and moderating thereafter. Structural weaknesses limit private investments, export potential, and job creation. Consequently, the poverty rate will remain high, at around 36 percent, using the international poverty line of \$2.15 per day. Weaker global and regional growth, the impact of climate change, and uncertainties regarding the extension of AGOA beyond 2025 pose downside risks.

Key conditions and challenges

Lesotho faces the challenge of adopting a new development model based on private sector dynamism to reduce poverty. A large public sector, cumbersome and unclear business regulations, and difficulties in obtaining credit deter investment. Despite high public investment, significant infrastructure gaps persist, discouraging private investment and inhibiting participation in global value chains.

Over the past years, weak demand has had negative impacts on the country's main exports (apparel and textile, water, and diamonds). Uncertainty regarding the extension of the African Growth and Opportunities Act (AGOA) beyond September 2025 has already caused some companies in the textile sector to leave the country, resulting in higher unemployment. Furthermore, the lack of private sector dynamism and skill mismatches limit job creation.

Private sector job creation is essential to help bring down the unemployment rate from an estimated 22.5 percent in 2019 and contribute to reducing high poverty rates. Over one-third of the population was estimated to live on less than US\$2.15 per day (2017 PPP) in 2023. Lesotho also faces a legacy of high inequality and is in the top quintile of countries with the most unequal income distribution. Poverty is high in rural highlands limiting access to services and market opportunities.

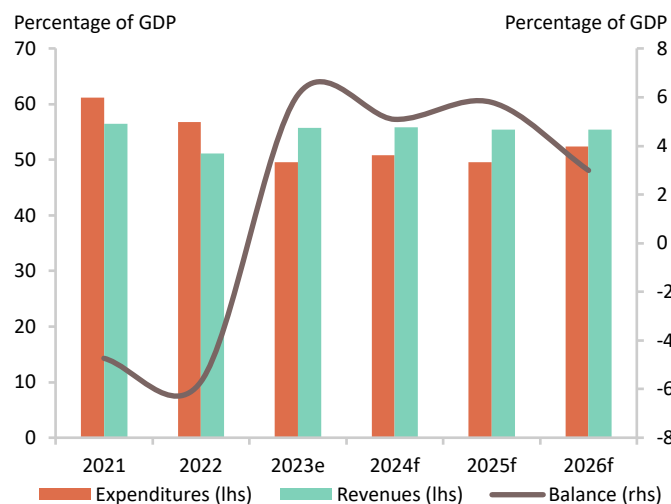
The accumulation of arrears remains the main threat to macroeconomic stability due to volatile Southern African Customs Union (SACU) receipts, a rigid budget structure, poor cash management, and deficiencies in government procurement procedures. The enactment of the Public Procurement Act in 2023 is a step forward to curtail arrear accumulation by prohibiting public procurement outside of the Integrated Financial Management Information System (IFMIS). Implementation of several fiscal reforms, notably procurement regulations and the Public Financial Management Act, would help improve macroeconomic coordination, budgeting processes, capital budget execution rates from low levels, and the overall effectiveness of fiscal policy in supporting growth.

Recent developments

The implementation of the large LHWP-II project gathered pace, fueling economic growth. The economy expanded by 2.0 percent in the first quarter of 2024, compared to a 1.2 percent contraction in the same quarter of 2023. Moderately strong growth was seen in most sectors, except for 'Business Services', 'Public Administration', and 'Other Services', which contracted.

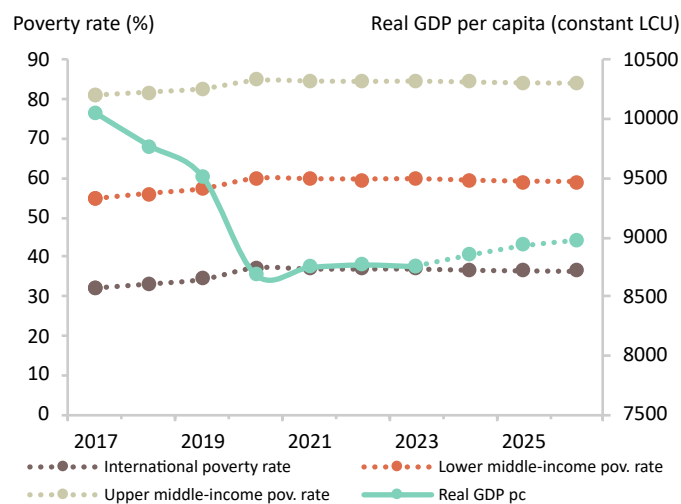
The number of employees in companies supported by the Lesotho National Development Corporation (LNDC) decreased annually from 38,282 to 34,555 between June 2023 and June 2024 as some textile companies reduced their workforce

FIGURE 1 Lesotho / Fiscal surpluses in the medium-term



Sources: WDI and World Bank staff estimates.

FIGURE 2 Lesotho / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

in response to fewer orders from the U.S. The headline inflation rate declined to 6.7 percent in July 2024 from its peak of 9.8 percent in July 2022, owing mainly to lower fuel and food prices. However, domestic food prices remain high because of imported inflation caused by the weaker currency, and higher transportation and intermediation costs associated with the severe drought caused by El Niño in Southern Africa.

The fiscal balance improved from a 1 percent surplus in December 2023 to a surplus of 4.5 percent of GDP in June 2024, driven by increased SACU revenues and water royalties. The implementation of the Public Procurement Act of 2023 helped contain the growth in expenditures on goods and services. The public debt stock declined to 55 percent of GDP in June, from 56.9 percent of GDP in March 2024, in part due to Treasury bonds buyback.

The current account deficit (CAD) narrowed from 1.7 percent in March to 0.8 percent of GDP in June 2024, as both primary and secondary income accounts improved, linked to higher returns from commercial banks and the central bank, and higher SACU revenue, respectively. In contrast, the trade deficit widened due to higher imports related to LHWP-II and lower exports associated to weak

global demand for diamonds and lower textile output.

Outlook

The growth outlook is tightly linked to the LHWP-II project cycle and is expected to be subdued beyond the project's time horizon. The expected recovery of the diamond sector will also support exports. The launch of the Millennium Challenge Corporation Compact II in 2025 will lay the foundations for more robust exports and growth beyond the projection period. However, weak growth in South Africa and persistent structural constraints will continue to restrain private investment, weighing on the country's economic potential.

The annual inflation rate is expected to average 6.4 percent in 2024 and gradually moderate to an average of 5.3 percent from 2025 to 2026, in line with movements in energy and food prices. Inflation is expected to stay high due to increased food prices caused by El Niño and higher fuel prices due to supply chain disruptions and exchange rate depreciation.

Elevated SACU transfers and higher water royalties are expected to improve fiscal

and external balances. As a result, the CAD is expected to improve in 2024 and worsen in 2025, as imports associated with LHWP-II reach their peak, despite an expected recovery in the global demand for diamonds. Fiscal performance is projected to improve over the medium term, with Lesotho expected to record fiscal surpluses, on account of the SACU revenues windfall and higher water royalties, after a period of persistent fiscal deficits. Fiscal surpluses provide an opportunity to embark on an ambitious set of fiscal and structural reforms to promote growth and alleviate poverty, including through prioritizing pro-growth capital investments. More specifically, establishing a macroeconomic stabilization fund coupled with introducing fiscal rules would be an important step forward to promote macroeconomic stability and growth.

Risks are tilted to the downside. Slower regional and global growth could dent exports and remittances. Climate shocks can reduce agricultural output, threatening livelihoods. An important downside risk to exports and jobs is that of Lesotho losing preferential access to the US market if AGOA is not extended beyond 2025. Consequently, the US\$2.15 per day poverty rate is projected to change little and hover around 36 percent.

TABLE 2 Lesotho / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	1.9	1.3	0.9	2.5	2.3	2.0
Private consumption	-6.7	9.1	3.8	3.8	3.9	3.9
Government consumption	-5.3	2.4	2.2	18.1	6.9	9.6
Gross fixed capital investment	6.5	12.1	46.1	9.1	35.3	20.9
Exports, goods and services	5.1	36.7	2.2	2.2	2.2	2.0
Imports, goods and services	-0.4	22.5	10.3	10.8	11.3	10.5
Real GDP growth, at constant factor prices	1.9	1.3	0.9	2.5	2.3	2.0
Agriculture	-16.0	12.5	2.4	1.5	2.3	2.5
Industry	4.7	5.0	5.0	5.3	5.0	5.0
Services	2.3	-0.5	-0.5	1.6	1.3	0.8
Inflation (consumer price index)	6.0	8.3	6.4	6.4	5.4	5.1
Current account balance (% of GDP)	-7.9	-12.0	-2.9	-1.3	-2.8	-1.0
Net foreign direct investment inflow (% of GDP)	1.2	1.2	1.4	1.9	1.4	1.3
Fiscal balance (% of GDP)	-4.7	-5.7	9.2	7.0	1.6	-0.7
Revenues (% of GDP)	56.5	51.1	55.7	57.7	57.3	60.5
Debt (% of GDP)	57.8	57.7	55.8	53.4	49.8	46.4
Primary balance (% of GDP)	-3.2	-4.3	10.4	8.0	2.6	0.3
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	37.0	37.0	37.0	36.7	36.6	36.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	59.7	59.6	59.7	59.3	59.0	58.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	84.8	84.7	84.7	84.5	84.3	84.2
GHG emissions growth (mtCO₂e)	1.9	2.0	2.3	2.4	2.7	2.0
Energy related GHG emissions (% of total)	62.1	62.5	62.9	63.3	63.7	63.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2017-CMSHS. Actual data: 2017. Nowcast: 2018-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2017) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

LIBERIA

Table 1 2023

Population, million	5.4
GDP, current US\$ billion	4.2
GDP per capita, current US\$	782.5
International poverty rate (\$2.15) ^a	27.6
Lower middle-income poverty rate (\$3.65) ^a	60.6
Upper middle-income poverty rate (\$6.85) ^a	88.9
Gini index ^a	35.3
School enrollment, primary (% gross) ^b	72.9
Life expectancy at birth, years ^b	61.1
Total GHG emissions (mtCO2e)	16.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2017 PPPs.

b/ Most recent WDI value (2022).

Liberia's economy expanded by an estimated 4.7 percent in 2023 and is expected to maintain this momentum. Inflationary pressures have eased since peaking in fiscal year 2023. Although the medium-term outlook is positive, it still depends on preserving macroeconomic stability, prudent fiscal consolidation, and continued implementation of structural reforms in key enabling sectors. The risks to the outlook are tilted to the downside as poor governance, fiscal lapses, and volatility in commodity prices could jeopardize macroeconomic stability and growth.

Key conditions and challenges

Liberia is confronted with development challenges, which include substantial deficiencies in human development and infrastructure, a reliance on global commodity markets, a limited revenue base, and extensive spending requirements. The country's real GDP per capita stood at \$704 in 2023, indicating a 12.7 percent decline since 2013. Most development measures, such as access to healthcare, education, and basic utilities are below regional and international benchmarks. From 2012 and 2022, Liberia's ratings on the Worldwide Governance Indicators for government effectiveness and control of corruption deteriorated markedly, reflecting inadequate and unequal service delivery, weak institutional and administrative capacities, and limited transparency and accountability. Liberia needs reforms in its institutional and business environment, investments in human capital, and improvements in basic services and infrastructure to achieve sustained and inclusive growth, improve governance in the public sector, and strengthen resilience.

Recent developments

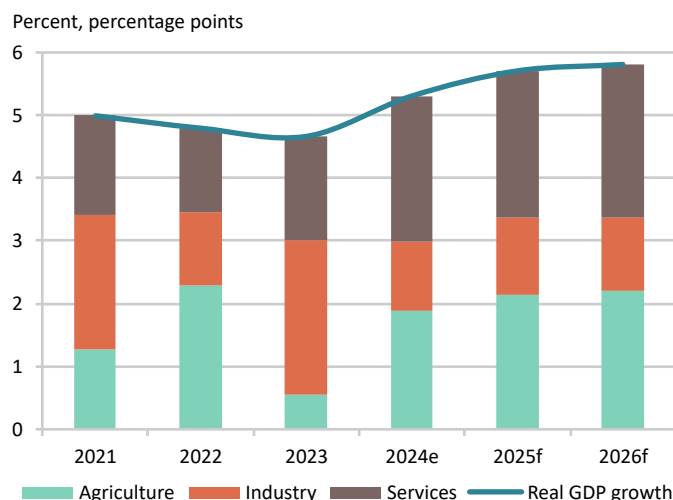
Despite the challenges, Liberia's economy showed resilience and expanded by 4.7 percent in 2023. The industrial sector

demonstrated robust growth of 13.9 percent, primarily driven by gold mining and construction. The services sector grew by 3.7 percent, driven by the financial and hospitality subsectors, increased trade and transport activities, and improved access to electricity. Output in the agriculture sector grew by a modest 1.4 percent, reflecting declines in palm oil and rubber production. On the demand side, continued recovery in private consumption, increased public-sector spending, and a surge in gold exports were the main drivers of growth. With the recovery in growth in the last three years, poverty declined slightly in 2023. The share of the population living below the international poverty line (i.e., on less than US\$2.15 per person per day) fell by 0.5 percentage points to 28 percent.

Headline inflation moderated to 6.2 percent year-on-year (y/y) in June 2024, from 12.4 percent in June 2023, while core inflation fell to 3.5 percent (y/y) from 12.8 percent in June 2023. Food inflation declined from 26.9 percent in December 2023 to 11.6 percent in June 2024. The easing inflationary pressures reflect a tight monetary policy and broadly stable exchange rates. The exchange rate depreciated by 3.0 percent during H1-2024 compared to 11.9 percent in H1-2023, while the policy rate was kept at 20.0 percent, well above inflation.

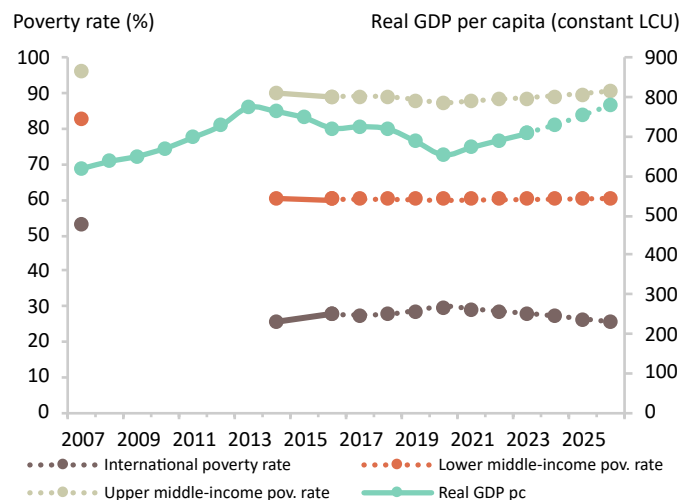
The fiscal deficit in 2023 reached an unsustainable 7.1 percent of GDP due to a decline in revenues and grants and an increase in consumption spending. The fiscal deficit was financed by concessional resources and direct borrowing from the Central Bank. To address this, the new

FIGURE 1 Liberia / Real GDP growth and contributions to real GDP growth



Sources: Liberian authorities and World Bank staff estimates and projections.

FIGURE 2 Liberia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

government has proposed a revised budget that aims for a 2.3 percent spending cut that affects capital spending, social benefits, subsidies, and grants. The objective is to achieve a fiscal adjustment of 3.5 percent of the GDP in 2024. Public debt hovered around 56 percent of GDP by the end of 2023, up from 53 percent in 2022.

The savings and investments gap widened during 2023, leading to a current account deficit (CAD) of 26.4 percent of GDP. Exports increased by 8.2 percent, slower than the 16.6 percent growth in 2022, while imports expanded by 27.2 percent due to higher petroleum products and machinery prices, leading to a higher trade deficit. The CAD was financed by net IMF credit, loans, and drawdowns of gross official reserves. Consequently, gross external reserves fell to US\$486 million in 2023 from US\$644 million in 2022, covering about two months of imports. Notably, financial-sector vulnerabilities moderated. Non-performing loans ratio dropped to 11.2 percent from 16.4 percent in 2022, and the banking sector remained adequately capitalized.

Outlook

Renewed interest and investment in mining, coupled with continued implementation of critical reforms in key enabling sectors, are expected to unlock Liberia's growth potential in the medium term. The economy is expected to expand by 5.3 percent in 2024 and nearly 6 percent by 2026 supported by: (i) significant foreign direct investments (FDI) in the iron ore sector, (ii) sustained strength in the gold sector, and (iii) increased infrastructure investment. The government has prioritized agriculture and developed a sector plan with a focus on increasing productivity.

In 2024 and beyond, inflation is expected to moderate, provided prudent monetary and fiscal policies are maintained. Headline inflation is projected to decrease to 7.7 percent in 2024, down from 10.1 percent in 2023, and reach 5.5 percent by 2026.

A large share of the population will remain in poverty until inclusive growth and low inflation can provide a conducive environment to recover their livelihoods. Current poverty projections will be revised as they under-estimate upward pressures on poverty, by not considering the impact of inflation on purchasing power.

Liberia's CAD is projected to decrease in 2024 but will stay high averaging 22 percent in the medium term. The elevated CAD is due to capital imports for vital infrastructure and investments, requiring trade improvements and ongoing external financial support. The deficit will be financed by FDI, project grants, and concessional loans.

Fiscal deficit is expected to decrease averaging 3.2 percent during 2024-2026 anchored on improved revenue mobilization and expenditure management.

Risks to the outlook are tilted to the downside as weak governance, fiscal slippages, and fluctuations in commodity prices could undermine macroeconomic stability and growth.

TABLE 2 Liberia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.0	4.8	4.7	5.3	5.7	5.8
Private consumption	4.7	3.3	3.5	3.7	3.8	3.9
Government consumption	0.2	-5.7	0.0	-12.7	-5.8	3.0
Gross fixed capital investment	-7.9	9.4	36.2	2.9	7.4	8.7
Exports, goods and services	14.7	7.7	23.6	21.1	11.2	6.1
Imports, goods and services	1.8	3.1	25.1	6.9	5.2	4.0
Real GDP growth, at constant factor prices	4.8	4.8	4.7	5.3	5.7	5.8
Agriculture	3.3	5.9	1.4	5.0	5.7	5.9
Industry	13.3	6.7	13.9	5.8	6.3	6.0
Services	3.0	2.8	3.7	5.4	5.3	5.7
Inflation (consumer price index)	7.8	7.6	10.1	7.7	6.0	5.5
Current account balance (% of GDP)	-17.8	-17.7	-26.4	-23.7	-21.6	-20.6
Fiscal balance (% of GDP)	-2.4	-5.6	-7.1	-3.6	-3.2	-2.7
Revenues (% of GDP)	27.2	21.5	20.4	20.8	21.2	21.6
Debt (% of GDP)	53.2	53.4	55.7	59.9	59.5	57.9
Primary balance (% of GDP)	-1.6	-4.6	-6.1	-2.7	-2.3	-1.8
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	29.1	28.5	27.9	27.2	26.5	25.7
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	60.6	60.6	60.6	60.6	60.6	60.6
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	87.7	88.2	88.6	89.1	89.8	90.4
GHG emissions growth (mtCO₂e)	0.1	3.2	3.2	3.1	3.1	3.2
Energy related GHG emissions (% of total)	4.2	4.2	4.1	4.0	4.0	3.9

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2014-HIES and 2016-HIES. Actual data: 2016. Nowcast: 2017-2023. Forecasts are from 2024 to 2026.

b/ Projection using point-to-point elasticity (2014-2016) with pass-through = 0.7 based on GDP per capita in constant LCU.

MADAGASCAR

Key conditions and challenges

Table 1 2023

Population, million	30.3
GDP, current US\$ billion	15.8
GDP per capita, current US\$	520.7
International poverty rate (\$2.15) ^a	80.7
Lower middle-income poverty rate (\$3.65) ^a	92.4
Upper middle-income poverty rate (\$6.85) ^a	98.2
Gini index ^a	42.6
School enrollment, primary (% gross) ^b	138.2
Life expectancy at birth, years ^b	65.2
Total GHG emissions (mtCO2e)	40.5

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2012), 2017 PPPs.

b/ Most recent WDI value (2022).

GDP growth is projected at 4.5 percent in 2024, supported by agriculture, mining, and private investment. Higher agriculture output and tighter monetary policy eased inflation from the double-digit peak in March 2023. Growth is expected to average 4.6 percent over 2024-26, conditional on sustained structural reforms. Poverty is expected to remain high at 80 percent (international poverty line of US\$2.15, 2017 PPP). Key downside risks include weaker than expected financial performance of major SOEs, power shortages, and weather shocks.

The real per capita income has declined 60 percent since 1975. The international poverty rate (US\$2.15 international poverty line, 2017 PPP, poverty rate henceforth) stands at 80 percent. The multidimensional poverty rate, which encompasses access to basic services such as health, education, and living conditions, stands at 69 percent and is the fifth highest globally. Madagascar has not been able to leverage its comparative advantage in commodity exports to accelerate structural transformation, and low-productivity agriculture accounts for the largest share of value added. Extractives, construction, and public works were the main growth drivers but were also the most affected by COVID-19.

Governance and institutional challenges hindered the development. State capture in key sectors reduced market contestability and vested interests impeded reforms, including for the state-owned utility company (JIRAMA). Low human capital, slow economic transformation, and a high vulnerability to climate and external shocks undermine growth. Labor market participation remains low at 58.8 percent, and 51.2 percent for women, compared with 66.9 percent for men.

Intensifying climate-related disasters, including cyclones, droughts, water stresses, and rising temperatures have exerted a heavy toll on the economy and the

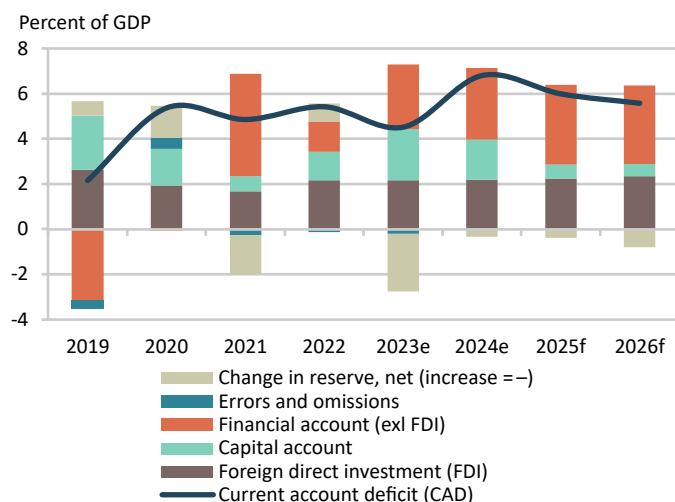
population, on top of an inadequate supply of food and energy.

Reducing persistent poverty and promoting high and resilient growth would require improved governance and business climate conducive to private investments including climate-resilient investment, deepened structural reforms in key sectors (mining, telecommunications), and closing the gap in human and physical capital accumulation.

Recent developments

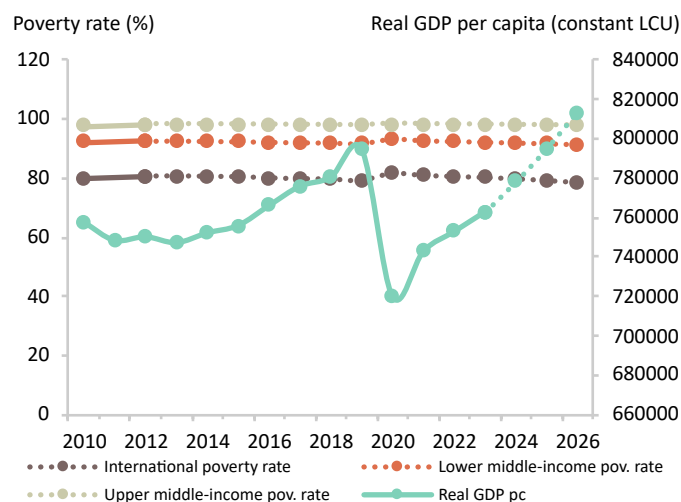
Growth is projected to increase to 4.5 percent in 2024 from 3.8 percent in 2023, driven by agriculture, mining (graphite, chromium, mica), manufacturing (notably textile), and telecommunications. Tourism continued its post-pandemic recovery, with tourist arrivals between January and July 2024 matching 88 percent of the 2019 level. Employment was relatively stable with labor demand expressed mainly from the industry and service sectors while most of the companies in the agriculture sector reported reduced employment. Higher agriculture output and tighter monetary policy eased inflation to 7.6 percent in July 2024 from the peak of 12.4 percent in March 2023. Increased domestic rice production in 2023 helped contain rice price increases (20 percent of household expenses), although prices remained elevated due to market distortions. Persistent inflation prompted the central bank to raise both the deposit facility rate and the marginal lending rate

FIGURE 1 Madagascar / Current account deficit financing



Source: World Bank.

FIGURE 2 Madagascar / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

by 50 basis points, to 9.5 percent and 11.5 percent, respectively, in August 2024.

The current account deficit (CAD) widened to 3.5 percent of GDP in the first semester of 2024 (2024H1), from 1.8 percent of GDP (y/y) in 2023 following a sharp contraction in the volumes and prices of main exports (nickel, cobalt, cloves). The price of vanilla remained subdued at around US\$50 per kilogram during the export season, offsetting the boost in the export volume. The CAD was mainly financed by official external financing which also helped stabilizing international reserves at 5.7 months of imports since end-2023. The Ariary slightly appreciated against major currencies over 2024H1.

The budget execution (cash basis) reached 43.7 percent of the annual projection by end-June 2024, mainly on salary and externally-financed investment, while the execution rate for domestically-financed investment was low at 8.3 percent. Tax revenue collection stood at 38.5 percent of the annual projection, undermined by weak international trade and a high reliance on trade-related revenues, which usually contribute half of the total tax revenue. The fiscal deficit stood at 1.2 percent of GDP by June 2024, financed mainly by external financing. A revised budget adopted in

June 2024 adjusted downward expenditure and revenue projections while increasing transfers to JIRAMA and subsidies on fuel pump prices. The public debt stood at 55.6 percent of GDP by end 2023.

Outlook

Growth is projected to average 4.6 percent over 2024-26, driven by industry (textile, mining) and services. The growth projection assumes sustained implementation of the structural reforms that have been initiated recently, including those aiming at strengthening market contestability in key sectors such as mining and digital, and at improving the investment climate. Food and energy will continue to drive inflation but inflation is projected to decline, due to continued monetary tightening and more effective monetary policy as the central bank advances with its new policy operational framework.

The poverty rate is projected to decline slightly to 79.5 percent in 2024, mainly due to higher agricultural output. Low-productivity and low-wage activities within the primary sector remain prominent, urging the need for the creation of

more and better jobs. In addition, a better education level is also crucial for higher labor market participation.

The CAD is projected to progressively decrease over 2024-26, reflecting rising exports (mining, tourism) and lower oil prices. Gross reserves are expected to be adequate in the medium term, supported by foreign direct investment inflows and official transfers.

The fiscal deficit is projected to stabilize around 3.9 percent of GDP over 2024-26, supported by improved spending efficiency, conditional on sustained reforms for the operational and financial recovery of JIRAMA, and increased revenue collection notably from mining (production and exports expected to resume after the enactment of the new mining code). Public debt is expected to stabilize at around 55.9 percent of GDP over the medium term. Madagascar remains at moderate risk of debt distress.

The outlook is subject to downside risks associated with the weak financial performance of major state-owned enterprises weighing on public finance, frequent power outages impacting downstream sectors, and high vulnerability to external shocks including commodity price fluctuations and adverse weather.

TABLE 2 Madagascar / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.7	4.0	3.8	4.5	4.6	4.7
Private consumption	6.0	-9.3	-12.3	3.0	3.2	3.3
Government consumption	0.2	34.4	1.9	0.2	0.3	0.4
Gross fixed capital investment	12.7	-13.4	10.1	6.6	6.8	6.9
Exports, goods and services	55.0	29.5	12.6	1.0	11.2	11.3
Imports, goods and services	12.7	13.1	-2.9	-0.9	11.0	11.2
Real GDP growth, at constant factor prices	6.5	4.0	3.5	4.5	4.6	4.7
Agriculture	-1.6	0.9	4.1	4.0	4.3	4.3
Industry	19.7	11.2	2.4	4.6	4.6	4.7
Services	7.3	3.5	3.6	4.7	4.7	4.9
Inflation (consumer price index)	5.8	8.2	9.9	7.4	7.1	6.7
Current account balance (% of GDP)	-4.9	-5.4	-4.5	-6.8	-6.0	-5.6
Net foreign direct investment inflow (% of GDP)	1.7	2.2	2.2	2.2	2.3	2.4
Fiscal balance (% of GDP)	-2.8	-5.5	-4.1	-3.8	-3.8	-4.0
Revenues (% of GDP)	10.9	10.9	13.8	13.0	11.9	12.6
Debt (% of GDP)	51.9	53.9	55.6	55.5	55.8	56.3
Primary balance (% of GDP)	-2.2	-5.0	-3.4	-2.9	-2.9	-3.0
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	81.0	80.6	80.2	79.7	79.1	78.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	92.6	92.4	92.2	91.9	91.7	91.4
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	98.2	98.1	98.1	98.0	97.9	97.8
GHG emissions growth (mtCO₂e)	-1.1	1.1	1.0	1.3	1.0	1.0
Energy related GHG emissions (% of total)	12.5	12.9	12.9	13.3	13.7	14.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2012-ENSOMD. Actual data: 2012. Nowcast: 2013-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2012) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

MALAWI

Table 1 **2023**

Population, million	20.9
GDP, current US\$ billion	14.1
GDP per capita, current US\$	673.7
International poverty rate (\$2.15) ^a	70.1
Lower middle-income poverty rate (\$3.65) ^a	89.1
Upper middle-income poverty rate (\$6.85) ^a	97.3
Gini index ^a	38.5
School enrollment, primary (% gross) ^b	126.4
Life expectancy at birth, years ^b	62.9
Total GHG emissions (mtCO2e)	22.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2019), 2017 PPPs.

b/ Most recent WDI value (2022).

Malawi's economic situation remains challenging. A severe drought in 2024 has exacerbated macroeconomic imbalances and added to successive poor harvests and high food prices. Food insecurity is hindering poverty reduction, with nearly three-quarters of the population living in extreme poverty. The financing of high fiscal deficits and rising food prices are fuelling inflation. Real GDP is projected to grow only 1.8 percent in 2024, and an acceleration is expected in 2025 if reforms implementation progresses.

Key conditions and challenges

Over the past two years, the low economic growth in Malawi remained below population growth, resulting in a decline in per capita GDP. The agricultural sector, which employs most of the workforce and continues to rely primarily on rain-fed production, faces declining productivity and real income. Diversification efforts and increased irrigation are proceeding slowly, making the country more susceptible to economic and climatic shocks, and further exacerbating socio-economic challenges.

In the past three years, food insecurity has been increasing, especially towards the end of the year. El Niño induced poor harvest exacerbates food insecurity, which is worsened by higher food prices given that households increasingly rely on markets to complement their own food production. As a result, efforts to reduce poverty are falling short, and the proportion of people living on less than US\$2.15 per day is still above 71 percent in 2024, which is higher than during the COVID-19 pandemic.

Persistent and widening fiscal and current account deficits, an unsustainable debt burden, capital controls, and trade distortions have contributed to economic volatility, policy uncertainty, and a vicious cycle of crises. The authorities initiated several fiscal and structural reforms, including external debt restructuring, to

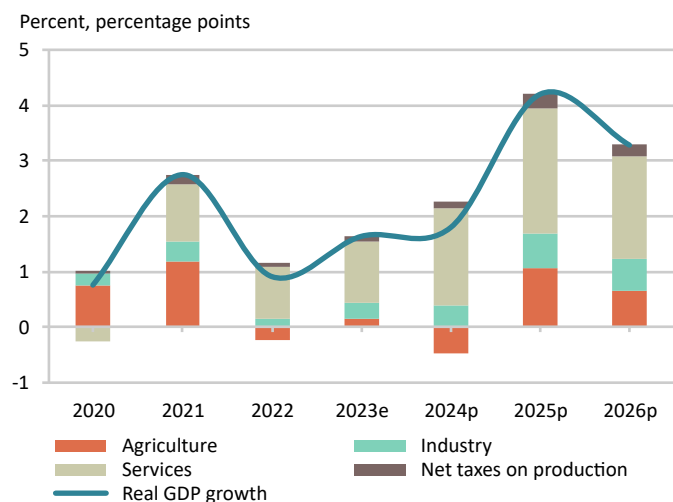
restore macroeconomic stability and create foundations for sustainable and inclusive long-run growth. However, implementation of these reforms has been piecemeal, and momentum is further slipping in advance of the September 2025 general elections. Debt restructuring negotiations have proceeded slowly, with the authorities only concluding negotiations with China. Negotiations with commercial creditors (Afreximbank and TDB) and other bilateral creditors (Saudi Fund, Kuwait Fund, and Abu Dhabi Fund) are still ongoing. Multiple price distortions, including an overvalued official exchange rate, remain prevalent in the economy and have resulted in widespread resource misallocation and complicated efforts toward macroeconomic stabilization.

Recent developments

Real GDP is estimated to have grown only by 1.6 percent year-on-year in 2023 affected by the unavailability of inputs amid forex constraints and the impact of Tropical Cyclone Freddy. Poverty has remained stubbornly high, at over 71 percent, as real GDP contracted in per capita terms in 2023 (based on the poverty line of US\$2.15 a day).

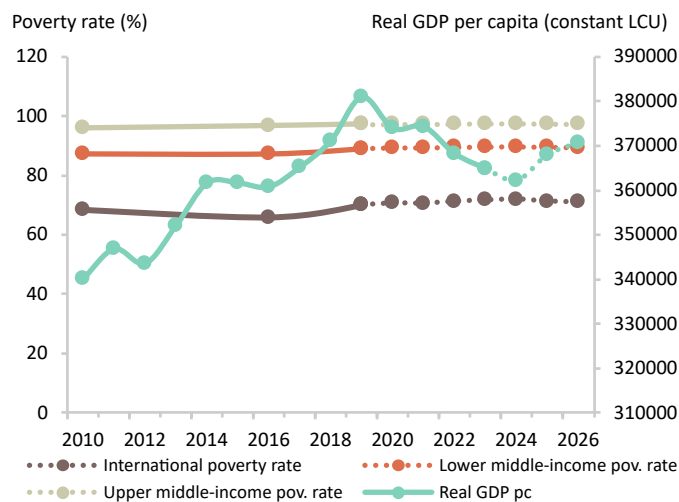
The current account deficit remained high at 16.1 percent of GDP, putting pressure on official reserves, which persistently remained below 1 month of import cover in 2023. The commitment to increasing exchange rate flexibility announced in November 2023 has yet to be consistently

FIGURE 1 Malawi / Real GDP growth and sectoral contributions to real GDP growth



Source: World Bank staff estimates and projections.

FIGURE 2 Malawi / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

implemented. The exchange rate premium in the informal market has widened further, reflecting increasing distortions in the foreign exchange market.

Despite the tight monetary policy stance pursued by the Reserve Bank of Malawi (RBM), inflation at 33.7 percent remains elevated, driven by supply side constraints and the high fiscal deficit. The recent drought has constrained grain supply, further increasing prices for maize, the country's staple, by 16 percent in August 2024 year-on-year and disproportionately affecting the poor. Any resort to monetary financing of the deficit could further heighten inflationary pressures in 2024.

Fiscal revenues grew by 0.6 percentage points to 16.8 percent of GDP in 2023, buoyed by a good performance in tax revenue and grants disbursements by development partners. Despite this positive development, the country registered the highest fiscal deficit in sub-Saharan Africa, at 10.2 percent of GDP, due to fiscal slippages and the recapitalization of the RBM to compensate for exchange rate losses.

Outlook

Real GDP is projected to grow modestly by 1.8 percent in 2024—a third consecutive contraction in per capita terms. El Niño-induced drought conditions weighed on agricultural production. Maize production in the 2023-24 cropping season is more than 20 percent below the food target set by the government. Further, unavailability of foreign exchange continues to constrain the importation of raw materials and production inputs. Real GDP growth is projected at 4.2 percent in 2025 due to agricultural sector recovery and spillovers towards manufacturing and transportation subsectors.

The current account deficit is estimated to reach 18.7 percent of GDP in 2024, putting further pressure on official reserves estimated at US\$119.9 or 0.5 months of import cover in August 2024. Imports are expected to continue rising given sustained demand for strategic commodities, including fuel, fertilizer,

and food, while the impact of the prolonged drought is expected to constrain export growth. Over the medium-long term, ongoing investments in commercialized agriculture and the mining sector are expected to boost economic activity and increase exports, but these are likely to take several years to materialise.

Poverty and food insecurity are expected to increase in 2024 amidst this challenging economic environment. Nearly 30 percent of the population is expected to face crisis-level food insecurity during the lean season and poverty is expected to reach 72.0 percent of the population by the end of 2024.

The outlook is subject to significant downside risks, including continued fiscal slippages, which could entrench macroeconomic instability. Failure to address external imbalances may continue to result in input shortages. Upside risks include faster-than-expected development of the mining sector, an increase in non-debt creating flows, especially grants to the budget, and a rapid conclusion of debt-restructuring negotiations.

TABLE 2 Malawi / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	2.8	0.9	1.6	1.8	4.2	3.3
Private consumption	2.6	0.6	3.8	4.7	4.8	5.6
Government consumption	-1.1	-5.8	14.8	5.3	7.6	-0.8
Gross fixed capital investment	6.5	12.4	-14.3	-6.5	0.4	-14.1
Exports, goods and services	2.5	3.1	3.5	8.8	6.7	6.0
Imports, goods and services	2.5	3.9	3.9	9.6	6.3	3.9
Real GDP growth, at constant factor prices	2.8	0.9	1.6	1.8	4.2	3.3
Agriculture	5.2	-1.0	0.6	-2.0	5.0	3.0
Industry	1.9	0.9	1.6	2.1	3.3	3.1
Services	2.0	1.8	2.1	3.3	4.2	3.5
Inflation (consumer price index)	9.3	20.9	28.7	33.6	27.3	22.6
Current account balance (% of GDP)	-15.2	-17.3	-16.1	-18.7	-16.5	-14.4
Net foreign direct investment inflow (% of GDP)	0.8	1.6	1.5	1.2	1.1	1.0
Fiscal balance (% of GDP)	-8.4	-10.3	-10.2	-7.7	-9.9	-6.4
Revenues (% of GDP)	15.1	16.2	16.8	16.6	16.7	16.5
Debt (% of GDP)	67.2	75.5	90.3	85.4	83.2	79.5
Primary balance (% of GDP)	-4.4	-5.8	-5.6	-3.3	-5.7	-3.1
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	70.6	71.3	71.7	72.0	71.3	71.1
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	89.4	89.5	89.7	89.8	89.5	89.5
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	97.4	97.5	97.5	97.5	97.5	97.4
GHG emissions growth (mtCO₂e)	0.9	1.5	1.6	1.6	1.4	1.6
Energy related GHG emissions (% of total)	8.0	8.1	8.1	8.1	8.1	8.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2019-IHS-V. Actual data: 2019. Nowcast: 2020-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2019) with pass-through = 0.7 (Low (0.7)) based on GDP per capita in constant LCU.

MALI

Table 1 **2023**

Population, million	23.3
GDP, current US\$ billion	20.2
GDP per capita, current US\$	869.0
International poverty rate (\$2.15) ^a	20.8
Lower middle-income poverty rate (\$3.65) ^a	56.1
Upper middle-income poverty rate (\$6.85) ^a	85.9
Gini index ^a	35.7
School enrollment, primary (% gross) ^b	72.6
Life expectancy at birth, years ^b	59.4
Total GHG emissions (mtCO2e)	52.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

GDP growth is projected to reach 3.7 percent in 2024 (0.6 percent per capita), supported by agriculture and services, while continuing electricity shortages are expected to hinder industrial production. The extreme poverty rate is projected to fall to 20.8 percent, supported by lower inflation of 1.2 percent. The outlook is subject to downside risks from rising insecurity, impacts of the Economic Community of West African States (ECOWAS) withdrawal, climate shocks, and continuing high borrowing costs.

Key conditions and challenges

Mali's economy remains under-diversified with little structural change over the last three decades. Agriculture and low-productivity services dominate the economic and employment landscape, while manufacturing is limited to agro-industries and cotton ginning. Gold and cotton exports expose the economy to commodity prices and climatic shocks. Per capita GDP growth stagnated over the last decade, limiting poverty reduction efforts, while human development indicators show mixed progress.

Persistent insecurity, a weakened social contract, and limited investments are key bottlenecks to inclusive and sustainable growth. In combination with the absence of the State in remote areas, this has increasingly disrupted service delivery. The recurrence of conflict represents a political and security risk, which could be potentially mitigated by the successful implementation of the roadmap outlined by the Dialogue Inter-Maliens for Peace and National Reconciliation, concluded in May 2024.

On January 28, 2024, in a joint communiqué, Burkina Faso, Mali and Niger announced their 'immediate' withdrawal from ECOWAS. According to the revised ECOWAS Treaty, a notification period of one year is required to leave ECOWAS. The three countries remain members of WAEMU. Subsequently, on July 6, 2024,

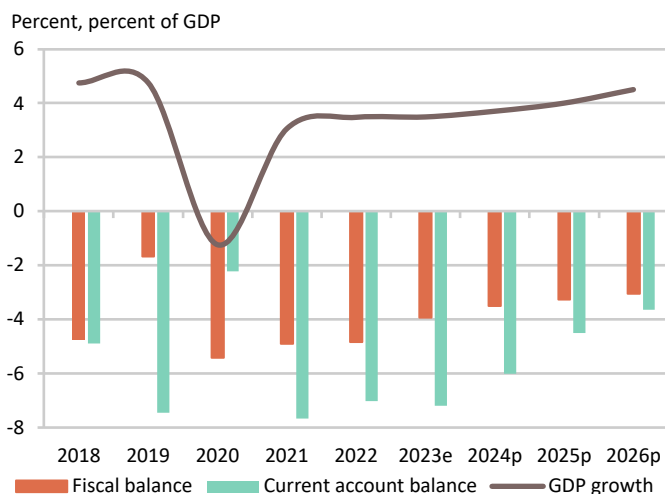
the three countries signed the Treaty establishing the Confederation of Sahel States. These events have contributed to heightened political and policy uncertainty, including the timetable for elections in Mali.

Recent developments

GDP growth is expected to increase slightly from 3.5 percent in 2023 to 3.7 percent in 2024 (0.6 percent per capita). Services are expected to grow (+4.2 percent), albeit less than in 2023, supported by a stronger than expected telecommunications sector (+11 percent in Q1 y/y). Agriculture is expected to rebound (+3.6 percent), driven by a successful cotton campaign. Industry is projected to slightly recover (+2.5 percent), driven by construction and food manufacturing, while electricity shortages continue to disrupt the production of fertilizers and metallurgy. Private consumption is expected to be the principal driver on the demand side, contributing 3.3 percentage points (pps), followed by private investment (+1.5 pps), especially in telecommunications. The current account deficit is expected to narrow to 6 percent of GDP, driven by the rebound in cotton exports (+ 7.4 percent in Q1 y/y), lithium production, and improved terms of trade.

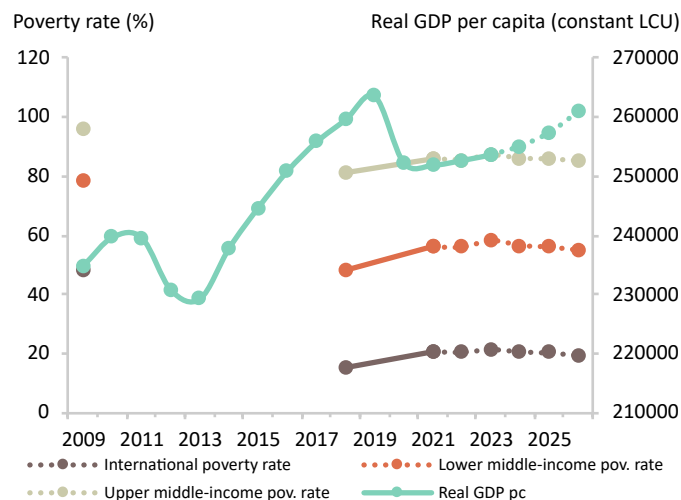
Inflation is expected to fall to 1.2 percent in 2024, due to stronger agricultural output and lower import costs. These dynamics will help the extreme poverty rate, which had increased to 21.5 percent in 2023, to fall back to 20.8 percent in 2024. However,

FIGURE 1 Mali / Real GDP growth, current account, and fiscal balances



Sources: Malian Government and World Bank.

FIGURE 2 Mali / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

the humanitarian situation remains serious, with over 330,000 internally displaced persons, in addition to an estimated 1.4 million people (6 percent of the population) facing severe food insecurity between June and August 2024, a situation being exacerbated by major flooding during the rainy season.

The Central Bank of West African States (BCEAO) has kept its policy interest rates unchanged since December 2023 at 3.5 percent for liquidity calls and 5.5 percent for the marginal lending facility. The WAEMU Inflation rate has been on a downward trend since peaking in 2022 but is currently above the 1 to 3 percent WAEMU target, at 4.4 percent y/y in July 2024, and regional foreign exchange reserves remain low, covering only 3.5 months of import in 2024Q1.

The fiscal deficit is expected to narrow to 3.5 percent of GDP in 2024, supported by higher tax revenues (+20.7 percent in Q1 2024 y/y)—the impact of tax digitalization efforts. On the expenditure side, the large public wage bill is expected to decrease to 9 percent of GDP in 2024. The fiscal deficit will predominantly be financed through domestic borrowing from

the regional market, where Mali has faced a significant surge in interest rates, exceeding 9 percent for 12-month bills. While total public debt is expected to increase to 57 percent of GDP in 2024, the risk of debt distress remains moderate.

Outlook

Real GDP growth is forecasted to increase to an average of 4.3 percent over 2025-26, supported by agriculture and telecommunication services, and assuming the security situation doesn't deteriorate, some improvement in electricity supply, and an orderly ECOWAS withdrawal that limits negative impacts to lower trade with non-WAEMU ECOWAS states. The Government's fiscal consolidation efforts are expected to enable it to converge to the WAEMU ceiling of 3 percent by 2026. Inflation is forecasted to converge towards the BCEAO target of 2 percent in 2026. The regional inflation rate is projected to align with WAEMU target by 2025, while regional reserves are expected to rise gradually, supported

by the resumption of international bond issuances, recovering exports, and monetary policy easing in the Euro Area.

The extreme poverty rate is expected to decline by 1.1 percentage points over the medium term, reaching 19.7 percent in 2026, but the number of poor is projected to increase by nearly 20,000 people over the period.

The outlook remains subject to downside risks related to a persistent electricity crisis, rising insecurity and displacement, and further climatic shocks. An ECOWAS withdrawal that has gaps in agreements could lead to larger disruptions in the free movement of goods, services, capital, and labor and could have spillover effects onto trade in the WAEMU zone. However, if new trade opportunities are realized, these negative impacts could be mitigated. Mali may also continue to face elevated borrowing costs, which could lead to reductions in growth-enhancing investments, amid increasing demands for defense and security spending. On the upside, strong improvements in electricity trade, production, and supply and reduced regional tensions would ease market uncertainty and support investment.

TABLE 2 Mali / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.1	3.5	3.5	3.7	4.0	4.5
Private consumption	3.0	4.0	3.9	4.0	4.1	4.1
Government consumption	5.8	7.6	16.7	-0.3	0.7	1.9
Gross fixed capital investment	4.8	1.0	-3.6	6.7	6.0	6.7
Exports, goods and services	-1.0	18.1	-3.9	2.8	4.3	5.1
Imports, goods and services	14.1	0.7	2.3	3.9	4.3	4.3
Real GDP growth, at constant factor prices	3.0	4.3	3.4	3.7	4.0	4.5
Agriculture	1.4	2.4	2.3	3.6	4.5	4.5
Industry	1.0	3.7	2.0	2.5	3.5	3.5
Services	5.1	5.8	4.9	4.2	3.9	4.9
Inflation (consumer price index)	4.0	9.7	2.1	1.2	2.0	2.0
Current account balance (% of GDP)	-7.7	-7.0	-7.2	-6.0	-4.5	-3.7
Net foreign direct investment inflow (% of GDP)	3.0	2.6	2.5	3.2	3.1	2.9
Fiscal balance (% of GDP)	-4.9	-4.8	-3.9	-3.5	-3.3	-3.0
Revenues (% of GDP)	22.0	19.8	23.6	23.4	23.7	22.2
Debt (% of GDP)	50.4	51.8	55.9	57.0	57.2	56.1
Primary balance (% of GDP)	-3.5	-3.4	-2.2	-1.5	-1.3	-1.2
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	20.8	20.7	21.5	20.8	20.4	19.7
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	56.1	56.0	58.4	56.6	56.0	54.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	85.9	85.6	87.2	86.1	85.7	85.1
GHG emissions growth (mtCO₂e)	4.1	4.3	2.7	4.2	4.8	5.1
Energy related GHG emissions (% of total)	16.4	17.4	16.6	16.8	17.3	18.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

MAURITANIA

Table 1 **2023**

Population, million	4.9
GDP, current US\$ billion	10.6
GDP per capita, current US\$	2183.7
International poverty rate (\$2.15) ^a	5.4
Lower middle-income poverty rate (\$3.65) ^a	25.8
Upper middle-income poverty rate (\$6.85) ^a	68.0
Gini index ^a	32.0
School enrollment, primary (% gross) ^b	86.7
Life expectancy at birth, years ^b	64.7
Total GHG emissions (mtCO2e)	14.9

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2019), 2017 PPPs.

b/ WDI for School enrollment (2020); Life expectancy (2022).

Growth is expected to remain robust in 2024 after a strong performance in 2023. The fiscal and external positions are projected to improve. Monetary policy tightening and lower food and energy prices supported inflation easing in mid-2024. The poverty headcount rate (US\$3.65-a-day) is expected to decline to 27.4 percent in 2024. The outlook is subject to downside risks stemming from delayed gas production, climate change and regional insecurity.

Key conditions and challenges

The service sector constitutes the largest share of Mauritania's economy, but extractives will continue to drive exports and growth in the near term. The first phase of the Greater Tortue Ahmeyim (GTA) Offshore gas will start in mid-2025, boosting exports and supporting domestic power generation. The expansion in iron ore production and transformation will support the narrowing of the current account deficit (CAD) and further boost growth. Post-election policies are expected to focus on supporting growth while maintaining fiscal discipline and building the prerequisites for a diversified, resilient, and inclusive economy.

Ambitious reforms will be needed in building, using, and protecting human capital, improving the efficiency of public investments and the overall quality of infrastructure, boosting productivity and innovation, increasing female labor participation and job quality, strengthening the business climate and strengthening governance and resilience to climate shocks.

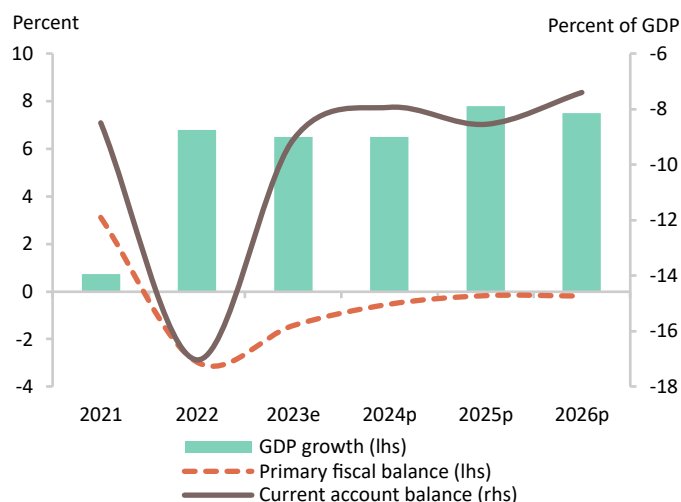
Poverty reduction remains dependent on agricultural activities and sensitive to inflation. Indeed, the last 2019 household survey suggests that agricultural activities and food products represent 45 and 57 percent of the total income and consumption of the poor, respectively.

Recent developments

Economic activity is expected to remain robust at 6.5 percent in 2024 (3.7 percent per capita), supported by the expansion of services and by increases in iron ore and fish exports of 15 and 43 percent y-o-y in the first half of 2024. Overall, real exports grew by 15 percent over the same period. Compared to the same period in 2023, industrial production witnessed a solid start in the first quarter of 2024 (+11.5 percent), thanks to strong mining, manufacturing, and construction activities. Private demand was strong thanks to increases in electricity and fuel consumption. Inflation continued its downward trend, driven by tighter monetary policy and lower food and oil prices. It reached 3 percent (y/y) in July 2024, compared to 4 percent (y/y) in July 2023. This downward trend is expected to continue through 2024 to reach an annual average inflation of 2.7 percent (y/y).

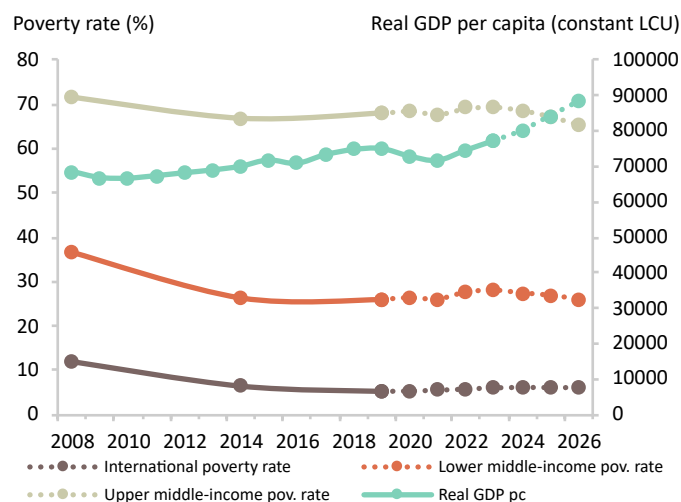
A decline of 2.0 percent in real per capita value-added in the agricultural sector is expected to slightly increase the poverty rate (at US\$3.65-a-day) in rural areas, from 41.6 percent in 2023 to 41.9 percent in 2024. Conversely, this poverty rate is expected to decline in urban areas from 13.7 percent to 12.0 percent, in line with higher real per capita value-added in industrial (+4.7 percent) and services activities (+5.6 percent). As a result, poverty is expected to decrease slightly from 28.1 percent to 27.4 percent despite inflation

FIGURE 1 Mauritania / Evolution of main macroeconomic indicators



Source: World Bank.

FIGURE 2 Mauritania / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

being halved, to 2.7 percent. Poverty incidence slowly recovered its downward trajectory in 2024, after rising post-COVID. Over the first six months of 2024, the fiscal balance registered a surplus of 0.3 percent of GDP, compared to a deficit of 0.9 percent of GDP over the same period in 2023, and to a deficit of 2.4 percent over the full year 2023. This surplus was driven by a combination of higher tax revenues, lower current transfers, and lower spending on goods and services. Debt-to-GDP ratio fell to 47.2 percent of GDP in 2023 and is expected to further decrease in 2024. External debt remains sustainable, and the risk of debt distress is moderate. The CAD improved to 9.1 percent of GDP in 2023, reflecting lower imports of capital goods, oil, and food. The trade balance improved further in the first half of 2024, supported by lower food imports, lower imports in the extractive industry, and higher exports of fish and iron ore. The CAD, projected at 7.9 percent of GDP for 2024, will be financed mostly by Foreign Direct Investments (FDI) in the extractive industry.

The Central Bank of Mauritania maintained a tight monetary policy and continued to absorb substantial liquidity. The Ouguiya depreciated by 0.9 percent against the dollar (as of end-July) with the introduction of the new foreign exchange platform in December 2023. The financial sector remained sound with strengthened regulations.

Outlook

Growth will pick up in 2025-2026, averaging 7.6 percent (4.8 percent per capita) supported by the start of gas production and exports, higher public investments, an improved net external position, and sustained private demand. The industrial sector and services will remain the main drivers of the real GDP growth on the supply side. Average inflation is projected to stabilize around 2 percent with lower food and oil prices. The CAD is projected to average 8 percent of GDP with gas exports and lower imports in the extractive industry.

The US\$3.65-a-day poverty rate is expected to fall to 26.9 and 25.9 percent in 2025 and 2026 respectively, in line with lower inflation and higher value-added per capita growth in all sectors. Similarly, poverty is expected to decline in urban and rural areas in 2025 to 11.5 and 41.3 percent, respectively. This decline should continue in 2026.

The fiscal deficit will narrow to an average of 1 percent of GDP in 2025-2026, supported by higher revenue mobilization, lower energy subsidies, and lower current transfers. Budgetary pressures from the government's ambitious public investment program remain.

Risks to the outlook remain elevated. A slowdown in FDI inflows due to a delay in the second and third phases of the GTA project, and a slowdown in the main trading partners' growth, would weigh on medium-term growth, fiscal and external prospects. Mauritania is also exposed to various climatic shocks such as drought and floods, which affect human capital, household incomes, and agricultural production. Regional insecurity in the Sahel remains a risk.

TABLE 2 Mauritania / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	0.7	6.8	6.5	6.5	7.8	7.5
Private consumption	3.3	3.9	4.2	4.6	4.8	5.0
Government consumption	26.8	14.3	10.6	8.4	7.1	6.9
Gross fixed capital investment	12.1	3.4	-15.3	9.3	7.4	7.1
Exports, goods and services	-12.9	16.8	3.5	8.6	12.3	10.6
Imports, goods and services	-3.3	15.3	-1.5	5.0	4.6	3.6
Real GDP growth, at constant factor prices	0.0	9.8	4.3	6.5	7.8	7.5
Agriculture	-2.9	8.7	-1.0	1.5	1.6	1.6
Industry	-11.5	12.5	5.8	8.4	10.8	9.6
Services	10.7	8.6	5.8	7.5	8.4	8.4
Inflation (consumer price index)	3.6	9.6	4.9	2.7	2.0	2.0
Current account balance (% of GDP)	-8.5	-17.0	-9.1	-7.9	-8.5	-7.4
Net foreign direct investment inflow (% of GDP)	11.5	14.7	8.0	5.1	4.9	4.5
Fiscal balance (% of GDP)	2.3	-3.8	-2.4	-1.5	-1.0	-1.0
Revenues (% of GDP)	23.0	24.7	22.5	23.3	24.1	24.6
Debt (% of GDP)	52.4	48.5	47.2	44.9	45.0	45.3
Primary balance (% of GDP)	3.1	-3.0	-1.4	-0.5	-0.2	-0.2
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	5.6	5.9	6.2	6.3	6.3	6.3
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	26.0	27.7	28.1	27.4	26.9	25.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	67.8	69.2	69.5	68.7	67.2	65.4
GHG emissions growth (mtCO₂e)	2.8	2.9	3.2	3.2	3.4	3.4
Energy related GHG emissions (% of total)	31.3	31.6	32.2	32.8	33.7	34.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2019-EPCV. Actual data: 2019. Nowcast: 2020-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

MAURITIUS

Table 1 **2023**

Population, million	1.3
GDP, current US\$ billion	14.6
GDP per capita, current US\$	11553.5
Lower middle-income poverty rate (\$3.65) ^a	1.8
Upper middle-income poverty rate (\$6.85) ^a	13.5
Gini index ^a	36.8
School enrollment, primary (% gross) ^b	102.9
Life expectancy at birth, years ^b	73.5
Total GHG emissions (mtCO2e)	7.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2017), 2017 PPPs.

b/ WDI for School enrollment (2021); Life expectancy (2022).

Mauritius' economy is expected to grow by 5.6 percent in 2024, supported by a pick-up in tourism and investment in response to easing labor regulations for foreigners. Inflation is projected to fall to 4.9 percent by year-end, aided by lower commodity prices. The poverty rate is projected to decline from 10 percent in 2023 to 8 percent by 2025. Export challenges and fiscal pressures pose downside risks to growth and fiscal sustainability.

Key conditions and challenges

Over the past 50 years, the island archipelago of Mauritius has transitioned from a low-income to an upper-middle-income country. Sustained average growth of 4–6 percent in the decades before the COVID-19 pandemic allowed it to reach high-income status in 2020 briefly. Strong growth and the focus on social programs helped the country reduce poverty rates from 19 percent to 11 percent between 2012 and 2019. More recently, the swift post-pandemic economic rebound demonstrated the country's resilience, made possible by decisive health and fiscal responses amid a supportive business environment. Poverty is projected to have fallen to around 9 percent by 2024 after a dramatic increase to 16 percent during COVID-19 in 2020.

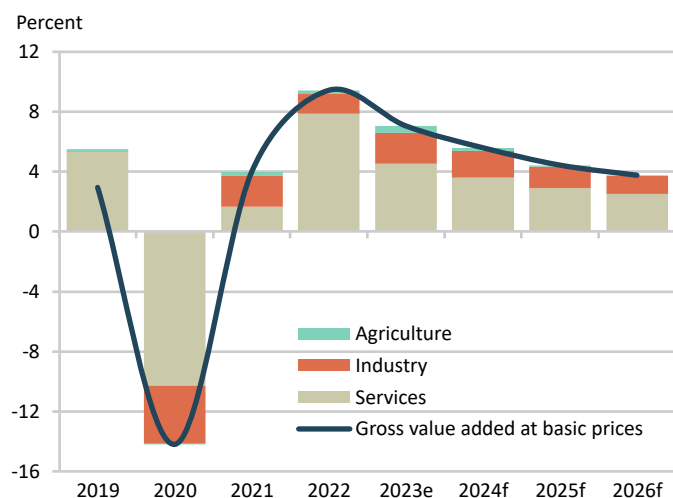
To achieve high-income status, Mauritius must overcome its structural challenges, such as an aging population and labor shortages, which have weakened export competitiveness. As an island economy, Mauritius is also increasingly vulnerable to climate shocks, particularly droughts and tropical cyclones. Social spending commitments amidst an aging demographic are straining fiscal resources, limiting the fiscal space to invest in productive capital projects, supporting climate adaptation efforts, and deploying countercyclical policies to mitigate shocks.

To surmount these challenges, Mauritius would need to prioritize productivity-enhancing reforms, foster women's participation in the workforce, and bolster macroeconomic resilience. This includes building fiscal buffers by enhancing revenue collection and optimizing social spending, improving the quality of education, and fostering private sector-led innovation.

Recent developments

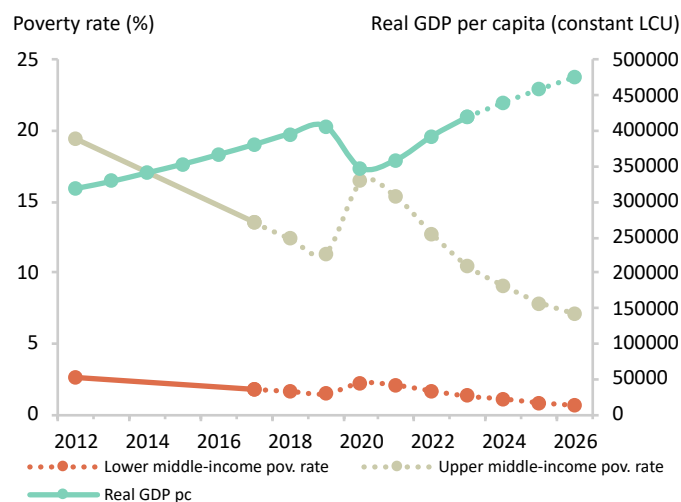
Real GDP grew by 6.4 percent in 2024Q1, driven by residential investments and financial services, which grew by 60 percent and 6.1 percent, respectively, while higher international tourist arrivals supported demand for transport and accommodation services. However, lower purchase orders due to external competition and labor shortages led to declining goods exports. Higher labor demand from tourism, construction, and the financial sectors resulted in a decline in unemployment to 6.3 percent in 2024Q1. Youth unemployment has declined 10 percentage points to 18.8 percent between 2022Q1 and 2024Q1, while female labor participation has increased from 41.9 to 48.5 percent in the same period. Recent policies to foster women participation in the labor force include the extension of maternal and paternal leave by two weeks and three weeks, respectively. Inflation has declined despite the temporary spike in the aftermath of Cyclone Belal in January 2024, due to moderation in global commodity prices and lower inflation in key trading partners.

FIGURE 1 Mauritius / Real GDP growth and sectoral contributions to real GDP growth



Sources: National Bureau of Statistics and World Bank staff calculations.

FIGURE 2 Mauritius / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

Consequently, headline and core inflation fell to 4.3 and 3.7 percent in July 2024, down from 10.5 and 6.7 percent last year. Recently the BOM reduced the policy rate from 4.5 percent to 4 percent.

The decrease in goods exports led to the widening of the current account deficit to USD 179 million in 2024Q1, up from USD 89 million in the same period last year. The re-routing of funds by global business companies to other countries also contributed to net foreign direct investment outflows of USD 320 million in 2024Q1. These factors contributed to a 4.9 percent rupee depreciation against the US dollar in the first half of 2024, with the BOM intervening to stabilize the foreign exchange market. Nevertheless, the central bank maintained adequate reserves, with gross official reserves standing at USD 7.9 billion in July 2024, equivalent to 12 months of import cover.

As the general election approaches, fiscal policy is expected to remain expansionary. In FY23/24, spending rose by 12.9 percent and is expected to increase by 17 percent in FY24/25. Underperformance in taxes on income, profits, and capital

gains contributed to a lower overall tax revenue growth of 8.7 percent, almost half of the target of the FY23/24 Budget (15.6 percent). As a result, the budget deficit rose to 5.5 percent of GDP, exceeding the target by 1.2 percentage points. Consequently, the public debt-to-GDP ratio increased to 77.6 percent from an anticipated 74.5 percent.

Outlook

The near-term outlook is generally positive, with real GDP expected to reach 5.6 percent in 2024. Growth is expected to be supported by higher international tourist arrivals, sustained public investments, and social spending despite lower exports of goods. The more relaxed requirements for foreign professionals to work in Mauritius are expected to narrow the skills gap over the medium term and support private investments. Annual inflation is projected to settle at 4.2 percent in 2024, supported by a softening in global commodity prices. However, the ongoing fiscal expansion is

expected to cause the government budget deficit to remain around 5 percent of GDP. In 2025, real GDP growth is expected to gradually converge to the long-term trend and ease to about 4.4 percent, with inflation expected to reach 4.2 percent. With growth expected to be sustained, the poverty rate is projected to fall to about 7 percent by 2026.

Risks to the outlook are balanced. The easing of global financing conditions could lead to higher financing flows. Fair and transparent elections can strengthen stability and further support private-sector investment. On the downside, sluggish global economic growth could affect the demand for Mauritius' exports. Weather shocks would weaken growth and generate inflationary and fiscal pressures.

Enhancing the investment climate and bolstering financial service integrity, including by strengthening currency convertibility and the anti-money laundering framework, could attract private capital for climate adaptation and energy transitions. Additionally, gradual fiscal consolidation is necessary to build fiscal buffers for macroeconomic resilience.

TABLE 2 Mauritius / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices^a	3.3	8.9	7.0	5.6	4.4	3.8
Private consumption	3.0	3.3	3.2	3.7	3.5	4.0
Government consumption	-2.2	6.4	-4.7	3.4	4.1	4.9
Gross fixed capital investment	13.9	7.8	31.0	14.1	9.0	6.1
Exports, goods and services	11.5	40.2	-1.3	1.7	3.8	1.1
Imports, goods and services	7.3	10.2	1.8	2.1	4.8	3.0
Real GDP growth, at constant factor prices	4.0	9.4	7.0	5.6	4.4	3.8
Agriculture	7.3	5.5	13.6	6.3	3.1	1.6
Industry	10.9	6.8	10.5	8.7	6.7	5.5
Services	2.2	10.3	5.9	4.7	3.9	3.4
Inflation (consumer price index)	4.0	10.8	7.0	4.2	3.5	3.8
Current account balance (% of GDP)	-13.0	-11.1	-5.5	-5.3	-4.3	-4.1
Net foreign direct investment inflow (% of GDP)	-21.1	-72.3	-2.9	-2.0	-1.3	-1.3
Fiscal balance (% of GDP)^b	-9.4	-5.2	-5.2	-5.6	-5.4	-5.3
Revenues (% of GDP)	24.9	24.9	23.7	24.5	24.5	24.4
Debt (% of GDP)^b	88.0	80.9	78.5	79.1	76.4	74.7
Primary balance (% of GDP)^b	-6.7	-2.7	-2.5	-2.7	-2.6	-2.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{c,d}	2.1	1.7	1.3	1.1	0.8	0.7
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{c,d}	15.3	12.7	10.4	9.0	7.9	7.0
GHG emissions growth (mtCO2e)	4.6	4.3	3.1	4.0	3.3	4.3
Energy related GHG emissions (% of total)	59.8	60.7	60.8	61.2	61.3	61.7

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Historical demand-side data is being revised due to a consistency problem.

b/ Fiscal balances are reported in fiscal years (July 1st - June 30th). For the purpose of this report, the fiscal year data has been converted to calendar year data.

c/ Calculations based on 2017-HBS. Actual data: 2017. Nowcast: 2018-2023. Forecasts are from 2024 to 2026.

d/ Projection using neutral distribution (2017) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

MOZAMBIQUE

Key conditions and challenges

Table 1 2023

Population, million	33.9
GDP, current US\$ billion	21.0
GDP per capita, current US\$	618.2
International poverty rate (\$2.15) ^a	74.5
Lower middle-income poverty rate (\$3.65) ^a	88.6
Gini index ^a	50.3
School enrollment, primary (% gross) ^b	121.2
Life expectancy at birth, years ^b	59.6
Total GHG emissions (mtCO2e)	115.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2019), 2017 PPPs.

b/ Most recent WDI value (2022).

Economic growth is expected to slow to 4.0 percent in 2024 due to subdued activity in agriculture and extractive sectors. Despite fiscal consolidation efforts, pressures remain from a high wage bill and rising debt service. Growth is projected to stay at 4 percent over the medium term, with poverty declining slightly from 74.7 to 73.4 percent. Risks include global market volatility, natural disasters, the conflict in northern Mozambique, and slower progress on fiscal consolidation.

Mozambique experienced strong economic growth before 2016, with an average growth rate exceeding 7 percent between 2000 and 2015. However, multiple shocks between 2016 and 2021, including the hidden debt crisis, cyclones, COVID-19, and conflict in northern Mozambique, severely impacted economic activity and reversed poverty reduction.

The economy remains heavily reliant on natural resources, with extractive industries driving growth. Agriculture, which employs over 72 percent of the population, suffers from low productivity and high vulnerability to climatic shocks, contributing to high and entrenched rural poverty. Frequent natural disasters undermine economic activity and food security, exacerbating poverty, which was projected at 74.7 percent in 2023 when measured by the US\$2.15 poverty line. High underemployment and inequality are significant barriers to economic inclusion, while the informal sector, encompassing over 80 percent of the labor force, dominates the labor market, leaving many workers without social protection.

Despite recent fiscal consolidation efforts, fiscal pressures remain elevated. The wage bill, pensions, and debt-service costs amounted to nearly 90 percent of tax revenues during 2021-2023, limiting resources for non-salary spending on education, health, social protection, and other vital

services. This hampers medium-term growth prospects and poverty reduction. Additional financing constraints include a high risk of public debt distress, the lack of access to international markets, and a shallow domestic market.

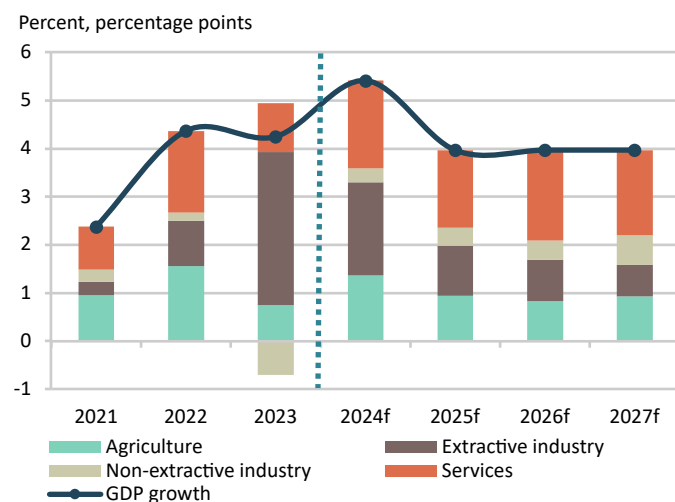
A more resilient and inclusive economic model is essential to create jobs, reduce poverty, and manage vulnerabilities to shocks. Reducing wage bill pressures, enhancing spending efficiency, and improving debt management are crucial for fiscal sustainability. In parallel, managing future LNG revenue streams effectively, improving access to finance, and addressing infrastructure and regulatory challenges are critical for job creation, structural transformation, and reducing fragility, particularly given the upcoming elections.

Recent developments

GDP growth decelerated to 3.9 percent in the first half of 2024 (H1-2024), down from 6.2 percent in H1-2023, due to lower growth contribution by the extractives and agriculture sectors. Gas production at the Coral South facility, which started in 2022, attained its maximum capacity in 2023, and remain at those levels in 2024. Growth in the agricultural sector declined from 4.6 percent in H1-2023 to 1.4 percent this year, largely due to heavy rains at the end of Q1-2024.

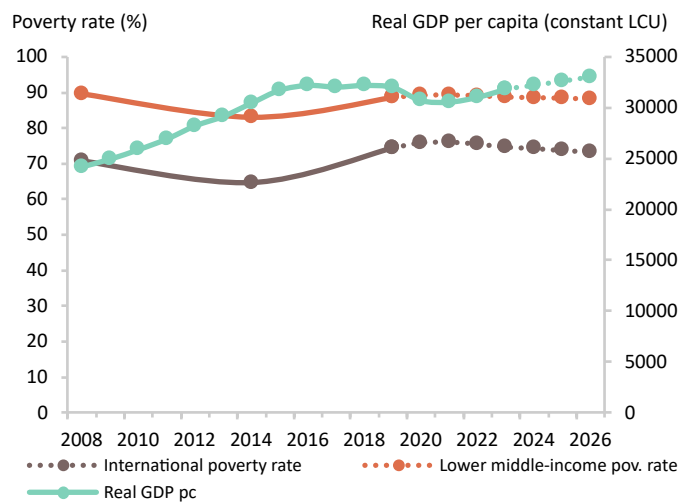
Inflation continued to decline, owing to a combination of lower global oil and food prices and a stable exchange rate. The Central Bank reduced the benchmark

FIGURE 1 Mozambique / Real GDP growth and sectoral contributions to real GDP growth



Sources: National Bureau of Statistics and World Bank estimates.

FIGURE 2 Mozambique / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

interest rate from 17.25 to 14.25 percent between January and July 2024, as inflation eased. However, average commercial rates have remained above 20 percent, partly due to the high mandatory reserve requirement rate on local currency deposits of 39 percent.

The external sector position has slightly improved in H1-2024 with the current account deficit narrowing from \$1.5 billion to \$1.3 billion due to higher volume of gas exports and lower capital goods imports. This deficit was mainly financed by foreign direct investment into the extractive sector, amounting to \$1.5 billion in H1-2024. Consequently, gross international reserves rose from 2.7 to 3.2 months of imports.

The fiscal deficit including grants has remained roughly stable, from MZN 14,963 million in H1-2023 to MZN 14,267 million in H1-2024 due to increasing grants and income tax revenue. Public debt is assessed as sustainable in a forward-looking sense, with total public debt at 94 percent of GDP as of December 2023. In June 2024, the government of Mozambique reached an agreement with creditors to settle the remaining 2014-15 disputed

loans. This settlement does not materially affect debt sustainability.

Outlook

Economic growth is expected to moderate to 4 percent in 2024 due to a lower contribution of the extractives sector. In the medium term, the economy is projected to maintain a 4 percent growth rate supported by the recovery in agriculture after the climate shocks of H1-2024 and growth in services. Inflation is projected to decrease from 7.1 to 2.8 percent during 2023-2026, owing to low and stable global prices. Despite an expected reduction in the poverty rate, from 74.7 to 73.4 percent, the total number of individuals living in poverty is projected to increase by 1.7 million due to rapid population growth.

The current account deficit is expected to widen from 14.8 percent to 28.8 percent of GDP between 2024-2026, driven by higher imports of goods linked to megaprojects, while exports are projected to remain stable. The current account

deficit is expected to be financed primarily through a combination of foreign direct investment inflows related to these megaprojects and potential drawdowns on foreign exchange reserves.

The fiscal deficit is projected to narrow from 4.3 to 1.3 percent of GDP between 2023 and 2026, contingent on consolidation measures that are expected to increase revenue by 1.8 percentage points, strengthen tax compliance, and control expenditure, including the implementation of a fiscal rule limiting wage bill growth, and the adequate management of arrears. This rule could reduce the wage bill from 15.2 to 13.6 percent of GDP over the forecast period. Public debt is forecasted to slightly decline from 97.5 to 95.7 percent of GDP between 2024 and 2026.

The outlook is subject to substantial downside risks related to extreme climate events, a slower pace or reversal in the implementation of fiscal reforms due to the upcoming presidential elections, and deterioration of the security situation in the north. A worsening fiscal stance may increase the risk of debt refinancing and rollover of domestic debt.

TABLE 2 Mozambique / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	2.4	4.4	5.4	4.0	4.0	4.0
Private consumption	5.8	7.2	9.1	4.9	6.7	6.8
Government consumption	-4.0	5.1	6.7	3.6	-1.1	1.7
Gross fixed capital investment	0.7	23.8	-43.0	8.9	8.3	4.6
Exports, goods and services	16.8	26.5	-5.3	3.0	3.0	3.0
Imports, goods and services	9.7	30.9	-25.2	6.5	6.8	6.4
Real GDP growth, at constant factor prices	2.4	4.5	6.0	4.0	4.0	4.0
Agriculture	3.4	5.5	3.8	3.0	3.2	3.2
Industry	1.7	4.6	13.8	3.0	3.0	3.0
Services	2.1	3.7	3.1	5.3	5.2	5.0
Inflation (consumer price index)	6.4	10.3	7.1	3.1	2.8	2.8
Current account balance (% of GDP)	-22.6	-36.4	-11.6	-14.8	-22.3	-28.8
Net foreign direct investment inflow (% of GDP)	31.4	13.0	12.0	9.8	14.1	14.4
Fiscal balance (% of GDP)^a	-4.5	-4.1	-4.3	-2.4	-1.1	-1.3
Revenues (% of GDP)	26.9	27.8	29.0	29.9	30.5	31.2
Debt (% of GDP)	104.4	96.8	93.9	97.5	98.7	95.7
Primary balance (% of GDP)^a	-2.1	-1.2	-0.6	0.5	1.8	1.6
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	76.1	75.6	74.7	74.4	73.8	73.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	89.3	89.1	88.7	88.6	88.4	88.2
GHG emissions growth (mtCO₂e)	3.7	0.2	3.3	1.3	1.3	1.4
Energy related GHG emissions (% of total)	10.1	9.6	12.0	12.8	13.6	14.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Figure includes once-off capital gains revenues in 2017, estimated at 2.7 percent of GDP.

b/ Calculations based on 2019-IOF. Actual data: 2019. Nowcast: 2020-2023. Forecasts are from 2024 to 2026.

c/ Projection using neutral distribution (2019) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

NAMIBIA

Table 1 **2023**

Population, million ^a	2.6
GDP, current US\$ billion	12.4
GDP per capita, current US\$	4742.8
International poverty rate (\$2.15) ^b	15.6
Lower middle-income poverty rate (\$3.65) ^b	33.3
Upper middle-income poverty rate (\$6.85) ^b	57.3
Gini index ^b	59.1
School enrollment, primary (% gross) ^c	133.0
Life expectancy at birth, years ^c	58.1
Total GHG emissions (mtCO2e)	25.7

Source: WDI, Macro Poverty Outlook, and official data.
a/ Latest official estimates. Preliminary results from the 2023 census suggest a population of 3.0 million vs the 2.6 million used here.
b/ Most recent value (2015), 2017 PPPs.
c/ Most recent WDI value (2022).

GDP growth is projected to gather pace, supported by foreign direct investment inflows, a rebound in exports, and the dissipation of drought effects. Lower inflation and monetary easing should also support domestic consumption. Subdued investment outside the capital-intensive industrial sector and skills gaps are expected to continue to weigh on job creation. The poverty rate is projected at 17.2 percent in 2024 under the international poverty line of \$2.15 per day.

Key conditions and challenges

Sound macroeconomic management and positive spillovers from the commodity super cycle helped Namibia reach upper middle-income status in 2009. The economy expanded at a robust pace during 2010-2015, averaging above 5 percent, anchored by high investment rates, growing demand for services, and fiscal stimulus. Resource wealth has been used to increase access to public services, including health and education, and expand social protection, allowing for steady progress in poverty reduction. Based on the international poverty line of \$2.15 per day (2017 PPP), the poverty rate declined from 35.9 percent in 2003/04 to 15.6 percent in 2015/16. A structural break in growth occurred starting in 2016, driven by the end of the commodity cycle, the completion of major investment projects, drought, and fiscal consolidation. The COVID-19 shock exacerbated these challenges. Real per capita income growth was negative over 2016-2020. Notwithstanding the progress made since independence, many social indicators continue to lag those of peers, and there are significant spatial and gender disparities. Poverty is high for Namibia's level of development, and the country ranks amongst the most unequal in the world (Gini index at 59.1 in 2015). Structurally high unemployment, which is estimated at above 20 percent, is explained in part by low private investment outside the

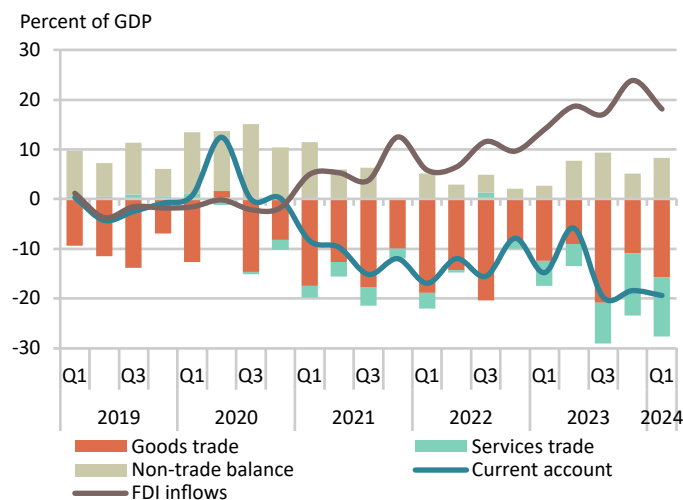
natural resource sector, slow job creation, and skills scarcities. Most of the working population is engaged in low-skilled work in the informal sector.

Namibia's path to more inclusive growth and poverty reduction necessitates a comprehensive reform agenda to improve skills and boost productivity, and encourage more private sector investment outside the natural resources sectors. This could spur a structural shift away from the current growth model based on a large state footprint and on extractives, which entails a high vulnerability to volatile commodity prices. Large mega projects in the mineral and energy sector that could materialize over the coming years offer an opportunity to boost economic development via building value chains.

Recent developments

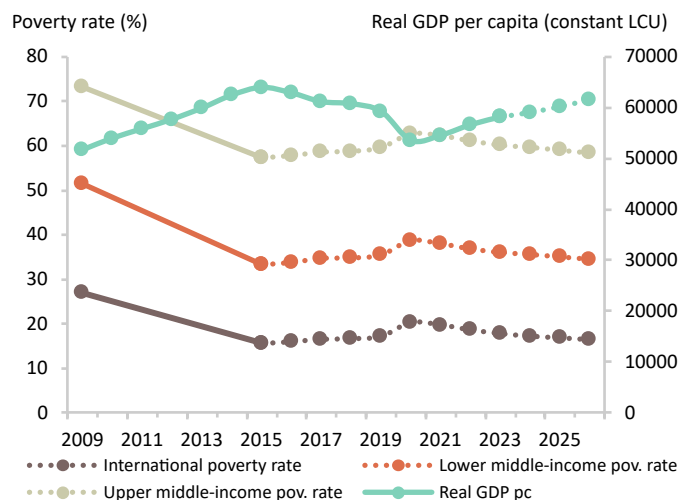
Namibia's economy continued to expand in 2024H1 although at an estimated lower pace. A severe drought, declining mineral revenues, and slowing foreign direct investment (FDI) from the highs in 2023 contributed to the lower growth. Mining activity, which accounted for up to half of GDP growth in recent years, is growing at a moderate pace. Non-mining activity continues to recover but output in several job-rich sectors including construction, manufacturing, and financial services remains below pre-COVID-19 levels. Household consumption is recovering from low levels in 2023, as inflation is easing, but a weak labor market, high interest

FIGURE 1 Namibia / Current account balance and foreign direct investment



Sources: National Statistics Agency and World Bank staff estimates.

FIGURE 2 Namibia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

rates, and low savings continue to weigh on household demand.

The current drought lowered agricultural crop yields and worsened food insecurity, leading the Government to declare a State of Emergency in May. About 1.4 million people face high levels of acute food insecurity, more than twice the number estimated in mid-2023.

A favorable cycle for Southern African Customs Union (SACU) revenues, which increased 72 percent, continues to support external and fiscal balances, with the fiscal deficit narrowing to 3.6 percent of GDP in FY2023/24. The SACU revenue windfall was absorbed into higher expenditure. The public debt ratio declined to 69 percent of GDP, helped by robust GDP growth, but remains high relative to the peer country average.

Lower diamond sales and FDI-related imports caused the current account deficit to widen to 19.4 percent of GDP in 2024Q1. FDI inflows helped finance the deficit.

Monetary policy remained broadly aligned with the South African Reserve Bank's restrictive stance although the Bank of Namibia lowered its policy rate by 25 basis points in August, signaling the start

of an easing cycle. Headline inflation slowed to 4.9 percent in 2024H1 from 6.5 percent in 2023H1.

Outlook

Growth is expected to slow to 3.1 percent in 2024 before increasing over the medium term. Slower growth in 2024 is driven by weaker export demand, the impact of drought, tight monetary conditions, and base effects. Through 2025-2026, investment growth is projected to remain firm with significant upside potential. Household spending growth is expected to increase, supported by lower inflation and monetary policy easing. Headline inflation is expected to stabilize around 4.5 percent in the medium term. In the context of an uneven recovery and drought, which has affected the well-being of subsistence farmers, poverty is expected to remain high at 17.2 percent in 2024 based on the \$2.15 per day international poverty line.

The increase in government expenditure is expected to be limited in 2025, including in the public wage bill. However,

due to the anticipated decline in SACU revenues, the fiscal deficit is expected to reach 4.9 percent of GDP in FY2025/26. The public debt ratio is projected to decline given steady economic growth and the Government's plan to pay off at least two-thirds of the \$750 million Eurobond maturing in October 2025 using savings from its sinking fund.

The risks to the economic outlook are balanced. The FDI outlook is favorable but with a high degree of uncertainty around the timing and implementation of large-scale industry projects, including the \$10 billion Hyphen green hydrogen project and the development of offshore oil fields which have not reached FID. These investments could be transformational, bringing substantial revenues to finance infrastructure and education. Downside risks stem from climate shocks, challenges in the diamond sector, and global geopolitical tensions which would impact exports negatively. Lack of fiscal discipline could undermine efforts to continue to reduce the high public debt-to-GDP ratio and high-interest payments. Given the expected fall in SACU revenues, containing public expenditure remains a priority.

TABLE 2 Namibia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.6	5.3	4.2	3.1	3.7	3.9
Private consumption	14.6	9.5	4.7	5.2	5.5	5.6
Government consumption	1.3	0.6	1.0	1.4	0.7	0.5
Gross fixed capital investment	18.0	10.0	69.3	10.3	10.7	11.1
Exports, goods and services	-2.1	22.9	14.1	1.2	4.6	4.8
Imports, goods and services	20.2	23.0	22.7	6.1	7.5	7.5
Real GDP growth, at constant factor prices	1.5	4.6	4.0	3.1	3.7	3.9
Agriculture	1.6	1.7	-3.4	-1.9	1.1	2.0
Industry	0.5	11.3	9.2	4.7	5.5	6.0
Services	1.9	2.2	2.7	3.0	3.1	3.1
Inflation (consumer price index)	3.6	6.1	5.9	4.6	4.5	4.5
Current account balance (% of GDP)	-11.4	-12.9	-14.8	-15.1	-15.1	-14.5
Net foreign direct investment inflow (% of GDP)	6.7	8.4	21.2	10.5	10.9	11.0
Fiscal balance (% of GDP)	-8.5	-5.3	-3.6	-4.3	-4.9	-4.6
Revenues (% of GDP)	29.6	30.3	34.8	34.6	31.6	30.4
Debt (% of GDP)^a	72.7	70.5	70.1	69.0	68.1	66.8
Primary balance (% of GDP)	-3.9	-0.8	1.8	0.9	-0.1	0.1
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	19.7	18.6	17.8	17.2	16.9	16.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	38.0	36.8	36.0	35.6	35.0	34.5
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	62.3	61.1	60.1	59.7	59.0	58.4
GHG emissions growth (mtCO₂e)	1.9	2.6	1.0	2.7	3.3	3.5
Energy related GHG emissions (% of total)	14.8	15.0	15.6	15.8	16.0	16.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Refers to Public and Publicly Guaranteed debt.

b/ Calculations based on 2015-NHIES. Actual data: 2015. Nowcast: 2016-2023. Forecasts are from 2024 to 2026.

c/ Projection using neutral distribution (2015) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

NIGER

Table 1 **2023**

Population, million	27.2
GDP, current US\$ billion	16.7
GDP per capita, current US\$	613.9
International poverty rate (\$2.15) ^a	50.6
Lower middle-income poverty rate (\$3.65) ^a	83.1
Upper middle-income poverty rate (\$6.85) ^a	96.3
Gini index ^a	32.9
School enrollment, primary (% gross) ^b	65.0
Life expectancy at birth, years ^b	62.1
Total GHG emissions (mtCO2e)	52.9

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

Growth in 2024 is expected to recover to 5.7 percent (1.8 percent per capita) with the sanctions lifted in February 2024 and resumption of financing. However, the expected boost from oil exports has been dampened by the trade dispute with Benin, which has also pushed up food prices. The outlook is subject to downside risks, including a prolonged trade dispute, impacts of the Economic Community of West African States (ECOWAS) withdrawal, climate shocks, and worsening insecurity.

Key conditions and challenges

Niger's economy is agriculture dependent and vulnerable to climate shocks. With low productivity and high population growth, around half of the population lives in extreme poverty, aggravated by gender disparities and weak human capital development.

Niger's relative stability in the Sahel had led to a significant increase in international development assistance and investment. This changed with the military coup on July 26, 2023, which led to ECOWAS and WAEMU economic sanctions, border closures lasting nearly 7 months, and a pause in development assistance. On January 28, 2024, in a joint communiqué, Burkina Faso, Mali and Niger announced their 'immediate' withdrawal from ECOWAS. The three countries remain members of WAEMU. Subsequently, on July 6, 2024, the three countries signed the Treaty establishing the Confederation of Sahel States. These events have heightened political and policy uncertainty.

With the completion of the Niger-Benin pipeline, oil production was expected to rise from 15,000 to 107,000 barrels/day by 2024, increasing the importance of oil in exports, revenues, and GDP, and providing revenues to Benin. The land border with Benin remains closed as of mid-September, with Nigerien authorities citing security concerns. The Beninese authorities

allowed two shipments of oil to be loaded and exported to China before preventing additional shipments. In response, Nigerien authorities have shut down the pipeline and stopped oil production for exports since mid-June.

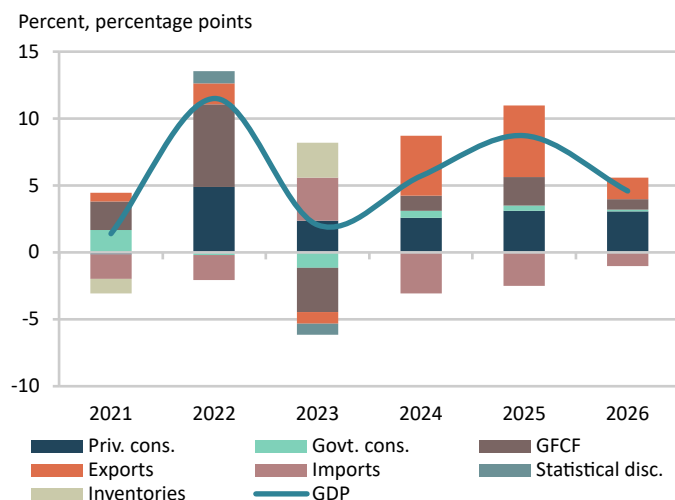
Recent developments

The political crisis in 2023 is estimated to have reduced GDP growth to 2.0 percent in 2023 (-1.7 percent per capita). Growth in 2024 is expected to recover with the sanctions lifted in February 2024 and the resumption of financing. However, the expected boost from large-scale oil exports has been dampened. Growth in 2024 is projected at 5.7 percent (1.8 percent per capita), based on an expected total oil production of 11.2 million barrels, compared to 9.1 percent growth if oil production had reached 16.6 million barrels. On the supply side, in addition to industry (oil), agriculture is expected to contribute 2.6 percentage points (pps) to growth. Exports, driven by oil, is expected to be the main driver on the demand side (+4.5 pps), followed by private consumption (+2.6 pps).

Trade disruptions due to the border closure with Benin have fueled an increase in food prices, leading the year-on-year inflation rate to rise from 1.7 percent in June 2023 to 15.5 percent in June 2024. The annual average inflation rate is expected to reach 8.5 percent.

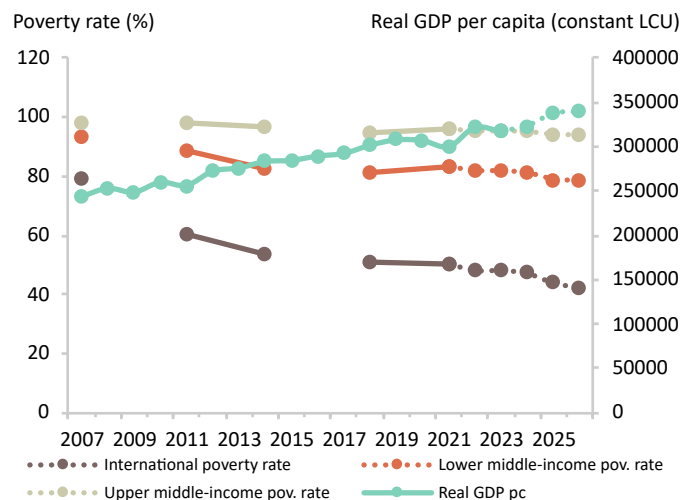
Despite higher inflation, the extreme poverty rate is projected to decrease to 47.5 percent

FIGURE 1 Niger / Real GDP growth and contributions to real GDP growth



Source: World Bank estimates.

FIGURE 2 Niger / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

in 2024 due to positive agriculture growth. However, 13.1 percent of the population is facing severe food insecurity, around 300,000 people are internally displaced due to insecurity, and floods in August destroyed thousands of homes and led to hundreds of deaths.

The Central Bank of West African States (BCEAO) has kept its policy interest rates unchanged since December 2023 at 3.5 percent for liquidity calls and 5.5 percent for the marginal lending facility. The WAE-MU inflation rate has been on a downward trend since peaking in 2022 but remains above the 1 to 3 percent WAEMU target, at 4.4 percent y/y in July 2024, and regional foreign exchange reserves remain low, covering only 3.5 months of import in 2024Q1.

Given lower than expected oil revenues, the fiscal deficit in 2024 is expected to remain above the WAEMU target at 4.4 percent of GDP. At the end of April 2024, the government had accumulated CFAF 701.8 billion in external and domestic/regional debt arrears. However, by the end of June, Niger had cleared CFAF 533.8 billion and resumed bond issuances

on the regional market, albeit at higher rates, exceeding 9 percent for 12-month bills. The clearance was assisted by a US\$400 million loan from China secured by oil exports; the pause in oil exports complicates the repayment.

Outlook

GDP growth is expected to average 6.5 percent over 2025-2026, supported by oil production and exports (scaling up in 2025) and improvements in agricultural output due to an expansion in irrigated land. This assumes the security situation doesn't deteriorate and an orderly ECOWAS withdrawal that limits negative impacts to lower trade with non-WAEMU ECOWAS states. As domestic financing is expected to remain costly, the fiscal deficit is expected to narrow and average 3.6 percent over 2025-2026, with public debt declining to 50.6 percent by 2026. The current account deficit is projected to narrow and average 4.1 percent over 2025-26 on the back of oil exports.

Inflation is projected to remain high at an average of 5.4 percent over 2025-26, partly due to higher import costs. The regional inflation rate is expected to align with WAEMU target by 2025, while regional reserves are expected to rise gradually, supported by the resumption of international bond issuances, recovering exports and monetary policy easing in the Euro Area.

Despite projected higher inflation in 2025-26, the extreme poverty rate is projected to decrease significantly to 42.5 percent by 2026, driven by the strong GDP and agriculture output growth projections. The outlook remains subject to significant downside risks, including a deterioration of the security situation, commodity price volatility and climatic shocks. An ECOWAS withdrawal that has gaps in agreements could lead to larger disruptions in the free movement of goods, services, capital, and labor and could have spillover effects onto trade in the WAEMU zone. However, if new trade opportunities are realized, these negative impacts could be mitigated. Sustained or escalated tensions between Benin and Niger could lead to higher trade costs and delay oil exports.

TABLE 2 Niger / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	1.4	11.5	2.0	5.7	8.5	4.6
Private consumption	-0.2	7.0	3.5	3.8	4.6	4.7
Government consumption	9.8	-1.2	-7.0	3.5	2.9	1.2
Gross fixed capital investment	7.7	21.1	-10.4	4.0	7.6	2.8
Exports, goods and services	6.7	14.4	-8.1	45.2	39.1	9.2
Imports, goods and services	6.9	6.5	-12.0	13.3	10.1	4.1
Real GDP growth, at constant factor prices	1.0	11.6	2.1	5.7	8.5	4.6
Agriculture	-5.1	27.0	3.1	6.5	6.8	5.2
Industry	4.1	-0.9	3.9	12.1	5.6	3.4
Services	5.4	4.9	0.1	1.1	12.2	4.5
Inflation (consumer price index)	2.9	3.9	3.7	8.5	6.7	4.2
Current account balance (% of GDP)	-7.8	-9.8	-9.3	-8.3	-3.8	-2.9
Net foreign direct investment inflow (% of GDP)	2.1	3.9	3.2	1.6	1.7	1.7
Fiscal balance (% of GDP)	-3.4	-6.8	-5.4	-4.4	-3.9	-3.2
Revenues (% of GDP)	18.2	14.9	10.5	10.9	11.4	11.1
Debt (% of GDP)	51.3	51.7	54.7	53.3	51.3	50.6
Primary balance (% of GDP)	-2.2	-5.6	-4.5	-3.8	-3.5	-2.8
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	50.6	48.4	48.4	47.5	44.2	42.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	83.1	81.8	81.7	81.0	78.8	78.2
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	96.3	95.5	95.5	95.2	94.2	93.9
GHG emissions growth (mtCO₂e)	5.0	5.0	4.0	4.7	5.0	4.7
Energy related GHG emissions (% of total)	7.4	8.1	7.8	8.0	8.4	8.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

NIGERIA

Table 1 **2023**

Population, million	225.5
GDP, current US\$ billion	363.6
GDP per capita, current US\$	1612.6
International poverty rate (\$2.15) ^a	30.9
Lower middle-income poverty rate (\$3.65) ^a	63.5
Upper middle-income poverty rate (\$6.85) ^a	90.8
Gini index ^a	35.1
School enrollment, primary (% gross) ^b	86.7
Life expectancy at birth, years ^b	53.6
Total GHG emissions (mtCO2e)	397.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2018), 2017 PPPs.

b/ Most recent WDI value (2022).

Nigeria has undertaken difficult but necessary reforms to turn around its development trajectory after policy missteps and multiple shocks which have deepened and broadened poverty. Positive results are beginning to show. Inflation is decreasing after reaching a peak high, the fiscal position is improving, and foreign exchange reserves have steadily grown. To maintain momentum, Nigeria must contain inflation, boost non-oil revenues, and avoid deficit monetization to support growth and fiscal stability.

Key conditions and challenges

Nigeria's economic outlook has improved due to recent macroeconomic reforms, but overcoming structural barriers is essential to drive faster and more inclusive growth. Maintaining momentum on reforms is crucial. Authorities have followed through on their commitment to stop monetizing the deficit and are implementing measures to increase non-oil tax revenues. The Central Bank of Nigeria (CBN) is maintaining a tighter monetary policy and a unified, market-driven exchange rate. Given increased poverty together with worsening food insecurity partly driven by high food inflation, the Government is rolling out temporary, targeted cash transfers aimed at supporting 15 million recipients and their families through NGN 75,000 in three tranches (directly benefiting over 67 million Nigerians).

While macro stabilization is essential and currently underway, by itself it is insufficient to enable Nigeria to reach its growth potential. Sustained efforts and the establishment of a credible track record are necessary to achieve sustained progress. Economic growth has struggled to keep pace with population growth, contributing to poverty exacerbated by double-digit inflation. Measures such as monetary tightening, exchange rate flexibility, and revenue-driven fiscal adjustments are rebuilding confidence in the coherence and sustainability of policies,

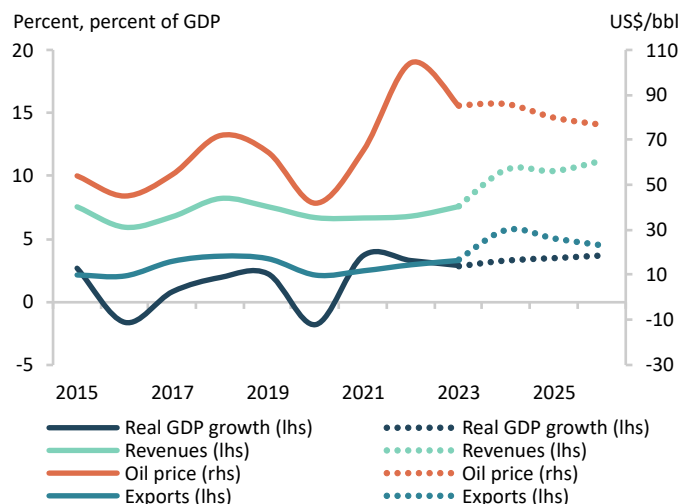
creating a more favorable environment for business expansion and job creation. However, for Nigeria to achieve faster and sustained progress, it must also address structural constraints that impede inclusive growth, including weak governance, poor infrastructure, limited access to electricity and connectivity, insecurity, significant trade restrictions, and poor human development outcomes.

Recent developments

Growth slowed from 3.3 percent in 2022 to 2.9 percent in 2023, due to weak crude oil production, policy missteps including currency demonetization in Q1-2023, and spillovers from 2022 floods. In H1-2024 growth was modest at 2.9 percent. Services, especially financial and telecommunications, continue to drive growth. The oil sector also contributed to growth although production remains significantly below potential.

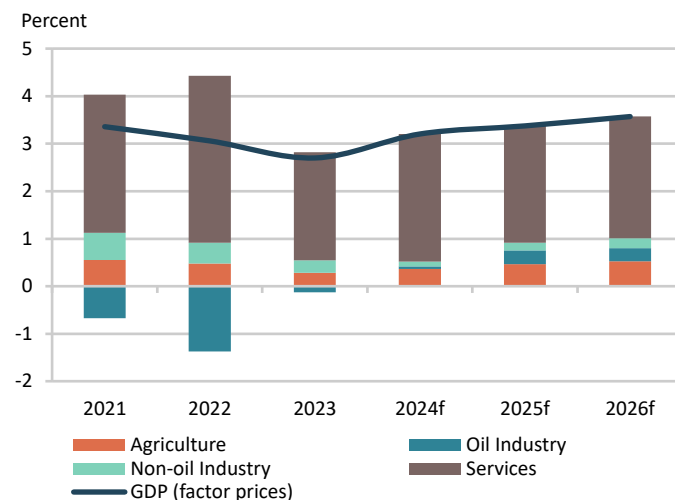
With rising inflation, the CBN raised the monetary policy rate by 850 basis points between February and September 2024, increased the cash reserve ratio from 32.5 to 50 percent, conducted open market operations, and halted deficit financing. Year-on-year inflation thus declined from 33.4 percent in July 2024 to 32.15 percent in August. However, labor incomes have not kept pace, pushing an additional 14 million Nigerians into poverty in 2024. An estimated 47 percent of Nigerians now live in poverty (or below the international poverty line of US\$2.15 2017 PPP).

FIGURE 1 Nigeria / Oil price, exports, government revenues, and real GDP growth



Sources: Nigerian National Bureau of Statistics, WDI, and World Bank.

FIGURE 2 Nigeria / Real GDP growth and sectoral contributions to real GDP growth



Sources: Nigerian National Bureau of Statistics and World Bank.

The Federal Government's fiscal deficit narrowed from 6.2 percent of GDP in H1-2023 to 4.4 percent in H1-2024 driven by higher non-oil revenues due to the removal of implicit foreign exchange subsidies and reforms enhancing revenue transparency and accountability from Government Owned Enterprises and Ministries, Departments and Agencies. Revenue growth was accompanied by restrained expenditures. Despite this, public and publicly guaranteed debt is projected to rise from 49 percent of GDP in 2023 to 51 percent in 2024 due to FX unification which affects external debt valuation. However, public debt levels remain sustainable, though susceptible to shocks.

The current account surplus increased to 1.7 percent of GDP in 2023 and rose to 5.8 percent in Q1-2024 due to lower petroleum and non-petroleum products imports. Financial account balance improved in 2023 and may further increase in 2024, driven by stronger foreign direct and portfolio investments. Gross reserves increased from US\$32.9 bn end-2023 to US\$36.3 bn in August 2024.

Outlook

GDP growth is expected to increase to 3.7 percent by 2026 with a 2.1 percent population growth, highlighting the need for significantly higher per capita growth to boost living standards. Agricultural output is estimated to steadily pick up. Oil production should increase towards year-end. Non-oil industrial sector may experience modest yet steady growth, with ongoing structural challenges. Growth is estimated to be driven by services. Despite the September petrol hike, disinflation is projected in coming years averaging 18.1 percent in 2026 due to monetary tightening. Consequently, poverty is estimated at 52 percent in 2026. Reforms to protect the poorest against inflation and boost livelihoods through more productive work are key for Nigerians to escape poverty. A tight monetary stance while avoiding reliance on ways and means remains crucial for moderating inflation.

A positive fiscal outlook is anticipated if the government implements its ambitious tax

reforms, controls inefficient expenditures, and adopts a plan to gradually phase out the implicit gasoline subsidy. This also relies on avoiding a return to multiple exchange rate regimes and sector-specific implicit subsidies. The fiscal deficit is estimated to narrow to 3.7 percent of GDP in 2026 with an improved debt trajectory.

A current account surplus is projected at 3.0 percent in 2026. While oil export revenues are anticipated to decline due to lower global prices and pledged crude oil obligations, rising non-oil exports from a more competitive exchange rate and reduced oil imports from increased domestic refining, are expected to partially offset this. Remittances are projected to return to their 2020 levels, helped by the unified, market-reflective FX rate.

A slower-than-expected disinflation could worsen food insecurity, while adverse weather may reduce agricultural output, increase food prices, and exacerbate poverty. Increasing non-oil revenues and safeguarding oil revenues is important. Avoiding deficit monetization will help rebuild confidence, manage inflation, and reduce borrowing costs.

TABLE 2 Nigeria / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.6	3.3	2.9	3.3	3.5	3.7
Real GDP growth, at constant factor prices	3.4	3.1	2.7	3.3	3.4	3.6
Agriculture	2.1	1.9	1.1	1.5	1.9	2.2
Industry	-0.5	-4.6	0.7	0.9	2.5	2.7
Services	5.6	6.7	4.2	4.9	4.4	4.5
Inflation (consumer price index)	17.0	18.8	24.7	31.7	23.5	18.1
Current account balance (% of GDP)	-0.8	0.7	1.7	4.5	3.6	3.0
Net foreign direct investment inflow (% of GDP)	-1.2	0.1	-0.6	-1.2	-1.2	-1.0
Fiscal balance (% of GDP)	-6.6	-4.6	-5.3	-4.3	-4.5	-3.7
Revenues (% of GDP)	6.7	6.8	7.6	10.5	10.3	11.2
Debt (% of GDP)	38.8	40.3	49.1	51.1	49.9	48.6
Primary balance (% of GDP)	-3.9	-1.6	-1.8	-0.3	-0.6	-0.2
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	35.6	37.1	41.4	47.2	50.7	52.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	67.2	68.7	72.1	76.2	78.2	79.0
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	91.1	92.0	92.8	94.0	94.5	94.4
GHG emissions growth (mtCO₂e)	1.4	2.1	2.2	3.2	2.2	2.9
Energy related GHG emissions (% of total)	37.5	38.3	38.6	39.3	39.5	40.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2018-LSS. Actual data: 2018. Nowcast: 2019-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

RWANDA

Table 1 **2023**

Population, million	14.1
GDP, current US\$ billion	13.7
GDP per capita, current US\$	974.4
International poverty rate (\$2.15) ^a	52.0
Lower middle-income poverty rate (\$3.65) ^a	78.0
Upper middle-income poverty rate (\$6.85) ^a	92.2
Gini index ^a	43.7
School enrollment, primary (% gross) ^b	134.9
Life expectancy at birth, years ^b	67.1
Total GHG emissions (mtCO2e)	8.3

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2017 PPPs.

b/ Most recent WDI value (2022).

Rwanda's strong economic momentum continued in 2024 with 9.7 percent growth in the first quarter—led by services, manufacturing, and food production. Inflationary pressures have eased due to improvements in domestic food production, and lower commodity prices, and the tight monetary policy stance by the central bank. Real GDP growth is projected at 7.7 percent on average in 2024–2025. Poverty is projected to decrease by 1.4 pp between 2024 and 2026 driven by solid growth in private consumption.

Key conditions and challenges

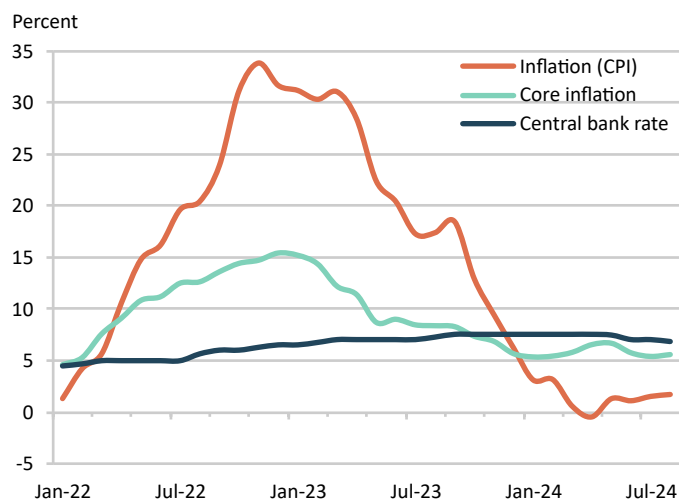
From 2009 to 2019, Rwanda's GDP per capita increased at a rate of 4.5 percent per year, surpassed only by Ethiopia among Sub-Saharan African (SSA) economies. Rwanda has also achieved substantial gains in educational attainment, health services delivery, and access to basic services. However, the economy faces major constraints. The heavy emphasis on public investment has neither generated sufficient jobs nor resulted in rapid gains in productivity. The Human Capital Index (HCI) places Rwanda 160th out of 174 countries. The highest food inflation in 15 years (63 percent in March 2023) triggered by insufficient rainfall, likely affected poor households and highlighted the importance of increasing productivity in agriculture to improve incomes of rural households and food availability and security for the country. Moving Rwanda to the next stage of development will require greater reliance on private sector investment to enhance economic activity, raise incomes, and provide the financing needed to address infrastructure shortfalls, and to increase the responsiveness of poverty to economic growth. Critical areas to enable rapid private sector development, include enhancing competition, building firms' capabilities, increasing access to finance, fostering development and diffusion of information and communication technologies, and innovation.

Recent developments

After averaging 8.2 percent in 2022–2023, real GDP increased by 9.7 percent in the first quarter of 2024, driven by robust private consumption—reflecting the creation of more than half a million jobs, year-on-year (y-o-y)—and strong investment. On the supply side, growth was driven by the continued expansion in services and industry in 2023 and the recovery in food production in early 2024.

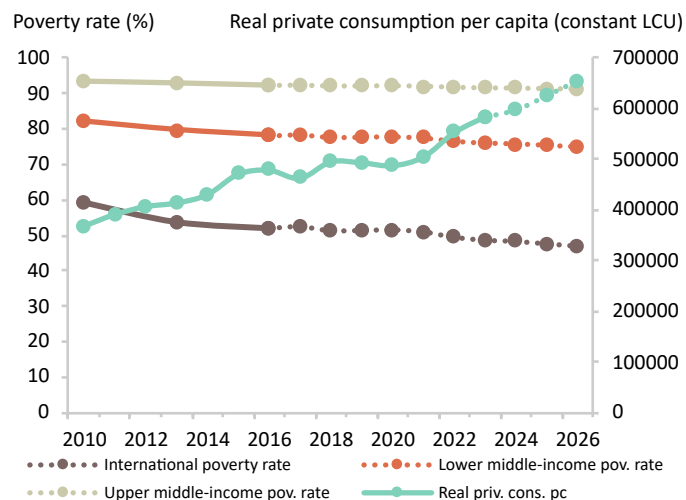
The National Bank of Rwanda's (NBR) tighter monetary stance, along with improvements in domestic food production and lower commodity prices, have contained inflationary pressures. NBR hiked the policy rate by 50 basis points in August 2023 to 7.5 percent (Figure 1). Inflation fell to 5.0 percent year-on-year in August 2024 from the peak of 22.7 percent in November 2022. Food and non-alcoholic beverages inflation is at 1.6 percent (y-o-y) in August 2024. Lower food inflation eased the pressure on household budgets, especially the poor. The franc depreciated against the U.S. dollar by about 18 percent in 2023. Fearing the inflationary effect of this depreciation, the NBR has doubled its dollar sales to commercial banks to US\$10 million per week from US\$5 million. In Dec. 2023, official foreign reserves were 6 percent higher than in Dec. 2022 due to the disbursements of the World Bank's development policy financing (US\$125 million) and IMF's program (US\$138.8 million). International reserves remained adequate at about 4.1 months of

FIGURE 1 Rwanda / Headline and core inflation and central bank rate



Sources: National Institute of Statistics of Rwanda and National Bank of Rwanda.

FIGURE 2 Rwanda / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

imports at end-2023, despite the widening current account deficit.

The FY24 (July 1, 2023-June 30, 2024) budget envisages a temporary fiscal expansion to cushion the effects of recent floods. Reconstruction spending is estimated at around 3 percent of GDP over the next five years, of which two-thirds will be disbursed in FY24–FY25. The resulting creation of jobs in construction is expected to benefit lower-income households. Despite this, the government remains committed to fiscal prudence through improved domestic revenue mobilization, spending rationalization, and increased transparency and efficiency. Relying largely on concessional loans to finance the deficit, Rwanda's public debt is sustainable despite increases in the stock to an estimated 71.6 percent of GDP in 2023. Poverty is projected to stand at 48.4 percent in 2024.

Outlook

GDP is projected to grow at 7.7 percent on average in 2024–26, driven by strong private

investment and favorable agricultural conditions. After weak performance in the last two years, agriculture is expected to rebound due to favorable weather. The Manufacture and Build to Recover Program will support growth in construction and manufacturing activities. Continued growth in global tourism demand will support the services sector. Driven by average growth in private consumption of 3.8 percent a year in 2024–2026, poverty is projected to decline to 47.0 percent in 2026. The current account deficit is projected to remain large in 2024 due to increased imports required for the post-flood reconstruction and for the large airport construction project. Sustained strong foreign direct investment inflows and concessional financing will cover external financing needs. Inflation is expected to gradually return within NBR's medium-term inflation rate target of 5 percent with symmetric boundaries of ± 3 .

The government is committed to prudent fiscal management. In the FY24–FY26 budget framework, the government projects spending cuts largely through streamlining and gradually reducing subsidies particularly those related to energy and fuel.

It is critical to reduce electricity subsidies in a way that keeps electricity affordable for low-income households. The authorities are also planning to strengthen the oversight, governance, and risk management of state-owned enterprises. The government also intends to improve revenue administration and cut tax rates while broadening the tax base through measures in the Medium-Term Revenue Strategy. Under this baseline, public debt would peak at 76 percent of GDP in 2024 before gradually improving over the medium term.

The outlook is subject to substantial downside risks. An intensification of the conflict in the Middle East could lead to further disruptions to the global economy, thus affecting Rwanda through a reduced global demand for its exports. Limited access to concessional resources and lower external demand fueled by monetary tightening in advanced economies pose further downside risks. The main risk on the domestic front is linked to the increasing frequency of weather and climate shocks, which could disrupt agricultural output, again negatively affecting incomes and food security for rural households, and reigniting inflationary pressures on food.

TABLE 2 Rwanda / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	10.9	8.2	8.2	7.6	7.8	7.5
Private consumption	6.0	12.1	8.0	4.5	6.8	6.8
Government consumption	13.7	10.6	3.1	14.6	10.1	8.1
Gross fixed capital investment	9.6	-12.6	4.5	15.0	10.7	7.2
Exports, goods and services	2.4	29.4	25.8	13.1	11.2	11.2
Imports, goods and services	2.7	17.9	14.4	12.6	10.9	8.9
Real GDP growth, at constant factor prices	10.6	7.8	8.6	7.6	7.8	7.5
Agriculture	6.4	1.6	1.7	6.6	5.5	5.4
Industry	13.3	5.0	10.2	9.5	9.3	9.0
Services	11.9	12.2	11.2	7.3	8.3	7.9
Inflation (consumer price index)	1.1	12.1	15.4	6.8	5.0	5.0
Current account balance (% of GDP)	-11.1	-9.7	-11.9	-11.3	-10.1	-10.2
Net foreign direct investment inflow (% of GDP)	2.1	2.4	3.3	3.9	4.4	4.5
Fiscal balance (% of GDP)	-8.4	-6.3	-5.2	-5.2	-5.2	-5.2
Revenues (% of GDP)	25.9	24.5	22.8	22.8	22.8	22.8
Debt (% of GDP)	74.4	69.9	73.0	76.0	75.1	72.0
Primary balance (% of GDP)	-6.4	-4.2	-3.0	-3.0	-3.0	-3.0
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	51.1	49.6	48.7	48.4	47.7	47.0
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	77.5	76.5	76.0	75.8	75.3	74.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	92.0	91.7	91.6	91.5	91.4	91.2
GHG emissions growth (mtCO₂e)	5.3	2.1	1.5	4.1	3.9	4.2
Energy related GHG emissions (% of total)	29.1	28.3	27.5	28.6	28.9	29.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2010-EICV-III and 2016-EICV-V. Actual data: 2016. Nowcast: 2017–2023. Forecasts are from 2024 to 2026.

b/ Projection using average elasticity (2010–2016) with pass-through = 0.25 based on private consumption per capita in constant LCU.

SÃO TOMÉ AND PRÍNCIPE

Table 1 2023

Population, million	0.2
GDP, current US\$ billion	0.7
GDP per capita, current US\$	2949.4
International poverty rate (\$2.15) ^a	15.7
Lower middle-income poverty rate (\$3.65) ^a	45.0
Upper middle-income poverty rate (\$6.85) ^a	79.7
Gini index ^a	40.7
School enrollment, primary (% gross) ^b	109.6
Life expectancy at birth, years ^b	68.8
Total GHG emissions (mtCO2e)	0.4

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2017), 2017 PPPs.

b/ Most recent WDI value (2022).

Growth recovery has been modest since 2022, constrained by low energy supply, and declining external financing. It is projected at 1.1 percent in 2024 and to gradually improve in the medium-term supported by tourism, agriculture, and renewed external financing. In 2024, the poverty rate is estimated at 15.7 percent, indicating stagnation in poverty reduction efforts. Risks result from lower external financing, slow energy reforms, and climate shocks.

Key conditions and challenges

São Tomé and Príncipe (STP) is a small two-island state located in the Gulf of Guinea off the coast of Central Africa. The country is home to a vast untapped natural wealth, including beaches, rainforests, and a biodiversity that offers unique opportunities for growth. These, however, are hampered by structural challenges typical of small island states, such as limited institutional capacity, lack of productive diversification, high import dependence, low economies of scale, and high vulnerability to climate shocks.

Economic growth has been primarily driven by an unsustainable public investment growth model financed through official development assistance, in the form of concessional loans and grants. Meanwhile, the private sector remains weak, mainly concentrated in tourism activities and agricultural exports, including cocoa, palm oil, and coffee. The decline and volatility of external financing have further slowed down economic growth. Persistent energy shortages, climate shocks, and the high volatility of fuel and food prices—triggered by global geopolitical turmoil—also hamper growth.

Weak GDP per capita gains in recent years combined with limited job opportunities, hindered poverty reduction, and exacerbated the vulnerability of the poorest. A defining characteristic of poverty in STP is the limited access to education,

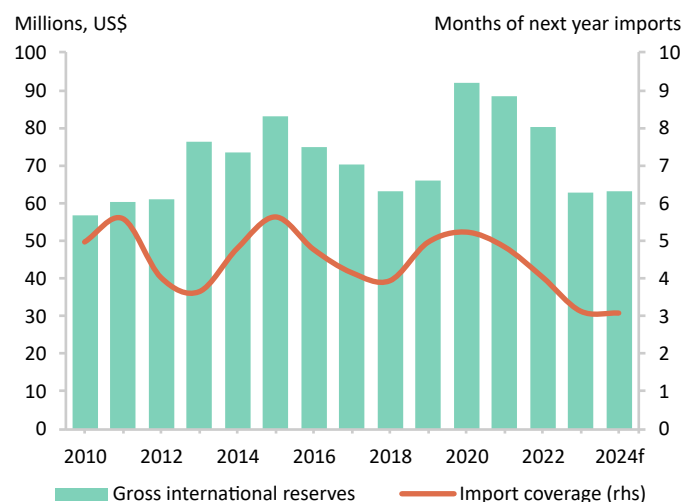
basic services, and social protection, which exacerbates economic and climate-related shocks. As a result, the poorest bear the brunt of these shocks amid rising living costs and struggle to meet their daily needs.

STP's energy sector has been a key constraint to growth and a source of fiscal and debt vulnerabilities, as approximately 97 percent of electricity generation relies on expensive fuel imports. Following the loss of a preferential credit purchase arrangement with Angola, STP faced an unprecedented energy crisis in 2023, which paralyzed economic activity for several weeks. Contingent liabilities related to the energy SOE's debt are estimated at around 31.1 percent of GDP.

Recent developments

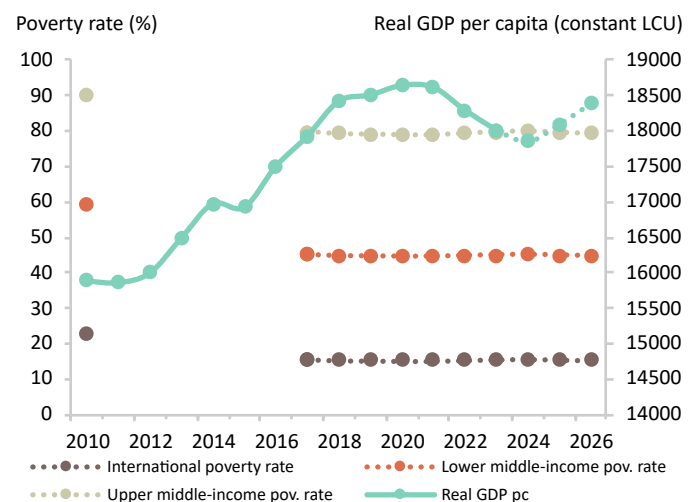
In the first half of 2024, real GDP growth is estimated to have slightly improved relative to 2023 as electricity supply improved and the tourism sector recovered. Tourism services exports increased by 44 percent in the first quarter (Q1) year-on-year. However, lower external financing than projected in the budget weighed negatively on economic activity, and escalating living costs led to strikes for higher wages in several sectors. The largest palm oil producer faced a paralyzing two-month strike in Q1, negatively impacting exports—palm oil accounts for about 29 percent of merchandise exports. In addition, the education sector was paralyzed for 38 days, adversely affecting approximately 80,000 children.

FIGURE 1 São Tomé and Príncipe / Gross international reserves



Sources: São Tomé and Príncipe authorities' data; IMF and World Bank staff estimates.

FIGURE 2 São Tomé and Príncipe / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

Inflationary pressures have started to slow down from Q2, as the Central Bank tightened liquidity conditions. As a result, inflation declined from a peak of 19.2 percent year-on-year (y-o-y) in April 2024 to 12.2 percent y-o-y in July, and the monetary base contracted by 7.2 percent from January to July. The fiscal position remained constrained, especially due to low external grants and high-fuel-related imports. Despite a slight improvement in the current account deficit (CAD) in Q1, international reserves continued to decline to finance energy imports, putting at risk the country's fragile macroeconomic situation and its capacity to import. Credit to the private sector remained low in the first half of 2024, following a strong contraction in 2023. The labor market remained depressed, with the unemployment rate estimated at 14.2 percent in 2023, affecting women and youth the most, and STP suffers from rising levels of emigration. Adverse macro-fiscal conditions coupled with high inflation continued to affect the livelihoods of the poorest, straining households' purchasing power. Approximately 15.7 percent of the population is projected to be

living on less than US\$2.15/day in 2024, indicating persistent poverty challenges.

Outlook

Real GDP growth is projected to gradually increase in the medium term, reaching 3.6 percent by 2026. This outlook is expected to be driven by the implementation of energy reforms to enhance energy efficiency, which in turn, should help strengthen tourism and other economic activities, and by agricultural exports. Externally funded investments, such as the rehabilitation of the main coastal road, improving coastal areas, and upgrading fishing vessels will also support growth. However, increasing emigration will continue to drain labor and skills away from the primary and tertiary sectors, thereby limiting stronger economic growth. Inflation is projected to gradually decline to 7.5 percent by 2026, thanks to tighter monetary policy, fiscal consolidation, and declining global commodity prices. The

anticipated fiscal consolidation, along with the full impact of VAT implementation, is expected to improve STP's fiscal position in the medium term. Public debt is also expected to moderately decrease. However, the lack of fiscal space could limit short-term social spending and constrain immediate poverty alleviation efforts.

The CAD is projected to decline to 7.2 percent of GDP in 2024, and 5.5 percent in 2026, supported the implementation of expected energy reforms and subsequent decline in fuel demand, a stronger tourism sector, and fiscal consolidation. International reserves remain weak, covering 2.8 months of prospective imports, but are projected to improve in the medium term with the resumption of external financing and the implementation of energy reforms.

Nonetheless, limited progress is expected in terms of poverty alleviation, with the poverty rate projected to decrease only slightly to 15.5 percent by 2026.

Risks to the outlook include postponed external financing disbursements, slow implementation of energy reforms, and climate shocks.

TABLE 2 São Tomé and Príncipe / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	1.9	0.2	0.4	1.1	3.3	3.6
Real GDP growth, at constant factor prices	2.6	1.2	-1.1	1.1	3.3	3.6
Agriculture	-0.3	-13.6	-12.4	-9.5	-7.6	3.4
Industry	-6.4	6.4	-7.0	3.3	9.5	4.9
Services	5.0	1.5	1.1	1.5	2.7	3.3
Inflation (consumer price index)	8.2	18.0	21.1	16.1	12.0	7.5
Current account balance (% of GDP)	-19.2	-14.7	-12.2	-7.2	-5.9	-5.5
Net foreign direct investment inflow (% of GDP)	3.9	23.9	5.1	4.3	5.7	6.5
Fiscal balance (% of GDP)	-4.7	-4.6	0.1	-2.0	0.1	0.4
Revenues (% of GDP)	19.8	25.5	22.0	20.4	21.5	21.6
Debt (% of GDP)	77.8	68.8	49.0	43.6	38.7	35.1
Primary balance (% of GDP)	-4.5	-4.0	0.8	-0.9	1.0	1.1
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	15.4	15.6	15.7	15.7	15.6	15.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	44.6	44.8	45.0	45.1	44.9	44.8
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	79.0	79.3	79.6	79.8	79.5	79.2
GHG emissions growth (mtCO2e)	1.3	0.5	0.1	-0.1	0.3	0.6
Energy related GHG emissions (% of total)	36.6	36.5	36.3	36.0	35.9	35.9

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Projection using point to point elasticity at regional level with pass-through = 0.7 based on GDP per capita in constant LCU.

b/ Actual data: 2017. Nowcast: 2018-2023. Forecasts are from 2024 to 2026.

SEYCHELLES

Table 1 **2023**

Population, million	0.1
GDP, current US\$ billion	2.1
GDP per capita, current US\$	17499.1
International poverty rate (\$2.15) ^a	0.5
Lower middle-income poverty rate (\$3.65) ^a	1.2
Upper middle-income poverty rate (\$6.85) ^a	6.7
Gini index ^a	32.1
School enrollment, primary (% gross) ^b	97.6
Life expectancy at birth, years ^b	73.8
Total GHG emissions (mtCO2e)	0.9

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2018), 2017 PPPs.

b/ Most recent WDI value (2022).

The economy is expected to grow by 3.7 percent in 2024, driven by tourism, telecommunications, and construction. Commitment to fiscal consolidation is expected to result in a primary surplus by enhancing revenue mobilization through new tax measures and by managing public debt to bolster economic resilience. While the nation navigates social challenges and climate risks, upcoming flight routes and the 2025 elections present both opportunities and uncertainties for sustained growth.

Key conditions and challenges

Seychelles is a small archipelagic country with 121,355 citizens and has the highest GNI per capita in Africa. The economy achieved high-income status in 2015, supported by successful macroeconomic and structural reforms and driven largely by a dynamic tourism sector. However, the island state faces intensifying vulnerabilities due to its limited economic diversification, insularity, small size, remoteness, susceptibility to climate shocks, and social challenges. A high dependence on tourism and fisheries, as well as on imports, creates vulnerability to external shocks. These shocks are transmitted through disruptions in international travel and tourism demand, fluctuations in fishing stocks, and volatility in the prices of essential goods, such as food and fuel.

As a small island state, Seychelles is increasingly vulnerable to adverse climate effects. Most disasters are triggered by monsoon rains, floods, and landslides—as was the case in December 2023, when these hazards, combined with an explosion in an industrial zone, triggered the declaration of a state of emergency and resulted in damages estimated at 2.2 billion rupees (7.4 percent of GDP). Over \$670 million (4 percent of GDP) is needed annually to address climate risks and build resilience. This requires an increase in fiscal space, through prudent

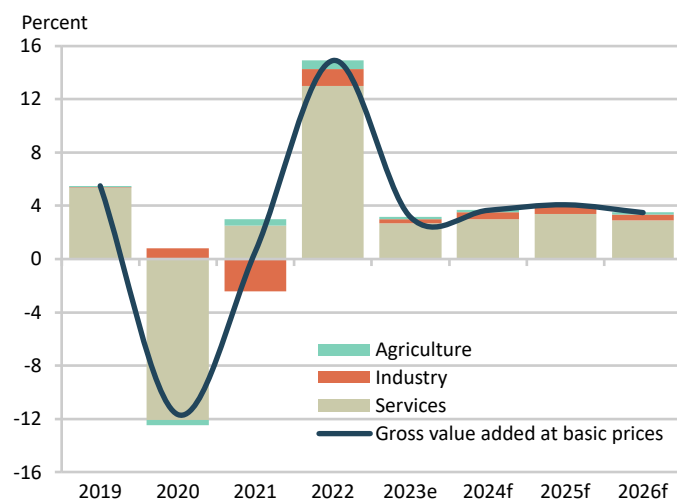
public expenditure management, stronger revenue mobilization, tapping into international climate funds, and reforms to address climate risks.

While the country has an unemployment rate of 3.2 percent and has nearly eliminated extreme poverty, pockets of socioeconomic vulnerability remain, with 25.3 percent of the population classified as poor based on the national poverty line (US\$267 per person/month). Growing substance abuse, teenage pregnancy, and violence against women compound these challenges and put the youth at risk, thus undermining efforts to build human capital.

Recent developments

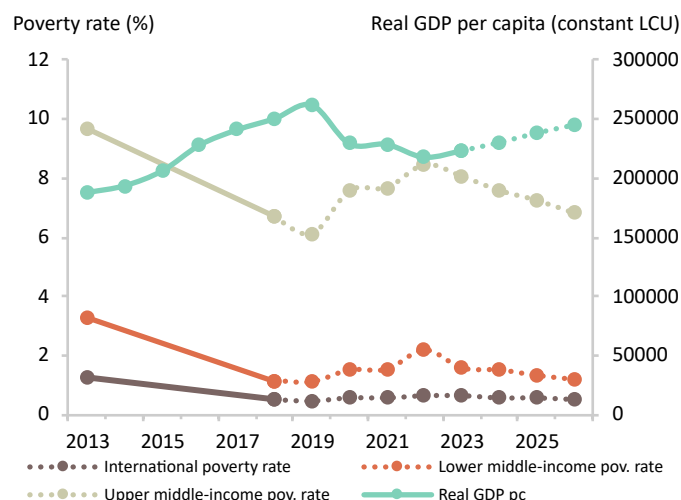
Growth is estimated at 3.2 percent in 2023, with services contributing 2.7 percentage points. Tourist arrivals increased by 5.7 percent but remained 9 percent below pre-pandemic levels. The telecommunications sector grew by 15 percent, reflecting improved service offerings. New hotel and resort projects, along with renovations, spurred a 7 percent growth in the construction sector. Earnings from tourism account for 46 percent of GDP and 42 percent of exports. However, continued reliance on imports widened the current account deficit to 7.2 percent of GDP in 2023 from 6.8 percent in 2022. Despite this, foreign reserves increased by 6.7 percent to US\$682 million compared to 2022, covering 3.8 months of imports.

FIGURE 1 Seychelles / Real GDP growth and sectoral contributions to real GDP growth



Sources: National Bureau of Statistics and World Bank staff calculations.

FIGURE 2 Seychelles / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

Public sector salaries were revised up in 2023, increasing total average earnings by 4.6 percent, compared to the 0.1 percent growth in 2022. The continued recovery in tourism contributed to an increase in annual average employment by 2.2 percent, following growth of 8.1 percent in 2022. Concurrently, households benefited from a 1 percent decline in prices in 2023, due to exchange rate appreciation. Core inflation remained negative at -0.9 percent yet headline inflation increased to 0.4 percent by mid-2024 due to utility tariff hikes and higher freight costs associated with the Red Sea crisis. Falling prices prompted the Central Bank to reduce its monetary policy rate from 2.0 percent to 1.75 percent in April 2024 to support economic growth. The more expansive monetary policy stance is expected to boost credit, which grew by 7.4 percent in 2023.

The government remains focused on enhancing fiscal resilience and debt sustainability through fiscal consolidation efforts that began in 2021. These efforts have yielded a primary surplus of 1.7 percent of GDP and an overall deficit of 1.2 percent of GDP in 2023, helping bring down public debt to 58.4 percent of GDP by the end of 2023.

Outlook

The economy is projected to grow by 3.7 percent in 2024, driven by tourism, telecommunications, and construction. New flight connections, especially between the United Arab Emirates and Madagascar through Seychelles are expected to boost tourism and trade. Reliance on imports is anticipated to result in a current account deficit of 7.3 percent of GDP in 2024, with an average of 8.4 percent over the medium term. A financial account surplus, stemming from net direct investments, is expected to help finance the current account deficit. The anticipated increase in utility tariffs and modest currency depreciation are unlikely to exert significant upward pressure on inflation, which is projected at 1.2 percent in 2024 and 2.9 percent over the medium term. Hence, the Central Bank intends to maintain an accommodative monetary policy, while closely monitoring foreign currency inflows and the valuation of the rupee. Consequently, the poverty rate at \$6.85/day (upper-middle-income poverty line) is

expected to be 7.6 percent in 2024, down from 8 percent in 2023.

Continued fiscal consolidation is expected to yield a primary surplus of 1.0 percent of GDP in 2024. The reduction in VAT refunds, particularly those related to hotel constructions and renovations, could increase business tax revenue, further supported by revised tax rates and improved compliance. Particularly, the tourism sustainability levy introduced in 2023 is expected to increase revenue by 0.7 percent of GDP in 2024, reflecting a full year of compliance. Additionally, amendments to the transfer pricing regulations will support revenue collection efforts.

Risks to the outlook include higher global commodity prices, external tourism shocks, and climate impacts. Upside risks include stronger tourism growth and higher public investment. However, global conflicts and competition in the tourism sector pose additional risks, alongside domestic challenges in monetary policy transmission, climate change impacts on coastal infrastructure, and risky behaviors of the youth. Political tensions ahead of the September 2025 elections could result in policy uncertainty and escalate the aforementioned risks.

TABLE 2 Seychelles / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	0.6	14.9	3.2	3.7	4.1	3.5
Private consumption	11.8	5.8	2.7	1.6	3.9	3.7
Government consumption	-1.7	-12.9	12.0	6.9	1.5	0.5
Gross fixed capital investment	-22.8	6.9	-1.7	16.6	16.7	7.9
Exports, goods and services	20.7	26.7	1.3	1.3	1.8	2.8
Imports, goods and services	19.0	8.7	2.1	2.6	3.5	3.2
Real GDP growth, at constant factor prices	0.6	14.9	3.2	3.7	4.1	3.5
Agriculture	17.8	21.0	4.7	4.6	4.6	4.6
Industry	-13.4	8.1	2.1	3.6	3.8	3.1
Services	3.2	16.0	3.3	3.6	4.1	3.5
Inflation (consumer price index)	9.8	2.7	-1.1	1.2	2.3	3.0
Current account balance (% of GDP)	-9.0	-6.8	-7.2	-7.3	-7.8	-8.4
Net foreign direct investment inflow (% of GDP)	9.4	10.9	13.2	11.0	13.1	13.4
Fiscal balance (% of GDP)	-5.8	-1.4	-1.2	-1.4	-0.9	-0.7
Revenues (% of GDP)	33.2	30.0	32.5	33.6	34.7	34.6
Debt (% of GDP)	73.6	61.1	58.4	61.0	60.6	58.2
Primary balance (% of GDP)	-2.9	0.6	1.7	1.0	1.5	1.6
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	0.6	0.7	0.7	0.6	0.6	0.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	1.5	2.2	1.6	1.5	1.3	1.2
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	7.7	8.4	8.0	7.6	7.2	6.8
GHG emissions growth (mtCO₂e)	2.2	7.1	6.5	6.7	6.8	6.6
Energy related GHG emissions (% of total)	77.5	78.1	78.5	78.9	79.1	79.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2018-HBS. Actual data: 2018. Nowcast: 2019-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2018) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

SIERRA LEONE

Table 1 **2023**

Population, million	8.8
GDP, current US\$ billion	6.4
GDP per capita, current US\$	726.3
International poverty rate (\$2.15) ^a	26.1
Lower middle-income poverty rate (\$3.65) ^a	64.3
Upper middle-income poverty rate (\$6.85) ^a	89.9
Gini index ^a	35.7
School enrollment, primary (% gross) ^b	151.7
Life expectancy at birth, years ^b	60.4
Total GHG emissions (mtCO2e)	10.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2018), 2017 PPPs.

b/ Most recent WDI value (2022).

The economy continues to face significant challenges from both global and domestic sources. Despite showing resilience amid concurrent shocks, policy slippages have exacerbated macroeconomic conditions and worsened living standards. While efforts to restore stability have made modest progress, there is a clear need for more robust macroeconomic management and cohesive policies to sustain growth momentum and achieve lasting macroeconomic stability.

Key conditions and challenges

Sierra Leone continues to face significant challenges that have impeded sustained growth and structural transformation. Over the past decade, the country has experienced periods of robust growth interrupted by shocks—the twin shocks of Ebola and commodity price collapse between 2014-15, natural disasters (flooding and mudslides), the COVID-19 pandemic, and Russia's invasion of Ukraine. These shocks eroded the gains made and, together with policy missteps, caused GDP growth to slow down and worsened macroeconomic conditions. Since 2020, economic woes have sparked intermittent protests and political strife, including a contested election in June 2023 and an attempted coup in November 2023, although political calm has been reestablished. Despite a pickup in GDP growth since 2021, the economy is facing headwinds from structural weaknesses and policy slippages. Weak domestic revenue collection, expenditure overruns, and significant losses in the electricity sector have fed high inflation (topping 50 percent in 2023) and rising borrowing costs. The risk of public debt distress remains elevated due to heightened liquidity risks from servicing both external and domestic debt. Two-thirds of the debt is external, mainly owed to multilaterals, while domestic debt, primarily in the form of

one-year treasury bills, is owed to commercial banks, posing significant rollover risk. The energy sector remains a significant constraint on growth and presents a substantial fiscal risk, particularly with the increasing arrears owed to independent power producers (IPPs).

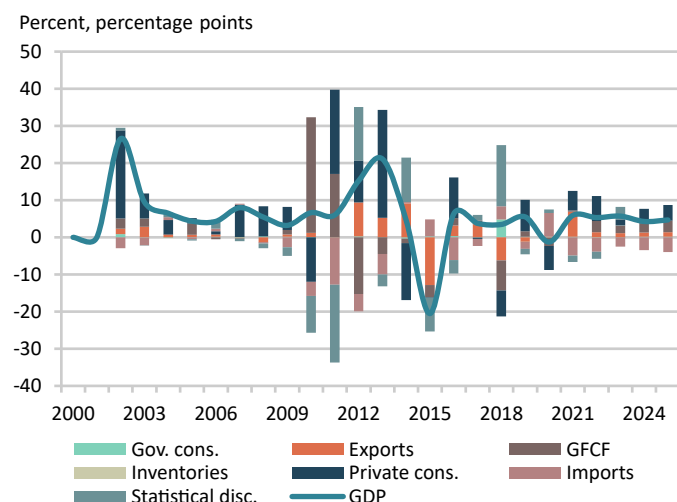
Recent developments

Growth surprised on the upside in 2023 reaching 5.7 percent, up from 5.3 percent in 2022, driven by strong industrial performance, mostly in iron ore production, which more than compensated for a slowdown in agriculture and services. Investment and exports supported growth on demand side while private consumption remained weak, adversely affected by high inflation's impact on household purchasing power.

Despite improvements in the primary deficit in 2023, domestic revenue stood at 7.4 percent of GDP, one of the lowest in the world. Overall deficit decreased only slightly—to 4.9 percent from 5.3 percent in 2022—due to higher-than-budgeted expenditures on security, clearance of arrears, and interest payments. The deficit was mainly financed domestically as revenues, despite improvement, remained low. The debt-to-GDP ratio declined from 53.5 percent to 46.2 percent, as high inflation reduced the real value of debt.

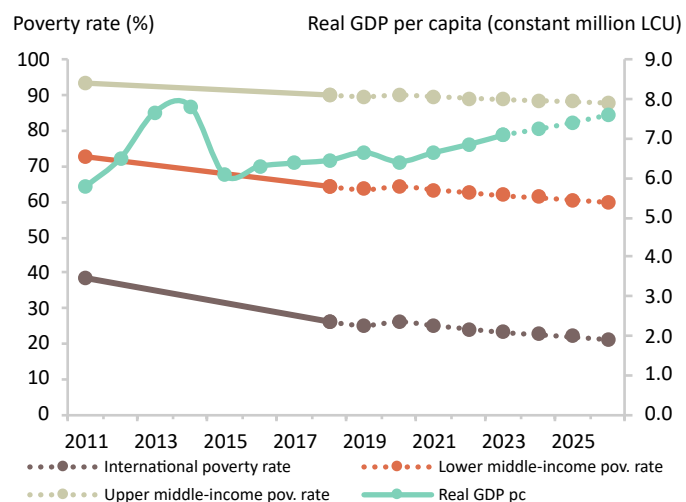
Monetary policy has been tightened to tackle inflation, which remains elevated despite moderating to 25.5 percent by

FIGURE 1 Sierra Leone / Real GDP growth and contributions to real GDP growth



Sources: Statistics Sierra Leone and World Bank.

FIGURE 2 Sierra Leone / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

August 2024. The Bank of Sierra Leone's (BSL) purchase of government securities expanded base money growth, although this has slowed as the BSL unwinds these purchases. Banks remain heavily exposed to sovereign risk as government securities account for about 40 percent of bank financial assets.

Driven by strong iron ore exports and moderated import growth the current account deficit (CAD) slightly narrowed to 5 percent of GDP in 2023 from 5.4 percent in 2022. The CAD was primarily financed by foreign direct investments, but the CAD's financing overall was partial, causing international reserves to decline to 1.8 months of imports by July 2024 from 2.6 months of imports in 2023.

In 2018, the international extreme poverty rate, measured at US\$2.15 per person per day (2017 PPP), was 26.1 percent. Rising food prices have likely intensified household deprivations to the point where many families are now facing hunger. Current poverty projections will be revised as they under-estimate upward pressures on poverty, by not considering the impact of inflation on purchasing power.

Outlook

Growth is projected to slow to 4.3 percent in 2024 due primarily to declining global iron ore prices impacting the mining sector, the main driver of growth. Over the medium term, growth is expected to converge to its long-run potential of 4.7 over 2025-26, underpinned by a resurgence in the service sector and improved agricultural productivity. The recovery in services will be supported by the easing of inflation which is expected to boost household consumption and enhance retail trade. The agricultural sector will be bolstered by the government's flagship 'Feed Salone' initiative to attain food self-sufficiency.

The fiscal deficit is projected at 3.2 percent of GDP in 2024 (0.5pp above target) due to incomplete implementation of all revenue measures in the 2023 and 2024 finance acts and expenditure pressure from the energy utility. In the medium term, the deficit is expected to decline to 1.3 percent of GDP by 2026 assuming the authorities remain

committed to fiscal consolidation, including improvements in public financial management, cash management, and ongoing reforms in wage bill management and the energy sector. While the cost of domestic debt remains elevated, public debt is expected to decrease as a share of GDP, reaching 38.3 percent by 2026. The current account deficit is projected to narrow to 4 percent, driven by improved trade balance and increased external inflows.

While persistent inflation has eroded consumers' purchasing power, poverty projections indicate a declining trend as inflation slows. To ensure sustained poverty reduction, Sierra Leone must promote inclusive growth, strengthen social protection systems, and implement more targeted interventions, especially as demographic pressures intensify.

This outlook is subject to several downside risks. Deviation from the current consolidation effort would undermine fiscal and debt sustainability. External risks stem from global commodity prices, global demand, and higher imported inflation. Weather shocks may constrain agricultural growth and poverty reduction.

TABLE 2 Sierra Leone / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.9	5.3	5.7	4.3	4.7	4.7
Private consumption	5.8	7.4	1.8	4.4	4.7	4.9
Government consumption	3.2	-0.7	0.5	2.8	2.8	4.9
Gross fixed capital investment	2.4	22.2	12.8	15.3	16.8	17.8
Exports, goods and services	69.8	9.0	7.0	6.8	7.3	7.3
Imports, goods and services	24.0	15.8	9.3	12.5	13.5	14.9
Real GDP growth, at constant factor prices	5.9	5.3	5.7	4.3	4.7	4.7
Agriculture	2.2	3.0	2.4	2.4	3.0	3.0
Industry	8.0	9.9	14.4	7.0	7.1	7.1
Services	8.2	5.4	4.7	4.5	4.8	4.9
Inflation (consumer price index)	11.9	27.0	46.7	30.5	20.0	12.6
Current account balance (% of GDP)	-5.0	-5.4	-5.1	-4.3	-4.1	-4.0
Net foreign direct investment inflow (% of GDP)	4.9	4.7	3.1	5.0	6.1	8.4
Fiscal balance (% of GDP)	-3.9	-5.3	-4.9	-3.2	-2.2	-1.3
Revenues (% of GDP)	12.4	10.9	10.4	11.7	12.6	13.4
Debt (% of GDP)	48.6	53.5	46.2	43.1	41.5	38.3
Primary balance (% of GDP)	-2.2	-3.5	-2.5	-0.9	-0.2	0.4
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	25.1	24.2	23.2	22.7	22.0	21.3
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	63.5	62.7	61.8	61.3	60.6	60.0
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	89.6	89.2	88.8	88.6	88.3	88.0
GHG emissions growth (mtCO2e)	8.1	3.2	1.6	1.6	1.7	1.8
Energy related GHG emissions (% of total)	10.7	10.4	10.3	10.3	10.4	10.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2011-SLIHS and 2018-SLIHS. Actual data: 2018. Nowcast: 2019-2023. Forecasts are from 2024 to 2026.

b/ Projection using point-to-point elasticity (2011-2018) with pass-through = 0.4 based on GDP per capita in constant LCU.

SOMALIA

Table 1 **2023**

Population, million ^a	15.8
GDP, current US\$ billion ^b	11.0
GDP per capita, current US\$	694.6
Gini index ^c	37.0
School enrollment, primary (% net) ^c	25.0
Life expectancy at birth, years ^d	56.1
Total GHG emissions (mtCO2e)	42.6

Source: WDI, Macro Poverty Outlook, and official data.
a/ Estimates based on 2013 population estimates by UNFPA and assume an average annual population growth of 2.8%.
b/ Somalia revised GDP series, released in June 2024.
c/ Somalia Integrated Household Budget Survey 2022 (SNBS, 2023).
d/ Most recent WDI value (2021).

Economic growth continues to accelerate, albeit at a modest pace, supported by improved agriculture production, private consumption, and exports. Real GDP growth is expected to rise to 4.4 percent in 2024, from 4.2 percent in 2023. Continued favorable rains and declining global commodity prices are contributing to further easing of inflation. Nevertheless, recurrent shocks and insecurity remain significant threats to growth prospects and sustained poverty reduction.

Key conditions and challenges

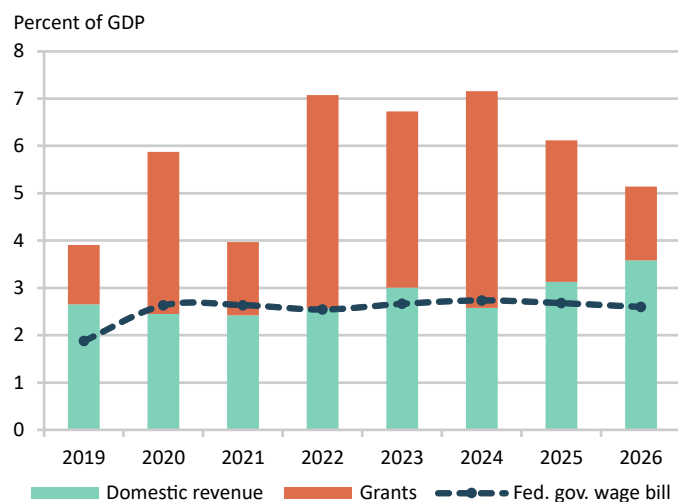
The economy continued to rebound from a severe five-season drought. Progress in state- and institution building has been further strengthening the growth environment. Further progress hinges on continued reform progress, the security situation (including international support following the end of the African Union Transition Mission), and building buffers against shocks to which Somalia is currently highly exposed. Multiple and overlapping climate-related and external shocks have interrupted the country's growth trajectory and slowed the transition from fragility. Real GDP growth averaged only 2.1 percent annually in 2019–23 with an average negative real GDP per capita growth of 0.7 percent. Growth does not generate the jobs needed to reduce poverty. As a result, poverty remains high and widespread, with recurrent shocks increasing the risk of more people falling into poverty. Somalia experienced a multitude of shocks between 2020 and 2022. These shocks more often impacted poorer households and poorer regions. Projections based on GDP per capita growth suggest that poverty increased from 71 percent in 2019 to 74 percent in 2022, based on the US\$2.15/day poverty line. Now that Somalia has graduated from the Heavily Indebted Poor Countries (HIPC) Initiative, it will be essential for the authorities to maintain macroeconomic stability

and continue policy implementation. This includes accelerating domestic revenue mobilization reforms, improving the effectiveness of spending in social sectors, containing the wage bill, efficient security spending, advancing Public Finance Management reforms, and further strengthening of debt management. Macroeconomic stability and development in Somalia rely on a sustained and substantial flow of concessional finance.

Recent developments

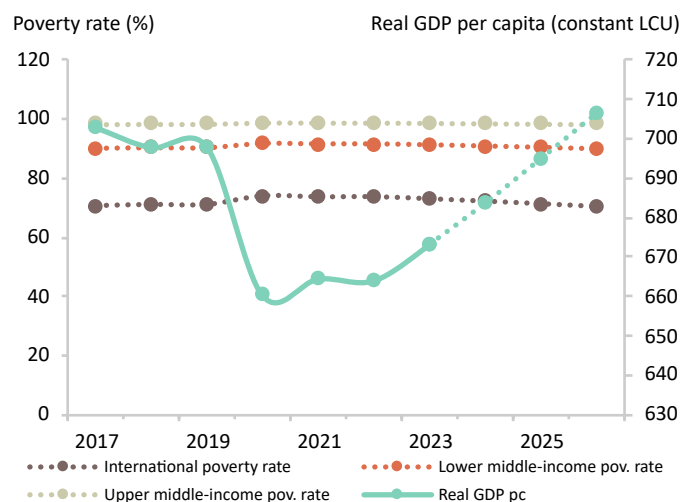
In 2023, sustained favorable rains improved agricultural production and led to better food security and higher private consumption. Exports recovered faster than imports, as livestock exports rebounded. Private sector credit growth contributed to strengthening investment, particularly in construction and real estate. Remittances increased significantly, bolstered by the moderation of global inflation and the uptick in economic growth in several host countries. The trade deficit is estimated to slightly narrow to 60.2 percent of GDP in 2024 compared to 62.6 percent in 2023, as livestock exports improved. Consequently, the current account deficit is estimated to narrow to 9.0 percent of GDP in 2024, from 10.8 percent in 2023. Food and fuel prices have been moderating and with them inflation, with July 2024 inflation at 5.5 percent (y-o-y) compared to 6 percent in July 2023. Annual average inflation is expected to slow down to 4.6 percent in 2024, in line with

FIGURE 1 Somalia / Federal government revenue sources and wage bill



Sources: Somalia authorities and World Bank estimates.

FIGURE 2 Somalia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

the easing of global commodity prices, improved agricultural production, and the de facto dollarization of the economy. The easing of inflation together with the absence of a drought in 2023-24 is projected to make poverty revert down to 72 percent by 2024.

The fiscal surplus is estimated at 0.3 percent of GDP in 2024, supported by higher grants and prudent spending. Domestic revenue remains exceptionally low but is slowly improving due to the strengthening of customs administration, broadening of the tax base, and digitization of taxes on road use and rental income. The government's expenditures grew at a slower pace compared to revenue and were driven by an increased wage bill, and security and social services spending. With limited fiscal space, capital spending accounted for only 0.3 percent of GDP in 2024. External debt is expected to decline to 5.6 percent of GDP in 2024, down from 6.4 percent in 2023, following HIPC relief in 2023.

Outlook

Real GDP growth is expected to accelerate to 4.4 percent in 2024, from 4.2 percent in 2023, and to pick up to 4.5 percent in the medium term, as structural reforms pay off and public and private investment scale up. The outlook is also anchored on the continued recovery of the agriculture sector, which will improve household incomes, food security, and exports. Foreign direct investment is expected to trend upward in the medium term, following HIPC Completion Point. Remittances are projected to increase, bolstered by the moderation of global inflation and the upgrade of the growth outlook in several host countries. However, the outlook is subject to downside risks, including climate shocks, intensified domestic insecurity, and regional geopolitical pressures.

Inflation is expected to continue a downward trend to around 3.6 percent over the medium term as fuel and food prices slow down. The current account deficit is estimated to widen gradually owing to Somalia's dependence on major imports for consumer and investment goods as well as its limited export capacity.

Higher per capita growth, lower inflation, and increasing incomes due to improved rains are expected to reduce poverty in the medium term, albeit slowly. The reduction in poverty is expected to accelerate in 2025 and 2026, reaching a poverty rate of 70 percent in 2026, down from 72 percent in 2024. However, poverty will remain amongst the highest in Sub-Saharan Africa. Accelerating the pace of poverty reduction will require macroeconomic stability, enhanced security, and reduced conflict, and policy interventions that focus on increasing human capital, creating jobs, and strengthening climate resilience, especially for rural and nomadic livelihoods.

TABLE 2 Somalia / Macro poverty outlook indicators

(percent of GDP unless indicated otherwise)^a

	2021	2022	2023e	2024f	2025f	2026f
Real GDP growth, at constant market prices	3.5	2.7	4.2	4.4	4.5	4.5
CPI inflation (annual percentage change)	4.6	6.8	6.1	4.6	4.0	3.6
Current account balance	-7.3	-8.2	-10.8	-9.0	-11.2	-11.2
Trade balance	-50.9	-62.5	-62.6	-60.2	-57.4	-55.7
Private remittances	22.3	21.0	21.6	20.1	19.9	20.1
Official grants	18.1	26.8	21.3	23.6	19.6	17.9
Fiscal balance^b	-0.8	-0.1	0.2	0.3	-0.2	-0.9
Domestic revenue	2.4	2.6	3.0	2.6	3.1	3.6
External grants	1.5	4.5	3.7	4.6	3.0	1.6
Total expenditure	4.8	7.2	6.6	6.9	6.3	6.0
Compensation of employees	2.6	2.5	2.7	2.7	2.7	2.6
External debt	41.4	37.5	6.4	5.6	5.8	7.0
International poverty rate (\$2.15 in 2017 PPP)^{c,d}	73.6	73.6	72.9	72.2	71.3	70.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{c,d}	91.6	91.6	91.3	90.9	90.5	90.0
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{c,d}	98.8	98.9	98.8	98.7	98.6	98.6
GHG emissions growth (mtCO₂e)	-0.8	-1.1	-0.1	1.1	1.7	1.1
Energy related GHG emissions (% of total)	1.4	1.5	1.5	1.4	1.4	1.4

Source: World Bank, IMF, and FGS. Emissions data sourced from CAIT and OECD.

Notes: e = estimate; f = forecast.

a/ GDP baseline estimates 2021-23 are by Somalia National Bureau of Statistics (SNBS, June 2024).

b/ Federal Government of Somalia (FGS).

c/ Calculations based on Takamatsu et al. (2022) "Rapid Consumption Method and Poverty and Inequality Estimation in Somalia Revisited." Actual data: 2017. Nowcast: 2021-23. Forecasts are from 2024-26.

d/ Projection using neutral distribution (2017) with pass-through = 1 (High) based on GDP per capita in constant LCU.

SOUTH AFRICA

Table 1 **2023**

Population, million	60.4
GDP, current US\$ billion	380.7
GDP per capita, current US\$	6301.5
International poverty rate (\$2.15) ^a	20.5
Lower middle-income poverty rate (\$3.65) ^a	40.0
Upper middle-income poverty rate (\$6.85) ^a	61.6
Gini index ^a	63.0
School enrollment, primary (% gross) ^b	98.1
Life expectancy at birth, years ^b	61.5
Total GHG emissions (mtCO2e)	513.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2014), 2017 PPPs.

b/ WDI for School enrollment (2021); Life expectancy (2022).

Despite the decline in power cuts since early 2024, the medium-term growth trajectory remains hampered by several supply-side structural constraints (infrastructure bottlenecks, weak business environment, low productivity). Given a large government debt burden, expenditure restraint remains critical to safeguarding fiscal sustainability. As a result of slow growth, progress on social outcomes is expected to remain limited, with the projected upper-middle-income poverty rate hovering at about 63 percent.

Key conditions and challenges

South Africa's economy expanded by an average of 0.8 percent over the period 2014-2023, below the population growth rate, leading to a decline in real income per capita to its 2007 level. A series of structural constraints on the supply side of the economy (infrastructure bottlenecks, weak business environment, low productivity) and a decline in the efficiency of fiscal policy have hindered economic growth. Higher public spending, mainly on wages, has not translated into faster economic growth while contributing to a rapid increase in public debt, which reached 74.1 percent of GDP in 2023, up from 42.8 percent a decade ago.

On the social front, access to basic services increased in the post-apartheid period, but weak state capacity has limited further progress. In the context of low economic growth, the unemployment rate (32.4 percent in 2023) and inequality (Gini index of 63) remain among the world's highest. More than 8 million people are unemployed, most for more than a year. Weak job creation has hampered poverty reduction. About 63 percent of the population is estimated to live below the \$6.85 upper-middle-income threshold in 2024, corresponding to 2.2 million more poor people than in the pre-COVID-19 period.

To improve economic and social outcomes, greater urgency is needed to address

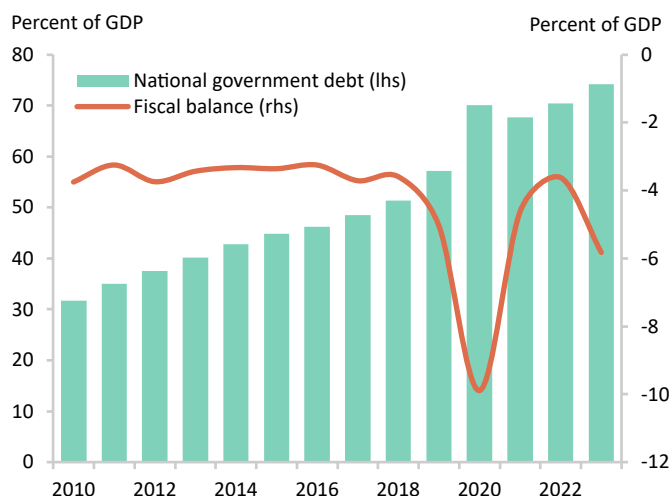
binding structural constraints to growth. Recent successes in the network industries, notably electricity, have demonstrated that opening markets to competition and ensuring a just transition to protect the poorest against adjustment costs could help generate faster and more inclusive growth. The 2024 general elections ushered in a shift in the political landscape with the ANC losing its parliamentary majority for the first time in the democracy era. A Government of National Unity (GNU) has been in office since June 2024.

Recent developments

Economic growth has remained modest at 0.4 percent (y/y) in the first half of 2024. While energy supply has stabilized, with no rotational load shedding since late March 2024, political uncertainty associated with the May elections affected private sector spending. GDP growth increased to 0.4 percent q/q in 2024Q2 after stagnation in the previous quarter, mainly underpinned by financial services which contributed 0.3 percentage points and smaller contributions from other sectors. On the spending side, higher household and government consumption were partly offset by weaker investment and net exports.

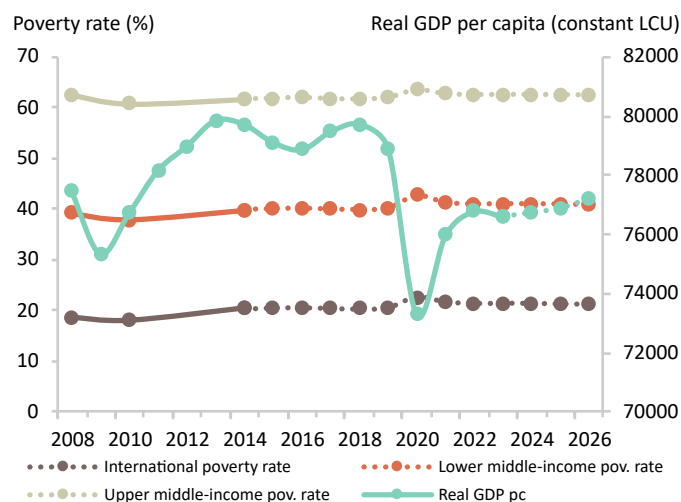
Reflecting the weak growth environment, the unemployment rate increased for a third successive quarter reaching 33.5 percent in 2024Q2 and 42.6 percent when using the expanded definition that includes discouraged workers.

FIGURE 1 South Africa / Fiscal balance and debt



Sources: National Treasury and World Bank staff estimates.

FIGURE 2 South Africa / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

Headline inflation eased to 5.3 percent in 2024H1, down from 6.6 in 2023H1. However, the high food inflation episode of 2022-2023 represents a persistent shock to the households, as their vulnerability to hunger increased from 19 percent to 22 percent over this period. To anchor inflationary expectations, monetary policy has remained restrictive. However, the SARB reduced its policy rate by 25 basis points to 8.00 percent in September, beginning an easing cycle.

National government expenditure increased 3.7 percent y/y while revenue was up 2.7 percent in the first quarter of FY2024/25. The government has since received the first tranche payout from its GFECRA account at the SARB, amounting to 1.1 percent of GDP. This account captures FX reserve valuation gains and losses due to Rand movements, which the government will use to reduce debt. The fiscal deficit is estimated at 5.8 percent of GDP in FY2024/25, similar to the FY2023/24 level, while national government debt is estimated at 74.7 percent of GDP during this period.

Outlook

GDP growth is expected to reach 1.1 percent in 2024, before increasing to 1.5 percent in 2025 and 1.7 percent in 2026. Increased electricity supply and implementation of ongoing reforms in the transport sector are expected to boost economic activity. Household consumption is expected to rebound starting in 2025, supported by the stabilization of inflation. Headline inflation is expected to stabilize around 4.5 percent, reducing cost of living pressures and giving room for the SARB to reduce its policy rate further. Investment is projected to rebound from 2025 onwards in the context of lower interest rates and a slight increase in aggregate demand.

Progress on social outcomes is expected to remain limited given modest job creation. The poverty rate, based on the upper middle-income poverty line, is expected to remain at about 63 percent between 2024 and 2026—with the absolute number of poor

increasing from 38.2 million in 2024 to 38.9 million in 2026.

The current account deficit is expected to widen in the medium term, reaching 2.8 percent of GDP by 2026, largely owing to less favorable terms of trade and stronger import growth. The deficit is expected to be financed by capital inflows.

Fiscal policy is expected to be prudent, aiming to stabilize debt by 2026. However, this will require containing expenditure pressures, including on the wage bill, support to SOEs, and new unfunded initiatives such as health insurance. The fiscal deficit is expected to widen marginally to 5.9 percent of GDP in 2025, before narrowing with the end of budgetary support for Eskom. The debt ratio is projected to reach 77.6 percent in 2026.

Risks to the outlook are significant. An uncertain pace of implementation of structural reforms, weaker trading partner growth, a sustained period of high global interest rates, and climate shocks are among the key risks. Government expenditure restraint will be critical to safeguard fiscal sustainability.

TABLE 2 South Africa / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.0	1.9	0.7	1.1	1.5	1.7
Private consumption	6.2	2.5	0.7	0.8	1.6	1.6
Government consumption	0.6	0.6	1.9	1.0	-0.1	-0.1
Gross fixed capital investment	-0.4	4.8	3.9	0.9	4.3	4.3
Exports, goods and services	9.7	6.8	3.7	0.6	2.8	3.0
Imports, goods and services	9.6	15.0	3.9	-1.2	3.1	3.1
Real GDP growth, at constant factor prices	4.7	1.9	0.7	1.1	1.5	1.7
Agriculture	5.6	2.0	-4.8	-2.1	2.5	2.5
Industry	6.5	-2.6	-0.4	0.0	1.2	1.8
Services	4.0	3.4	1.2	1.6	1.6	1.6
Inflation (consumer price index)	4.5	6.9	6.0	4.8	4.5	4.5
Current account balance (% of GDP)	3.7	-0.5	-1.6	-1.5	-2.6	-2.8
Net foreign direct investment inflow (% of GDP)	9.5	1.7	1.7	1.5	1.6	1.6
Fiscal balance (% of GDP)^a	-4.6	-3.6	-5.8	-5.8	-5.9	-4.2
Revenues (% of GDP)	27.7	28.0	27.2	27.2	27.2	27.3
Debt (% of GDP)	67.6	70.5	74.1	74.7	76.8	77.6
Primary balance (% of GDP)	-0.4	0.9	-0.8	-0.6	-0.6	1.0
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	21.7	21.5	21.5	21.5	21.4	21.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	41.4	41.1	41.1	41.1	41.1	40.9
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	62.8	62.6	62.6	62.6	62.6	62.5
GHG emissions growth (mtCO2e)	1.6	0.7	-1.5	1.3	1.6	1.7
Energy related GHG emissions (% of total)	76.7	76.7	76.2	76.2	76.2	76.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ The Eskom debt-relief arrangement is reported above the line, in expenditures.

b/ Calculations based on 2014-LCS. Actual data: 2014. Nowcast: 2015-2023. Forecasts are from 2024 to 2026.

c/ Projection using neutral distribution (2014) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

SOUTH SUDAN

Table 1 **2023**

Population, million	11.1
GDP, current US\$ billion	4.6
GDP per capita, current US\$	418.0
International poverty rate (\$2.15) ^a	67.3
Lower middle-income poverty rate (\$3.65) ^a	86.5
Upper middle-income poverty rate (\$6.85) ^a	96.6
Gini index ^a	44.1
School enrollment, primary (% gross) ^b	81.9
Life expectancy at birth, years ^b	55.6
Total GHG emissions (mtCO2e)	68.1

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2017 PPPs.

b/ WDI for School enrollment (2021); Life expectancy (2022).

A significant drop in oil production derailed economic growth, despite better harvests. Food insecurity and extreme poverty remain high because of high inflation, climate and external shocks, declining official development assistance, structurally weak governance, inadequate service delivery, and localized conflict. The conflict in Sudan poses acute risks to macroeconomic stability, exacerbating fiscal pressures and pressing humanitarian needs. A loss of momentum in the political transition could amplify these risks.

Key conditions and challenges

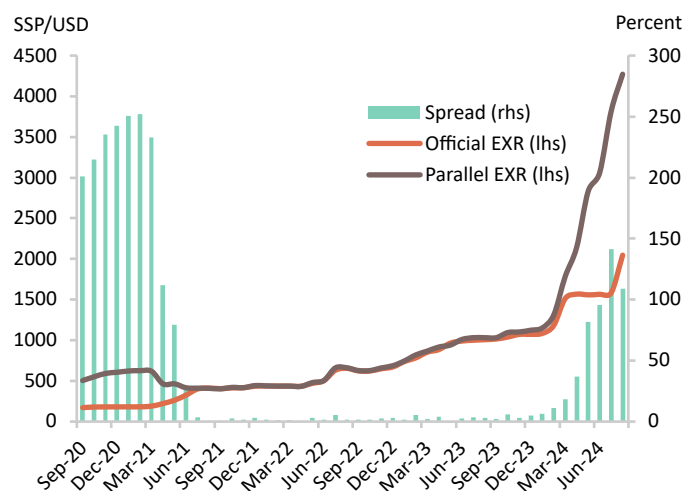
More than a decade after independence, South Sudan's development prospects remain constrained by fragility, heavy reliance on oil revenue and external financing, and limited state capacity to deliver public services. Acute humanitarian and macroeconomic challenges have been further compounded by the conflict in neighboring Sudan that has disrupted the flow of oil through pipelines in Sudan. These developments fuel a macroeconomic and fiscal crisis, given that oil accounts for nearly all exports and about 90 percent of government revenues. Fiscal capacity to counter the large decline in oil production or global oil and food price shocks remains highly constrained by severe challenges in the governance of oil sector revenues and weak fiscal discipline. Furthermore, the limited fiscal resources are used to repay non-concessional debts or flow to the security sector. South Sudan remains at high risk of both external and domestic debt distress, with a substantial downside risk on sustainability and falling into debt distress. Critical social expenditures are mainly financed by humanitarian official development assistance that is under pressure due to competing global needs. The 2018 peace agreement ended five years of civil war; however, the transition period for its full implementation has been repeatedly extended, including the recent two-year extension to February 2027.

IMF-backed reforms, beginning in 2021, fostered macroeconomic stability and revived the non-oil private sector. However, the disruption in oil production and exports undermined economic stability and reversed the gains from exchange rate reforms and higher oil prices. Extreme poverty is widespread, with more than 70 percent of the population living on less than US\$2.15 per day based on projections from the most recent available data. Food insecurity is acute, affecting 9 million people (78 percent of the population), exacerbated by high food prices and floods. Additionally, 2 million people are internally displaced, while 2.1 million remain refugees in neighboring countries. The conflict in Sudan has also led to over 700 thousand Sudanese refugees and South Sudanese returnees entering the country, intensifying the humanitarian crisis. The country is highly vulnerable to climate shocks reflected in the increased severity, durations, and spread of annual floods.

Recent developments

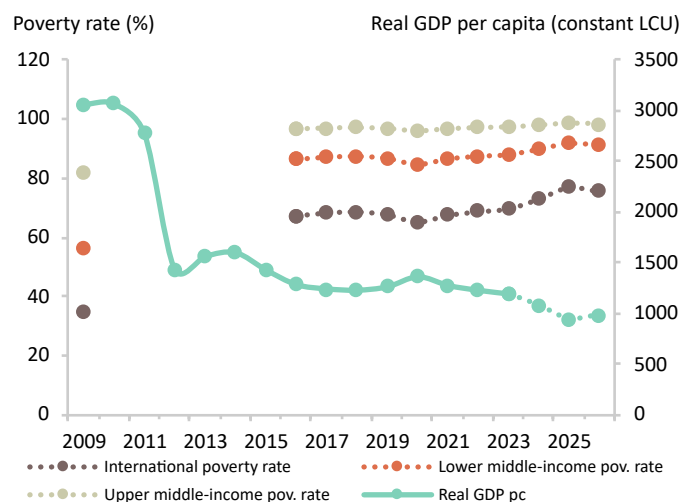
Macroeconomic conditions have significantly deteriorated over the past year with the economy contracting by an estimated 7.8 percent in FY2023/24. While the agricultural sector, mainly crop production, expanded by 1.8 percent, the non-agricultural sector has been affected by heightened political uncertainty, lower trade flows, and higher food inflation due to significant currency depreciation in recent months. The oil sector has come under

FIGURE 1 South Sudan / Exchange rate developments



Sources: Bank of South Sudan and World Bank.

FIGURE 2 South Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

pressure following damages to the pipeline in Sudan and heightened geo-political tensions in the Red Sea. Since February 2024 oil production plunged to 50,000bpd from 150,000 previously. Moreover, Petronas International Corporation, the main operator of South Sudan's oil fields, submitted a request for arbitration to ICSID against the government of South Sudan over the takeover of its assets by the state-owned Nilepet.

Inflation soared to 107 percent in July, as the South Sudan pound depreciated, supply shortages intensified, including due to sharply lower cross border trade of essential food items mainly from Uganda, and as transport costs increased. Loss of revenue led the government to return to deficit monetization. As a result, since the beginning of 2024, the official exchange rate depreciated by 89 percent, and the premium in the parallel market widened to 75 percent.

In FY2023/24, fiscal pressures proved more significant than anticipated. Despite lower oil production in the second half of FY24, oil revenues increased by 23 percent in nominal terms while non-oil revenues rose by 91 percent, helped by an increase in custom valuation exchange rate from SSP90 to SSP300, which remains substantially low, suspension of

discretionary exemptions and improved compliance, as well as due to high inflation. Preliminary fiscal outturns exceeded outlays by 36 percent, with overall spending increasing by 50 percent, mainly due to higher operational and capital expenditures. As a result, the fiscal deficit reached 3 percent of GDP. Further, the FY25 draft budget envisages a deficit amounting to 45 percent of the total expenditures, with no clear financing plans. The current account balance deteriorated following the decline in oil export revenues, while partly cushioned by reduced imports and large net transfers, mainly humanitarian aid flows.

Outlook

Real GDP is expected to decline by 11.4 percent in FY2024/25, due to the drop in oil production and uncertainty regarding future production. The non-oil sector's rebound is expected to be constrained by floods that disrupt agricultural production. Growth is projected to rebound to 6 percent in FY2025/26, predicated on oil output recovery and non-oil activities gradually picking up, supported by easing inflation and increased public spending.

The pressure on the current account is expected to increase due to continued decline in oil revenues, higher debt-service obligations, and a decline in international aid.

Putting the economy on a sustainable growth path requires the full implementation of the 2018 peace accord and the organization of fair and transparent elections. Currently, the transitional period is extended to February 2027, and elections are postponed to December 2026. Meanwhile, ensuring budget credibility and disciplined execution, refraining from monetization of fiscal deficit, are critical to restoring macroeconomic stability, improving governance, and fostering inclusive growth. Extreme poverty is expected to remain high at over 70 percent in the medium term as real growth prospects are limited in the short-term. This underscores the urgency of fiscal and public financial management reforms to generate budgetary resources to increase social expenditures. While digital solutions to modernize tax administration, efforts to expand the tax base and to strengthen the management and transparency of oil revenues could help, fiscal pressures are expected to remain substantial given sizable debt-service obligations, the need to clear legacy arrears, and increase social and humanitarian expenditures.

TABLE 2 South Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	-5.1	-2.3	-1.3	-7.8	-11.4	6.1
Real GDP growth, at constant factor prices	-5.1	-2.3	-1.3	-7.8	-11.4	6.1
Agriculture	-4.0	-1.8	-1.7	1.8	1.8	2.5
Industry	-2.3	-4.8	-4.3	-17.2	-26.5	8.7
Services	-9.7	1.7	3.6	3.5	2.9	4.8
Inflation (consumer price index)	43.1	22.0	18.0	35.0	47.0	24.6
Current account balance (% of GDP)	-5.5	4.6	5.1	3.2	-3.3	-1.6
Net foreign direct investment inflow (% of GDP)	0.9	0.9	0.8	0.6	1.1	0.8
Fiscal balance (% of GDP)	-6.8	-5.9	1.8	-3.1	-7.1	-2.4
Revenues (% of GDP)	30.9	28.8	28.8	28.4	21.0	29.0
Debt (% of GDP)	57.6	56.9	40.3	43.3	52.3	49.9
Primary balance (% of GDP)	-4.4	-3.8	2.8	-2.4	-6.2	-1.6
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	67.5	68.8	69.7	73.0	77.1	75.7
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	86.6	87.6	88.1	89.9	92.0	91.5
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	96.7	97.1	97.3	97.8	98.4	98.2
GHG emissions growth (mtCO₂e)	-5.6	0.3	1.0	0.9	0.8	1.1
Energy related GHG emissions (% of total)	2.8	2.8	2.8	2.6	2.4	2.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2016-HFS-W3. Actual data: 2016. Nowcast: 2017-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2016) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

SUDAN

Table 1 **2023**

Population, million	48.1
GDP, current US\$ billion	109.3
GDP per capita, current US\$	2271.2
International poverty rate (\$2.15) ^a	15.3
Lower middle-income poverty rate (\$3.65) ^a	49.7
Upper middle-income poverty rate (\$6.85) ^a	86.2
Gini index ^a	34.2
School enrollment, primary (% gross) ^b	77.8
Life expectancy at birth, years ^b	65.6
Total GHG emissions (mtCO2e)	126.1

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2014), 2017 PPPs.

b/ WDI for School enrollment (2018); Life expectancy (2022).

Sudan's humanitarian crisis has worsened with famine, widespread infrastructure destruction, trade disruptions, and 12 million displaced due to the conflict. The economy is expected to shrink to two-thirds of its pre-conflict size after a second year of double-digit contraction, with a sharp rise in poverty. The loss of productive capacity and human capital will likely hinder post-conflict recovery and have lasting effects on poverty.

Key conditions and challenges

The conflict between the Sudanese Armed Forces (SAF) and the Rapid Support Forces (RSF), which started in April 2023, has intensified despite peace negotiations. The death toll has risen, and food insecurity has reached alarming levels, affecting over half of Sudan's population (25.6 million) with 2 percent (755,000) at catastrophic risk of famine. Recent floods in the eastern region have exacerbated the humanitarian crisis, leading to a major Cholera outbreak, as declared by the Minister of Health.

The conflict has severely damaged Sudan's economy, affecting industry, agriculture, and the oil sector, while halting education and destroying health facilities in affected areas. About 10 million people are internally displaced, and over 2 million have fled to neighboring countries. The collapse of government institutions has disrupted public spending, and the exodus of people has reduced tax base and caused a sharp decline in revenues due to decreased economic activity and demand.

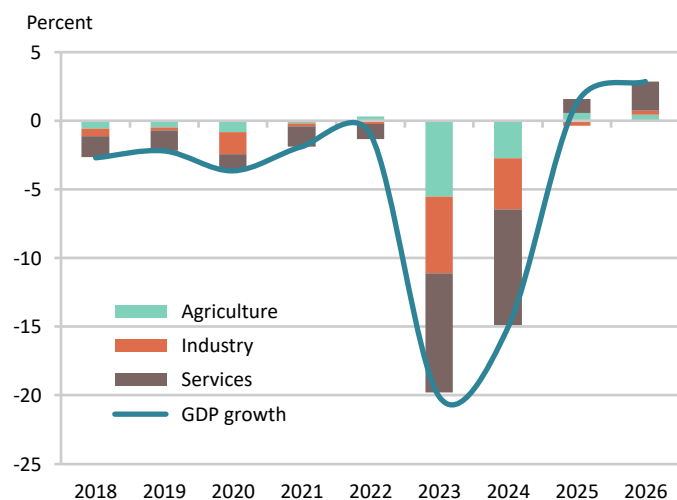
The economy had already been on a downward trajectory pre-conflict due to a multitude of shocks that were exacerbated by political crises. Weak investment in physical and human capital during the oil boom years (2000-2010) and stalled structural reforms exacerbated the socio-economic impact of the secession of

South Sudan in 2011. Sudan lost 75 percent of its revenues (mostly from crude oil exports, as oil fields are located in South Sudan) compounding macroeconomic vulnerabilities and fragility and GDP growth averaged -1.3 percent during 2011-18. Economic activity continued to decline over the period 2018-22, affected by growing political instability, hyperinflation amid currency pressures, and fiscal deficit monetization. Efforts to stabilize the economy, rein in subsidies, and unify the exchange rate sparked a nascent economic recovery that was derailed by the COVID pandemic and by the 2021 military intervention that halted debt relief efforts under HIPC and suspended foreign assistance inflows. As a result, over the last decade, average per capita growth was negative.

Recent developments

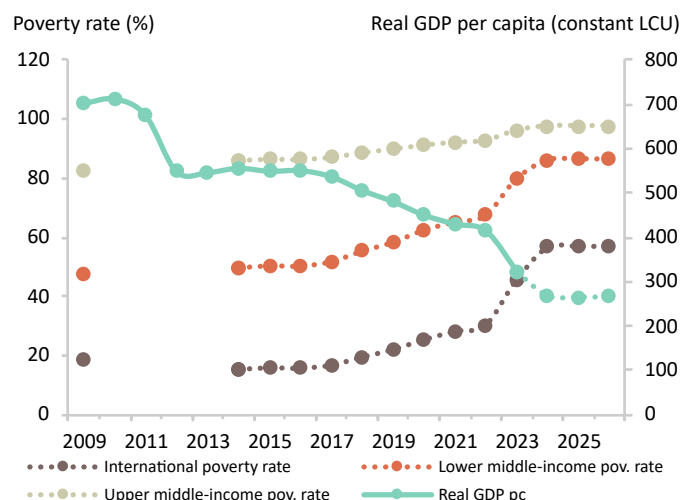
The conflict has caused a collapse in domestic demand and economic activity, eroding state capacity and spreading to previously safe regions like Gazira, Senar, and White Nile States. This has disrupted agriculture and trade, exacerbating food insecurity and displacement. Low crop production seriously threatens food availability. The severe impact of the conflict on the telecommunications infrastructure and fuel supply has resulted in extensive outages, isolating people and disrupting aid. There are some indications that trade is being redirected through new routes to Egypt, Port Sudan,

FIGURE 1 Sudan / Real GDP growth and sectoral contributions to real GDP growth



Sources: National Bureau of Statistics and World Bank staff calculations.

FIGURE 2 Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

and South Sudan to bypass conflict. Gold exports through official channels recovered to \$428 million in the first quarter of 2024, but this is still far below the pre-conflict average of \$2.3 billion. Exports through informal channels are likely to remain significant and serve as a key source of financing during the conflict.

Inflation soared to 194 percent year-on-year by July 2024, among the highest globally, driven by rising food, fuel prices, rents, goods shortages, and currency depreciation, with the parallel market rate dropping from SDG 561/US\$ at the end of 2022 to SDG 2260/US\$ in July 2024. All fuel in Sudan is now imported due to the shutdown of the Khartoum refinery (Al-Jaili). The World Food Program food basket average price tripled between the first half of 2023 and the same period of 2024.

Most banks relocated their headquarters to Port Sudan, operating with reduced capacity, with one bank sanctioned by the US in January for funding conflict. Extreme poverty incidence, the share of the population living on less than \$2.15 per day, has almost doubled from 30 percent in 2022 to 57 percent in 2024.

Outlook

The outlook remains highly uncertain. The economy is anticipated to further contract by 15.1 percent in 2024, following an estimated 20.1 percent contraction in 2023, reflecting a large decline in private consumption and investment. On the supply side, a major driver is the damage to the services sector (medical, educational, telecommunications, retail and wholesale services), which is mostly concentrated in Khartoum. In the event of a cessation of conflict, economic indicators would start improving. Assuming that conflict ends in the next several months, a modest recovery of 1.3 percent could happen in 2025, and the economy would grow further by 2.9 percent in 2026. This scenario assumes improvements in security, as well as improvements in macroeconomic fundamentals and a resumption in international funding. Even in this positive scenario, real GDP would stay well below pre-conflict levels.

Although slowing, inflation is expected to remain in double-digits reflecting continued currency pressures and broad-based

destruction of supply capacity. Extreme poverty is expected to remain high at around 64 percent in the medium term.

Over the medium term, the fiscal outlook is expected to face continued challenges, marked by a widening fiscal deficit, with a rise in expenditures, to 9.8 percent of GDP, despite a projected uptick in revenues to 6.2 percent of GDP by 2026. The external current account deficit is estimated to widen to -3.2 percent of GDP in 2024 due to a decline in primary and secondary incomes. It will deteriorate further to 17.5 percent of GDP in 2025, with a marginal improvement to 14.1 percent of GDP by 2026. This is partly due to an anticipated increase in gold exports as the government regains control over mines, although the recovery of imports is expected to outpace that of the exports as domestic capacity takes time to rebound. Public debt is expected to remain elevated due to ongoing fiscal challenges and the absence of debt relief under the HIPC initiative.

The economic outlook faces considerable risks from stalled peace talks, posing a threat to recovery efforts by worsening fiscal imbalances and deterring foreign investment and aid.

TABLE 2 Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	-1.9	-1.0	-20.1	-15.1	1.3	2.9
Private consumption	-0.9	-0.8	-18.0	-17.3	-0.9	1.4
Government consumption	-9.6	1.9	-36.5	-4.3	11.6	17.3
Gross fixed capital investment	-2.1	1.2	-20.0	-22.9	-1.5	1.8
Exports, goods and services	8.0	12.0	-39.9	36.4	18.8	5.0
Imports, goods and services	-0.5	8.7	-22.3	-25.7	-10.8	8.0
Real GDP growth, at constant factor prices	-1.9	-1.0	-20.0	-15.1	1.3	2.9
Agriculture	-0.6	1.0	-16.3	-7.6	1.5	1.2
Industry	-0.7	-0.7	-19.7	-13.1	-1.1	1.1
Services	-3.9	-3.0	-23.7	-24.2	3.3	6.6
Inflation (consumer price index)	359.7	164.2	65.8	180.2	89.4	33.1
Current account balance (% of GDP)	-7.3	-6.0	-0.6	-3.2	-17.6	-14.1
Net foreign direct investment inflow (% of GDP)	-1.6	-1.3	-0.7	-1.4	-1.2	-1.1
Fiscal balance (% of GDP)	-0.3	-1.7	-3.8	-3.2	-3.5	-3.5
Revenues (% of GDP)	10.5	10.0	4.8	3.4	4.5	6.2
Debt (% of GDP)^a	215.6	183.6	167.3	146.5	147.4	134.9
Primary balance (% of GDP)	-0.3	-1.4	-3.7	-3.2	-3.5	-3.5
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	28.3	30.3	45.6	56.7	57.3	57.1
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	65.3	67.4	79.8	86.2	86.6	86.5
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	92.2	92.8	96.1	97.6	97.6	97.6
GHG emissions growth (mtCO₂e)	1.6	-0.3	-1.8	-0.6	0.5	2.2
Energy related GHG emissions (% of total)	17.2	17.0	15.2	15.9	16.9	18.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Debt projections do not include any restructuring achieved during the HIPC process.

b/ Calculations based on 2014-NBHS. Actual data: 2014. Nowcast: 2015-2023. Forecasts are from 2024 to 2026.

c/ Projection using neutral distribution (2014) with pass-through = 1 (Med (0.87)) based on GDP per capita in constant LCU.

TANZANIA

Table 1 **2023**

Population, million	67.4
GDP, current US\$ billion	78.1
GDP per capita, current US\$	1158.8
International poverty rate (\$2.15) ^a	44.9
Lower middle-income poverty rate (\$3.65) ^a	74.3
Upper middle-income poverty rate (\$6.85) ^a	92.3
Gini index ^a	40.5
School enrollment, primary (% gross) ^b	95.5
Life expectancy at birth, years ^b	66.8
Total GHG emissions (mtCO2e)	167.2

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2018), 2017 PPPs.

b/ Most recent WDI value (2022).

Tanzania's growth has remained resilient accompanied by low Inflation. Fiscal and current account deficits are narrowing on the back of improved tax collection and strong trade performance. Pressures in the foreign exchange market persist. The medium-term outlook is positive, with GDP growth expected to align more closely with its long-term potential, supported by ongoing structural reforms and improved business environment. However, risks remain, including delays in the completion of structural reforms, climate-related shocks, and a weakened global economic environment.

Key conditions and challenges

Tanzania has successfully navigated recent external and weather-related shocks, including the COVID-19 crisis, tightening of global financing conditions, and protracted droughts and more frequent floods. Sound macroeconomic fundamentals have underpinned the robust post-pandemic rebound. The primary drivers of this growth have been rising gross fixed investments, particularly in public infrastructure, and expanding modern sectors such as industry and services.

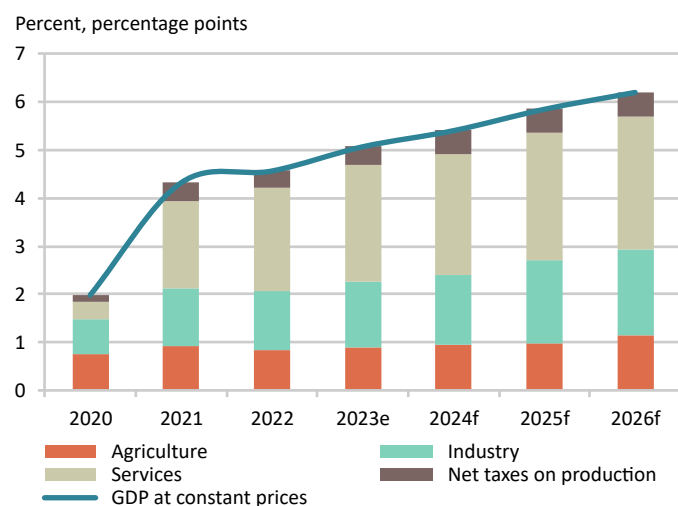
However, growth has not been sufficiently inclusive and has not led to a commensurate poverty reduction. Limited structural transformation has kept two-thirds of Tanzanian workers in the agriculture sector, which accounts for less than 30 percent of total economic output. The recent flooding and other climate-related hazards have highlighted the need to enhance agricultural productivity and strengthen its resilience to maintain economic growth and poverty reduction. These challenges also require fast-tracking the reforms for enhancing Tanzania's private sector investments and expanding spending on human development and social protection for more inclusive and sustainable growth. Disequilibrium in the foreign exchange market has emerged as another near-term concern. Despite a greater exchange rate flexibility and tight monetary policy, a parallel exchange rate market has emerged

since mid-2023. While the exchange rate premium has remained below 10 percent and is estimated to have narrowed more recently thanks to strong export performance, it is important for Tanzania to build on its strong foundations of sound macroeconomic policies, including both fiscal and monetary policies, and facilitate a well-functioning forex market by removing the distortions.

Recent developments

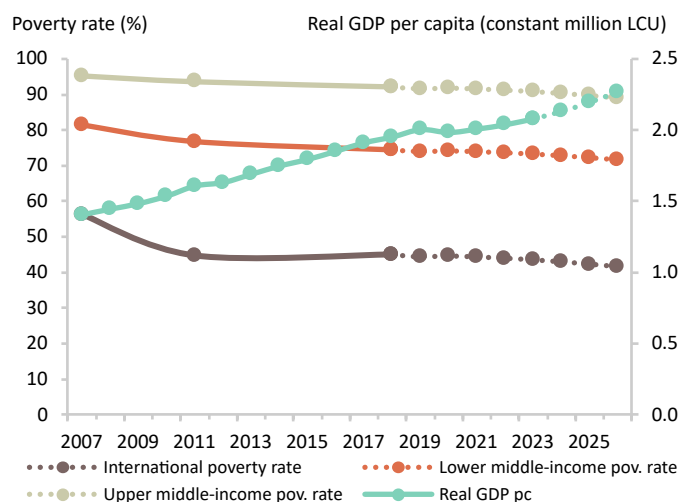
In the first quarter of 2024, GDP growth accelerated to 5.6 percent year-on-year (y-o-y) building on 5.1 percent in 2023. Leading indicators affirm that the economy has maintained this strong momentum in the second quarter. On the supply side, growth was primarily driven by the industry and services sectors, including manufacturing, electricity, construction, tourism, trade, and financial services. Growth in agriculture declined to 3.1 percent, compared to 5 percent in Q1 of 2023 and 4.2 percent in 2023, amid weather-induced shocks including protracted droughts followed by frequent floods. Inflation declined from 3.3 percent in July 2023 to 3.0 percent in July 2024 (y-o-y), well below the Bank of Tanzania's (BoT) medium-term target of 5 percent. Despite low and slowing inflation, the Bank of Tanzania continued to tighten its monetary policy stance to restore the equilibrium in forex market. Following the hike in the policy rate by 50 basis points, the growth rate of extended

FIGURE 1 Tanzania / Real GDP growth and sectoral contributions to real GDP growth



Source: World Bank staff estimates and projections (2020-2026).

FIGURE 2 Tanzania / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

broad money (M3) decelerated to 12.2 percent in May.

Tanzania's fiscal position has strengthened, despite a 0.3 percentage points increase in interest payment as a share of GDP. The overall fiscal deficit declined from 4.0 percent of GDP during the first 11 months of FY2022/23 to 3.3 percent of GDP during the first 11 months of FY2023/24, driven by improved tax collections coupled with spending restraint in primary expenditure. Primary fiscal deficit declined from 2.1 percent of GDP to 1.2 percent over the same period.

Bolstered by favorable terms of trade, the current account deficit narrowed from 4.2 percent of GDP in Q1-2023 to 2.4 percent of GDP in Q1-2024. Net foreign direct investment inflows continued to recover after a long period of decline and are currently estimated at around 2 percent of GDP. Despite strengthened external conditions and a greater flexibility of the exchange rate resulting in over 12 percent depreciation of the Tanzanian shilling against the USD during the past one year, the tensions in the foreign exchange markets that emerged in 2023 have persisted albeit with a relatively low parallel market premium.

Poverty, measured at the international poverty line of US\$2.15 a day, is estimated to be on a declining trajectory to reach 42.9 percent in 2024, down by 0.5 percentage points since 2023.

Outlook

The growth is projected at 5.4 percent in 2024, accelerating further over the medium term to 6 percent and translating into a 3.1 percent annual growth in GDP per capita. This will be underpinned by robust public investment, improved business environment, and enhanced export competitiveness. Inflation is anticipated to remain between 3 and 4 percent over the medium term. Fiscal deficit is expected to narrow to 3.4 percent of GDP in 2024, thanks to strengthened revenue mobilization and strong fiscal discipline, and medium-term fiscal and debt outlook remains positive. Domestic financing is expected to play a larger role in the overall deficit financing over the medium term. Ongoing structural reforms aimed at strengthening export competitiveness and the business climate

are expected to reduce current account deficit further to 2.6 percent of GDP in 2024 and further to 2 percent by 2026.

Poverty is expected to decline further from 42.9 percent in 2024 to 41.6 percent by 2026 driven by a positive macroeconomic outlook and the government's continued implementation of reforms and interventions aimed at enhancing agricultural productivity, developing human capital, and strengthening business environment for more inclusive growth and job creation.

Medium-term risks are skewed towards the downside. These include trade and investment fragmentation risks due to heightened geopolitical tensions, weaker-than-expected global economic growth, incomplete implementation of Tanzania's structural reforms, and intensifying spillovers from climate-related disasters. On the upside, the commencement of a flagship LNG project to commercialize natural gas discoveries, combined with decisive policy measures to improve the business environment and reinforce private-public partnerships, could boost investment sentiment, create numerous high-quality jobs, and further spur economic growth.

TABLE 2 Tanzania / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	4.3	4.6	5.1	5.4	5.8	6.2
Private consumption	2.3	4.6	2.2	3.0	3.2	3.5
Government consumption	9.0	8.4	10.7	7.2	8.3	5.6
Gross fixed capital investment	7.8	9.6	5.7	5.8	7.6	8.9
Exports, goods and services	5.2	10.2	13.2	12.9	8.6	7.3
Imports, goods and services	9.6	23.7	7.5	6.3	6.1	5.7
Real GDP growth, at constant factor prices	4.3	4.6	5.1	5.3	5.8	6.2
Agriculture	3.7	3.3	3.6	3.8	4.0	4.8
Industry	4.1	4.3	4.8	5.1	6.0	6.3
Services	4.8	5.6	6.2	6.4	6.7	6.9
Inflation (consumer price index)	3.7	4.3	3.8	3.2	3.4	3.7
Current account balance (% of GDP)	-3.4	-7.3	-3.8	-2.6	-2.5	-2.0
Net foreign direct investment inflow (% of GDP)	1.7	1.9	2.1	2.0	2.2	2.5
Fiscal balance (% of GDP)	-5.3	-3.7	-4.1	-3.4	-3.3	-2.8
Revenues (% of GDP)	14.1	15.2	14.9	15.5	15.5	15.8
Debt (% of GDP)	39.6	42.5	44.6	48.4	48.2	47.9
Primary balance (% of GDP)	-3.6	-1.9	-2.0	-1.2	-1.2	-0.7
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	44.3	44.0	43.5	42.9	42.3	41.6
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	73.8	73.6	73.2	72.8	72.3	71.8
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	91.7	91.3	90.9	90.4	89.8	89.1
GHG emissions growth (mtCO₂e)	2.7	0.4	0.8	1.0	1.1	1.2
Energy related GHG emissions (% of total)	13.5	13.4	13.4	13.4	13.6	13.7

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2013- and 2018-HBS. Actual data: 2018. Nowcast: 2019-2023. Forecasts are from 2024 to 2026.

b/ Projection using point to point elasticity at regional level with pass-through = 0.7 based on GDP per capita in constant LCU.

TOGO

Table 1 **2023**

Population, million	9.1
GDP, current US\$ billion	9.2
GDP per capita, current US\$	1013.6
International poverty rate (\$2.15) ^a	26.6
Lower middle-income poverty rate (\$3.65) ^a	58.8
Upper middle-income poverty rate (\$6.85) ^a	86.8
Gini index ^a	37.9
School enrollment, primary (% gross) ^b	122.5
Life expectancy at birth, years ^b	61.6
Total GHG emissions (mtCO2e)	9.8

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2021), 2017 PPPs.

b/ Most recent WDI value (2022).

Growth is expected to moderate in 2024-25 to an average of 5.4 percent, reflecting fiscal consolidation and subdued global demand. Reforms and slowing inflation will support private consumption and investment, while cuts in public spending and revenue mobilization efforts will bring the fiscal deficit back to 3 percent of GDP by 2025. Rising insecurity, geopolitics, and climate shocks represent downside risks, with faster reform implementation an upside risk.

Key conditions and challenges

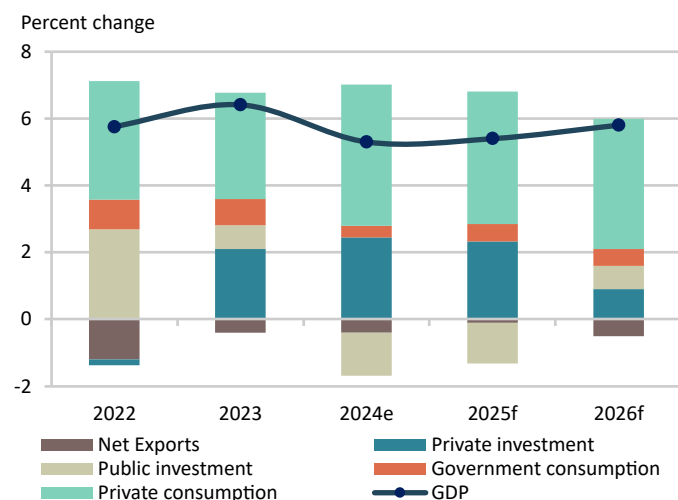
Despite facing a series of shocks since the COVID-19 pandemic, Togo's economy has shown resilience, with growth recovering to an average of 6.1 percent between 2021 and 2023. Nevertheless, high inflation (averaging 5.8 percent over the period 2021-23) and considerable disparities in economic opportunities and access to basic services between rural and urban areas continued to hinder progress in reducing poverty, inequality, and fragility in Togo. While fiscal stimulus measures helped support growth in the post-COVID period, fiscal consolidation efforts are now urgently needed to put public finance back on a sustainable trajectory. With the country grappling with increasing regional uncertainty and insecurity, and climate stress, fostering more inclusive growth and boosting the resilience of vulnerable populations will require implementing a growth-friendly fiscal consolidation strategy that preserves priority investments and social programs, and pursuing structural reforms to bolster private investment and job creation. Embracing climate-smart agricultural practices and developing sustainable agriculture value chains will be particularly critical to reduce the rural-urban divide and accelerate structural transformation in the face of climate change.

Recent developments

Growth is expected to reach an estimated 5.3 percent in 2024 (2.9 percent in per capita terms). On the supply side, a robust agriculture season and sustained services sector activity have helped support growth, while industrial activity has shown signs of deceleration, suggesting that a weak global environment and slowing demand from neighboring countries have taken a toll. Aggregate demand is supported by robust private investment and strengthening consumer spending as inflation moderates, but should slow from 2023 due to fiscal consolidation efforts, weak global demand, and regional uncertainties. Indeed, the government has stepped up its efforts to boost revenues and reduce spending, particularly on goods and services and public subsidies. However, elevated security spending, new economic and social infrastructure investments, and the effect of a one-off recapitalization of the state-owned bank UTB are expected to maintain the fiscal deficit at a still elevated 6.1 percent of GDP in 2024 (4.5 percent when excluding the recapitalization of UTB). Households' purchasing power has been supported by moderating inflation since 2023 but an uptick in food price inflation around mid-2024 warrants close monitoring. In this context, the extreme poverty rate (<\$2.15 in 2017 PPP) is expected to slightly decline to 26.2 percent in 2024 from 27.2 percent in 2023.

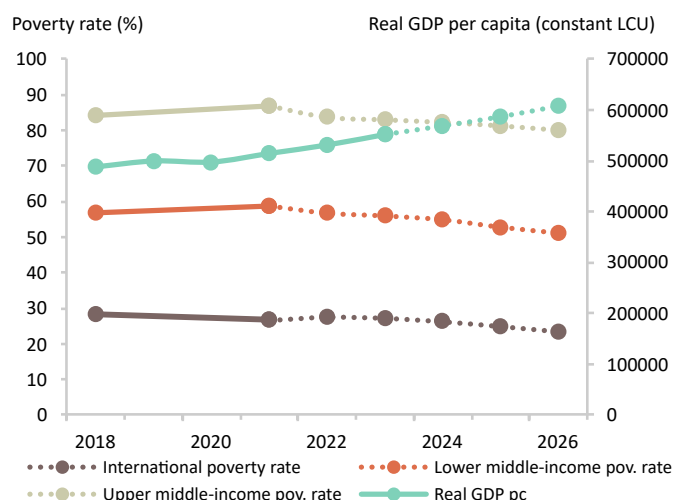
The Central Bank of West African States (BCEAO) has kept its policy interest rates

FIGURE 1 Togo / Real GDP growth and contributions to real GDP growth



Source: World Bank.

FIGURE 2 Togo / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

unchanged since December 2023 at 3.5 percent for liquidity calls and 5.5 percent for the marginal lending facility. The WAEMU Inflation rate has been on a downward trend since peaking in 2022 but remains above the 1 to 3 percent WAEMU target, at 4.4 percent y/y in July 2024, and regional foreign exchange reserves remain low, covering only 3.5 months of import in 2024Q1.

Outlook

Growth is expected to strengthen marginally in 2025, to 5.4 percent, and more significantly in 2026, to 5.8 percent (3.5 percent per capita). This modest acceleration will be supported by ongoing and planned private investment projects, notably in the

industrial sector and a recovery in consumer spending as inflationary pressures continue to taper down. Exports will provide an additional boost from 2025 onwards as the global economy regains some strength. The current account deficit is expected to narrow gradually to 3.4 percent in 2026, mostly driven by accelerating exports. The regional inflation rate is expected to align with WAEMU target by 2025, while regional reserves are expected to rise gradually, supported by the resumption of international bond issuances, recovering exports and monetary policy easing in the Euro Area.

Fiscal consolidation efforts to reduce the fiscal deficit to 3 percent of GDP by 2025 will be significant in the short term. These efforts will mostly be driven by decelerating capital spending on the expenditure side, as well as by tax and customs reforms

on the revenue side. The appointment of a new government in August 2024 should help anchor those consolidation efforts. While external debt risks remain moderate, elevated domestic debt continues to imply a high risk of overall debt distress until 2026. The poverty rate is projected to decline to 23.5 percent in 2026, supported by rising GDP per capita and easing inflation. The outlook is subject to downside risks, including spillovers from the crisis in the Sahel region, and rising insecurity in the North that could weigh on investment, trade, and public finance. Unforeseen climate shocks could also impact food security and amplify fragility risks. Upside risks include faster reform implementation, resolution of regional uncertainties, and an easing of financing conditions that could stimulate investment more than currently anticipated.

TABLE 2 Togo / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	6.0	5.8	6.4	5.3	5.4	5.8
Private consumption	12.0	4.7	4.3	5.8	5.4	5.3
Government consumption	0.2	7.2	6.3	2.7	4.3	4.3
Gross fixed capital investment	-0.4	11.3	12.0	4.7	4.5	6.6
Exports, goods and services	8.8	2.8	6.8	3.9	6.8	7.8
Imports, goods and services	14.3	5.3	5.8	4.0	5.4	6.2
Real GDP growth, at constant factor prices	5.3	6.3	6.6	5.3	5.4	5.8
Agriculture	3.3	5.1	4.2	4.3	4.5	5.0
Industry	5.8	6.4	6.7	4.2	6.8	6.1
Services	6.0	6.8	7.6	6.1	5.2	6.0
Inflation (consumer price index)	4.5	7.5	5.3	3.5	3.0	2.7
Current account balance (% of GDP)	-0.9	-3.0	-3.3	-3.6	-3.5	-3.4
Net foreign direct investment inflow (% of GDP)	0.3	0.3	0.4	0.4	0.5	0.5
Fiscal balance (% of GDP)	-4.7	-8.3	-6.6	-6.1	-3.0	-3.0
Revenues (% of GDP)	17.1	17.8	18.2	18.5	18.4	18.5
Debt (% of GDP)	64.8	67.1	67.3	68.0	66.4	64.4
Primary balance (% of GDP)	-2.5	-5.8	-4.4	-3.8	-0.6	-0.7
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	26.6	27.5	27.2	26.2	24.9	23.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	58.8	56.7	55.9	54.8	52.7	51.0
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	86.8	83.6	83.0	82.2	81.3	80.1
GHG emissions growth (mtCO₂e)	1.0	2.6	2.5	5.0	5.1	5.2
Energy related GHG emissions (% of total)	25.4	24.5	22.9	23.3	23.9	24.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2021-EHCVM. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.

b/ Projections using microsimulation methodology.

UGANDA

Table 1 **2023**

Population, million	48.6
GDP, current US\$ billion	42.0
GDP per capita, current US\$	864.8
International poverty rate (\$2.15) ^a	42.1
Lower middle-income poverty rate (\$3.65) ^a	71.8
Upper middle-income poverty rate (\$6.85) ^a	91.1
Gini index ^a	42.7
School enrollment, primary (% gross) ^b	105.5
Life expectancy at birth, years ^b	63.6
Total GHG emissions (mtCO2e)	57.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2019), 2017 PPPs.

b/ Most recent WDI value (2022).

The Ugandan economy recorded accelerated growth, supported by continued investment momentum. Headline inflation declined sharply driven by moderating food prices, monetary policy tightening, and relative stability in the exchange rate. On the external side, the current account deficit widened and pressures on the FX reserves increased. Uncertainty created by passing of the Anti-Homosexuality Act in May 2023 is weakening the external financing landscape, however, FDI inflows continued in the Mining sector.

Key conditions and challenges

Intensifying shocks and faltering momentum behind policy reform create challenges for sustaining economic growth and reducing poverty in Uganda. A large share of the population (42.1 percent in 2019) is below the poverty line (US\$2.15 2017 PPP per day), while human capital and infrastructure deficits have limited the country's growth potential and social welfare improvement. The challenge of creating productive jobs for the almost one million working-age Ugandans entering the labor market every year is pressing. Although services sector constitutes a large share of GDP, it has created few jobs, mainly informal and low-skilled. Two-thirds of the jobs are in the agriculture sector which is prone to natural disasters and climate shocks are becoming more frequent and severe, while adaptation remains limited due to low capacity.

To promote economic growth and reduce poverty over the medium term, the Ugandan economy needs to structurally transform and shift labor into a more productive employment. First, reforms should stimulate private sector investments by reducing the cost of doing business, fostering access to finance, and promoting the uptake of digital and other innovative technologies. Second, the government could

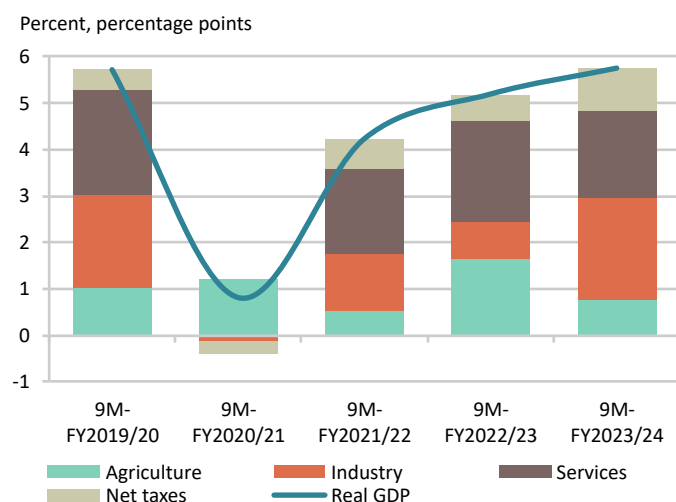
shift spending into social sectors and invest more in human capital, alongside measures to reduce inequality and strengthen resilience. Finally, Uganda needs to maintain prudent macroeconomic management alongside structural policies to both avoid real appreciation and loss of competitiveness once oil revenues start flowing in and to build resilience to climate shocks.

Recent developments

Growth is estimated to reach 6.0 percent in FY24 (July 1, 2023–June 30, 2024) from 5.3 percent in FY23, despite global economic instability, geopolitical tensions, and regional conflicts. Growth is supported by favorable weather conditions, investments in the oil sector, and progress on implementation of the Parish Development Model. The first phase of this new government strategy established and fully capitalized 10,585 Savings and Credit Cooperatives in FY23 and disbursed 877 billion shillings in loans to 880,000 households. Industrial sector (25 percent of the economy) remained the top contributor to growth, followed by services (44 percent of the economy). Thanks to an oil-related construction boom, Foreign Direct Investment (FDI) reached US\$2.3 billion during the first nine months of FY24.

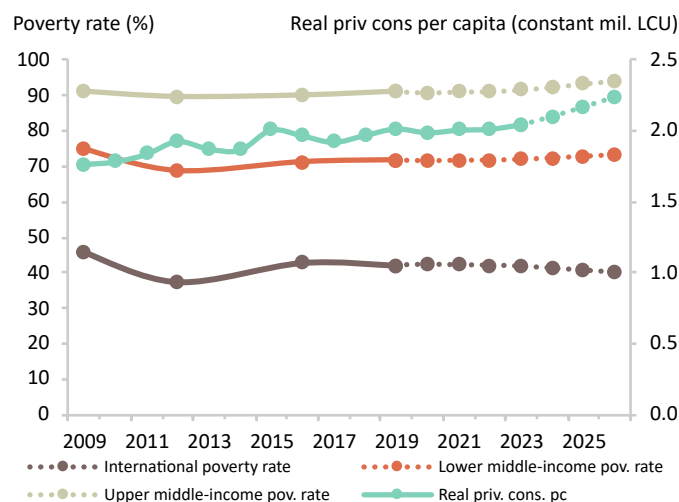
Headline inflation declined to 3.2 percent on average in FY24 from 8.8 percent in FY23 and is below the target of 5.0 percent. This is due to declining food prices,

FIGURE 1 Uganda / Real GDP growth and contributions to real GDP growth



Source: Uganda Bureau of Statistics.

FIGURE 2 Uganda / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

monetary policy tightening, targeted fiscal consolidation, and relative stability in the exchange rate. Prices of food crops grew by only 3.3 percent in FY24 compared to 22.7 percent in FY23. Consistent with decreasing food inflation, a household phone survey in March 2024 showed a reduction in households affected by food price increases to 46 percent, down from 73 percent the previous year. Nonetheless, food insecurity remains a significant issue, particularly for the most vulnerable. Poverty projections for 2024 showed that just over 4 out of every 10 Ugandans were poor in 2024 as measured by the US\$2.15 2017 PPP poverty line.

The primary balance decreased to 1 percent of GDP in FY24, reflecting an underperformance of development expenditure, whose execution fell short by 20.5 percent of the approved budget. The share of development spending in GDP decreased by 0.3 percentage points in FY24. Revenues slightly decreased, due to lower-than-anticipated revenues from the value added tax and excise duty, partly because of the lower-than-expected gains from implementing digital tax stamps. The fiscal deficit was financed by domestic and external borrowing.

Outlook

Growth is accelerating supported by agriculture and services and the outlook for FY25 is improving to 6.2 percent. Over the medium term, growth is projected to significantly accelerate to 10.8 percent in FY26 as oil production starts and later returns to around 6 percent as the oil production plateaus. Growth will be also driven by a recovery in tourism. The related projects, such as the Tilenga and Kingfisher oil fields, the East Africa Pipeline, and the Kabalega International Airport are already attracting large foreign and domestic private investment.

The primary balance is expected to deteriorate slightly in FY25, followed by a 0.5 percent surplus in FY26. The government's domestic revenue mobilization strategy is expected to yield 0.5 and 1.3 percent of GDP in FY25 and FY26, respectively. Debt is expected to increase in FY25 to 52.1 percent of GDP before decreasing to 47.9 percent in FY26.

The current account deficit (CAD) is expected to remain elevated in the near term reflecting capital imports for oil production. Over the medium term, once oil exports come on-stream and the oil refinery

becomes operational, CAD would improve. Export growth is likely to benefit from the roll-out of reforms envisaged under the African Continental Free Trade Agreement and improvement in trade logistics. FDI flows are projected to remain strong in the near term.

Anticipated oil revenues could help reduce poverty to 40.1 percent in 2026 from 41.3 percent in 2024. However, the actual pace of poverty reduction will depend on how well households can manage and recover from financial shocks. Effective use of oil revenues to improve social protection, infrastructure, and human capital is crucial for sustained poverty alleviation.

A global economic slowdown, geopolitical tensions, and regional instability remain major risks. Middle East conflict escalation may disrupt the global economy, reducing demand for Ugandan exports. The 2026 elections may undermine budget credibility, with fiscal slippages, higher-than-planned borrowing, and distorted social spending. Inflationary pressures could lead to tighter monetary policy, constraining businesses, and incomes. The tourism sector faces risks from health crises and travel restrictions while climate-related droughts and floods threaten agriculture, potentially exacerbating poverty.

TABLE 2 Uganda / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.4	4.7	5.3	6.0	6.2	10.8
Private consumption	4.2	3.4	4.4	5.6	5.8	8.7
Government consumption	6.1	-17.4	5.1	6.2	5.3	7.2
Gross fixed capital investment	5.1	20.1	5.5	7.4	8.1	15.3
Exports, goods and services	2.6	-18.6	7.0	8.2	8.4	10.8
Imports, goods and services	8.6	-8.9	3.2	8.4	9.0	8.5
Real GDP growth, at constant factor prices	3.4	4.7	5.3	6.0	6.1	10.8
Agriculture	3.8	4.4	5.0	5.1	5.4	5.8
Industry	3.4	5.4	3.9	5.3	5.6	12.6
Services	3.3	4.4	6.3	6.8	6.8	12.3
Inflation (consumer price index)	2.5	3.7	8.8	3.2	4.6	5.0
Current account balance (% of GDP)	-10.2	-7.9	-7.2	-8.4	-7.7	-5.9
Net foreign direct investment inflow (% of GDP)	2.1	3.1	5.9	6.0	6.3	5.3
Fiscal balance (% of GDP)	-9.5	-7.4	-5.0	-4.8	-5.7	-2.6
Revenues (% of GDP)	14.7	14.2	15.0	14.3	14.8	16.1
Debt (% of GDP)	49.6	50.7	48.3	50.6	52.1	47.9
Primary balance (% of GDP)	-6.8	-4.6	-2.0	-1.0	-1.4	0.5
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	42.2	42.1	41.8	41.3	40.6	40.0
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	71.7	71.8	72.0	72.4	72.8	73.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	90.9	91.0	91.5	92.4	93.3	94.3
GHG emissions growth (mtCO₂e)	1.5	2.5	3.0	3.0	3.2	4.3
Energy related GHG emissions (% of total)	18.0	19.0	20.1	21.1	22.1	23.9

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2016-UNHS and 2019-UNHS. Actual data: 2019. Nowcast: 2020-2023. Forecasts are from 2024 to 2026.

b/ Projection using point-to-point elasticity (2016-2019) with pass-through = 0.7 based on private consumption per capita in constant LCU.

ZAMBIA

Table 1 2023

Population, million	20.6
GDP, current US\$ billion	28.2
GDP per capita, current US\$	1370.9
International poverty rate (\$2.15) ^a	64.3
Lower middle-income poverty rate (\$3.65) ^a	81.0
Upper middle-income poverty rate (\$6.85) ^a	93.2
Gini index ^a	51.5
School enrollment, primary (% gross) ^b	94.8
Life expectancy at birth, years ^b	61.8
Total GHG emissions (mtCO2e)	89.8

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2022), 2017 PPPs.
b/ Most recent WDI value (2022).

A severe drought has impacted 9.8 million people, with 6.6 million requiring urgent relief. Real GDP growth is projected to decelerate to 2.0 percent in 2024, worsening extreme poverty. This is despite progress made in debt restructuring and an increase in copper prices. From 2025, growth is expected to rebound, driven by foreign direct investment spurred by demand for energy transition minerals, and economic reforms.

Key conditions and challenges

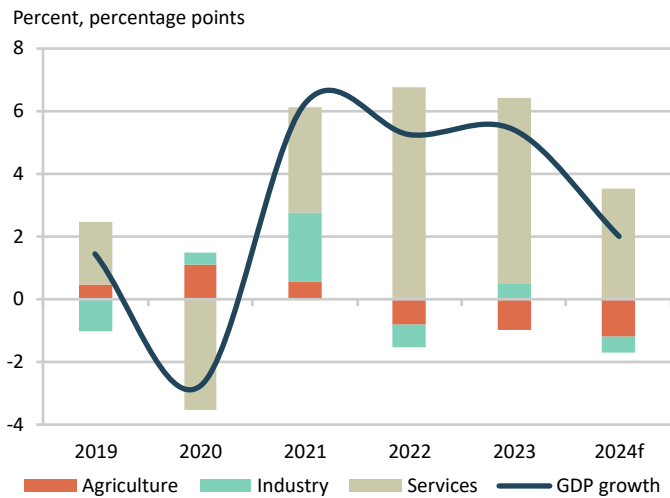
Zambia is a resource-rich and landlocked nation strategically positioned in central Southern Africa. It is seeking to exploit several economic opportunities and its pivotal geographic location to improve livelihoods and tackle high poverty and unemployment. With a population of approximately 20 million and a total land area of 752,610 square kilometers, Zambia has a low population density of around 26 people per square kilometer. While the country is sparsely populated overall, a significant portion of its population resides in urban areas. Since 2011, Zambia has been categorized as a lower middle-income country, but its long-term aspiration is to become an industrialized upper middle-income nation by 2030. With prudent management, the country's abundant natural resources can contribute to sustained and inclusive growth, create fiscal space for investments in human capital and climate adaptation, alleviate poverty, and reduce its debt burden. However, the country faces significant challenges that have historically hindered sustained, inclusive growth, job creation, economic transformation, and widespread prosperity. Due to weak linkages between capital-intensive extractives and the mainstay subsistence agriculture sector, it has struggled to diversify economic production away from the heavy dependence on mining—mainly copper.

Zambia saw remarkable economic growth rates during the commodity Supercycle between 2000 and 2010, supported by debt relief, which translated into significant increases in income per capita and kept public finances in check. However, as the mining boom faded, and despite the expansionary fiscal policies of the 2010s, the economy lacked resilience, and growth could not be sustained, severely reducing average income per capita. Inefficient public investment and widening fiscal deficits, exacerbated by poor state-owned enterprise (SOE) performance, did little to support or diversify economic growth.

Recent developments

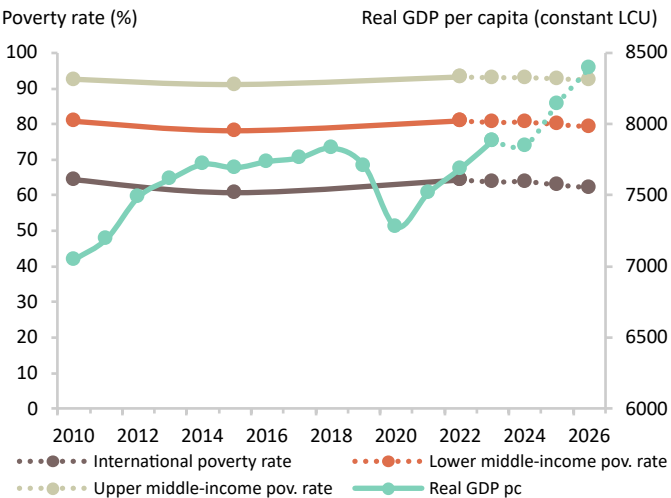
As Zambia's economy was still rebounding from the COVID-19 recession, it faced a severe drought exacerbated by El Niño, impacting 9.8 million people across 84 districts. The climatic disaster has slowed down real GDP growth to 2.2 percent year-on-year (y-o-y) in the first quarter of 2024, down from 4.0 percent in the corresponding period in 2023. The slowdown in growth reflects a contraction in the agricultural sector and subdued administrative and support services, despite some gains in the mining industry. Copper production increased by 6.3 percent in the first half of 2024, driven by rising prices and advantageous open pit mining conditions during unusually dry rainy season. However, this uptick barely cushioned the fall in exports. Still, a steeper drop in imports, spurred by the increased expense of importing under

FIGURE 1 Zambia / Real GDP growth and contributions to real GDP growth



Source: World Bank estimates.

FIGURE 2 Zambia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

a depreciating exchange rate, along with a rise in grants from cooperating partners and remittances, largely for crisis response, supported the current account. At end-June, gross international reserves increased to 4.3 months of imports from 3.9 months in March 2024, reflecting the front-loaded disbursement by the IMF under the augmented ECF program.

Despite contractionary monetary policy and fiscal prudence, exchange rate depreciation and reduced food supply pushed inflation to 15.5 percent by August 2024, above the Bank of Zambia's target range of 6–8 percent. In June 2024, the authorities submitted a revised 2024 budget to Parliament in consultation with the IMF, allowing a one-time primary deficit at 0.7 percent of GDP in 2024. This came with a reprioritization of spending towards critical livelihood support, postponement of planned public service recruitments, and request for additional external financing to provide fiscal support in response to the drought. The completion of debt restructuring with non-bonded commercial creditors, in addition to official creditors and Eurobond holders, will support restoring debt sustainability. Zambia remains in debt distress since its default on Eurobonds in November 2020.

Outlook

Annual real GDP growth is projected to decelerate to 2.0 percent in 2024, down from an average of 5.7 percent in 2002–2023 which was thanks to firmer services. The deceleration is happening despite a rebound in copper prices and progress on external debt restructuring, hence worsening extreme poverty. Factors impeding growth include an electricity generation deficit surpassing 1,000 megawatts and resulting in daily power outages of more than 17 hours due to historically low water levels in major dams, and a 53.7 percent annual reduction in maize production in 2024. The economy is expected to rebound with growth projected to average 6.3 percent annually in 2025–26. The outlook assumes increased mining production, the effective implementation of reforms, the restoration of debt sustainability, and the normalization of rainfall patterns, which will enhance electricity generation and boost agriculture.

In August 2024, the authorities reversed a contested liquidation and reinstated Vedanta Resources as operator of the

Konkola Copper Mine. Additionally, International Resources Holdings secured a 51 percent stake in the previously distressed Mopani Copper Mine. These developments are anticipated to bolster copper production towards the aspiration of 3 million tons annually, further supported by the robust global shift towards low-carbon energy and the recent overhaul of the mining fiscal regime. By end-2023, Zambia had received mining investment pledges exceeding US\$5 billion on new and expansion projects that are expected to boost investments and services related to mining and support future exports and FX earnings from the sector. Still, the outlook is subject to significant downside risks, including adverse climate events, a sudden global downturn that could worsen external and fiscal challenges, escalating food and energy prices, and a potential decline in mining output due to lower ore grades. The risk of lagging electricity supply may constrain the anticipated expansion in mining, while the use of tax incentives to stimulate investment could accelerate the already high tax expenditures, potentially undermining the mining sector's contribution to fiscal revenues.

TABLE 2 Zambia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	6.2	5.2	5.4	2.0	6.1	5.9
Private consumption	6.0	5.6	5.7	2.0	7.3	6.0
Government consumption	7.6	6.7	7.3	7.4	5.9	6.2
Gross fixed capital investment	5.4	4.5	5.3	0.8	7.5	7.0
Exports, goods and services	4.6	4.6	3.3	2.5	3.8	4.0
Imports, goods and services	2.5	4.0	4.5	2.3	5.2	4.0
Real GDP growth, at constant factor prices	6.4	5.4	5.7	2.0	6.2	5.9
Agriculture	6.9	-11.0	-15.9	-23.8	27.4	13.3
Industry	7.1	-2.2	1.7	-1.6	3.8	5.0
Services	5.9	12.0	10.0	5.7	5.9	5.8
Inflation (consumer price index)	22.0	11.0	10.9	15.0	12.1	7.0
Current account balance (% of GDP)	11.9	3.8	-1.9	0.0	6.9	5.8
Net foreign direct investment inflow (% of GDP)	3.1	0.6	-0.1	3.9	4.5	4.3
Fiscal balance (% of GDP)	-8.1	-7.8	-6.5	-6.1	-2.8	-3.4
Revenues (% of GDP)	22.4	20.4	21.5	21.4	21.8	21.8
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	..	64.3	63.7	63.8	62.8	62.0
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	..	81.0	80.5	80.6	79.9	79.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	..	93.2	93.0	93.0	92.7	92.4
GHG emissions growth (mtCO₂e)	-3.1	0.6	0.9	1.1	1.4	1.3
Energy related GHG emissions (% of total)	9.2	9.6	10.3	11.1	12.3	13.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2022-LCMS-VIII. Actual data: 2022. Nowcast: 2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2022) with pass-through = 0.7 (Low (0.7)) based on GDP per capita in constant LCU.

ZIMBABWE

Table 1 **2023**

Population, million	16.7
GDP, current US\$ billion	35.2
GDP per capita, current US\$	2114.0
International poverty rate (\$2.15) ^a	39.8
Lower middle-income poverty rate (\$3.65) ^a	64.5
Upper middle-income poverty rate (\$6.85) ^a	85.0
Gini index ^a	50.3
School enrollment, primary (% gross) ^b	95.8
Life expectancy at birth, years ^b	59.4
Total GHG emissions (mtCO2e)	117.4

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2019), 2017 PPPs.

b/ Most recent WDI value (2022).

GDP growth in 2023 is at 5.3 percent and is projected to slow to 2 percent in 2024 due to weak agriculture on the back of severe drought conditions. While the introduction of a new currency, ZiG, in April 2024 moderated inflationary pressures and the exchange rate instability, uncertainties of the ZiG, and high levels of domestic debt dominated in US\$ pose macroeconomic risks. Poverty is expected to increase due to the severe droughts of the 2023/24 agricultural season.

Key conditions and challenges

Macroeconomic vulnerabilities and a difficult business environment raise the cost of doing business increasing informality and limiting the pace of structural transformation. The 2024 El-Nino-induced drought triggered a state of National Disaster significantly affecting agriculture, an important sector that largely depends on rainfed crops. The investment climate is further hampered by inadequate electricity supply, as the drought has resulted in power shortages at the Kariba hydro-power station. Hence, after the 2021 COVID-19 rebound, growth has slowed down, though it remains above the average of the Sub-Saharan Africa region.

Public debt remains high and unsustainable, and a new challenge is emerging as the government ramps up US\$ denominated domestic borrowing. The takeover of the central bank's external debt by the Treasury and a large capital transfer to the Mutapa Investment Fund (8 percent of GDP)—the government's new SOE holding company—heightened debt and fiscal pressures in 2023. Further, limited revenues combined with increased spending led to a significant primary deficit and elevated debt. Additional fiscal pressures arose from the need to deal with El Nino led drought. Despite limited new external borrowing, risks remain elevated due to continued borrowing on non-concessional terms. To restore

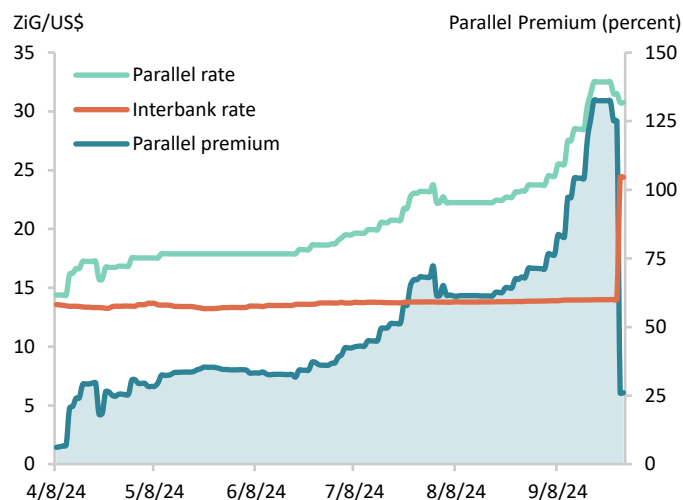
debt sustainability, a balanced approach is needed that includes increased domestic resource mobilization, fiscal consolidation, improved public debt management, growth-enhancing structural reforms, and resolution of external arrears.

Poverty reduction has been constrained by structural factors including macroeconomic volatility, dependence on low-productivity agriculture combined with a high correlation between weather shocks and agricultural production, low coverage of social assistance programs, and high inequality in income and human capital endowment.

Recent developments

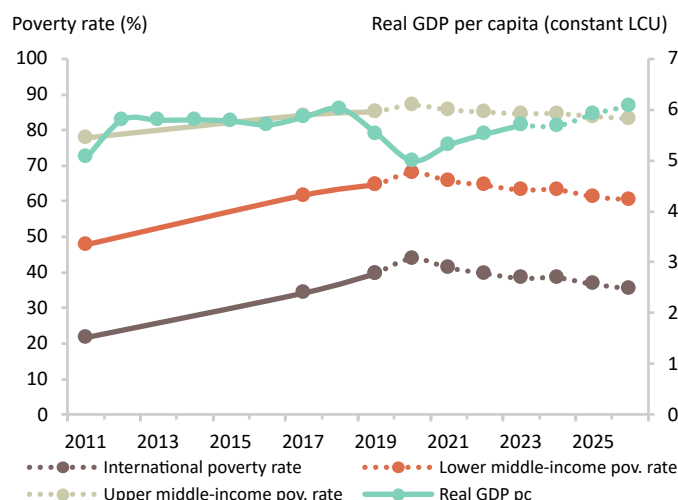
Robust agricultural production and mining investments fueled the post-COVID recovery, with real GDP growth at 6.1 percent in 2022 and 5.3 percent in 2023. However, macroeconomic instability—high inflation and exchange rate volatility—have constrained growth potential. In 2023, reserve money increased by 18 folds, and Zimbabwe dollar (ZWL) inflation hit 700 percent. Following a steep decline of the ZWL in the first few months of 2024, the ZWL was replaced by the ZiG. Inflationary pressures have moderated since the introduction of the ZiG. Monthly inflation has remained below 2 percent between May and August 2024. Yet, there is a risk for renewed inflationary pressures from exchange rate depreciation. The ZiG is under considerable pressure. While the official exchange rate initially stayed stable, the

FIGURE 1 Zimbabwe / Official and parallel market exchange rate, parallel premium



Sources: Zimstat, WDI, and World Bank staff estimates.

FIGURE 2 Zimbabwe / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

parallel market exchange rate depreciated rapidly, resulting in a parallel premium that exceeded 120 percent at its peak. In response, the central bank devalued the currency in late September, bring the parallel premium down to 26 percent (Figure 1).

The fiscal deficit increased in 2023 to 14 percent of GDP, due to subdued revenue mobilization, and the one-off transfer to the Mutapa Fund. Between 2022 and 2023, Zimbabwe's debt-to-GDP ratio declined from 100.6 to 96.6 percent, in part because of exchange rate dynamics. During the first half of 2024, fiscal pressures have also moderated, in part because of the Treasury's renewed effort towards fiscal consolidation along with tax enhancing measures. The adoption of the ZiG resulted also in a revenue windfall from low inflation. The significant contraction of the agriculture sector due to the drought will have severe consequences on rural incomes and food security.

Trade deficit increased in 2023, reflecting a decline in mineral exports and an increase in imports (particularly for fuel and fertilizer). Yet, the country continued to enjoy a current account surplus in 2023, for the fourth year in a row, thanks

to remittances (around 6 percent of GDP in 2022 and 2023).

Outlook

GDP growth is expected to slump to 2 percent in 2024 due to El Niño-induced droughts, lower mining prices, and macroeconomic instability. Agricultural production is expected to fall by over 20 percent. Ongoing power shortages have contributed to decreased industrial growth and disrupted crops that depend on irrigation. The increase in parallel market premium limits formal sector production and demand and brings uncertainty to the new currency. Growth is projected to recover to 6.2 percent in 2025 once the influence of the drought begins to wane and ongoing investment initiatives start to increase mining and manufacturing production.

The fiscal deficit is anticipated to decrease to 2.9 percent in 2024, down from 14 percent in 2023. This is due partly due to a compression in discretionary spending, and capital spending ratio returning to its historical average. Revenue is anticipated

to increase significantly due to ZiG's low inflation. The current account is projected to be in deficit due to drought-related higher imports, and lower exports from weak commodity prices but is expected to return to a surplus in 2025. In the medium term, current account improvements will be driven by increased lithium mining activities and a recovery in gold production. Poverty is expected to increase due to the severe drought of 2023/24. The wards experiencing drought contain almost half of the population and more than 40 percent of the food poor. Food consumption comprises 48 percent of the total expenditure of poor households, compared to 36 percent of non-poor households. Thus, poor households will be relatively more affected by the decline in yields and increase in prices due to the drought, as low-value agriculture is largely autarkic (only about 15 percent of rural households that grew maize in 2017 sold it). The drought-stricken wards also have a significant share of the working-age adults employed in agriculture. This will lead to a fall in agricultural income and worsened food security, especially among agricultural households.

TABLE 2 Zimbabwe / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	8.5	6.1	5.3	2.0	6.2	4.8
Private consumption	9.2	5.1	-0.1	3.4	7.0	5.0
Government consumption	58.9	70.1	13.9	1.0	-4.3	1.1
Gross fixed capital investment	12.8	21.8	14.4	-4.7	14.9	8.4
Exports, goods and services	47.0	43.4	-8.4	1.2	4.2	4.5
Imports, goods and services	61.5	54.0	-11.0	2.0	6.5	5.1
Real GDP growth, at constant factor prices	8.4	6.2	5.5	2.0	6.2	4.8
Agriculture	17.5	6.2	6.3	-21.2	23.6	7.0
Industry	6.4	5.2	3.2	4.1	4.5	4.5
Services	7.7	6.9	6.7	6.1	4.2	4.5
Inflation (consumer price index)	94.1	160.2	257.0	6.0	8.4	5.0
Current account balance (% of GDP)	1.3	0.9	0.4	-0.1	0.8	1.1
Net foreign direct investment inflow (% of GDP)	0.9	1.0	1.6	1.3	1.4	1.5
Fiscal balance (% of GDP)	-2.2	0.1	-14.0	-2.9	-1.7	-1.6
Revenues (% of GDP)	15.3	16.6	14.6	18.5	17.5	17.5
Debt (% of GDP)	58.4	100.5	96.6	87.2	77.0	75.8
Primary balance (% of GDP)	-2.1	0.2	-13.9	-2.4	-0.9	-1.1
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	41.4	39.8	38.4	38.6	36.8	35.6
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	65.8	64.5	63.3	63.3	61.4	60.5
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	85.6	85.0	84.6	84.6	83.8	83.1
GHG emissions growth (mtCO₂e)	1.5	1.3	0.7	-0.5	-0.7	-0.2
Energy related GHG emissions (% of total)	10.5	11.0	11.4	10.6	10.3	10.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2019-PICES. Actual data: 2019. Nowcast: 2020-2023. Forecasts are from 2024 to 2026.

b/ Projection using neutral distribution (2019) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

Macro Poverty Outlook

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